ECONOMIC BULLETIN

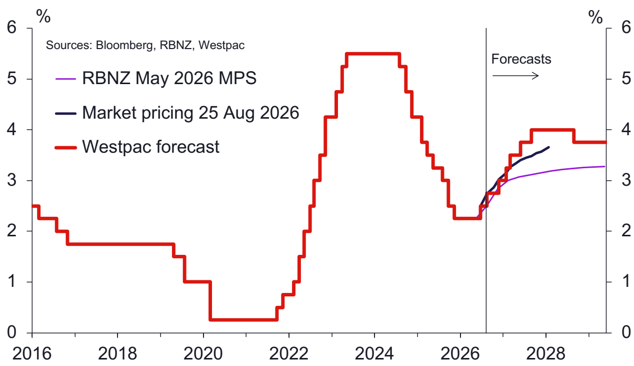
Preview of RBNZ September 2026 Monetary Policy Statement (Wednesday 2 September, NZT 2pm).

26 Aug 2026 | **Kelly Eckhold**, Chief Economist | +64 9 348 9382 | +64 21 786 758 | kelly.eckhold@westpac.co.nz

Removing a little bit of stimulus

- **We expect the RBNZ to raise the OCR by 25bp to 2.75% at its 2 September meeting. We see a consensus decision.**
- **The RBNZ's projections are likely to imply a 3% OCR by year-end, the same as in the May MPS.**
- **Beyond 2026, we expect the OCR forecasts to also remain similar to the May MPS profile which implied the OCR peaking around 3.3%.**
- **Of interest will be any signalling the RBNZ offers about the likelihood of an OCR hike in October. We expect the RBNZ will signal that future moves are data dependent.**

Official Cash Rate forecasts



RBNZ decision and communication.

We expect the RBNZ to follow through with another 25bp OCR increase to 2.75%. The decision seems likely to be reached by consensus.

We see the RBNZ being equivocal about the potential for an October OCR increase. They seem likely to adopt a data-dependent approach to determining whether to continue raising rates in October, given they will be close to the 3% neutral rate level the RBNZ often emphasises, and there is a lot of data due for release over September and October.

Data since the May projections were completed possibly imply a modest downward adjustment to the RBNZ's OCR forecasts. Lower energy prices and inflation expectations seem to have that implication, although plenty of risks remain around those forecasts. Hence, it's possible the RBNZ's view won't have shifted that much. We tend to think there won't be much of a shift in the RBNZ's OCR forecasts given the significant uncertainties at present.

Scenarios.

A hawkish scenario is one where the RBNZ seems firmly resolved to continue to raise the OCR in October (and beyond). This might be signalled through a modest increase in the OCR forecasts from the terminal rate of 3.28%. If the RBNZ raised their neutral OCR assumption, then this would increase the chance of this scenario. Also, the MPC could imply that an OCR increase in October is more likely than not. Markets might then conclude increases are on the cards in both October and December, taking the OCR to 3.25% at year end.

A more dovish scenario is that the MPC might suggest that after 50bp of hikes it now has the luxury of taking some time to assess how the inflation outlook is evolving before raising the OCR further. Depending on the exact wording, this might bring into question whether an OCR increase might occur even in December. Less likely, more dovish market participants might even speculate that no further OCR increases may occur.

We don't see either of these options as especially likely and would put perhaps a 10-15% probability on each.

Kelly's take.

The strategy to return the OCR to around 3% by year-end seems clear and uncontroversial. It's unclear that further increases will be required at every remaining meeting in 2026. The economic recovery remains fragile and significant risks abound. Care should be taken to not take the recovery for granted – especially while the improvement in the labour market remains embryonic.

Nonetheless core inflation remains too high, and I remain sceptical that inflationary supply shocks will dissipate either quickly or sustainably. Hence, it's likely that higher interest rates will be required through 2027 once the economy is sustainably operating above trend and the labour market is recovering. A data-dependent approach is appropriate.

Appendix: Key developments since the May *Monetary Policy Statement*.

Activity: The economy's starting point remains close to the RBNZ's May forecast. GDP rose 0.8% in the March quarter, slightly below the RBNZ's 1.0% forecast, although historical revisions mean the level of activity was a little firmer than expected. June quarter growth is also likely to be close to the RBNZ's flat forecast (we have pencilled in a 0.1% decline). As a result, the RBNZ's estimate for the starting point output gap is unlikely to have changed materially from its May assumption of around -1.5%.

Labour market: Recent data have been mixed but continue to point to softness in the labour market. The unemployment rate rose to 5.6% in the June quarter, above the RBNZ's 5.4% forecast. Employment growth was firmer than expected, though some of that strength likely reflected survey volatility. Wage growth was also a little firmer than expected but non-threatening, with the Labour Cost Index rising 0.7%qtr and 2.0%yr. Overall, these data are unlikely to have shifted the dial materially for the RBNZ. Updated estimates of net migration and population growth over the past year have been lower than expected.

Sentiment-based activity indicators: Understandably, surveys of the business sector have swung around in recent months. Looking across the latest QSBO, ANZBO and PMI results, overall business confidence is back around the levels seen before the Middle East conflict began. Businesses continue to report pressure on operating costs, and some hiring intentions gauges remain low. In the household sector, consumer confidence has also rebounded, although it remains low by historical standards. Given recent developments in the conflict, sentiment may weaken a little when the next ANZ business and consumer surveys are released just ahead of the RBNZ meeting.

Housing market: Housing market conditions have remained soft. Sales have fallen 5% since May, the average number of days to sell remains elevated and prices have edged down slightly. The RBNZ had already assumed a modest decline in prices over 2026 and limited gains over 2027, and significant changes to those assumptions appear unlikely.

Inflation: Inflation indicators have been volatile, reflecting recent large swings in global oil prices. While oil prices have picked up again in recent weeks and are elevated, they remain lower than assumed in the May MPS. The broader inflation picture does not appear more concerning than the RBNZ had anticipated. Headline inflation was 4.1% in the year to June, slightly below the 4.2% rise in the May MPS forecasts (but higher than the RBNZ's updated 3.9% forecast at the July OCR review). Core inflation measures remained within the RBNZ's target band in the June quarter, and there was little sign of widespread spillover from high oil prices into other areas. Non-tradables inflation also eased to 3.4% in the June quarter, in line with expectations. But businesses' operating costs remain under pressure, with large numbers of firms continue to report rising costs and plans to increase prices.

Inflation expectations: Surveys of households, businesses and professional forecasters all recorded declines in inflation expectations in the September quarter. In most cases, expectations have returned to the levels seen before the oil price spike. That will be encouraging news for the RBNZ given the risk of a step higher following the recent rise in headline inflation and the continued firmness in oil prices.

Trade: Prices for New Zealand's commodity exports have remained firm, and merchandise export volumes are on track to grow by more than 2% this year. Services exports, particularly tourism, have also strengthened and are expected to grow by around 8% this year. Although oil prices remain elevated, the terms of trade are still likely to be around 4% higher than the RBNZ expected through the latter part of this year.

Financial conditions: Domestic financial conditions have mostly tightened since the RBNZ's May meeting. Notably, one- and two-year fixed mortgage rates have risen by around 35bps since May, compounding the increase seen since the start of the year. As a result, the easing in borrowing costs seen over recent years as households rolled off earlier high mortgage rates has now come to a close. The NZ dollar TWI is currently sitting at 67.2, above the 66.6 level assumed in the RBNZ's May projections.

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Westpac Banking Corporation.

19 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, keeping crude oil on its recent upward trajectory.

Concerns about rising debt used to fund AI expansion sent semiconductor stocks lower, dragging major equity benchmarks down.

Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
AUD/CNH	4.7815	-0.2%
AUD/SGD	0.9059	-0.2%
AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up $0.5 to $91.4 and $84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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19 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, keeping crude oil on its recent upward trajectory.

Concerns about rising debt used to fund AI expansion sent semiconductor stocks lower, dragging major equity benchmarks down.

Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
AUD/CNH	4.7815	-0.2%
AUD/SGD	0.9059	-0.2%
AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up $0.5 to $91.4 and $84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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Cliff Notes: a cautious turn

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke
Head of International Economics, Westpac

10:43 August 14 2026

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Key insights from the week that was.

This week the RBA took centre stage in Australia deciding unanimously to keep the cash rate unchanged for a second consecutive meeting. As detailed by Chief Economist Luci Ellis, the accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, *if upside risks to inflation materialise*. This is more specific and narrower language than in May, when it stated that the cash rate would be increased “if needed”.

Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it anticipated. These outcomes have strengthened their assessment that monetary policy is somewhat restrictive, likely sufficiently so to bring inflation below the target range mid-point by 2028. Inflation risks are still regarded as skewed to the upside, however, and the labour market tight. So, we expect the RBA’s communications to maintain a hawkish tone while they remain on hold through late-2026 and early-2027. By August 2027 though, we believe a period of below-trend growth, an unemployment rate above the full employment level and a trend deceleration in annual inflation will be enough to warrant the first of three 25bp rate cuts, to be followed up in November 2027 and February 2028. Until this relief is given, the consumer is likely to remain cautious on spending and housing, topics assessed in depth in our latest Red Book.

On the data front, the July NAB business survey captured businesses’ reaction to the breakdown of the US/Iran Memorandum of Understanding and the brief spike in Brent oil above USD100 per barrel. Business conditions continued to show resilience (+1pt to 4), but confidence remained sub-par, registering a second-consecutive reading of -6 – 11pts below its long-run average and within the bottom 10% of outcomes recorded since 1997. Input cost increases are materially affecting business profitability, particularly in sectors where weak and/or fragile demand is limiting the ability of firms to pass costs on. The survey’s gauge of profitability remained only modestly below its long-run average, and the employment index in line. That said, forward orders showed a 3pt decline in July to -3 highlights a need to monitor risks closely.

Offshore, US inflation data was in focus. Again, it proved benign, headline prices rising 0.1% and 0.2% excluding food and energy. While annual headline inflation is still a multiple of the FOMC’s 2.0%yr target (3.4%yr in July), core inflation has moderated all the way back to 2.5%yr. And recent monthly outcomes suggest further progress is in train. Since December 2025, core goods prices have essentially been flat. Core services inflation has meanwhile averaged 0.3% per month over the period with an outsized contribution from shelter. Indeed, 6-month annualised inflation excluding food, energy and shelter was just 1.6% in July compared to 2.4% for the traditional ex food and energy measure. There is little the FOMC can do about shelter inflation in the short to medium-term, and inflation across the rest of the basket is clearly not suggesting a hike(s) is necessary now or in coming months.

Last Friday’s nonfarm payrolls report also argues in favour of restraint by the FOMC, the employment gauge surprising to the downside in July (-23k) following a -103k revision to the prior two months. Household survey employment was weaker still, with 87k fewer people reporting they are employed in the month, continuing the trend of the past 6 months (an average monthly decline of 153k). Declining participation continues to mask the deterioration in household employment. Had participation not fallen 1.2ppts since January 2025, the unemployment rate would be through 5.0%. Average hourly earnings are increasingly reflecting labour market slack, rising just 0.1% in the month, slowing the annual pace to 3.2%.

All told, we expect the US economy to continue to show resilience, growing around trend in 2026–28. But the household sector is set to remain under considerable pressure, with excess capacity likely to build in the labour market and the ability to unlock housing wealth constrained by borrowing costs and uncertainty. A complete update of our global analysis and forecasts will be made available in our August Market Outlook today on Westpac IQ.

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Australian Business Conditions and Confidence, July

#businessconditions #confidence #aud #australia

By Luka Belobrajdic
Economist, Westpac

14:26 August 11 2026

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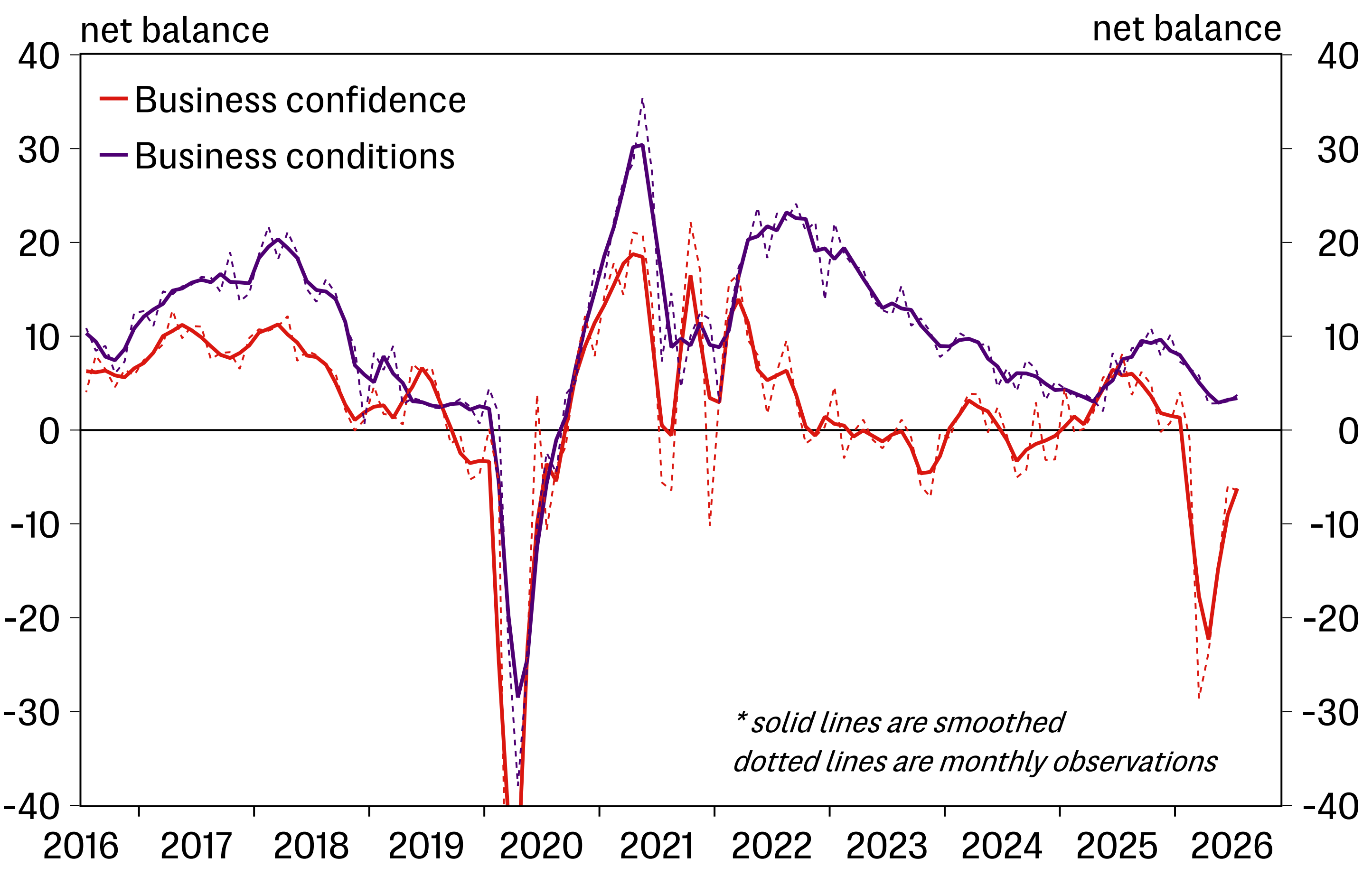
A re-escalation of the conflict in the Middle East sees the recovery in business confidence stall, while business conditions improve modestly. Confidence unchanged at -6 / Conditions +1pt to 4.

The July NAB Business Survey was in the field from 21 to 31 July, capturing businesses' reaction to the breakdown in the US-Iran Memorandum of Understanding and the brief spike in Brent oil prices above US$100/bbl. Business confidence held steady at -6 in July, following a downwardly revised reading of -6 in June (-1pt), marking the first month since the onset of the conflict in which confidence failed to improve. While well above the low recorded in March, and showing a marked improvement on a three-month average basis, confidence remains deeply pessimistic, sitting 11pts below its long-run average and remaining in the bottom 10% of outcomes recorded since 1997.

The stagnation in business confidence likely partly reflects a reacceleration in cost pressures during the month. Final product price growth nearly doubled, rising 0.6ppt to 1.1%qtr, suggesting firms are seeking to rebuild margins following several months of subdued profitability outcomes. While still below the 1.8%qtr peak recorded at the height of the Middle East conflict in April, the result marks a renewed move above its long-run average (+0.6ppt). Meanwhile, input costs keep ramping up. Labour cost growth accelerated, rising 0.5ppt to 2.2%qtr, the strongest outcome since May 2024 and 1.0ppt above its long-run average. The increase likely reflects the full impact of the 4.75% increase in award wages. And purchase cost growth increased 0.2ppt to 2.3%qtr, remaining 1.1ppt above its long-run average.

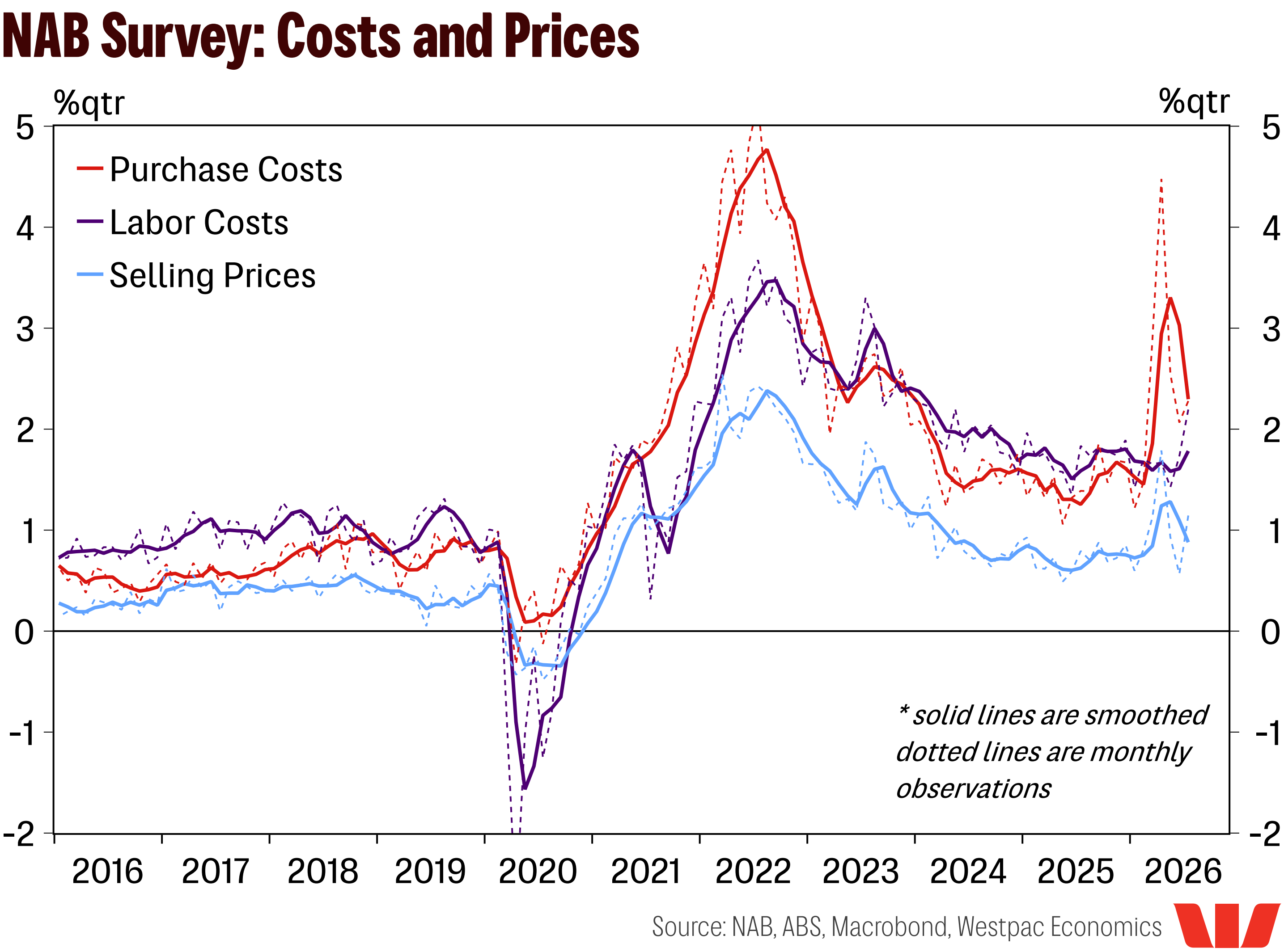
Business conditions and confidence



Source: NAB, Macrobond, Westpac Economics

The headline business conditions index improved modestly in July, rising 1pt to 4 after holding at 3 over the previous three months. Despite the improvement, conditions remain 3pts below their long-run average and well below the peak of 11 recorded in October last year. On balance, the result suggests businesses remain resilient despite the prevailing uncertainty.

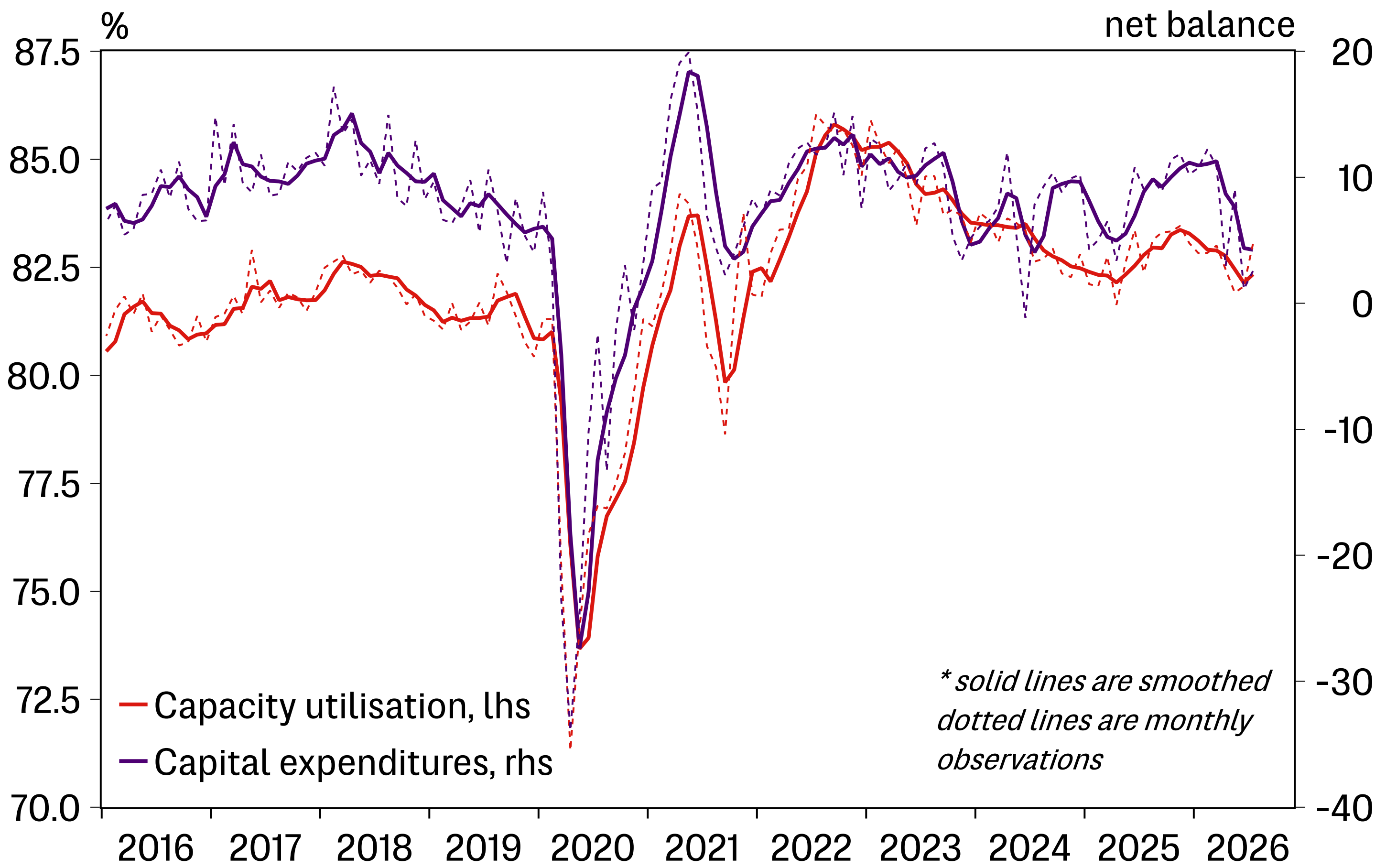
Across the major sub-components, employment drove the majority of improvement in conditions, rising 2pts to 3 and more than reversing last month's decline. The result leaves the sub-index 1pt above its long-run average. The lift in hiring intentions comes despite a sharp increase in labour costs, suggesting firms are, for now, looking through the higher wage costs. Profitability rose 1pt to 1 after holding around 0 since March, indicating some improvement in margins, though the sub-index remains 4pts below its long-run average. Trading conditions were unchanged at 8 for a fourth consecutive month, consistent with household spending data showing spending has remained resilient despite ongoing headwinds facing consumers.



Capacity utilisation rose sharply in July, increasing 1.0ppt to 83.0%, a level last seen around the turn of the year. The result sits 1.6ppt above its long-run average and marks the first increase in three-month average terms since November last year. While too late to influence today's RBA decision, the data points to an upside risk to the underlying inflationary pressures in the economy. Capital expenditure also rose modestly, increasing 1pt (rounded) to 3. However, this did little to unwind the sharp decline recorded in June, leaving the sub-index 4pts below its long-run average.

Among other indicators, forward orders fell 3pts to -3, highlighting fragility of demand amid ongoing uncertainty. Inventories declined by 1pt to 4, consistent with recently softer forward orders.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics

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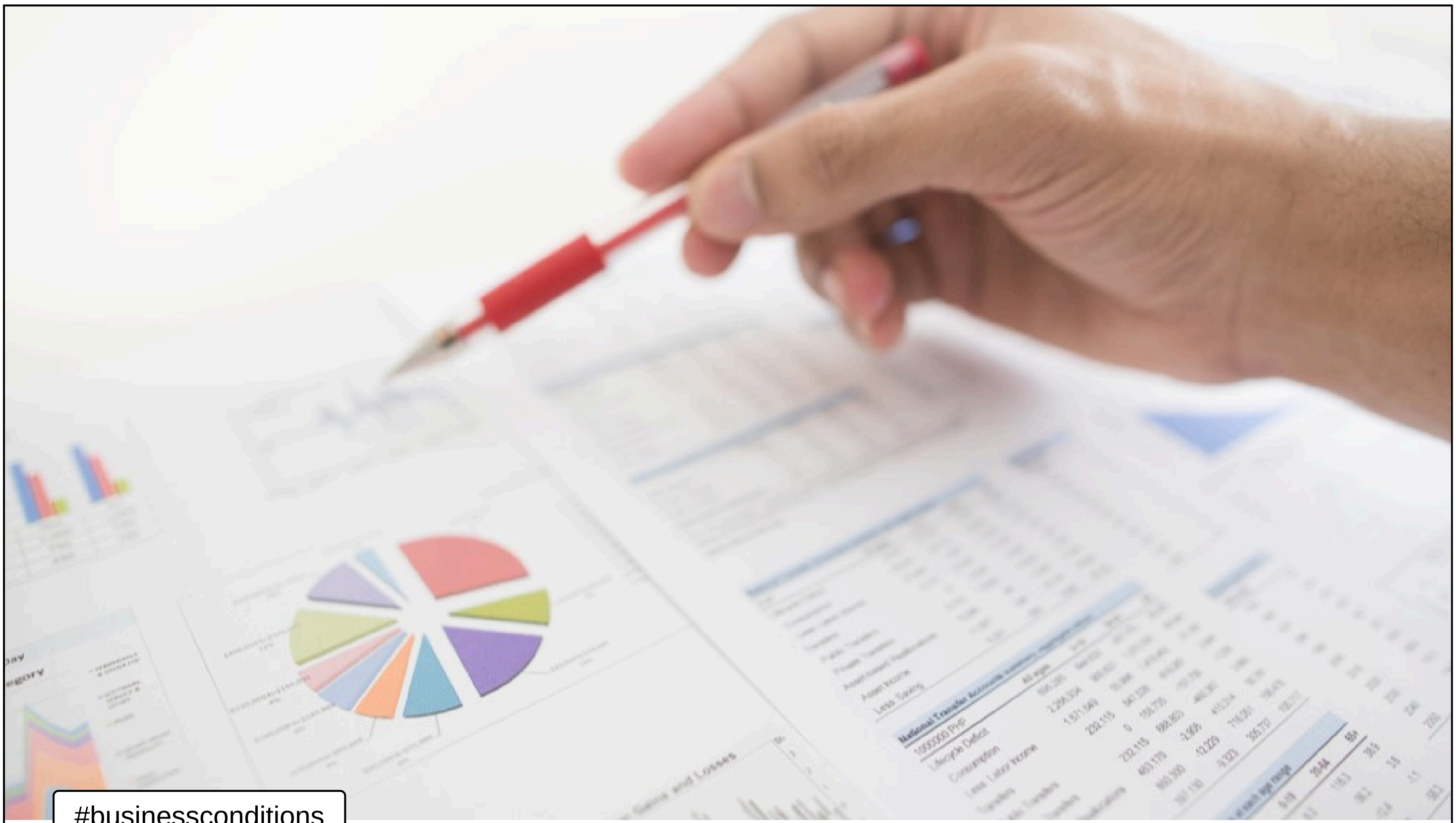

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Data centres and renewables plug the widening public infrastructure gap

#australia #construction

By Pat Bustamante
Senior Economist, Westpac

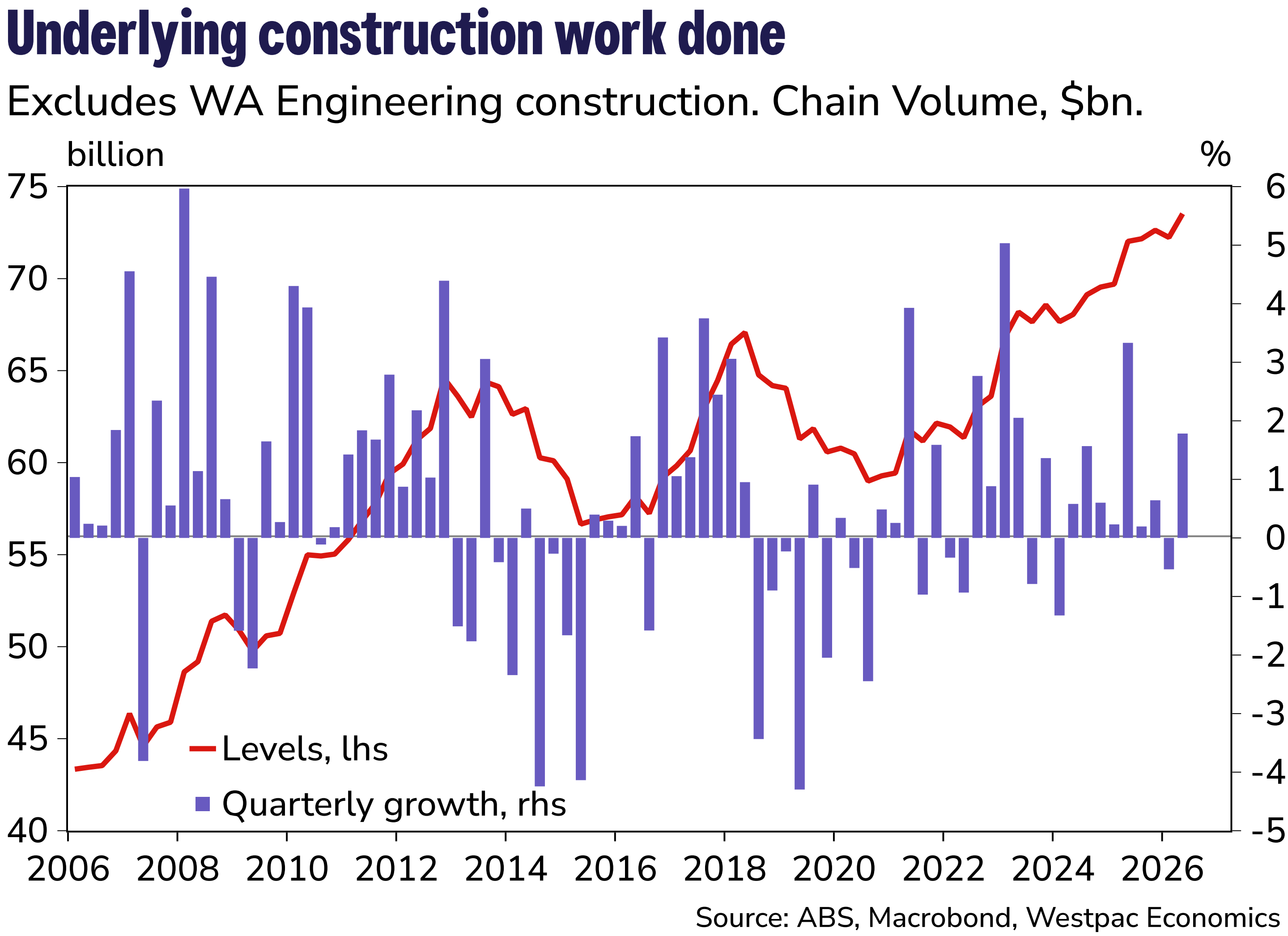
14:51 August 26 2026

Share

Construction activity declined 2.1%qtr in Q2 2026. Outside of mining-related volatility, activity remained solid, driven by residential building (+1.7%qtr), private non-residential building (+2.3%qtr, includes data centres) and electricity related construction (+7.5%qtr in nominal terms).

Construction activity declined 2.1%qtr in Q2 2026 to be 2.7% higher in year-ended terms. This was not far off the 1.0%qtr fall expected by Westpac Economics, but considerably weaker than the +0.4% growth expected by the market consensus. The weakness in the aggregate number was driven by the unwind of a mining related spike (related to the installation of a floating production unit for the Scarborough Energy Project in WA), which in turn was driven by the ABS' practice in this measure of recognising installed imported structures on a cash basis.

Outside of this, activity was solid, rising an estimated 1.6%qtr on the back of a 1.7%.qtr pickup in residential building and a 2.3%qtr lift in private non-residential building activity. Residential building is up 9.1% in year-ended terms – the strongest outcome in a decade (June quarter 2016). Supporting this residential activity, we saw the number of dwellings under construction lift 10.7% over the year to Q1, with the recent run of approvals suggesting smaller gains going forward. Public infrastructure work declined for a third consecutive quarter, down 2.1%qtr and 3.9%yr, consistent with our view that the infrastructure pipeline has passed its peak.



What does this mean for the National Accounts?

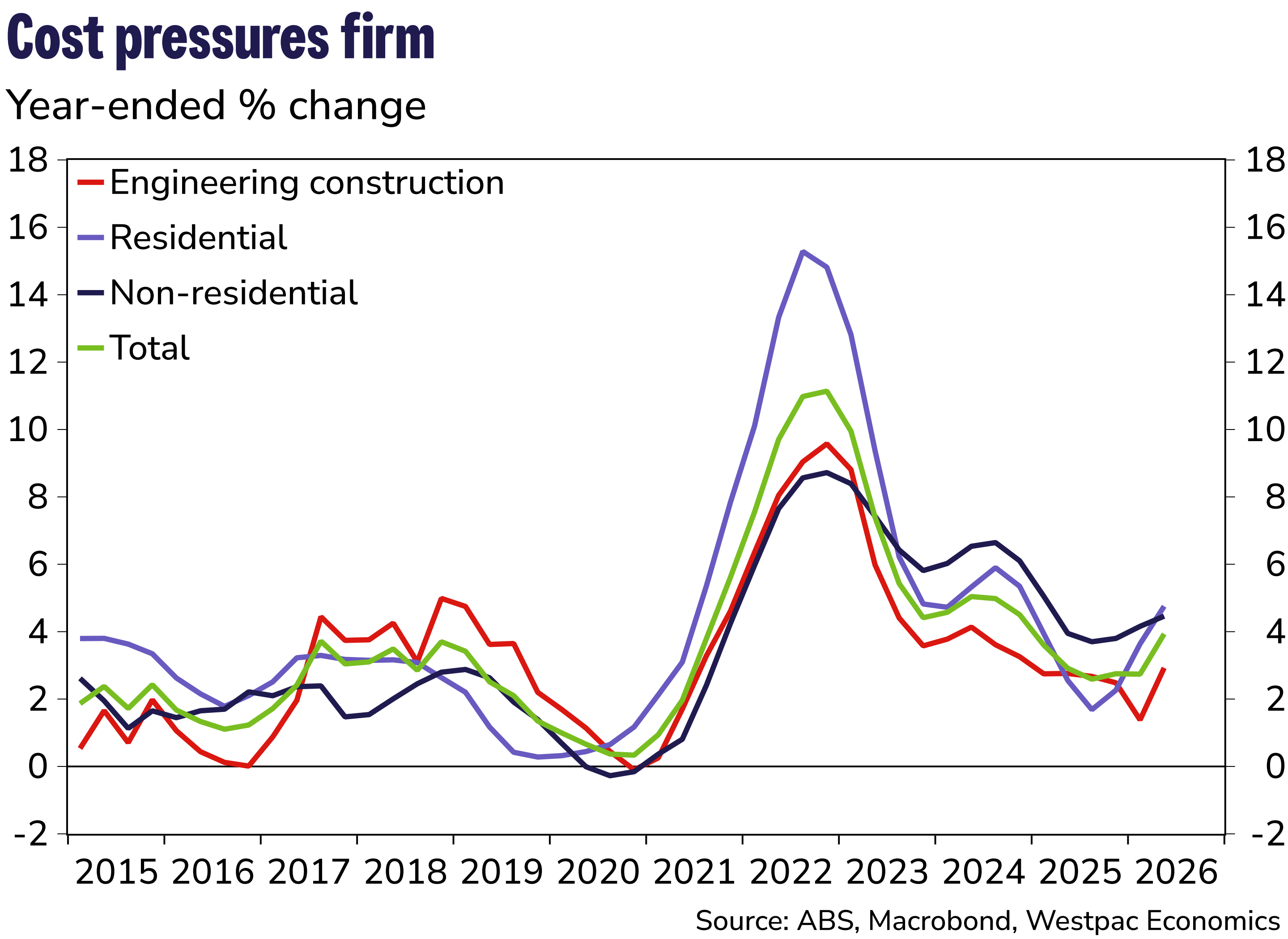
Today's release is the first of a set of partials which will feed into next week's June quarter 2026 National Accounts. While the headline numbers suggest downside risks for the Q2 GDP outcome, this is not the case - if anything, today's numbers alone point to stronger growth in residential and new buildings activity over the quarter.

Today's construction work data is recorded on a value of work done/installed basis. This means capital expenditure on machinery, equipment and structures is allocated to the quarter in which the capital items are ready for use. However, the National Accounts are measured on an accrual basis using 'progress payments', meaning the value of the investment is recorded incrementally as the project progresses not just when the project is complete.

What about inflationary pressures and the impact of the data centre boom?

The spike in construction costs during the pandemic was largely synchronised across dwellings, non-residential buildings and engineering construction. Today, however, cost pressures differ as demand profiles across these segments diverge.

While rebounding in the quarter, possibly on the back of the large pick-up in new electricity generation and distribution work, engineering construction costs have been moderating as major public infrastructure programs wind down. In contrast, dwelling construction costs are accelerating as activity in this segment picks up. Non-residential building costs appear to be going sideways, rather than significantly reaccelerating, with strength in private investment, including data centres, offset by a slowdown in public projects.



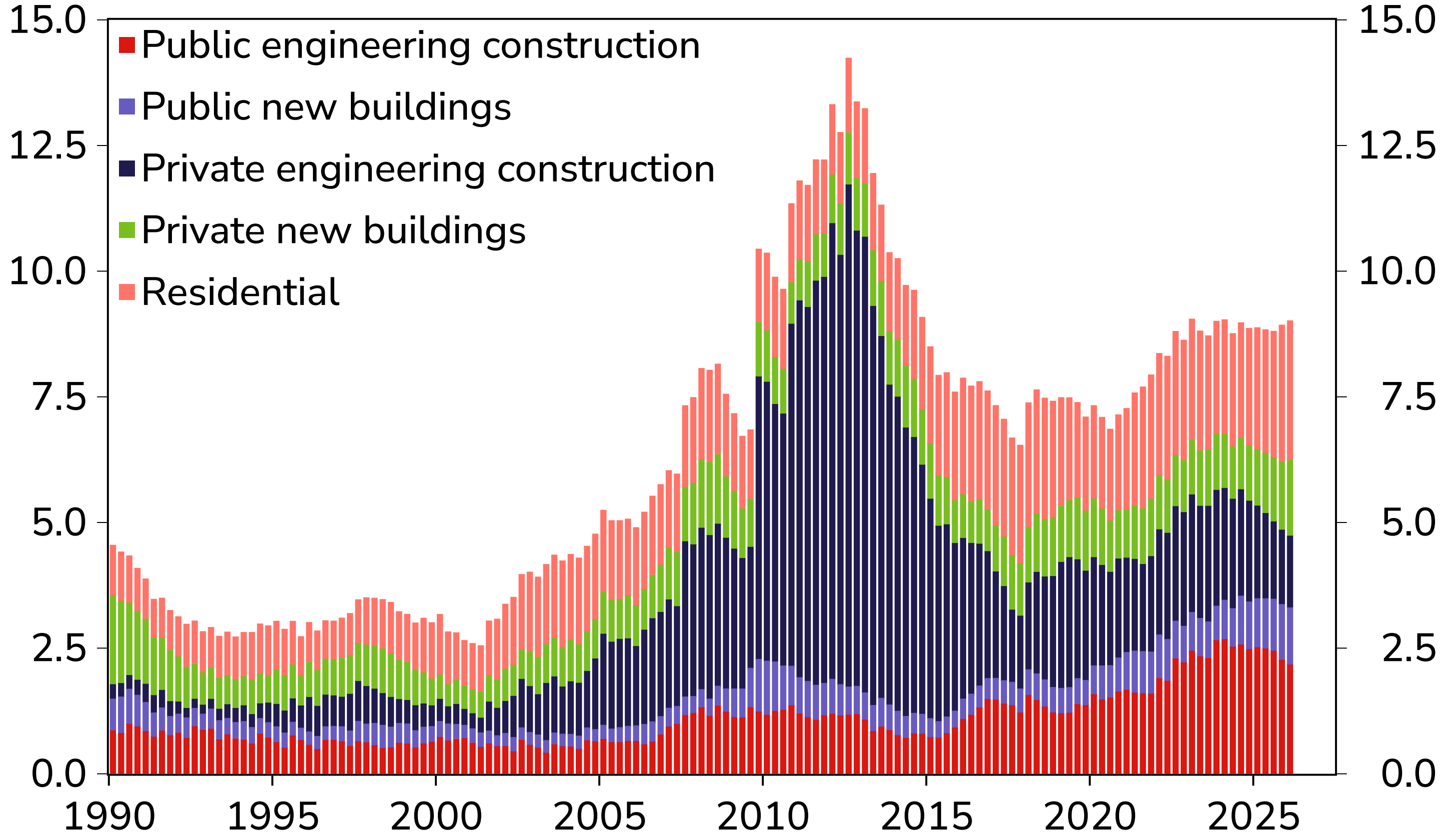
At 3.9%yr, aggregate construction cost growth is toward the upper end of what was recorded over 2018-19. This raises questions about whether the strong demand in pockets like data centre investment are contributing to broader inflationary pressures. For now, there is limited evidence of this

happening. However, construction cost deflators continue to firm in year-ended terms, suggesting that the disinflation anticipated by the RBA may take longer to materialise.

How this plays out going forward depends on how much the roll-off in public construction activity makes room for the pickup in private non-residential building work, particularly data centres, and private engineering construction associated with the renewable energy transition. Data on work yet to be done suggest this handover will keep the pipeline balanced: despite the substantial increase in approved data centre projects, the value of total construction work yet to be done has remained broadly stable as a share of nominal GDP.

Construction pipeline remains stable

Work yet to be done, % of GDP



Source: ABS, Macrobond, Westpac Economics

The detail

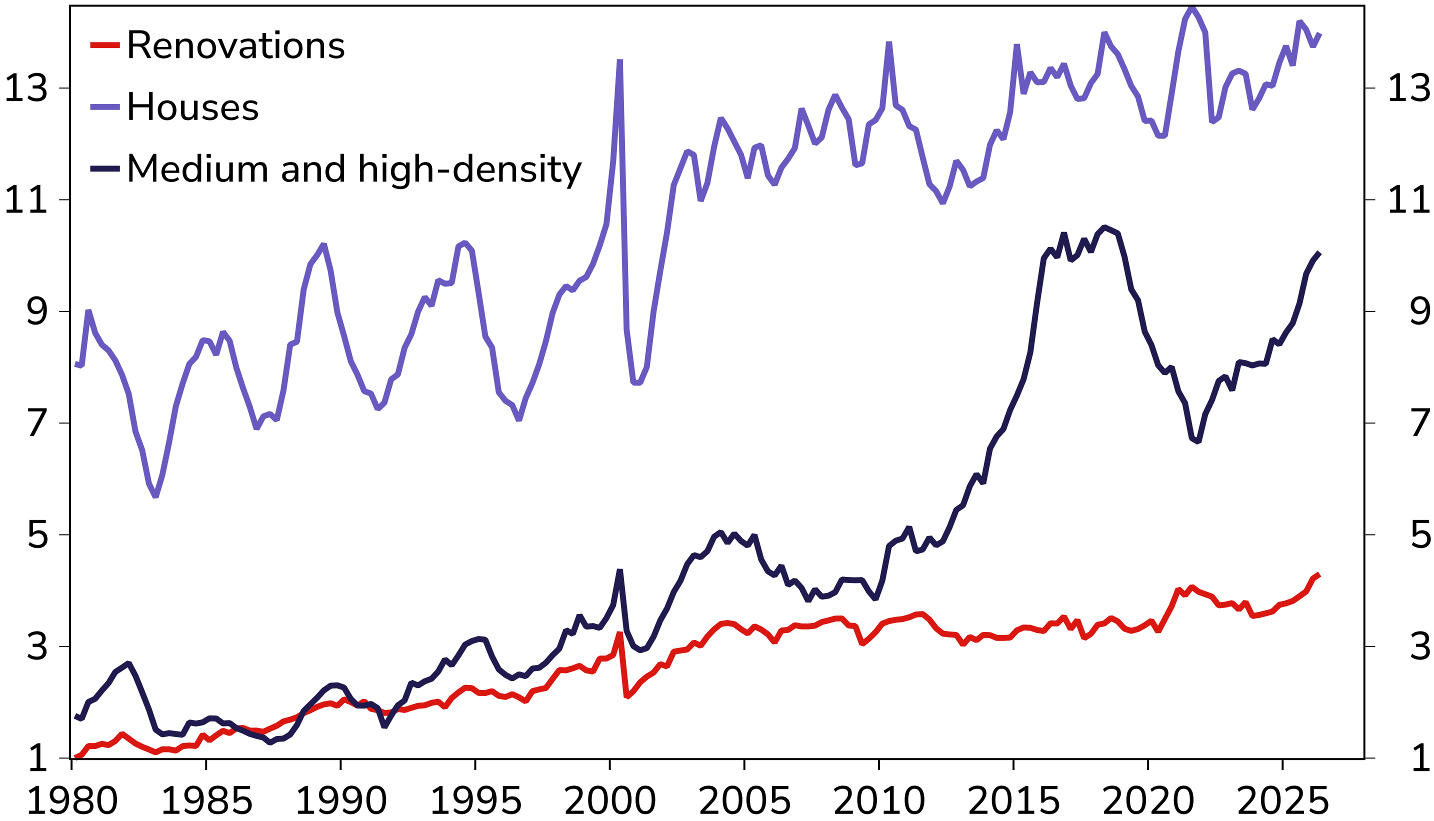
Residential construction outperformed, recording a 1.7%qtr increase in Q2, following an upwardly revised 0.6%qtr rise in Q1 2026 (previously estimated as a 0.6% fall). Growth was driven by a 1.7%qtr increase in new residential construction and a 2.0%qtr lift in renovation activity.

In year-ended terms, residential construction is up 9.1%yr, the strongest growth rate since the June quarter of 2016. This suggests the sector is responding to growing demand by expanding output, despite a prolonged period of elevated interest rates and ongoing cost pressures.

The strength in residential construction suggests supply is finally responding to Australia's housing shortage. However, with approvals easing and demand expected to moderate, the current pace of expansion may prove difficult to sustain, particularly given rising construction costs.

Residential construction continues to lift

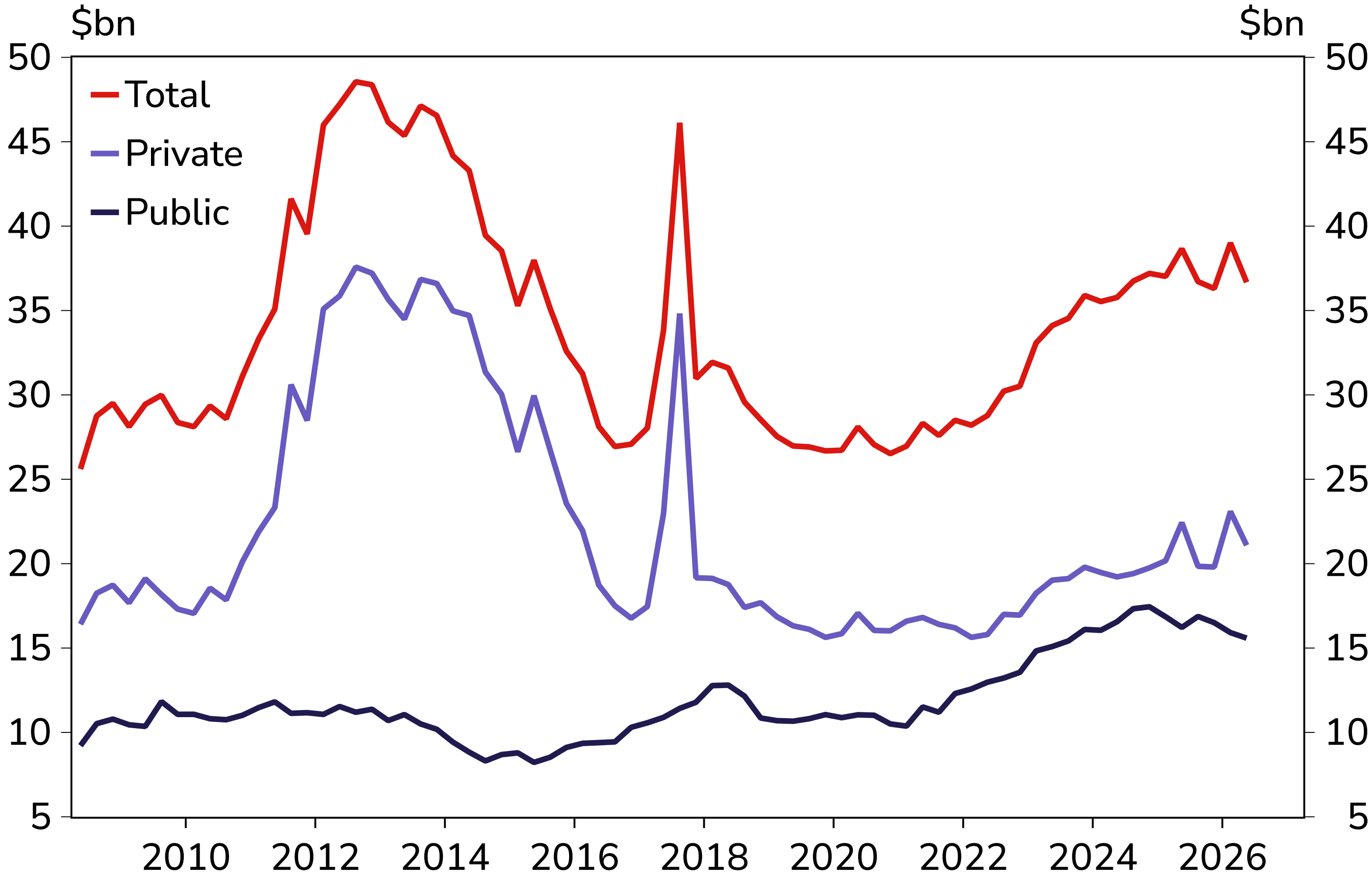
Chain Volume, $bn



Source: ABS, Macrobond, Westpac Economics

Engineering construction (EC) declined 6.0%qtr in Q2 2026, leaving activity 5.1% lower in year-ended terms. However, this weakness largely reflected the unwind of a mining-related spike. Excluding this volatility, engineering construction grew a healthy 2.0%qtr in the quarter.

Public infrastructure continues to slide



Source: ABS, Macrobond, Westpac Economics

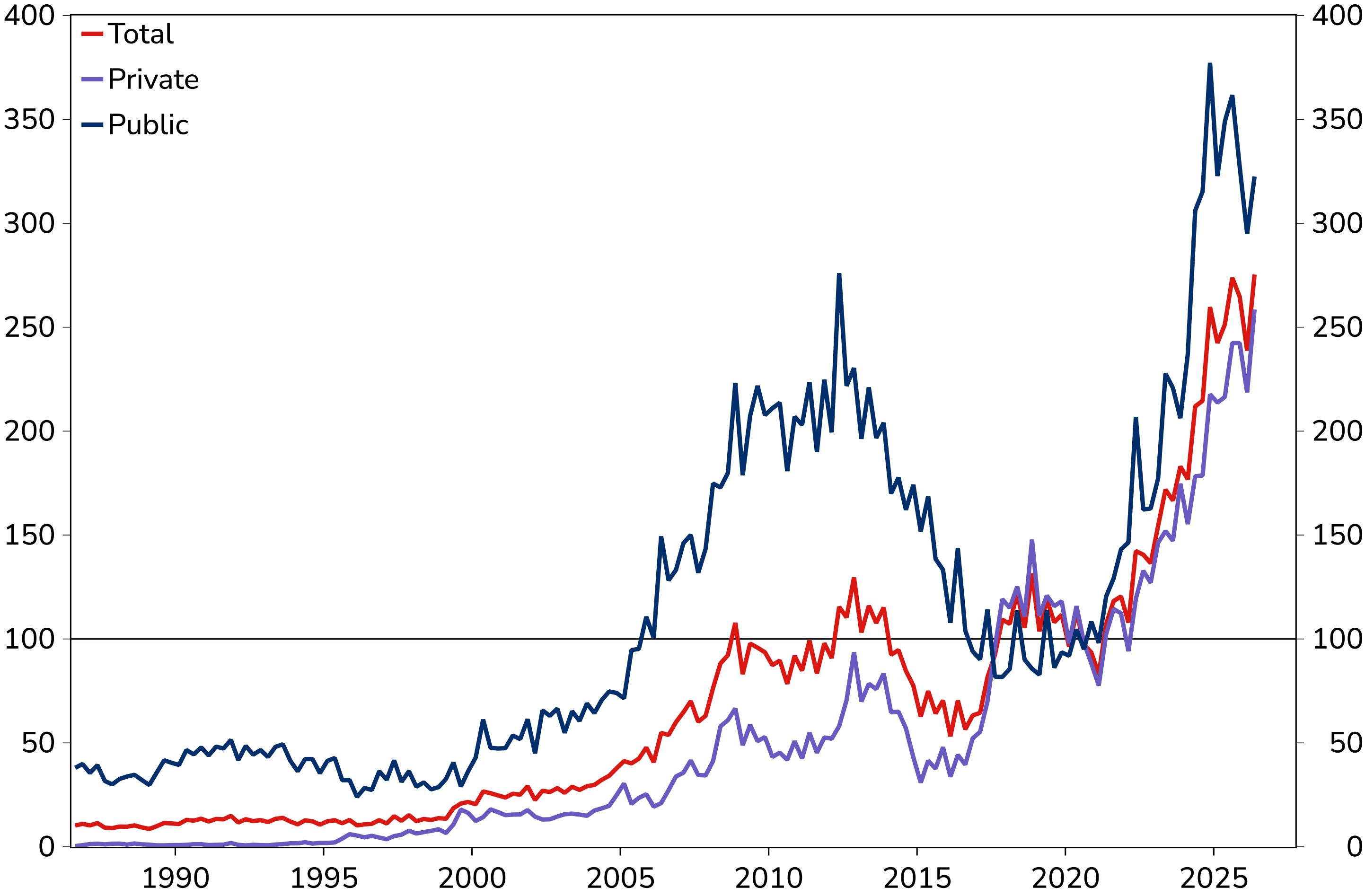
As foreshadowed in this month's *Market Outlook*, the public infrastructure pipeline appears to have passed its peak as major transport projects across Australia's east coast, particularly in NSW and Victoria, are completed. Consistent with this, public engineering work fell a further 2.1%qtr in Q2 and is now almost 4.0% lower than a year ago.

In contrast, private engineering construction remains robust. After adjusting for mining-related volatility, private EC work grew almost 6.0%qtr in Q2. The value of private work on electricity generation and distribution, which is largely driven by renewable energy projects such as wind and solar developments, increased by around 7.5qtr.

Looking ahead, the private engineering construction pipeline remains supported by structural investment themes, particularly the energy transition and the nationwide roll-out of data centres. However, constraints around utility provision, grid connections and supporting infrastructure pose a key risk to the timely delivery of these projects.

Electricity generation work done, by sector

Index 2020 = 100

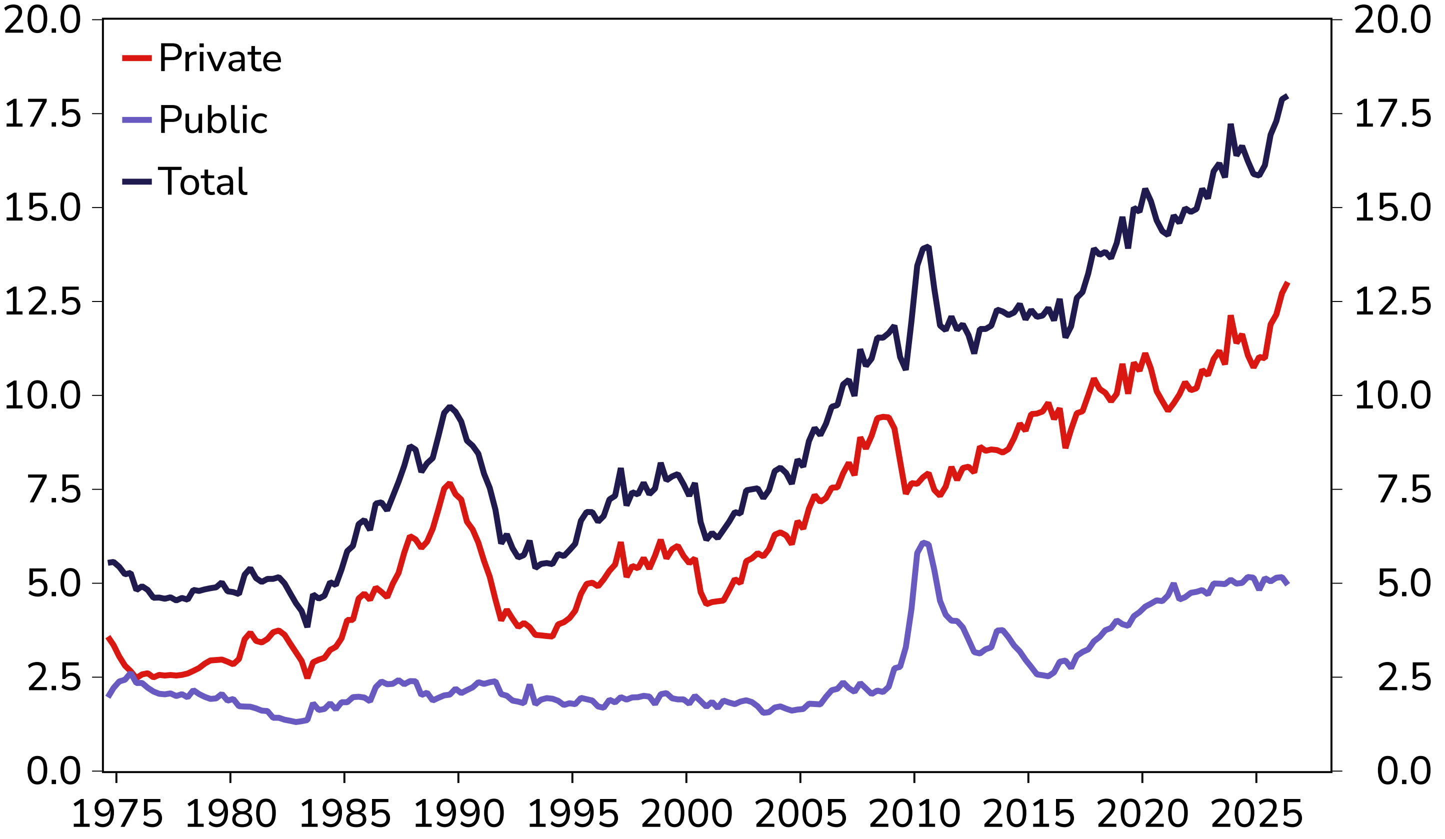


Source: ABS, Macrobond, Westpac Economics

Non-residential building construction increased 0.5%qtr in Q2 2026, leaving activity 11.5% higher over the year. Strength in the private sector, up 2.3%qtr and 18.4%yr, more than offset a 3.9%qtr decline in public activity. Private non-residential construction is now running at its strongest level since early 2008, supported by the need to accommodate a larger population and the ongoing data centre build-out.

Non-Residential Construction Work Done

Chain Volume, $bn

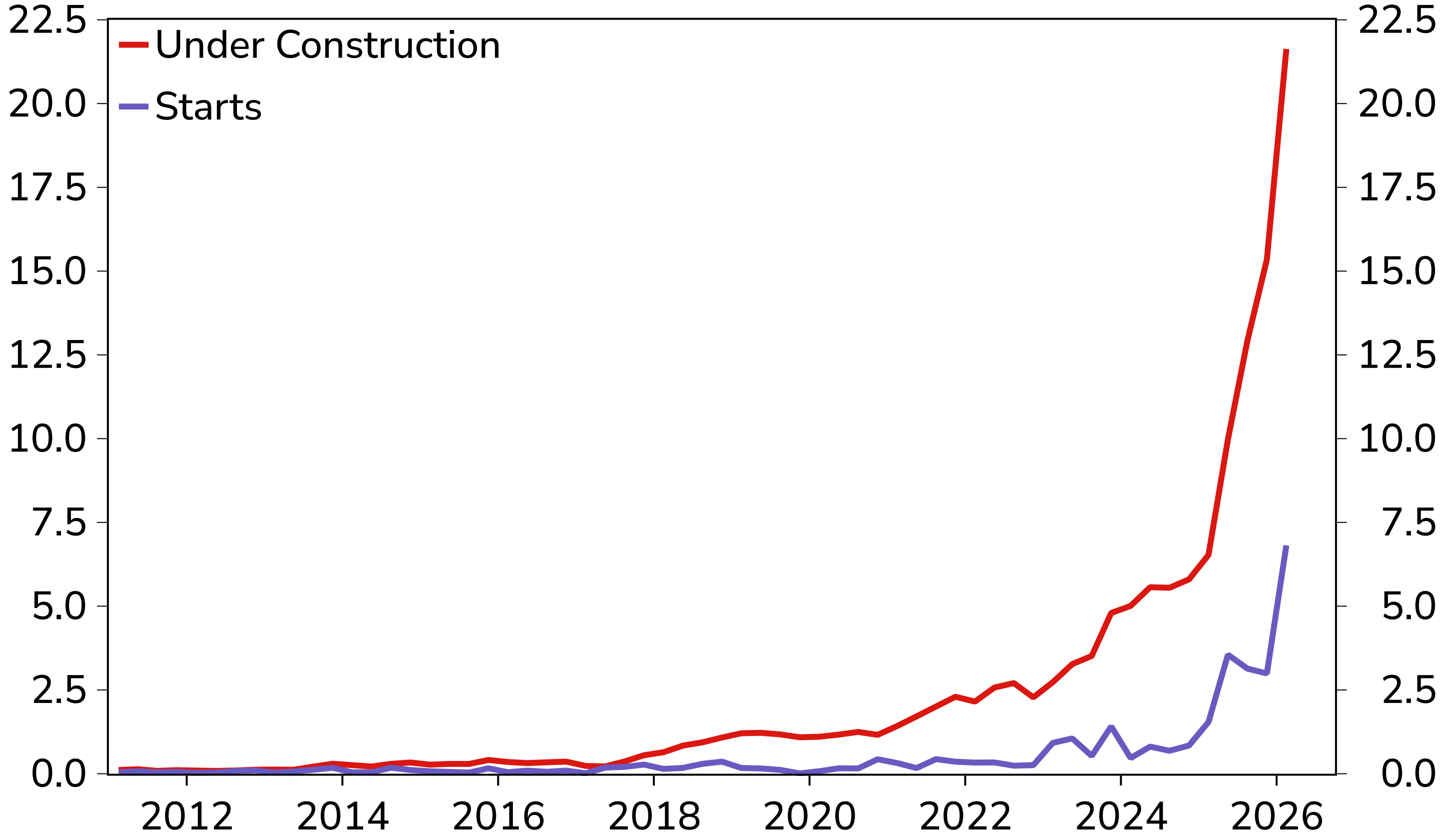


Source: ABS, Macrobond, Westpac Economics

Although the contribution from individual projects is difficult to quantify, the surge in data centre commencements during the second half of 2025 is likely supporting activity and should remain an important source of construction demand over the second half of this year and beyond.

Other commercial buildings continues to grow

Values, $bn.



Source: ABS, Macrobond, Westpac Economics

State detail

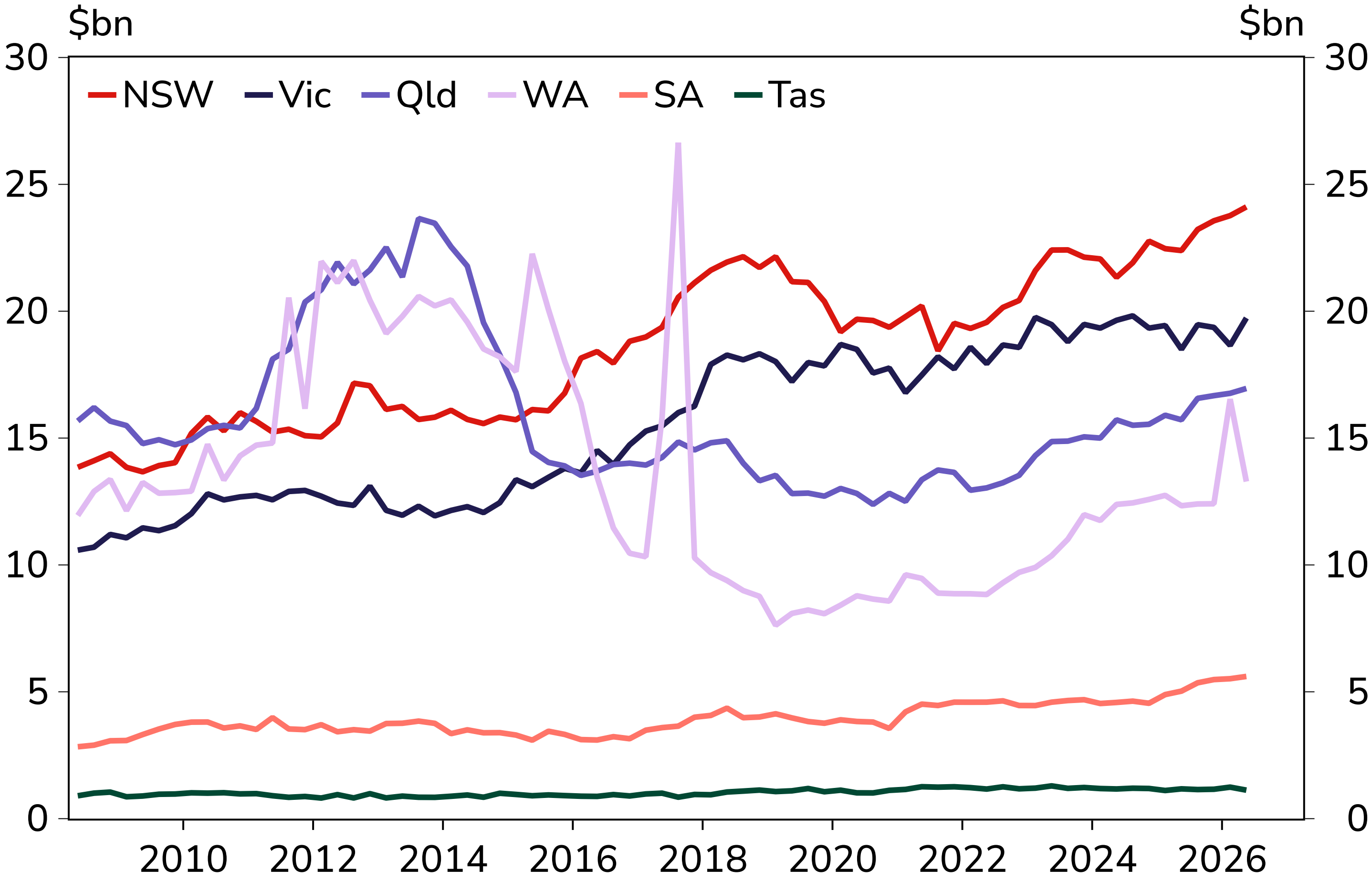
State outcomes were heavily influenced by the unwind of the mining-related spike in WA, masking generally resilient conditions elsewhere. Excluding WA, construction activity was resilient, with Victoria leading gains and the eastern states continuing to record gains.

Victoria (+5.8%qtr) recorded the strongest increase, while SA (+1.6%qtr), NSW (+1.4%qtr), Queensland (+1.1%qtr) and the Northern Territory (+2.7%qtr) also posted gains.

In contrast, WA (-19.7%qtr) recorded a sharp decline as mining-related activity unwound following the surge associated with the Scarborough Energy Project in the March quarter. Tasmania (-9.5%qtr) and the ACT (-8.8%qtr) also recorded sizeable contractions.

Despite the quarterly volatility, construction activity remained higher than a year ago in most states, with SA (+11.5%yr) recording the strongest annual growth, followed by Queensland (+7.9%yr), NSW (+7.7%yr), WA (+7.7%yr) and Victoria (+6.7%yr). The exceptions were Tasmania (-4.3%yr), the ACT (-15.7%yr) and the Northern Territory (-81.3%yr), where activity remained well below year-earlier levels.

Vic, SA and NSW outperform



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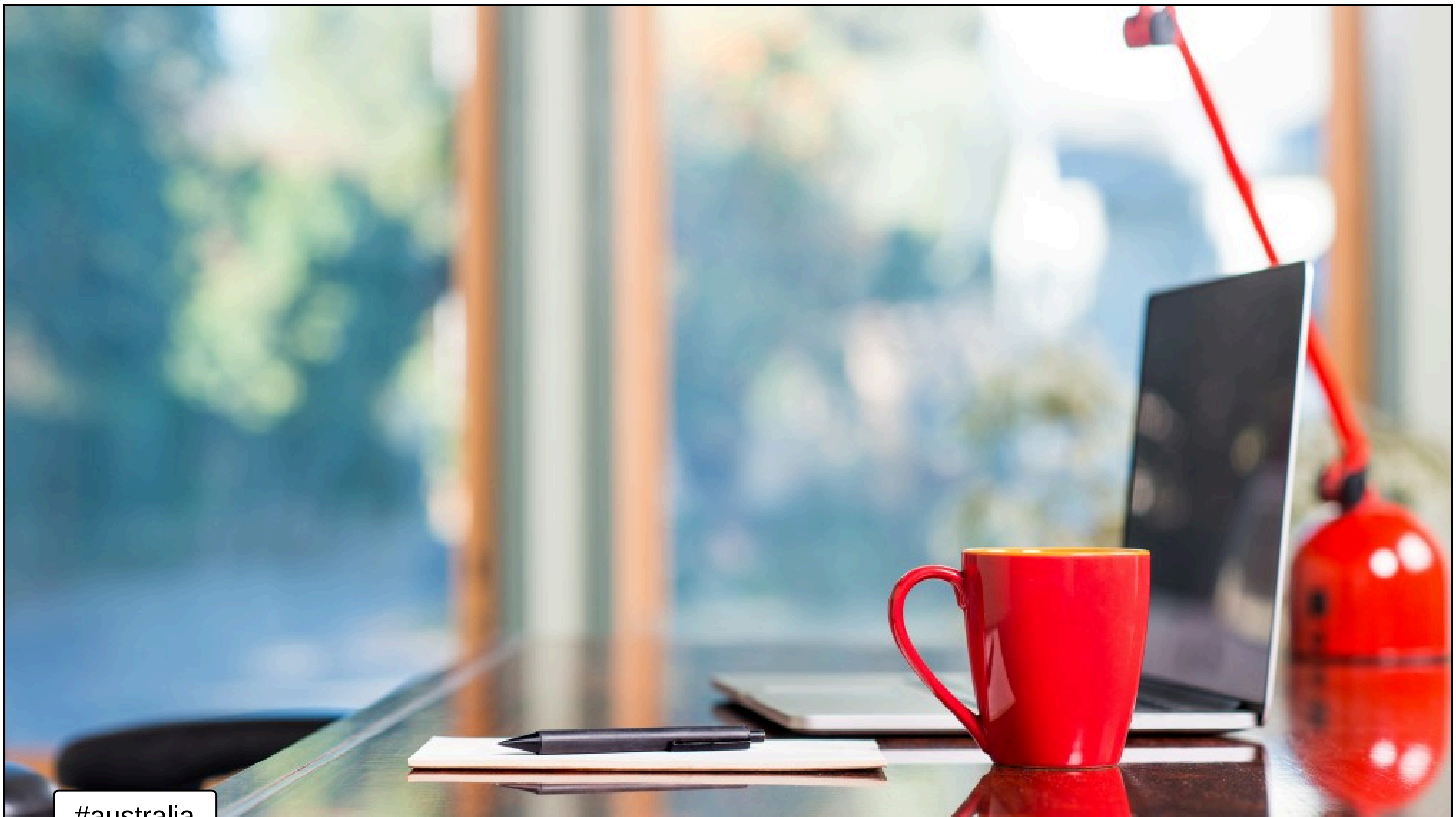

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Concerns about rising debt used to fund AI expansion sent semiconductor stocks lower, dragging major equity benchmarks down.

Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
AUD/CNH	4.7815	-0.2%
AUD/SGD	0.9059	-0.2%
AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up \$0.5 to \$91.4 and \$84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
AUD/CNH	4.7815	-0.2%
AUD/SGD	0.9059	-0.2%
AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up $0.5 to $91.4 and $84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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Cliff Notes: the foundations of confidence

#cliffnotes #rba #australia #inflation #us #fomc #ecb #aud #usd

By Elliot Clarke
Head of International Economics, Westpac

11:02 August 21 2026

Share

Key insights from the week that was.

After an upside surprise in June, the labour force survey disappointed in July, reporting a loss of 15.8k jobs. This leaves average monthly employment growth year-to-date at 20.8k, above 2025's 12.6k but below the pace needed to keep the unemployment rate unchanged. It is therefore unsurprising that the unemployment rate continued to edge higher, reaching 4.5% in July, 0.4ppts above its level at the turn of the year. Hours worked also disappointed, declining 0.6% in the month to be up just 0.2% over the year. Slowly but surely, slack is forming in the labour market, weighing on activity growth but supporting the disinflationary trend. That trend must be sustained if the next move in the cash rate is to be down as Westpac forecasts, albeit not until next August.

The Q2 wage price index was also favourable for the inflation outlook. As expected, the headline wage price index rose 0.8% in Q2 to be 3.2% higher over the year. Private sector wage growth is now at its weakest since Q4 2021 (0.7%qtr, 3.1%yr). Public sector wage momentum provided an offset in Q2, gaining 0.9%qtr and 3.4%yr. The detail suggests that a larger share of public sector jobs received a wage increase than a year ago (25% versus 20%), but that the average hourly wage increase for those jobs was smaller (3.1% versus 3.5%).

Australian consumers are becoming more aware of labour market risks, with the Westpac-MI consumer sentiment survey unemployment index rising above its long-run average in August. But the cumulative impact of cost-of-living pressures remains the major impediment to confidence: both “family finances versus a year ago” and “family finances next 12 months” stayed below average in August, despite mortgage holders receiving a welcome reprieve from the RBA. And improved comfort around family finances is only the first step towards a recovery in consumer demand. “Time to buy a major household item” remains 24% below average despite a monthly bounce, while “time to buy a dwelling” is similarly 20% below average. We expect a lengthy period of weakness in Australia’s economy, with a return to trend activity growth not foreseen until late-2028.

Offshore, attention centred on FOMC messaging. Overall, the July minutes showed a high degree of caution over the inflation outlook, reflecting uncertainty around the Middle East conflict and US economic policy, as well as an expectation that the US economy would maintain its recent momentum. “Most participants anticipated that inflation would step down over the rest of the year as the effects of tariffs and earlier energy price increases wane, but many participants noted the possibility that inflation might be more persistently elevated.” In that context, “many participants assessed that policy tightening would likely be necessary if inflation did not decline”.

Since the meeting, data has been constructive for the disinflationary trend, and the majority of FOMC members who have spoken have recognised the importance of the Committee’s credibility on inflation but also that they have time on their side in assessing conditions.

Turning to Asia, the July China data round underwhelmed yet again. The return from trade is incredible, but retail sales growth has essentially stalled, 0.6%yr, and the decline in fixed asset investment is increasingly broad based, -6.7%ytd. House price declines continue to weigh on household wealth, and domestic equity holdings do not have the scale or breadth to compensate.

Authorities may be keeping quiet on stimulus ahead of the next meeting between President Xi and President Trump, and as the US looks to expand its economic actions against Iran – potentially via third parties with ties to Iran, such as China. But, very clearly, there is an urgent need for stimulus if the 2026 and 2027 growth targets are to be achieved.

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19 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, keeping crude oil on its recent upward trajectory.

Concerns about rising debt used to fund AI expansion sent semiconductor stocks lower, dragging major equity benchmarks down.

Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
AUD/CNH	4.7815	-0.2%
AUD/SGD	0.9059	-0.2%
AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up $0.5 to $91.4 and $84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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18 August 2026

JULY CPI PREVIEW

Weaker pass-though has lead to a downward revision

Key points

- We expect the July CPI to rise 0.84%mth, taking the annual pace down a peg to 3.3%yr from 3.8%yr in June. On a seasonally adjusted basis, we expect a 0.4%mth increase.
- The July Trimmed Mean is forecast to lift 0.38%mth, on par with the average for the previous three months, taking the annual pace down a touch to 3.5%yr while the six-month annualised pace lifts a touch to 3.7%%yr.
- Holiday travel and auto fuel are the key drivers of the stronger monthly outcome, reflecting higher holiday travel cost and the partial unwinding of the temporary fuel excise cuts. The main offset is a drop in the DMO electricity prices.
- For the September quarter we revised our CPI estimate down to 1.1%qtr from 1.3%qtr while the Trimmed Mean is now expected to print 0.8%qtr vs. 1.0%qtr. The softer than expected momentum in the June quarter is expected to continue into the September quarter.

Breakdown: Q3 Quarterly & July Monthly CPI

	Q3	May	Jun	Jul
	Qtr fcs	Mth	Mth	Mth fcs
Item	% qtr	% mth	% mth	% mth
Food	**1.0**	**0.6**	**0.4**	**0.4**
of which, bread & cereals	0.9	0.2	0.7	0.0
of which, meat & seafood	0.7	1.1	–0.3	0.2
of which, dairy & related prod.	1.8	2.3	1.3	-0.1
of which, fruit & vegetables	0.8	1.1	1.0	0.6
of which, food products nec	0.4	–0.9	–0.2	0.6
of which, non–alcohol bev.	0.5	1.5	1.0	-0.3
Alcohol & tobacco	**1.0**	**0.9**	**–0.5**	**0.4**
of which, alcohol	0.7	1.3	–0.7	0.4
of which, tobacco	1.6	–0.1	0.0	0.3
Clothing & footwear	**0.4**	**–2.9**	**–1.0**	**2.0**
of which, garments	–0.6	–3.3	–3.1	2.6
Housing	**1.3**	**0.5**	**0.5**	**0.3**
of which, rents	0.9	0.4	0.3	0.3
of which, house purchases	1.3	0.9	0.4	0.4
of which, electricity	–3.6	0.9	0.7	–4.4
of which, gas & other fuels	6.8	–3.1	2.7	5.5
H/hold contents & services	**1.0**	**0.3**	**–4.2**	**1.4**
Health	**–0.3**	**–0.5**	**–0.1**	**0.1**
Transportation	**1.6**	**–3.9**	**–2.7**	**1.9**
of which, auto fuel	2.0	–11.9	–10.9	5.1
Communication	**1.2**	**0.2**	**–0.7**	**1.5**
Recreation	**1.8**	**–3.1**	**1.8**	**1.9**
of which, holiday travel	3.0	–6.9	4.6	3.2
Education	**0.1**	**0.0**	**0.0**	**0.0**
Financial & insurance services	**0.8**	**0.2**	**0.5**	**0.2**
CPI: All groups	**1.1**	**–0.7**	**–0.1**	**0.8**
CPI: Trimmed mean	**0.8**	**0.4**	**0.3**	**0.4**

Sources: ABS, Westpac Banking Corporation

All eyes on market services

Justin Smirk, Senior Economist
Neha Sharma, Economist

July set to be a touch stronger

The June Monthly CPI was much better than feared. The headline CPI printed –0.1%mth, below both our forecast and market expectations of 0.4%mth and 0.2%mth, respectively. The TM rose 0.3%mth and 3.6%yr, also slightly softer than our forecast of 0.4%mth and 3.7%yr. The main driver of the decline was automotive fuel, which fell 10.9%mth subtracting 0.4ppts from the CPI. Other sources of weakness were clothing & footwear, household furnishings, and audio, visual and computing equipment which saw the usual end-of-financial-year discounting.

The expected increase in holiday travel was there. However, the 4.6%mth increase reflected a seasonal increase in international travel of 8.0%mth but the 1.3% increase in domestic travel was much softer than the usual seasonal rise so the offset was not as large as it could have been. Also helping to offset the softer data flow was a 12.7%mth rise in urban transport fares as the cost of living public transport fare reductions were unwound.

In the second half of July there was an increase in Middle East tensions with the breakdown in the US-Iran MoU. Brent briefly spiked above US$100/bbl and the July business survey had product price growth nearly doubling to 1.1%qtr, suggesting firms are rebuilding margins. While this is still below the April 1.8%qtr peak, recorded at the height of the Middle East conflict, it's still well above the long-run average (+0.6ppt). Meanwhile, input costs continue to ramp up. Labour cost growth accelerated, rising 0.5ppt to 2.2%qtr, the strongest outcome since May 2024 and 1.0ppt above its long-run average, most likely reflecting the impact of the 4.75% increase in award/minimum wages. Overall, businesses' purchase cost growth increased 0.2ppt to 2.3%qtr holding 1.1ppt above its long-run average.

Meanwhile, consumer's year-ahead inflation expectations moderated in May and June on the back of the fuel excise being cut by 32c/l, halving the excise. From July 1, 16 cents in excise was added back with the final 16 cents added back on August 3. This boost to retail prices, plus the firming in Brent around US$80/bbl, has seen retail auto fuel prices rise through July and these gains continued into August. As such, we would expect to see consumer inflationary expectation to lift again through these months.

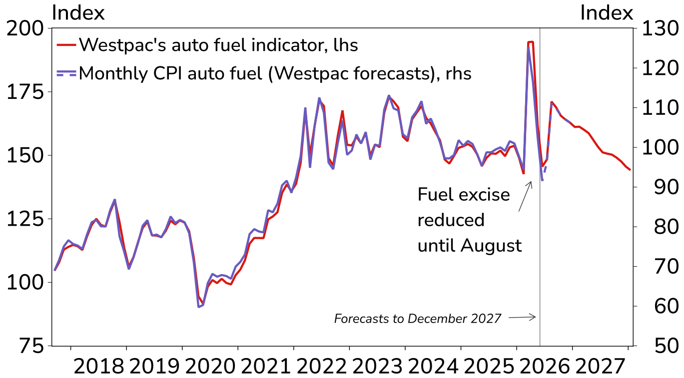
Breakdown Monthly CPI Indicator

Item	Apr Mth %yr	May Mth %yr	Jun Mth %yr	Jul Mth fcs %yr
Food	**2.8**	**3.3**	**3.3**	**3.3**
of which, bread & cereals	0.7	1.5	2.3	1.7
of which, meat & seafood	5.0	5.4	5.4	5.5
of which, dairy prod.	2.3	5.2	6.3	6.3
of which, fruit & vegetables	0.1	2.0	0.7	0.6
of which, food products	2.2	1.6	1.3	1.5
of which, non–alcohol bev.	2.0	1.5	2.0	1.7
Alcohol & tobacco	**4.3**	**4.7**	**4.4**	**3.7**
of which, alcohol	1.6	2.2	1.6	1.1
of which, tobacco	10.7	10.9	11.2	10.1
Clothing & footwear	**5.9**	**5.0**	**4.9**	**4.4**
of which, garments	3.1	2.1	1.5	1.4
Housing	**6.3**	**6.5**	**6.8**	**4.9**
of which, rents	3.5	3.6	3.6	3.5
of which, house purchases	4.7	5.6	5.8	5.7
of which, electricity	22.5	21.1	22.4	3.1
of which, gas & other fuels	5.7	4.9	7.2	6.4
H/hold contents & services	**1.2**	**1.7**	**1.6**	**1.0**
Health	**4.0**	**3.8**	**3.7**	**3.7**
Transportation	**6.6**	**3.3**	**0.1**	**0.9**
of which, auto fuel	18.6	7.7	-7.3	–2.6
Communication	**1.5**	**2.1**	**2.2**	**2.2**
Recreation	**2.5**	**2.4**	**3.3**	**2.7**
of which, holiday travel	1.7	1.9	4.0	2.5
Education	**4.8**	**4.8**	**4.8**	**4.8**
Financial & insurance	**3.0**	**3.2**	**3.2**	**3.2**
CPI: All groups	**4.2**	**4.0**	**3.8**	**3.3**
CPI: Trimmed mean	**3.4**	**3.6**	**3.6**	**3.5**

Sources: ABS, Westpac Banking Corporation

CPI Auto fuel prices

Compared to the average pump price for unleaded and diesel



Source: ABS, Macrobond, Westpac Economics

Rising fuel prices boost July but core modest

We expect the July monthly CPI to rise 0.8%mth with the annual pace easing back to 3.3%yr from 3.8%yr while our seasonally adjusted estimate gains 0.4%mth/3.2%yr. We estimate the monthly TM inflation to also rise 0.4%mth, taking the annual pace to 3.5%yr from 3.6%yr in June. Market services excluding volatiles and holiday travel is expected to rise 0.5%mth and 3.7%yr, largely reflecting the minimum wage decision coming into effect from 1 July.

The largest contributors to the monthly print are transport (0.21ppt) due to a solid gain in auto fuel (0.17ppt) while recreation lifts (0.25ppt) with solid gains in holiday travel & accommodation (0.22ppt) to which the seasonal gains in household furnishing & equipment (0.11ppt) are added into the mix. For July we don't see any significant offsetting negatives.

Key details for July

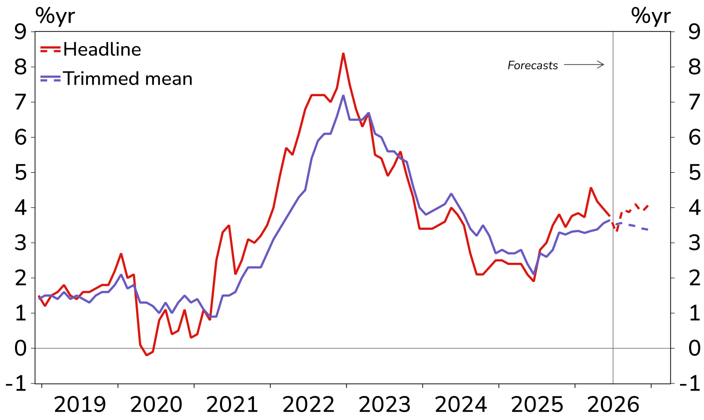
Food & non-alcoholic beverages are expected to rise 0.4%mth and 3.3%yr, largely due to a 0.5%mth rise in meals out & takeaway – at 4.2%yr this is the highest in the monthly series' history. As noted in our Market Outlook, the impact of El Niño on commodity prices is uneven, but key areas of exposure for Australia is in wheat and livestock which is expected to place upward pressure on meat, dairy, and bread & cereal prices. We are also monitoring the spread of bird flu. To date, there have been no detections in commercial poultry.

Housing is expected to rise 0.3%mth in July, taking annual inflation to 4.9%yr. Key components include:

- Rents are expected to rise 0.3%mth and 3.5%yr. We continue to expect a modest firming in CPI rents into year-end given the divergence with asking rents, although this appears to have peaked and is gradually easing.
- New dwelling prices are expected to rise 0.4%mth and 5.7%yr. While we believe annual new dwelling inflation has peaked, the pace of moderation is likely to be gradual, easing to around 5.5%yr in Q3 and 5.1%yr by year-end as capacity constraints persist across the sector. Tradelink price change notifications continue to slow but remain above average, while residential construction producer prices are running at their highest pace since late-2023.
- Electricity prices are expected to fall 4.4%mth, leaving annual inflation at 3.1%yr. The decline reflects new annual market offers coming into effect, with final determinations indicating lower prices across most states. Annual price changes for water & sewerage and gas are expected to offset this decline.

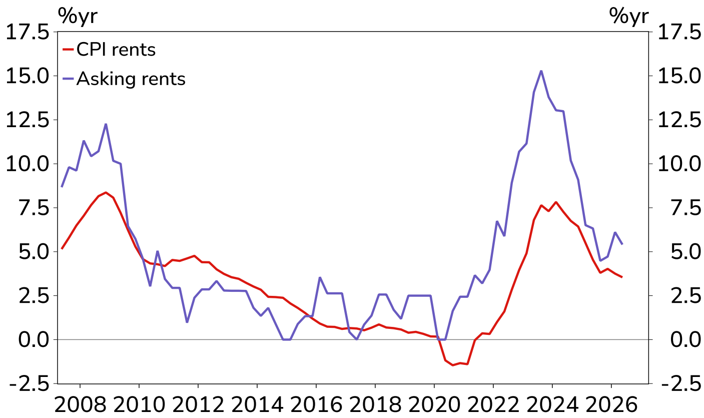
Transport is expected to rise 2.1%mth and 1.1%yr owing to a 5.1%mth rise in automotive fuel. Insurance is expected to rise 0.8%mth following an unexpected 0.3%mth decline in June. Meanwhile, holiday travel is expected to rise 3.2%mth/2.5%yr.

Monthly: Headline and Trimmed Mean Inflation



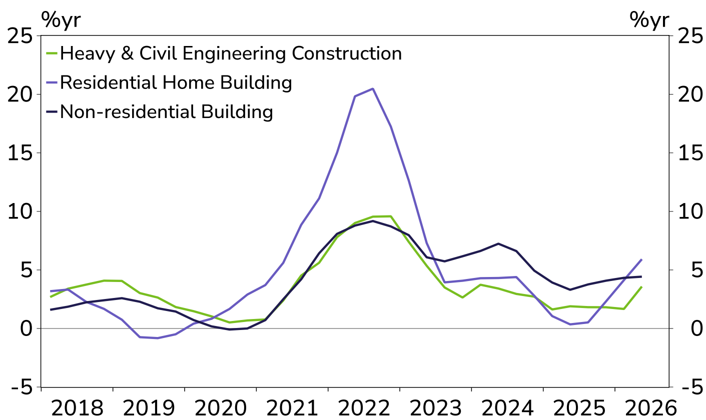
Source: ABS, Macrobond, Westpac Economics

CPI Rents and Asking Rents Growth



Source: ABS, Cotality Australia, Macrobond, Westpac Economics

Australian Construction Inflation



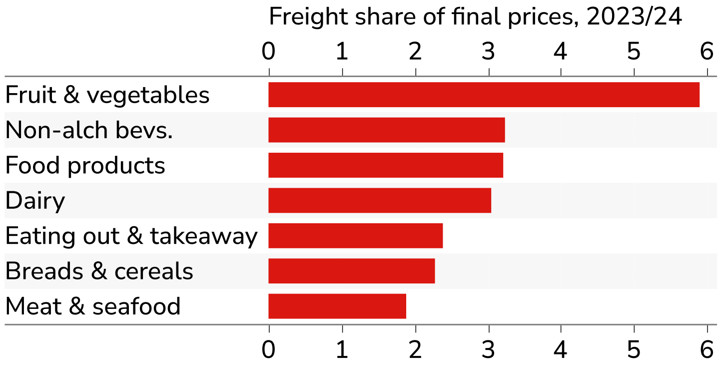
Source: BLS, ABS, Macrobond, Westpac Economics

Risks to July baseline

We view risks around the July outcome as broadly balanced. On the upside, domestic market services inflation may prove stronger than we have accounted for given the larger-than-expected minimum wage decision amid existing pressures for businesses including from retail rents and utilities. While the pass-through from higher energy costs appears to have tapered off, some freight-related cost pressures may still be working their way through supply chains. Food is the most freight-intensive category, with fruit & vegetables among the most exposed.

This is offset by softer demand conditions and declining house prices limiting developers' pricing power, resulting in softer-than-expected new dwellings inflation. Additionally, insurance remains a key uncertainty and could undershoot again despite the continued strength in repair and maintenance costs.

Food and Beverages Freight Exposure

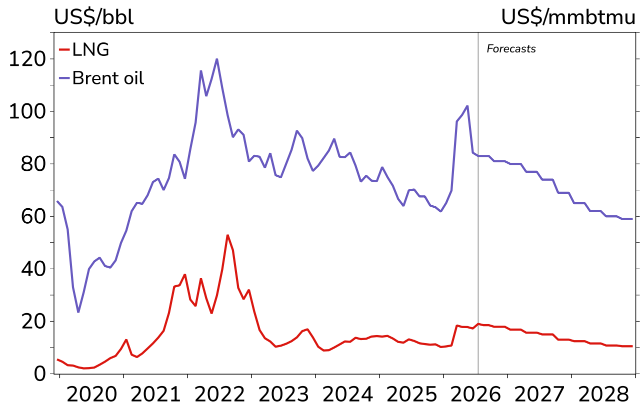


Source: ABS, Macrobond, Westpac Economics

Oil prices to ease through H2 2026

We have revised down our oil price forecasts for late-2026 and early-2027, reflecting our view that the peak in oil prices has already occurred. We lowered the profile by US$3/bbl in both Q4 2026 and Q1 2027, which now average US$81/bbl and US$80/bbl respectively. While we continue to expect some strength through the second half of 2026, we now see less justification for a renewed rise above recent highs. This assessment is also consistent with recent reports suggesting the US administration is placing greater emphasis on economic sanctions and maritime pressure on Iran rather than direct military escalation, reducing the likelihood of a material re-tightening in global oil markets. The remainder of the profile is unchanged.

Oil and LNG forecasts



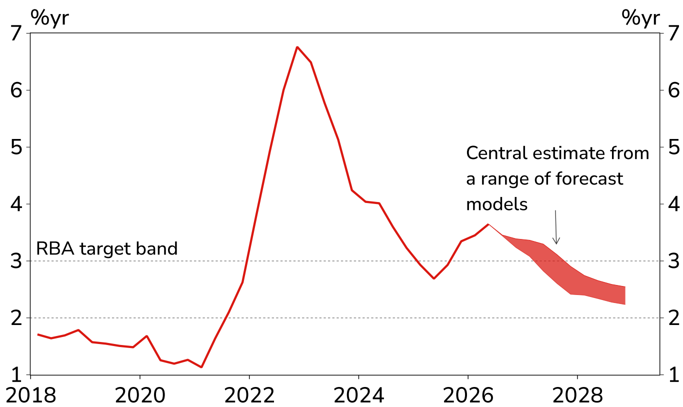
Source: Bloomberg, Macrobond, Westpac Economics

Model suggests a disinflationary trend to 2027

The chart on the right shows the central estimate from a range of modelling and forecasting approaches (including our bottom-up measure). These suggest that trimmed mean inflation will continue to moderate over the next few years, provided the broader economic outlook evolves broadly as expected. Under these conditions, all estimates have trimmed mean inflation within the RBA's target band by end-2027 and all but one see it moving below the mid-point of the target band by end-2028. For Q3 2026, the outcomes range between 3.4-3.5%yr, stretching out to 2.4-2.9%yr by end-2027 and 2.2-2.5%yr by end-28.

It is worth cautioning that these represent central outcomes only. Forecast uncertainty remains high, particularly over longer horizons, and the confidence bands around these estimates are wide. As such, there are plausible cases where disinflation could prove more rapid (e.g. more pronounced weakness in the labour market), or alternatively, underlying price pressures are more persistent (e.g. further supply shocks).

Trimmed Mean Inflation Paths



Source: ABS, Macrobond, Westpac Economics

Quarterly CPI profile has been revised down...

We released updated forecasts in our latest *Market Outlook* on August 14 (see here). This is a softer profile than what we expected back in July and broadly in line with the RBA's updated profile in the August SoMP.

Westpac estimates that the Q3 CPI will lift by 1.1%qtr taking the annual pace to 3.7%yr from 3.9%yr in Q2. This represents a 0.2ppt revision to our previous estimate of 1.3%qtr. With a Q4 estimate of 0.8%qtr for Q4, revised from 1.0%qtr, we now have a year end CPI inflation forecast of 3.9%yr, this is down from our previous estimate of 4.3%yr but still a touch stronger than the latest RBA estimate of 3.6%yr.

The seasonally adjusted CPI is estimated to increase 0.9% in Q3 and Q4 highlighting that some of the strength seen in Q3 is usual seasonality which is reversed in Q4.

Key to this softer profile is the revision to our Brent profile which is down by US$3/bbl in both Q4 2026 and Q1 2027 for an average of US$81/bbl and US$80/bbl respectively. Along with a reduction in refining margins auto fuel is set to be a meaningfully less inflationary influence than we first thought.

In Q3 the most significant contribution comes from housing at 0.28ppt but with the inflationary pressure from dwelling purchases not being a strong as expected, now 1.3%qtr in Q3 and 0.9%qtr in Q4, this explains part of our downward revisions to both headline and core inflation estimates. We are expecting housing inflationary pressure to continue to moderate into the first half of 2027.

Recreation will also provide a boost in Q3 (0.22ppt) with a stronger than usual seasonal rise in international travel & accommodation (7.5%qtr) as Australian travel costs catch up to price increases reported by OECD countries. However, there should be a partial seasonal reversal through the first half of 2027.

Food is also set to make a robust contribution (1.0%qtr, 0.17ppt) in Q3 and while this series can be somewhat volatile due to the peaks and troughs of fresh fruit & vegetable pricing, we will be watching this series more closely than usual as the larger than usual El Niño formation presents a significant upside risk here, most likely in 2027 but could start to appear in late-2026.

...while revisions to core inflation more marginal.

Westpac estimate a 0.8%qtr increase in the Q3 trimmed mean easing the annual pace by 0.1ppt to 3.5%yr. Our earlier estimate was for a 1.0% increase in Q3 which, with rounding, held the annual pace flat at 3.6%yr. For end-2026 we now estimate trimmed mean inflation to come in at a 3.3%yr pace, down from our earlier estimate of 3.5%yr and on par with the RBA's most recent estimate.

The six month annualised pace of core inflation has taken a step down from 3.9% at Q4 2025 to 3.6% at Q1 2026, 3.4% at Q2 and we estimate it to be at a 3.3%yr pace through the second half of the year before heading down through 3%yr around mid-2027.

The moderation in housing inflation is helping to lower core inflation but so too has the softer than expected inflation in market services. We now expect market services ex volatile to be around a 3.3%yr to 3.5%yr pace through the second half of 2026. Just how businesses responded to the recent increase in award/minimum wage rates of pay will be critical to this profile and we will know more as the September quarter data unfolds.

Quarterly forecast inflation profile

		Sep-26	Dec-26	Mar-27	Jun-27
CPI	Index	103.4	104.2	104.9	105.6
	(%qtr)	1.1	0.8	0.6	0.6
	(%yr)	3.7	3.9	3.1	3.2
Trimmed mean	(%qtr)	0.8	0.8	0.8	0.7
	(%yr)	3.5	3.3	3.2	3.1
	(6mth ann'd)	3.3	3.3	3.1	2.9

Source: ABS, Westpac Economics.

Monthly inflation profile

		Apr–26	May–26	Jun–26	Jul-26(f)	Aug-26(f)	Sep-26(f)	Oct-26(f)	Nov-26(f)	Dec-26(f)
CPI	Index	102.8	102.1	102.0	102.9	103.5	103.9	104.1	103.9	105.1
	(%mth)	0.4	-0.7	-0.1	0.8	0.6	0.4	0.2	-0.2	1.1
	(%yr)	4.2	4.0	3.8	3.3	4.0	3.9	4.1	3.9	4.1
Trimmed mean	(%mth)	0.3	0.4	0.3	0.4	0.3	0.2	0.3	0.2	0.2
	(%yr)	3.4	3.6	3.6	3.5	3.6	3.5	3.5	3.4	3.4
	(6mth ann'd)	3.2	3.5	3.5	3.7	3.9	3.8	3.7	3.3	3.2

Source: ABS, Westpac Economics.

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19 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, keeping crude oil on its recent upward trajectory.

Concerns about rising debt used to fund AI expansion sent semiconductor stocks lower, dragging major equity benchmarks down.

Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
AUD/CNH	4.7815	-0.2%
AUD/SGD	0.9059	-0.2%
AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up $0.5 to $91.4 and $84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
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AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up $0.5 to $91.4 and $84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

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04:00	FOMC July meeting minutes	-	-

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Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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19 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, keeping crude oil on its recent upward trajectory.

Concerns about rising debt used to fund AI expansion sent semiconductor stocks lower, dragging major equity benchmarks down.

Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
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The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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Buckle up for some short-term housing turbulence

#australia #luciellis #rba #housing

By Luci Ellis
Chief Economist Westpac Group, Westpac

12:33 August 07 2026

Share

The housing market might be entering a short-term 'air pocket' but greater turbulence does not imply a crash.

- Tight monetary policy plus tax changes add up to a powerful combination weighing on the housing market. Credit remains readily available, but demand is weak. The various indicators point to a weaker near-term outlook for prices than the base-case projections we published in late June.

- The RBA is expected to keep the cash rate on hold at its August meeting. This is an outworking of the better inflation outlook; the RBA was never likely to overreact to the fourth housing downturn in a decade. Targeting housing prices is not part of the central bank’s remit, and most of the softness will be seen as normal policy transmission.
- Looking beyond this year, a lower path for interest rates and earlier timing of subsequent rate cuts mean that any housing market downturn is likely to be relatively short-lived – an “air pocket”, not a crash.

Since the Federal Budget in May, alarmist predictions about the housing market consequences of the announced tax changes have become commonplace. Recent interest rate rises, together with these changes, are clearly weighing on housing turnover and prices, leaving both buyers and sellers more uncertain.

As the pandemic experience made clear, when fiscal and monetary policy work together, they make for a powerful combination. The current situation is an example: a tightening of tax policy affecting housing coinciding with tight monetary policy. Given housing is a notably interest-sensitive sector, the conditions are therefore in place for a weaker housing market. Importantly, though, this is not the same kind of policy shock as the prudential policy changes and Royal Commission response of the 2010s. Credit supply is not directly affected and remains readily available.

There are, however, signs that things are turning out a bit weaker than our projections, released in late June. Housing price growth has turned down across all cities, with outright declines for most in the latest month; while we expected prices to move lower, the momentum is running a little ahead of our projections.

How people interpret this weakness is an open question. In recent times, when prices have been expected to fall, consumers have seen this as meaning it is a less bad time to buy a home. This contrasts with the usual historical pattern when strong price growth was seen as heralding a good time to buy.

A slightly-less-bad view of affordability as prices decline is not currently translating to buyer interest, though. The uncertainty around the effects of the tax changes could be inducing some negativity, or at least some divergence of views across the household sector, especially between investors and prospective owner-occupiers. Timely industry data show home loan credit enquiries have declined to levels last seen in late 2022 and are falling at a monthly pace of around 4%. This is broadly consistent with our forecast for turnover to decline by around 20% this year.

Indicators of conditions in the physical market are also weaker. Auction clearance rates have fallen to previous cycle lows in Sydney and Melbourne. Turnover has declined sharply in most jurisdictions, and while new listings are also starting to move lower, they are falling more slowly than sales. As a result, stock on market is rising relative to the flow of sales and turning established housing into more of a “buyer’s market”. That said, the data also show notable divergences across cities, highlighting that local market conditions matter, and often differ materially.

While things seem a bit softer than we earlier projected, consider the starting point. In all major cities other than Melbourne, housing prices had run up considerably in recent years. A moderate decline would still leave prices notably higher than a few years ago. As the RBA has pointed out recently, the number of people in negative equity (home value below mortgage balance) is very low, and even a moderate decline in prices will not add much to this figure. While unemployment is forecast to drift up from here, this is mostly a story of job growth failing to keep pace with strong population growth and rising participation, not outright job losses. "Fire sales" by distressed borrowers are therefore unlikely to add downward pressure to housing prices while job prospects for mortgagors remain reasonable.

Meanwhile, the grandfathering of tax changes means that current owners of investment properties have little incentive to sell, while owner-occupiers are also likely to want to stand back and avoid catching the "falling knife". A period of low turnover is likely; this kind of thin market can result in prices being volatile, but it typically lacks the wave of distressed selling that is needed to induce large, self-reinforcing downward price spirals.

RBA will not take fright

The question then becomes how the RBA will respond. Will it see a softer housing market as simply the normal channel of policy transmission, or an additional shock with the potential for a more alarming over-correction? Some of the more dovish perspectives we have heard from customers tilt to the "over-correction" story, but in our view, the RBA was never likely to react strongly to the fourth housing downturn in a decade.

The RBA's mandate relates to inflation and full employment; housing prices are not a policy objective – and in any case, it is not obvious what such an objective would entail. Would a financial stability lens favour gently rising prices to avoid negative equity and loan distress? Or would an affordability lens favour declining prices? There are good reasons why Parliament has not charged the RBA with targeting housing prices, and good reasons why the housing element in the RBNZ's mandate was dropped after a few years.

As RBA officials have been at pains to point out, the Bank does not target housing prices but instead gleans information from them. Weak prices tend to induce weak turnover, which contributes to softer economic activity. Lower housing prices can over time induce negative wealth effects on consumption – though any period of decline must be set against earlier run-ups. How the housing market is performing tells the RBA something about how monetary policy is playing through the economy. Some softness is expected when interest rates are high; the question is whether that softness is greater or less than expected. The experience of 2018–19 shows that soft housing markets and weak growth in household incomes can weigh on consumption – and so inflation – more than expected. But recall that was when inflation and interest rates were already subdued, fiscal policy was contractionary and there were no offsetting boosts to demand from infrastructure, data centres, or other forms of investment.

We also note that, since our last published release of housing price forecasts in the late-June *Housing Pulse*, we have taken out the two RBA rate hikes we previously expected and brought forward the timing of the subsequent rate cuts from February 2028 to August 2027. A period of stability for rates in the near term might be enough to temper the downside risks in housing or even allow for some stabilisation. Whether this plays out will become clearer as we head into the spring selling season.

In addition, earlier rate cuts mean the outlook for 2027 is a bit brighter than before, further supporting the idea that weakness this year is an “air pocket”, not a lasting downturn. We will formally revise our housing price forecasts in next week’s *Market Outlook*, after the RBA decision. Directionally, though, the story is near-term weakness in 2026, not a downturn stretching into 2027.

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26 August 2026

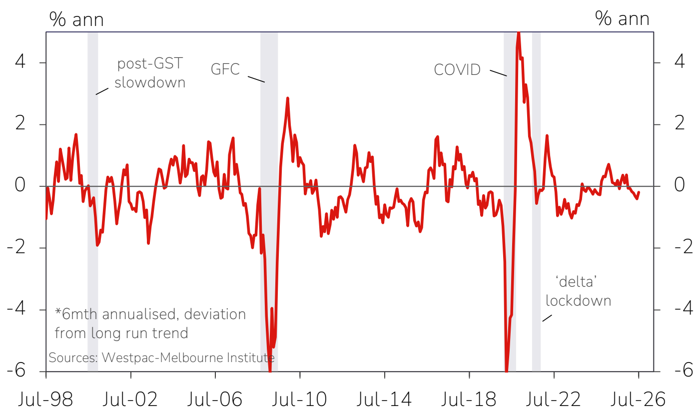
WESTPAC-MI LEADING INDEX BULLETIN

Latest insights into economic momentum

Key points

- Leading Index growth rate lifts to –0.2% in July from –0.4% in June.
- Momentum running below trend but not particularly weak.
- Detail shows main drag coming from financial conditions and labour market.
- GDP growth likely positive overall, close to flat in per capita terms.

Westpac-MI Leading Index



Leading Index suggests growth a little less sluggish

Matthew Hassan
Head of Australian Macro-Forecasting

The six-month annualised growth rate in the Westpac–Melbourne Institute Leading Index, which indicates the likely pace of economic activity relative to trend three to nine months into the future, lifted to –0.2% in July from –0.4% in June.

The July update marks the seventh consecutive below-trend read on the Leading Index growth rate. That said, momentum has improved a touch since mid-year with the latest monthly read of –0.2% only marginally below 'trend'. This compares with the two-year stretch of below-trend reads in 2022–24 which saw an average read of –0.4%, ranging as low as –1.0%. All up, the latest Leading Index points to an economy that is soft, but not particularly weak. GDP growth likely to still be positive overall in coming quarters but perhaps running close to flat in per capita terms.

The Westpac-Melbourne Institute Leading Index of Economic Activity is designed to assist in identifying turning points in the economy. The index combines variables that reflect different aspects of the economy into a single index that generally produces a more reliable cyclical indicator than any single component taken individually. The Leading Index of Economic Activity provides advance information on the state of the economy and gives early warnings of cyclical turning points.

The detail shows the sub-trend Leading Index growth signal is mainly coming from financial conditions and the labour market. The headline growth rate of –0.2% reflects a –0.2ppt drag from 'financial market' components (the S&PASX200 and the yield spread) and a further 0.2ppt drag from 'labour market' components (total hours worked and consumer unemployment expectations). Contributions from other components are more mixed, with a slight drag from wider consumer sentiment and commodity prices but slightly bigger (but still small) positives from dwelling approvals and US industrial production.

It's a similar story when we look at how the signal has shifted since the start of the year. The Leading Index growth rate has slowed from –0.06% in January to –0.20% in July, a 0.14ppt deterioration. The single biggest component contributing to this has been the yield spread where sharply higher short-term interest rates, mainly due to the RBA cash rate increases, have driven an abrupt narrowing that has taken –0.33ppts off the Index growth rate. Labour market components have taken an additional 0.11ppts off the Index growth rate with a retracement in commodity prices (in AUD terms) taking off another 0.19ppts. Against this, the growth pulse has seen some modest support coming from US industrial production (+0.26ppts); dwelling approvals (+0.15ppts); and slightly less downbeat reads on the Westpac–MI Consumer Expectations Index (+0.07ppts).

Stepping back, the component contributions and changes over the last six months have been relatively small by historical standards. Meanwhile, the most substantive change – the drag from an abrupt narrowing in the yield spread – has largely run its course with the RBA's shift from active monetary tightening to a 'hawkish hold' set to see a mechanical moderation in this specific drag in the months ahead. All else being equal that should see momentum improve a touch but, absent some other developments, the overall picture looks likely to be one of soft growth and an economy that is lacking direction either way.

The Reserve Bank Monetary Policy Board next meets on September 28–29. We expect it to again leave the cash rate unchanged but reiterate that it is prepared to hike again if high inflation is showing signs of being more persistent. While not the Bank's primary consideration, the soft growth picture coming from the Leading Index and other measures will be of some comfort to the Board. On the one hand, it suggests demand is continuing to come more into line with supply capacity. However, the moderate slowing also points to an underlying resilience. Whether the pace of softening is enough to ensure a timely moderation in inflation back to the 2–3% target range is the key question.

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Higher long bond yields stem from more than just one thing

#australia #luciellis #technology #bonds #us #fiscalpolicy

By Luci Ellis
Chief Economist Westpac Group, Westpac

10:32 August 21 2026

Share

AI-related investment and US fiscal incontinence add to the existing tendency for the global rates structure to average higher than pre-pandemic. Expect more US government action to contain debt-servicing costs.

- Bond yields have been rising in recent weeks, especially at the long end of the maturity spectrum. We have long believed that the global structure of interest rates would have a higher centre of gravity in future than it did in the period between the GFC and the pandemic. The factors often cited for the recent rise in yields – larger government deficits globally, the investment boom from AI – were already behind this judgement.

- The question then arises: have we allowed enough for these forces? Getting the direction right is one thing; quantifying the impact is another. In doing so, though, we must take care not to confuse trend and cycle. Some of the recent rise stems from the exceptional demand for funding data centre construction. This effect of the technology wave could last a while, but it is more a cyclical development than a permanent structural one.
- For the Australian economy, developments at the long end of the yield curve tend to be less relevant. Most financing happens at the short end of the maturity spectrum, especially for households. But there are borrowers and investors who are affected by long-dated yields, especially governments.
- Higher yields mean higher debt-servicing costs, particularly for the US government. Expect more manoeuvres like the US Treasury supporting the yen by selling euros not dollars, as well as the buy-back operation this week. These are merely stop-gaps rather than a lasting solution like genuine fiscal consolidation.

Westpac Economics has long held the house view that the global structure of interest rates would be higher in the future than it was in the period between the GFC and the pandemic. Central bank policy might influence the short end, but over a longer period, what matters for interest rates globally is the global balance of saving and investment. Pre-pandemic, saving rates were high, thanks in part to official sectors accumulating reserves. Meanwhile, investment was weak. Confidence had been frayed by the crisis, and some governments were in austerity mode. That decade's new technologies did not spark the same kind of productivity-enhancing investment boom as computers and the internet did in the late 1990s and early 2000s. And in any case, banks in North America and Europe were recapitalising and less inclined to lend.

There were good reasons to see that period as an aberration, though, including the very long-term evidence we noted two years ago. As we highlighted at the time, a range of forces have been pushing "neutral" rates higher, along with the structure of interest rates more broadly. These include higher government spending as populations age, as well as the private sector needing to invest in both energy transition and AI. Higher defence spending was also in the mix, especially after Germany changed its constitution last year to allow more deficit spending for this purpose. The general fiscal incontinence of the US government was already evident two years ago and worsened under the current administration. All these factors imply greater bond supply, and so higher yields.

To unpack this further, a bond yield is normally thought of as being the combination of several components that are easier to name than to measure. Nominal government bond yields are composed of (expected) inflation plus real yields, where real yields are normally assumed to reflect expected future (real) policy rates plus a "term premium". The term premium is in principle the compensation investors require for the risk that things turn out differently from their expectations of the other two components, and in practice is a residual grab bag of everything else that might affect demand and supply in the bond market. Corporate bonds add a risk spread to this, reflecting that a company might default but a sovereign issuing in its own currency will never need to.

The higher global structure of interest rates can be seen in all these components. Inflation generally undershot central bank targets in the 2010s; since the pandemic, it has at best been around target, with global supply shocks periodically lifting it above target. Real yields are higher, and with shorter-maturity bonds now paying positive real yields, we are seeing less of the “search for yield” behaviour that compressed both term premia and risk spreads in the 2010s.

But how much?

It is one thing to say rates will be higher on average. We also need to ask: by how much? This is where the AI boom comes in. The scale of the planned global investment in data centres is nothing short of mind-boggling, and it is creating substantial demand for debt finance. The “hyperscaler” tech firms (Alphabet, Amazon, Meta and Microsoft) used to be enormous cash generators. Now they are responsible for some of the largest debt issuances in the market, including Alphabet’s super-sized $A deal this week. Issuance in Australia and other non-US jurisdictions makes sense for these firms. They want to access a diversified pool of investors, and many of the assets they are financing are outside the US, especially now that data centres have become unpopular in many US communities.

The scale of this greater investment call on global savings is one reason to expect longer-dated yields to average even higher in the near term than their range since the pandemic so far.

We must take care, though, to distinguish trend from cycle. This is particularly relevant for the data centre boom, which is likely to be a big thing for the next few years, but settle down as the technology matures and computing capacity expands (and becomes cheaper).

The US government is also making an exceptional call on global saving, and this looks more like a longer-term structural trend than the AI boom does. The US federal government has been running deficits in excess of 4% of GDP for a decade, aside from a brief period in 2022, and more than 6% since the beginning of 2023.

In recent weeks, rumblings of investor discontent about the US fiscal position have become evident in yields. And those hyperscaler bonds, including the $A-denominated ones, are offering a higher yield for companies with similar ratings to the US sovereign. The bonds of governments in better fiscal positions, including Australia’s, also start looking attractive. To this we must add that Japan now looks to be becoming a “normal” economy with positive inflation and interest rates, and an undervalued currency that might tempt some investors to bet on an appreciation. While it remains the case that There Is No Alternative to the US Treasury market for depth and liquidity, some diversification out of USD assets is starting to look both more feasible and more attractive.

The other consequences

For the Australian economy, developments at the long end of the yield curve tend to be less relevant than those at the short end. Most financing happens at the short end of the maturity spectrum, especially for households. But some borrowers and investors are affected by long-dated yields, especially governments, and the local firms involved in data centre construction.

Offshore, we can see higher yields constraining policy decisions by the US government and can expect more on this front. The US government's debt-servicing costs are becoming more burdensome as large deficits persist and yields rise. Just in the past few weeks, we have seen some unusual currency interventions by the US Treasury, followed by buy-backs designed to shorten the maturity profile of US government debt and lower the term premium paid. And while we expect the Fed will not fold in the face of pressure to keep rates low, we can well imagine the content of the phone calls between FOMC Chair Warsh and President Trump. Expect more manoeuvres by the US authorities along the lines seen recently. These are merely stop-gaps, though, not lasting solutions like genuine fiscal consolidation.

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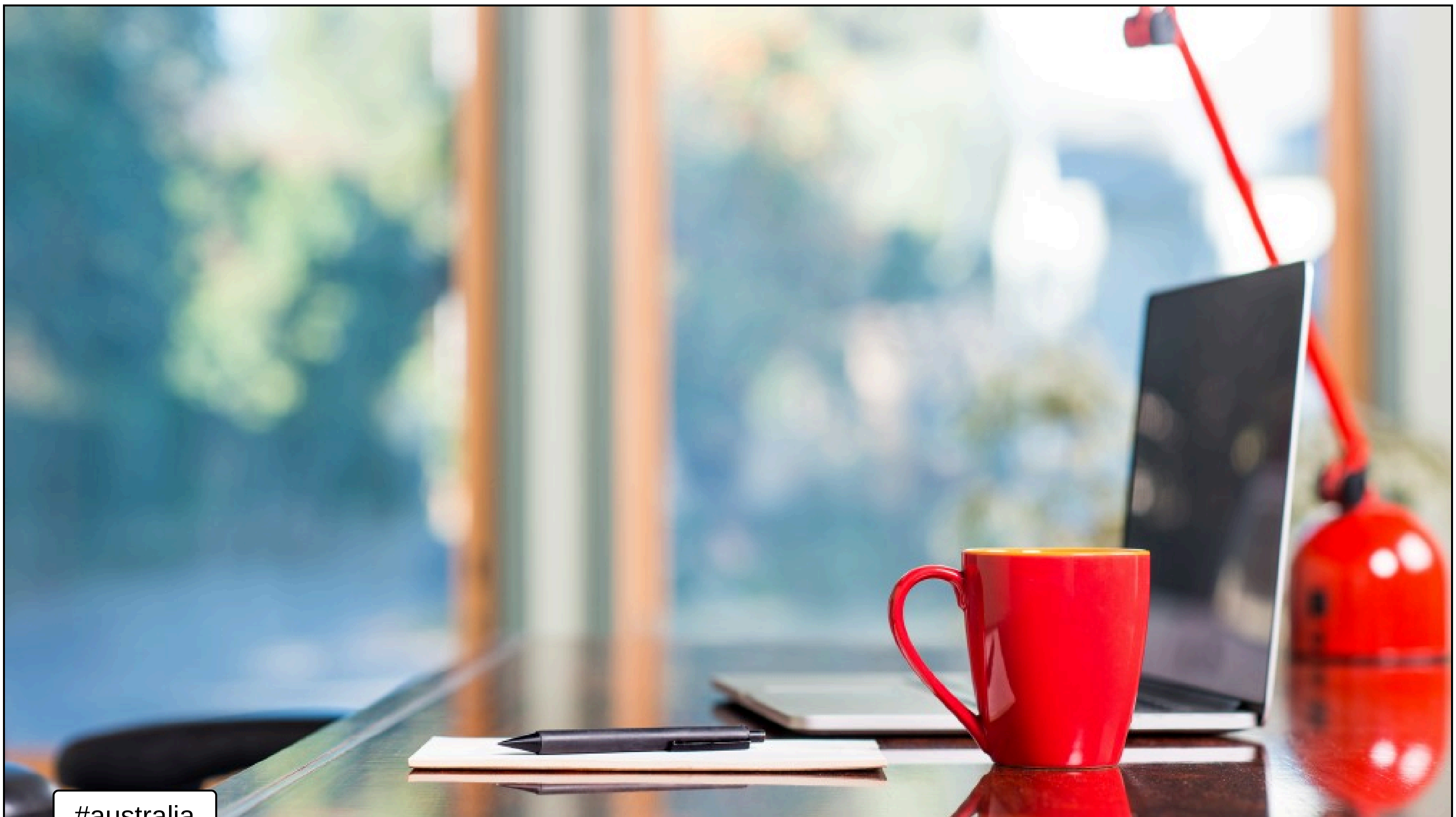

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19 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, keeping crude oil on its recent upward trajectory.

Concerns about rising debt used to fund AI expansion sent semiconductor stocks lower, dragging major equity benchmarks down.

Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
AUD/CNH	4.7815	-0.2%
AUD/SGD	0.9059	-0.2%
AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up $0.5 to $91.4 and $84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
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AUD/SGD	0.9059	-0.2%
AUD/HKD	5.5591	-0.2%
AUD/CAD	0.9846	0.0%
EUR/USD	1.1578	0.0%
USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.08	-0.02
3 yr bond	4.58	-0.01
3 mth bill rate	4.51	0.01
SPI 200	8,976	-0.3%

Data as at 7:40am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, following the expiry of the memorandum of understanding the two countries signed in June. Meanwhile, reports suggested that Iran had fired missiles into UAE territory, its first attack on the country since May, pointing to an escalation in military activity.

In equity markets, semiconductor stocks were again in the spotlight, as concerns about rising debt used to fund AI expansion sent major equity benchmarks lower. That weaker tone is also spilling into major bond markets, where investors already face a long list of concerns, such as inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

- Most major equity indices traded in the red. The S&P 500 fell 0.7%, registering a third consecutive daily loss. The tech sector was the weakest performer, down almost 2%, with the semiconductor benchmark index falling 5%. The Euro Stoxx 50 made even bigger losses, down 1.0%. Asian markets also fell, with a downside surprise in Chinese activity indicators weighing on sentiment. The ASX was little changed, as a spike in healthcare stocks offset losses elsewhere.
- In bond markets, US Treasuries pared earlier losses and finished the day in the green, with yields down 1-2bp at the longer end of the curve. The move did little to reverse the increases seen over the past couple of months, during which the US 30Y yield rose by almost 40bp, while the short end remained little changed, anchored by broadly stable expectations for Fed policy.
- Major government bonds in Europe made losses, with yields remaining on an upward trend. In Germany, the 10Y yield rose 4bp to 3.26%, its highest level in fifteen years, with the new supply from yesterday's 30Y auction and today's 10Y bond auction adding to upward pressure on yields. UK Gilts followed a similar pattern, with 2bp increases in 10Y and 30Y yields taking them to 5.08% and 5.83%, respectively. The latter was just shy of the highest levels seen since the late 1990s earlier this year. Aussie yields also headed higher, with the 10Y up 5bp and the 30Y gaining 7bp to 5.61%.
- In FX markets, the DXY was unchanged at 99.64. The EUR also held steady, while GBP and the yen depreciated slightly, each by 0.1%. The AUD weakened 0.2% to 0.7087.
- Unfavourable headlines from the Middle East conflict kept crude oil on its recent upward trajectory. However, the gains were modest, with the active Brent and WTI contracts both up $0.5 to $91.4 and $84.9, respectively.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ PPI Q2	-	0.8%
9:50	JP Machinery Orders Jun	7.2%	-12.4%
11:30	AU Wage Price Index Q2	0.8%	0.8%
11:30	AU Wage Price Index Q2	3.2%	3.3%
16:00	GB CPI Jul	2.9%	2.6%
04:00	FOMC July meeting minutes	-	-

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

International Data

US housing starts surprised significantly to the downside, falling 12.4%mth in July. The data have been very volatile lately, but growth on a three-month basis has now dropped into negative double digits and was the weakest in almost four years. High interest rates, affordability constraints and weak sentiment remain the key challenges for the US housing market.

US industrial production maintained its upward trajectory, with output rising 0.2%mth in July. In addition, June's result was revised higher to a 0.3%mth increase. The data highlighted diverging trends in consumer and business demand. Consistent with recent signals from softer employment data and consumer spending indicators, consumer goods production was down 0.4%mth. Meanwhile, business equipment production remained strong, rising 0.8%mth, likely linked to increased business investment in AI and other areas.

The latest **UK jobs data** showed that labour market slack continued to rise, suggesting that weakening domestic inflationary pressures are continuing to offset the upward pressure on CPI from higher energy prices. The number of payrolled employees declined for a fifth consecutive month, falling by 13k, while vacancies – an indicator of labour demand – also maintained a downward trend. The Labour Force Survey numbers, which have been less reliable of late, conveyed a similar message: headline three-month employment growth softened notably, and the three-month unemployment rate remained unchanged at 4.9%, contrary to expectations of a 0.1ppt decline. Against that backdrop, the wage growth impulse weakened further, with private sector regular wages rising by only 2.8%yr.

The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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USD/JPY	159.60	0.1%
USD Index	99.64	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.36	0.00
90 day BBSY	4.55	0.00
180 day BBSY	4.86	-0.01
1 year swap	4.60	0.01
2 year swap	4.58	0.02
3 year swap	4.57	0.02
4 year swap	4.59	0.03
5 year swap	4.63	0.03
6 year swap	4.67	0.02
7 year swap	4.73	0.02
8 year swap	4.80	0.02
9 year swap	4.85	0.02
10 year swap	4.90	0.02

Equities	Close	Change
S&P/ASX 200	9,070	0.0%
S&P 500	7,692	-0.7%
Japan Nikkei	67,461	-2.5%
Hang Seng	25,471	0.1%
Euro Stoxx 50	6,468	-1.0%
UK FTSE100	10,728	0.1%
VIX Index	15.84	4.3%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.59	0.04
10 year bond	5.10	0.05
United States		
3-month T Bill	3.69	-0.01
2 year bond	4.17	0.00
10 year bond	4.70	-0.02
Other (10 year yields)		
Germany	3.26	0.04
Japan	2.96	0.04
UK	5.08	0.02

Commodities	Current	Change
CRB Index	396.78	-0.1%
Gold	4334.44	-1.8%
Copper	13986	-1.2%
Oil (WTI futures)	84.94	0.5%
Coal (coking)	225.50	0.7%
Coal (thermal)	134.25	0.1%
Iron Ore	96.55	0.9%
ACCU	36.13	-4.3%

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04:00	FOMC July meeting minutes	-	-

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Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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19 August 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Hopes that the Strait of Hormuz would reopen soon faded further after President Trump confirmed that there are currently no talks between the US and Iran, keeping crude oil on its recent upward trajectory.

Concerns about rising debt used to fund AI expansion sent semiconductor stocks lower, dragging major equity benchmarks down.

Pressure in bond markets is also rising rapidly. Long-dated bonds continue to sell off amid concerns about inflationary pressures from higher energy prices, the persistence and frequency of supply shocks in the current geopolitical climate, and the sustainability of public finances in major economies.

US Treasuries pared earlier losses and finished the day in the green, but major European government bonds recorded further losses. Aussie yields also moved higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	65.9	-0.2%
AUD/USD	0.7087	-0.2%
AUD/JPY	113.12	-0.1%
AUD/GBP	0.5237	-0.2%
AUD/NZD	1.2059	0.2%
AUD/EUR	0.6121	-0.2%
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The **euro area ZEW survey** of financial market experts showed that the recovery this quarter is gathering pace. The headline economic expectations indicator rose by 8pts to 31.4, representing a sharp bounce back up from April's trough of -20.4 and leaving it above its long-term average of around 20. The current economic situation indicator rose even more sharply, up by 16.2pts to -21.5, also above its historical average.

Local Data

The **Westpac–Melbourne Institute Consumer Sentiment Index** rose 6% to 88.9 in August. This is still a weak result and noticeably lower than the readings recorded last year (see here).

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14 August 2026

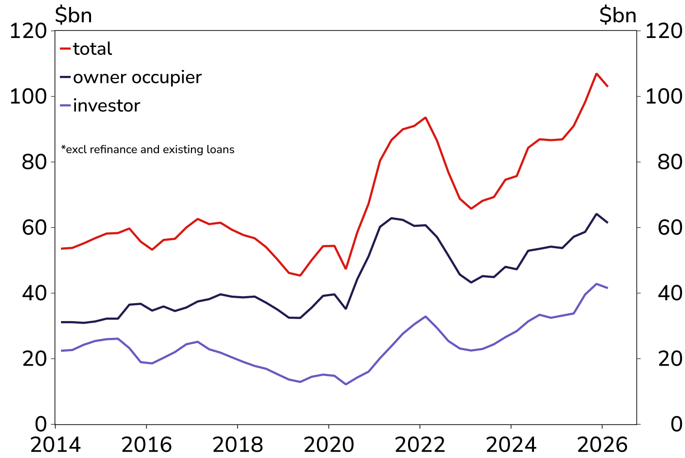
AUSTRALIAN DWELLING FINANCE BULLETIN

Decline gathers pace

Key points

- The value of new dwelling finance approvals excl. refinance fell 5.2%qtr, the largest quarterly drop in three years. Annual growth eased to 7.3%yr.
- The weakness was accounted for mainly by lower lending volumes: loan numbers were down 4.0%qtr (-0.6%yr), while average loan size also contributed negatively.
- Borrowing by investors led total approvals lower. Volumes were down 8.6%qtr, leading to a 10.2%qtr drop in values.
- Borrowing by owner occupiers also dropped, by 1.9%qtr, in value terms suggesting that this segment is also under pressure from high interest rates, weak sentiment and high economic uncertainty.
- We fully expect the weakness in new dwelling approvals to persist into Q3, and eventually show up in the slower housing credit growth.

New finance approvals by segment: value



Source: ABS, Macrobond, Westpac Economics

Q2 new dwelling finance: –5.2%qtr, +7.3%yr

Investors leading new housing finance lower

Mantas Vanagas
Senior Economist

After a weak start to the year, when the value of new dwelling finance approvals, excluding refinancing, dropped 3.4%qtr, the latest figures show that the pace of decline accelerated to 5.2%qtr in Q2, the weakest result since late 2022. The outcome was not a major surprise, coming in close to market consensus (-5.3%qtr) and our expectations (-6.0%qtr). Lower lending volumes, down 4.0%qtr, were the main factor behind the decline, with average loan size also contributing negatively, in line with the recent drop in house prices.

Looking across the major segments, borrowing by investors was the principal source of weakness. Volumes were down 8.6%qtr, leading to a 10.2%qtr drop in values. Weakening of this magnitude in a single quarter has previously only been seen during major correction periods – after the post-pandemic boom and during the tightening of investor lending standards by regulators in 2017-19. The numbers confirmed that investors are reacting negatively to changes to the capital gains tax discount and negative gearing tax changes announced in the Federal Budget in mid-May.

Borrowing by owner occupiers also fell, by 1.9%qtr, following an even steeper 3.5%qtr decline in Q1. While the focus has been on investors, this negative trend suggests that, in the context of high interest rates, weak consumer sentiment and elevated economic uncertainty, the owner-occupier segment is also under significant pressure. Interestingly, first-time buyers in this segment saw new finance approval values stabilise, with 0.2%qtr growth after a 4.8%qtr correction in Q1.

Lending for land purchases and renovations also fell significantly, by 5.1%qtr. Some of this likely reflects higher construction and material costs due to supply disruptions linked to the Middle East conflict. With households also having to divert more spending to cover higher energy costs, the retreat in renovation lending also suggests that households may be delaying non-urgent projects.

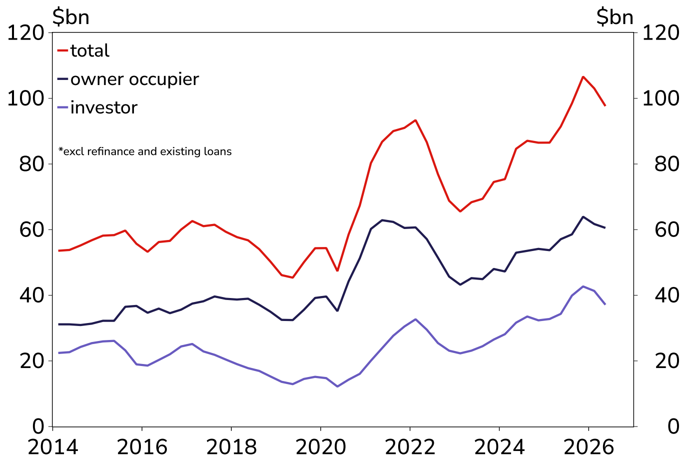
Today's results are broadly consistent with our assessment that a notable housing market correction is underway. We expect the weakness in new dwelling approvals to persist into Q3, particularly on the investor side, as the full impact of the reaction to tax changes comes through. The housing credit data have so far shown little impact from weakness in other major housing market indicators, including new finance approvals, but we think this mostly reflects lags in the system, which should be resolved in the coming months.

Dwelling finance: Q2 2026

		%chg qtr		% chg yr	
	latest	Mar	Jun	Mar	Jun
Number ('000s)					
Owner–occupiers	81.6	-3.8	-3.3	4.9	-3.0
Investors	52.6	-4.7	-8.6	19.2	3.3
Total dwelling finance^	**134.2**	**-6.2**	**-4.0**	**8.6**	**-0.6**
Value ($bn)					
Owner–occupiers	60.5	-3.5	-1.9	14.8	5.8
Investors	37.1	-3.2	-10.2	24.7	9.8
Total dwelling finance	**97.6**	**-3.4**	**-5.2**	**18.6**	**7.3**
Land and renovations	6.7	-2.2	-5.1	28.7	15.5
Refinance	60.4	0.8	-1.7	10.7	5.4
Total housing incl. refinance	164.7	-1.9	-4.0	16.0	6.9

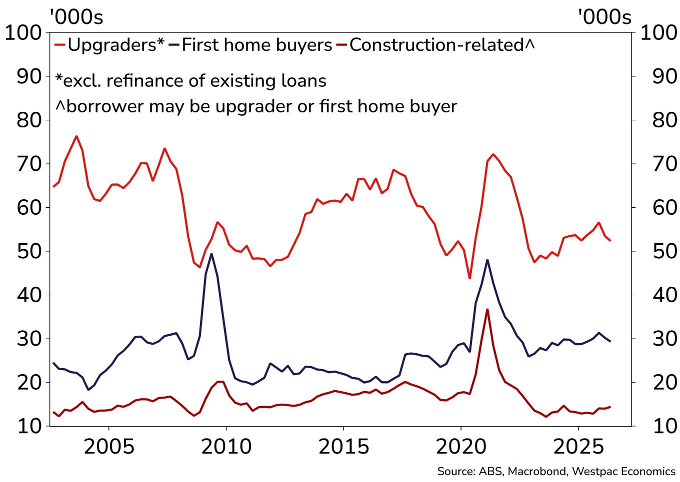
* unless specified, all figures exclude land, additions and alterations, and refinance. Where specified, refinance is 'external' only, i.e. with a new lender.
^seasonally adjusted by Westpac.
Sources: ABS, Cotality, APM, Westpac Economics

New finance approvals by detailed segment

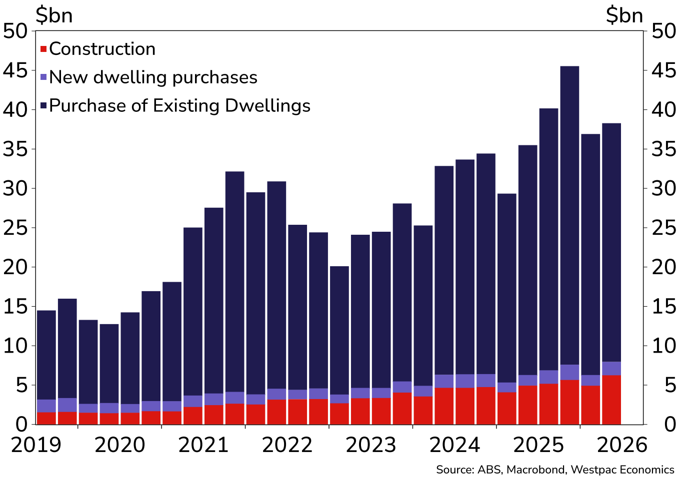


Source: ABS, Macrobond, Westpac Economics

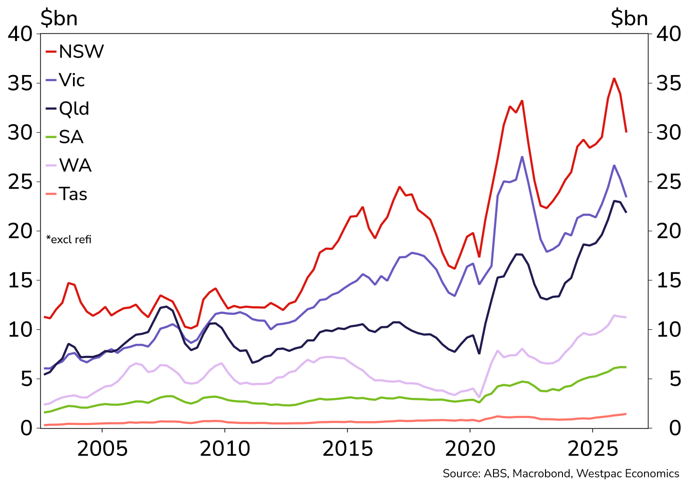
Owner occupier finance approvals (number)



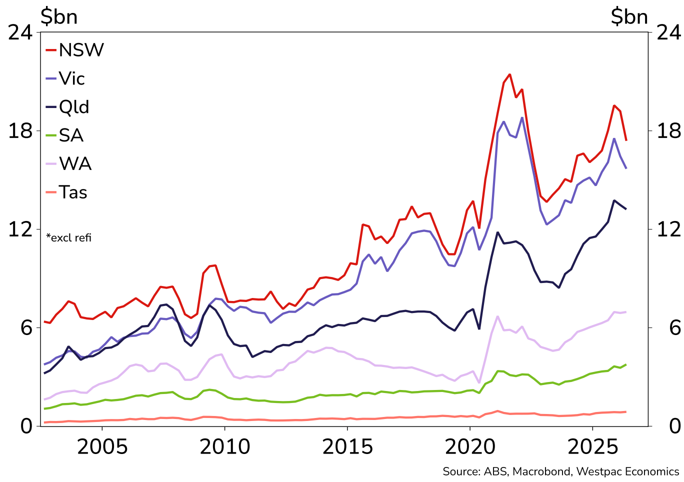
Investor loan by purpose



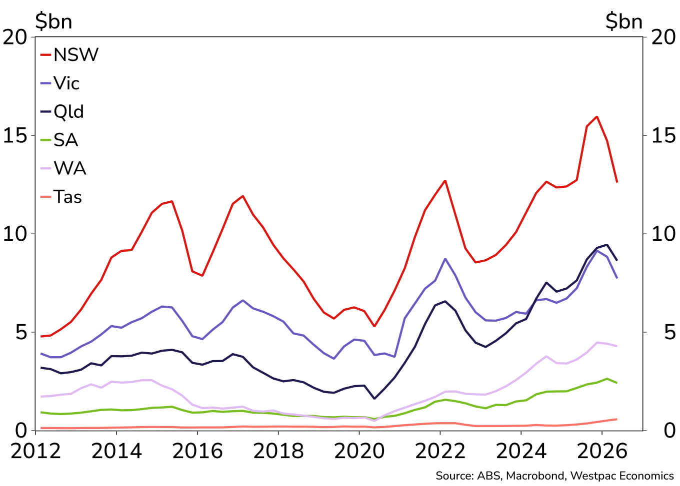
Dwelling finance by state: total value



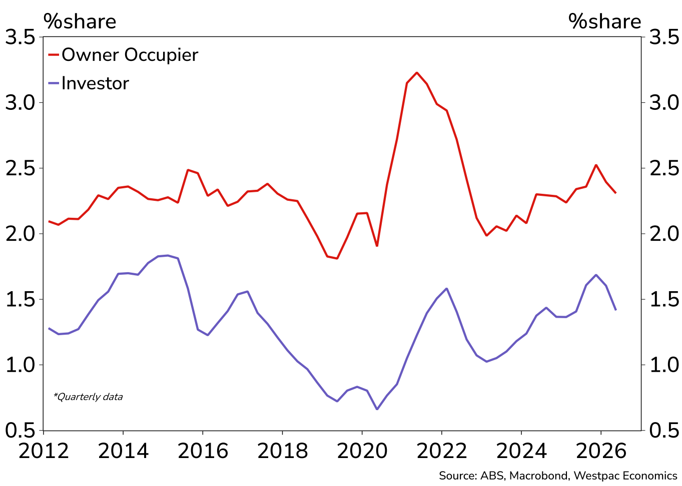
Dwelling finance by state: owner occupier



Dwelling finance by state: investor



Dwelling finance as a share of housing credit



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US dollar struggling to make ground despite global risks

#fx #usd #us #eur #gbp

By Elliot Clarke
Head of International Economics, Westpac

11:40 August 17 2026

Share

Key themes for FX markets.

The US dollar has struggled to make headway this month, repeatedly ranging 0.5ppts higher than its 10 July level, when our last Market Outlook was released, only to falter and eventually end the period 1.5ppts lower at 99.5 today. This is despite a deal between the US and Iran remaining elusive and with market participants optimistic on US growth but concerned over inflation, and consequently expecting the FOMC to hike into year end.

As has been the case over the past year, the primary contributors to movements in the US dollar DXY index over the past 30 days were Euro and Sterling, both appreciating around 1.5 cents to USD1.16 and USD1.36 respectively. Compared to history, these are not challenging levels for either currency; and the balance of risks faced by each nation are becoming more favourable with respect to growth and inflation.

To end-2027, we look for a continuation of this trend, leaving EUR/USD and GBP/USD at USD1.21 and USD1.39 respectively, after which each currency is likely to plateau.

The more time passes, the greater the likelihood of the balance of risks shifting against the US and in favour of Europe and the UK. In part, this is because the US economy has experienced an extended period of outperformance that is coming across an increasingly narrow base, suggesting the run may not last. But it also pertains to the political status quo; the degree of common purpose over defence and economic development in Europe is a striking contrast with the US' partisan turbulence. Government debt is an issue for all three jurisdictions, but the structural imbalance in the US budget position, the ratcheting higher of US debt service, and the market's unease over dwindling forward guidance by the FOMC all point to a much greater financial headwind for the US dollar than Euro or Sterling.

It is worth remembering that, while the 10-year average for DXY is around 1.0% below spot, the 20-year average is almost 9.0% lower. If risks crystallise against the US, there is a material chance of an outsized market move.

As we write, the big story of the month is slowly fading into obscurity. After numerous failed attempts to turn the yen around, and with USD/JPY threatening to go through JPY165, Japanese authorities this month sought the aid of the US government. Buying of the yen by both counter-parties, aided by an active PR campaign, initially saw USD/JPY drop from a recent peak of JPY164 to a low of JPY155. However, despite warnings of additional actions, USD/JPY reversed course within days, trading back above JPY159. Without further intervention by both Japan and the US, the yen is likely to weaken further as participants search for authorities' limit. Still, a return to JPY165 seems unlikely absent a marked deterioration in Japan's economy; USD/JPY holding around JPY160 for the foreseeable future is much more probable.

In our view, the yen is unlikely to begin a lasting uptrend until expectations for tighter US monetary policy recede, which we do not see occurring until late-2026. Thereafter, progress is likely to be slow, as participants continue to doubt the Bank of Japan's resolve and given Japan has less exposure to the global tech expansion than South Korea, Taiwan and China. We expect USD/JPY to only decline to JPY154 by end-2027, then to JPY146 come end-2028. At that level, USD/JPY will still be 32% above the 30-year average of 1990–2019 – a truly historic divergence.

For the rest of Asia's currencies, the direction of travel is likely to be up, albeit proportional to each nation's exposure to technology and starting valuation.

Benefiting not only from exposure to high-end technology expansion but also pharmaceuticals, engineering, finance and tourism, at SGD1.28 Singapore's dollar is within a cent of its lowest level in a decade, and also within reach of the historic low of SGD1.22 seen in 2012. We expect the cross to settle between current spot and the 2012 low by end-2028, targeting SGD1.25 at that time. That said, a downside surprise for the US economy could see the 2012 low reached in the interim.

The softer starting point for China's renminbi provides it with a little more room to rally over the forecast period. To end-2027 then end-2028, we see USD/CNY falling from CNY6.74 today to CNY6.40 and CNY6.30 respectively. A run towards CNY6.00 is certainly possible, although it would arguably require a marked change in domestic conditions as well as continued strength in trade and financial net inflows.

India's rupee is an interesting comparison to the above Asian currencies. While India offers the world considerable capacity for technology and professional services as well as low-value-add manufacturing, it lacks the intellectual property of the US, China, Taiwan and South Korea. It also does not have the efficient process, depth of knowledge, financial capital and transport infrastructure that holds Singapore in such great stead. Concerted structural change is necessary if the rupee is going to materially reverse the declines of recent years. This is despite the nation's considerable advantage in terms of its population. To end-2028, we see USD/INR only falling from INR95 to INR87 against a 20-year average of INR64. To this view, there is clearly downside risk for the rupee, particularly if energy prices remain elevated.

This analysis first appeared in Westpac Economics' August Market Outlook.

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AGED RESIDENTIAL CARE

Creating a sustainable future.

14 August 2026

Contents

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Executive summary.

New Zealand's aged residential care sector is being driven by population ageing and longer life expectancy, which is increasing demand for hospital, dementia and specialist care for people with high dependency needs and challenging or disruptive behaviours (psychogeriatric). Providers have opportunities to expand specialist services, improve productivity through technology and scale, and benefit from industry consolidation. However, these opportunities are constrained by a widening funding gap, workforce shortages, increasing resident complexity, rising capital costs, and growing competition from home and community-based care. As a result, ensuring sufficient financial, workforce, and infrastructure capacity to meet growing demand remains the sector's central challenge.

The sector currently comprises approximately 41,500 beds, providing rest home, hospital, dementia and psychogeriatric care, within a nationally regulated system. Despite ongoing consolidation, the sector remains relatively fragmented, with capacity spread across corporates, charitable organisations, regional chains, specialist providers, and independent facilities.

Two provider models exist. Village-linked providers, such as Ryman Healthcare and Summerset, are typically large organisations offering a continuum of care, while standalone providers are more numerous, regionally dispersed, and highly fragmented. Together, they provide complementary coverage through integrated care pathways and regional provision.

Demand is strong, driven by increasing longevity and rising dementia prevalence. While older people remain at home longer, those entering care do so later in life and with more complex needs. As a result, demand growth is concentrated in hospital, dementia, and psychogeriatric care rather than traditional rest-home services.

Financial sustainability is the sector's defining challenge. Aged residential care is funded primarily through government subsidies and resident contributions, but funding growth has not kept pace with rising costs. Consequently, the sector's funding gap has widened from about $170 million in 2014 to around $650 million in 2025.

In response, providers have long called for funding reforms. That's in addition to pursuing operational efficiencies, technology investment, and placing a greater focus on offering premium accommodation and higher-acuity care. While both provider types seek productivity gains, village-linked operators also benefit from retirement village businesses that support occupancy, investment, and additional revenue, whereas standalone providers rely more heavily on operational performance, service specialisation, and local referral networks.

These differences shape competition. Village-linked providers generally compete through facility quality, lifestyle offerings, reputation, and continuum-of-care pathways, while standalone providers compete more through clinical quality, workforce capability, local reputation, and operating efficiency. As resident acuity increases and workforce shortages persist, clinical capability is becoming an increasingly important competitive advantage.

At the same time, competitive pressures are building. Rivalry for residents, staff, and development opportunities is intensifying, while workforce shortages continue to strengthen supplier power. Entry barriers remain high, although home and community-based care is an increasing substitute for lower-acuity services. Competitive pressures are generally greater for standalone providers due to their heavier reliance on care revenue and fewer alternative income streams.

Long-term success will depend on clinical quality, workforce capability, occupancy, financial sustainability, and facility quality. Providers that attract skilled staff, deliver increasingly complex care, maintain occupancy, invest in modern facilities, and generate sustainable returns will be best placed to meet growing demand. Retirement village integration provides an additional advantage for village-linked operators.

The sector's strongest opportunities stem from population ageing, increasing longevity, rising dementia prevalence, and growing demand for higher-acuity care, and opportunities to improve productivity and expand capacity through technology and scale.

However, these opportunities are offset by a widening funding gap, persistent workforce shortages, increasing resident complexity, significant capital requirements, and growing competition from home and community-based care. Together, these factors support strong long-term demand but also continued pressure on financial sustainability and capacity growth.

Table 1: Recommended actions to best maximise opportunities

Opportunity	Village-linked providers	Standalone providers
Population ageing	Expand into high growth urban markets.	Expand into underserved regional markets.
Higher acuity care	Increase hospital, dementia, and psychogeriatric capacity and specialist clinical services.	Develop specialist or niche care offerings.
Alternative revenue streams	Maximise village-to-care pathways, occupancy and property income to support care operations.	Expand premium accommodation and ancillary services where feasible to diversify revenue.
Technology & productivity	Invest in digital technology and centralised support functions to improve scale efficiencies.	Use technology, procurement groups, and shared services to lower operating cost.
Industry consolidation	Acquire or partner with smaller providers to grow market share and capacity.	Consider alliances, mergers, or specialist positioning to strengthen competitiveness.

Table 2: Recommended actions to address key challenges

<table>
<tr><th>Challenges</th><th>Village-linked providers</th><th>Standalone providers</th></tr>
<tr><td rowspan="2">Funding gap</td><td colspan="2">Advocate for funding reforms: Modernise the funding model (to reduce expanding funding gap), support capital investment, minimise regulatory burdens, and create a sustainable model for expanding aged care capacity.</td></tr>
<tr><td>In addition, continue to pursue productivity gains.</td><td>Focus on cost controls, occupancy, and revenue optimisation.</td></tr>
<tr><td>Workforce shortages</td><td>Strengthen recruitment, training, career pathways, and staff retention programmes.</td><td>Develop specialist or niche care offerings.</td></tr>
<tr><td>Increasing resident acuity</td><td>Build specialist clinical capability and multidisciplinary care teams.</td><td>Invest in staff training, clinical governance, and targeted service specialisation.</td></tr>
<tr><td>Capital requirements</td><td>Leverage scale and access to capital to prioritise developments in urban locations with strong demand and occupancy prospects.</td><td>Focus capital on refurbishments and selective expansion projects with clear returns.</td></tr>
<tr><td>Home care substitution</td><td>Strengthen continuum-of-care pathways and focus on higher-acuity care services.</td><td>Reposition away from lower-acuity care and specialise in services less easily delivered at home.</td></tr>
</table>

In summary, village-linked providers should maximise opportunities and manage key challenges by leveraging their scale, access to capital, and retirement village integration. Standalone providers should remain competitive by focusing on clinical excellence, operational efficiency, service specialisation, and strong local relationships.

Aged residential care defined.

New Zealand's aged residential care (ARC) system provides 24/7 care for older people unable to live independently, with services structured along a continuum that reflects increasing needs as well as clinical complexity.

By order of clinical complexity, ARC covers rest homes, hospital level, dementia and psychogeriatric care. Each of these care levels falls within a broader continuum of healthcare services which all New Zealanders have access to.

Institutional arrangements.

New Zealand's ARC system is structured around a small number of public agencies and a diverse group of private providers.

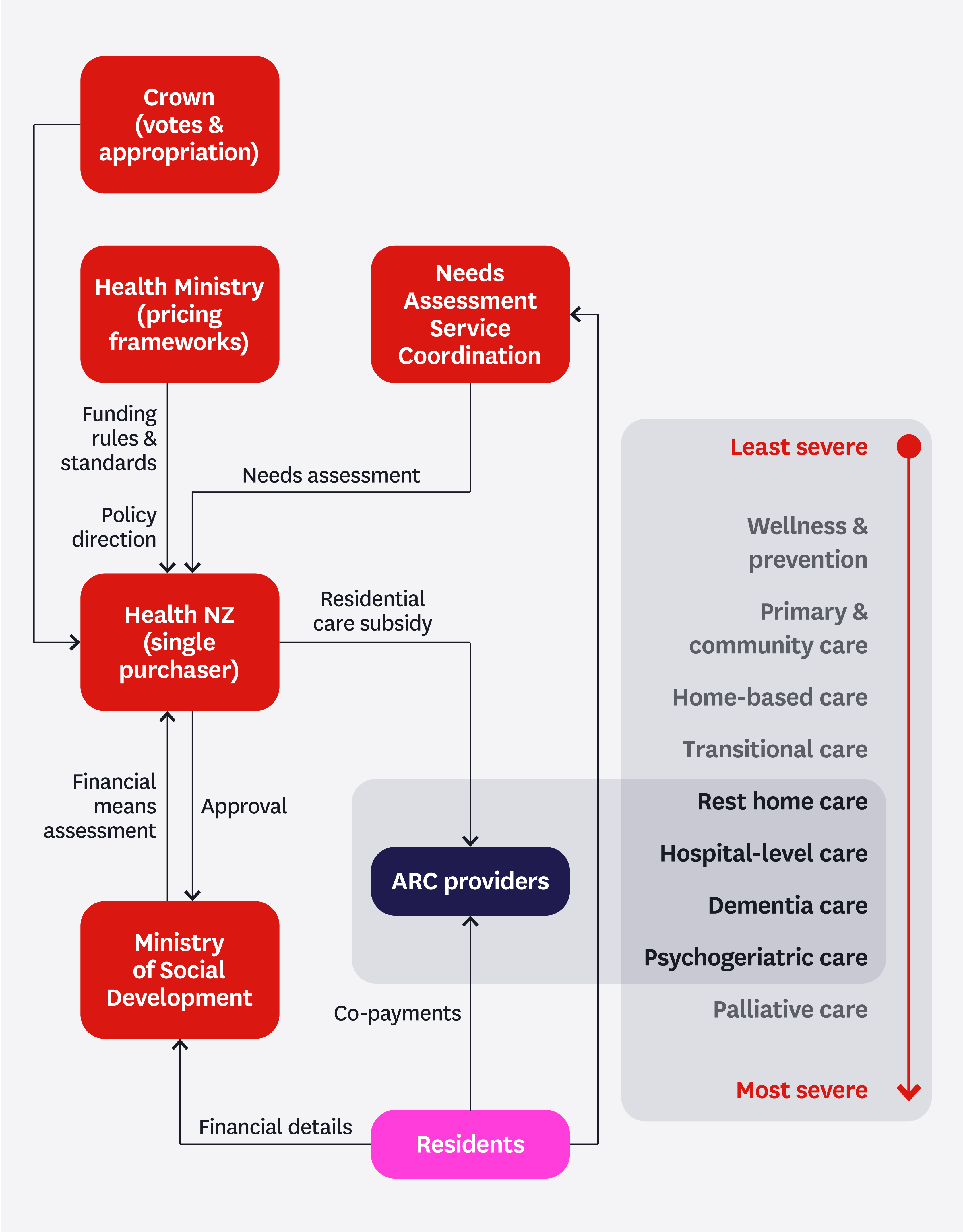
New Zealand's Ministry of Health sets overall policy, funding parameters, and regulatory standards, while Health NZ operates the system as the single public purchaser, contracting providers, funding services, and administering payments. Care is delivered primarily by private providers under national contracts that specify service, quality, and staffing requirements, ensuring a consistent baseline of care across the sector.

Access to ARC begins with a needs assessment, which determines eligibility and the appropriate level of care. A financial means assessment then establishes eligibility for government support. Funding is shared between residents and the government: residents pay up to a regulated maximum for standard care, with the Residential Care Subsidy (RCS) covering the remaining cost and paid directly by Health New Zealand. The system is underpinned by a nationally regulated daily fee covering accommodation, care, and basic living costs.

The ARC system also accommodates differing care needs and resident preferences. Health NZ provides additional funding for higher-acuity residents, particularly those requiring hospital, dementia, or psychogeriatric care. Residents may also purchase premium accommodation and non-clinical services that fall outside the publicly funded package.

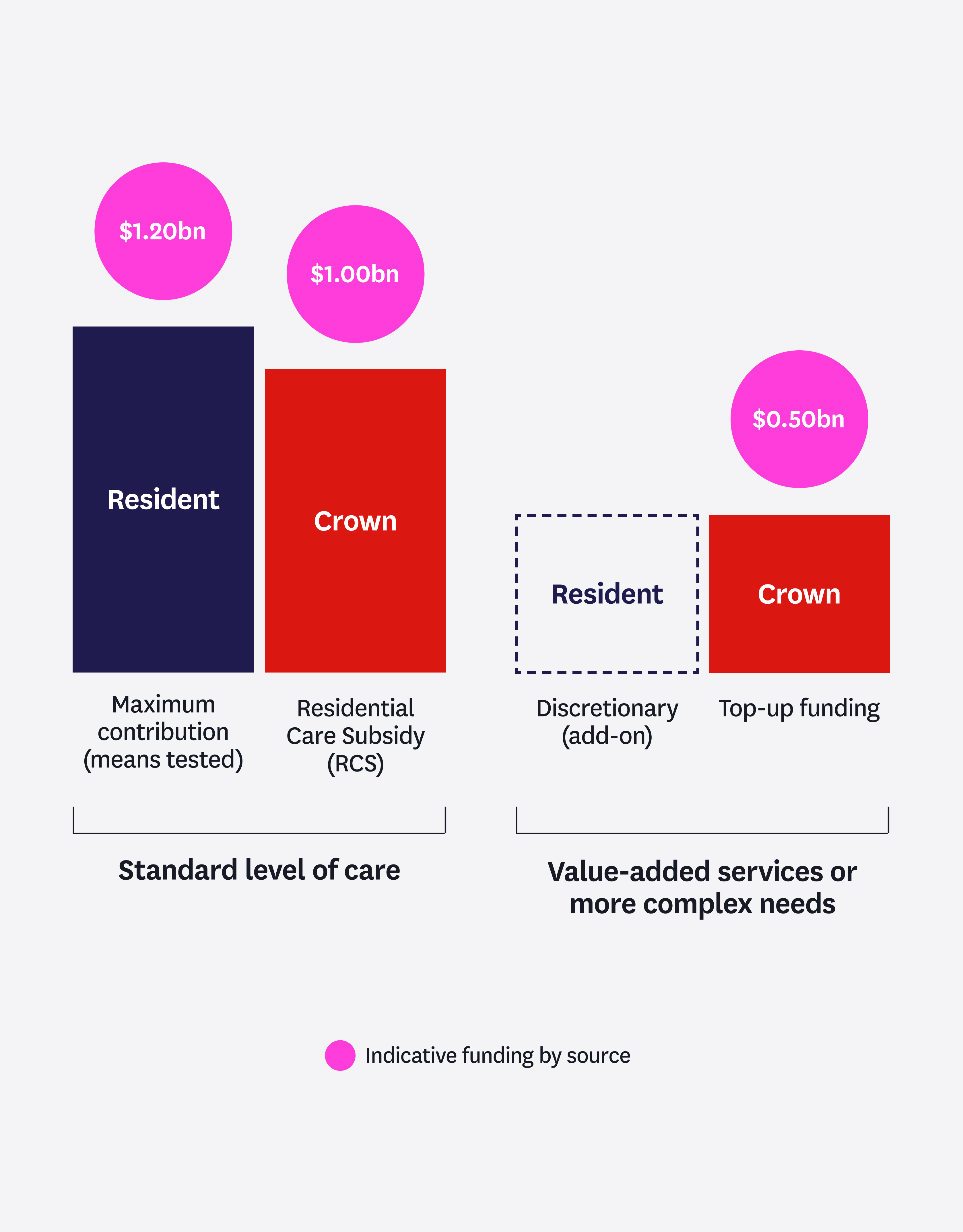
Overall, New Zealand's ARC sector operates as a centrally funded, contract-based system that combines standardised public funding with flexibility for higher care needs and private choice.

Figure 1: High level ARC model



Source: Treasury, IRD, Health NZ, ACC, Westpac

Figure 2: Composition of ARC funding



Source: Treasury, Health NZ, Westpac

Shape of ARC provision.

ARC services are delivered by a diverse mix of providers, including large charitable organisations, national for-profit corporates (listed and privately owned), medium-sized regional operators, and small independent providers (see Appendix A for further detail on provider types, market structure, and how ARC in New Zealand compares to its peer group).

Despite ongoing consolidation, the sector remains fragmented. Large corporate providers have expanded their market share over time but still account for only around half of total ARC bed capacity. Mid-sized and smaller providers remain important, representing about one-third of capacity. Many operate in regional and community-based markets, reflecting the sector's diverse ownership base and its fragmented structure.

ARC delivery in New Zealand remains centred on traditional care models. Around three-quarters of all beds are in rest home and hospital-level care, indicating that these services continue to dominate. This is beginning to change, with capacity having to adjust to increased demand for dementia and psychogeriatric care. Already these levels of care account for more than one-quarter of total capacity, with most services provided by generalist rather than specialist operators.

Table 3: ARC concentration by type of provider

Provider type	Estimated operational beds (number)	Market share (%)*
Listed, large corporates	9,000-9,500	22%-23%
Private, large corporates	9,500-11,500	23%-28%
Large not-for-profit/charitable providers	4,500-6,000	11%-15%
Private, medium-sized chains	7,000-8,500	17%-21%
Small independent/single-site operators	5,500-7,000	13%-17%
High-acuity specialist providers	1,000-1,500	2%-4%
Total (beds)	**41,500**	

Source: Health NZ, Ministry of Health, NZ Aged Care Association, and company disclosures.

* Ranges overlap and should not be summed.

Table 4: ARC concentration by level of care

Care level	Providers (number)	Estimated operational beds (number)*	Market share (%)
Rest home	640	17,000	41%
Hospital	440	13,500	33%
Dementia	260	8,000	19%
Psychogeriatric	90	3,000	7%
Total (beds)		**41,500**	**100%**

Source: Health NZ, Ministry of Health, NZ Aged Care Association, Grant Thornton, BDO, BERL.

* This is a capacity estimate, not occupied beds. Public sources often report "care beds", "care units" or "care beds and suites", not strictly "operational beds".

Business models.

A defining feature of the ARC sector is the coexistence of two distinct business models: village-linked and standalone providers. While both operate within the same regulatory and funding environment, they differ significantly in their revenue sources, profitability, access to capital, and capacity for growth (see Appendix B for further detail).

Village-linked providers.

Village-linked providers are typically larger operators that combine retirement villages with ARC services, often offering a continuum of care across rest home, hospital, dementia, and, in some cases, psychogeriatric services. The integration of retirement villages can provide a pipeline of future care residents while also creating access to a source of capital that is largely unavailable to standalone providers.

The model is built around the Occupation Right Agreement (ORA), under which residents pay an upfront capital sum for the right to occupy a retirement village unit. The value of ORAs is influenced by local housing market conditions, as many residents fund their move into retirement village living through the sale of their home. When residents leave or pass away, operators typically retain a Deferred Management Fee (DMF), normally between 25% to 30% of the original ORA value, with the balance repaid to the resident or their estate.

The village-linked model generates multiple revenue streams, including DMF income, village service fees, development profits, and, where market conditions allow, ORA relicensing gains. Relicensing gains arise when a unit is relicensed to a new resident at a higher ORA value than the previous agreement. Historically, most of these gains have accrued to operators, although some providers now share a portion of the gain with residents or their estates. Examples include Vivid Living and Karaka Pines. Together, these property-related income streams support capital investment and expansion.

Based on listed-provider disclosures and industry estimates, ORA and DMF-related capital can contribute around 50% to 70% of funding for capacity expansion projects, with bank debt typically providing a further 20% to 40%, and the balance sourced from equity and operating cash flow. Strong resident-funded cash flows generally enhance borrowing capacity and support ongoing redevelopment and growth.

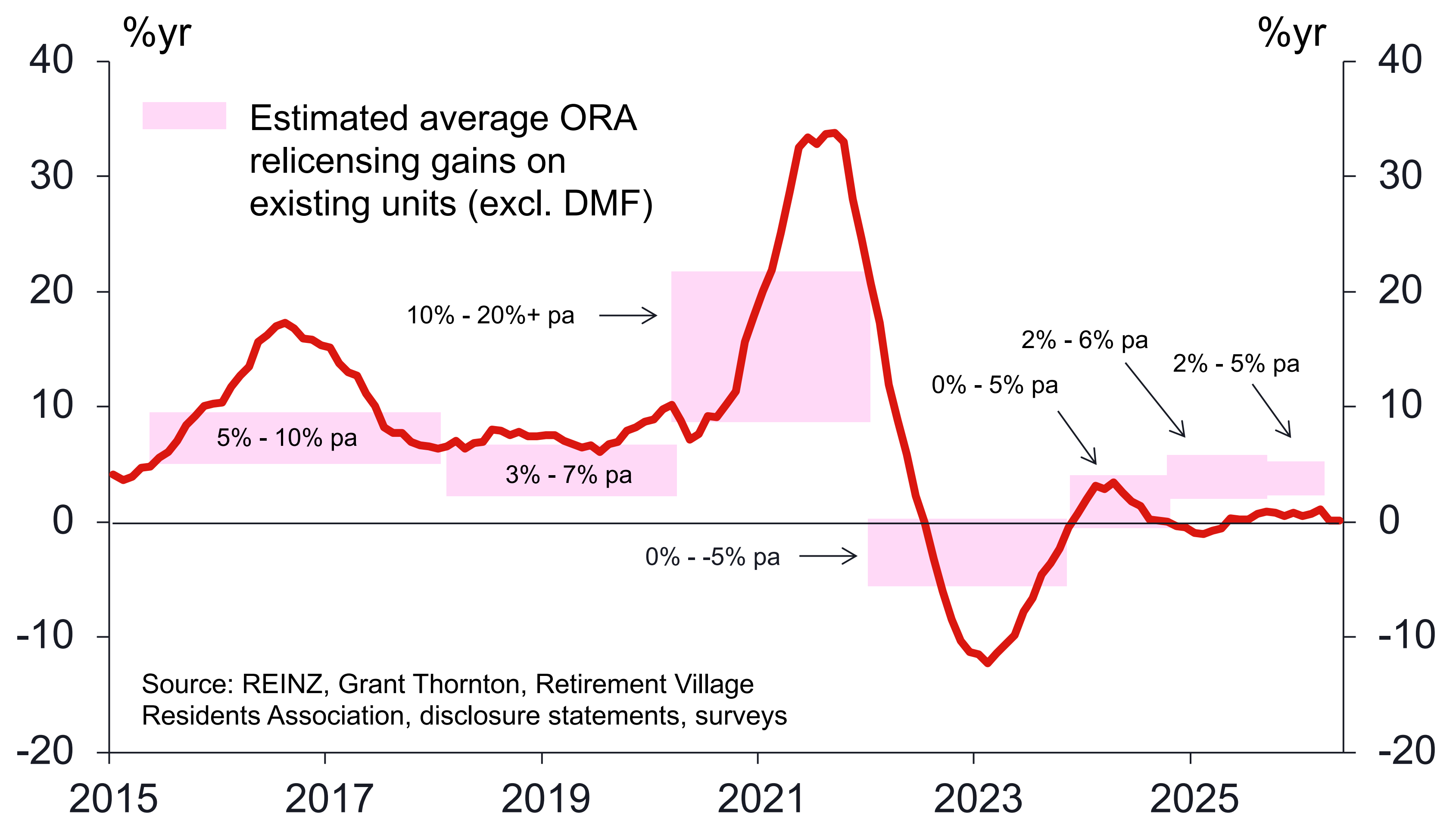
As a result, village-linked providers account for a significant share of new retirement villages and aged care developments built over the past decade.

Table 5: Operators by business model/care level

Care level	Village-linked (number)	Standalone (number)
Rest home	190	450
Hospital	170	270
Dementia	110	150
Psychogeriatric	20	70

Source: Health NZ, Ministry of Health, NZ Aged Care Association, Grant Thornton, BDO, BERL.

Figure 3: House prices and ORA relicensing gains



Standalone providers.

Standalone providers operate a more care-focused model and are generally smaller organisations operating a single facility or regional network. Revenue is derived primarily from government-funded care payments, accommodation supplements and charges, resident contributions, and premium accommodation or service fees.

Unlike village-linked providers, they do not benefit from ORA sales, DMF income, retirement village service fees, or village development profits, making financial performance more dependent on occupancy, workforce management, quality of care, regulatory compliance, and cost control.

The absence of retirement village capital significantly affects the ability of standalone operators to expand capacity. Industry estimates suggest that standalone providers typically rely on bank debt for around 40% to 70% of development funding, supplemented by equity, retained earnings, donations, grants, or asset recycling. With operating margins often tighter and government funding primarily directed towards care delivery rather than capital investment, access to growth capital is generally more constrained.

Expanding development capacity.

In practical terms village-linked providers typically have 2 to 4 times greater development capacity per dollar of equity than their standalone counterparts.

Table 6: Source of funding for capacity expansion

Source	Village-linked (% range)	Standalone (% range)
ORA/DMF	50% to 70%	0%
Bank debt	20% to 40%	40% to 70%
Equity capital	5% to 30%	10% to 30%
Operating cashflow	5% to 15%	10% to 25%
Asset sales/other sources	0% to 10%	0% to 15%

Source: Listed-provider annual reports, financial statements, industry reports (Grant Thornton, JLL, CBRE).

Drivers of demand.

According to Health NZ modelling and industry data, there were approximately 33k to 35k people living in aged residential care in 2023/24. Resident numbers have increased only modestly over the past decade, while they have declined as a share of the population aged 65 years and over. This reflects rapid growth in older age cohorts, later entry into residential care, and expanded home and community support services that enable many older people to remain independent for longer.

Nevertheless, population ageing remains the key driver of ARC demand. Although age-specific utilisation rates have declined and people are entering care at older ages, strong growth in the population aged 85 years and over is more than offsetting these trends, resulting in continued growth in overall demand for residential care.

The nature of demand is also changing. Traditional rest home care has shown little growth over the past decade, while hospital, dementia, and psychogeriatric care have expanded more rapidly. This reflects increasing resident frailty, multiple chronic conditions, cognitive impairment, and greater clinical complexity. Expanded home and community-based support services enable many people to remain at home longer, but those entering care increasingly require higher-acuity services that cannot be safely delivered in the community.

As a result, a growing share of ARC activity is concentrated in higher-acuity settings. Broader pressures across the health system, including the discharge of medically stable older patients who cannot safely return home, are reinforcing demand

Figure 4: ARC residents by level of care

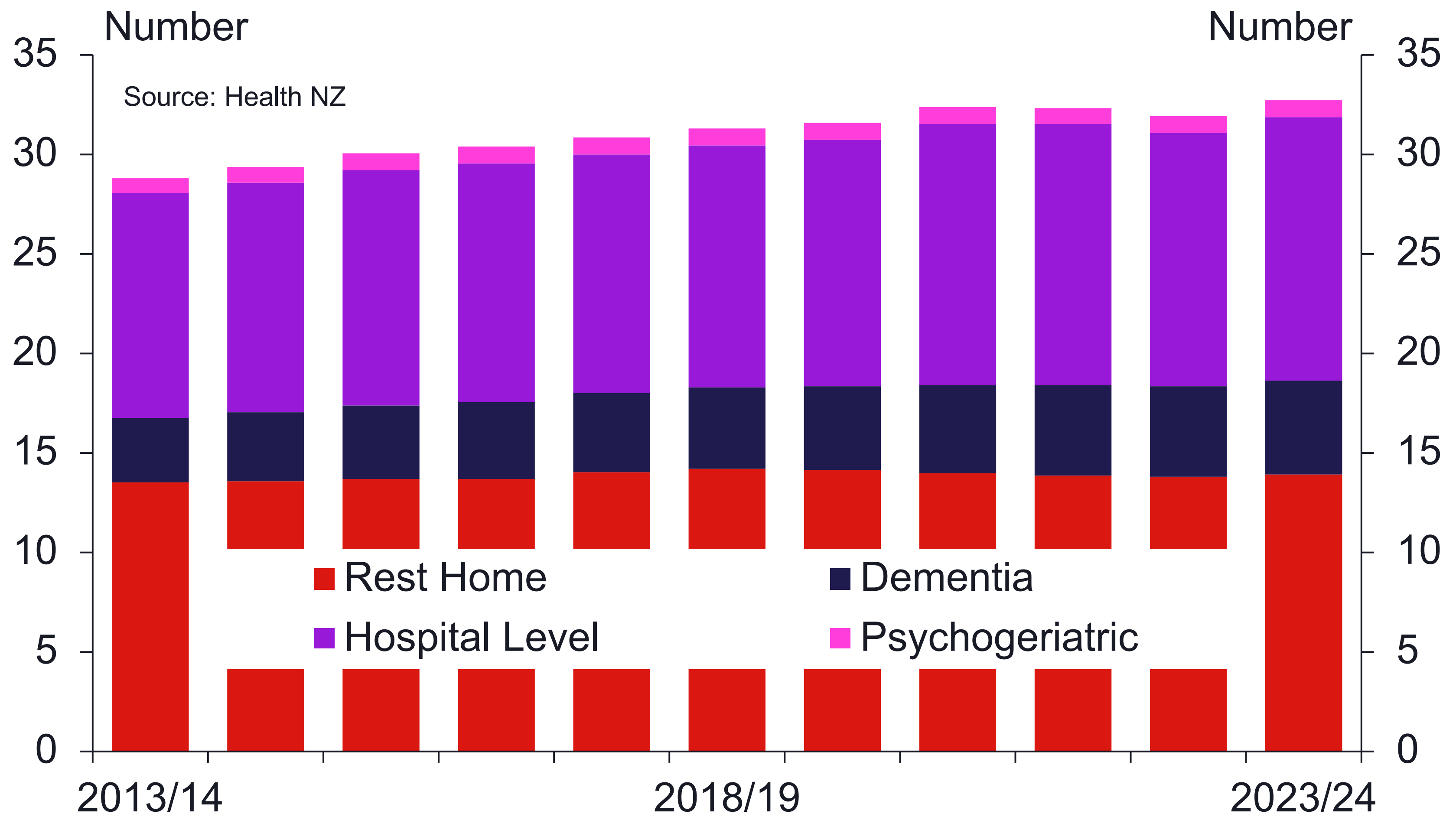


Figure 5: Population demographics

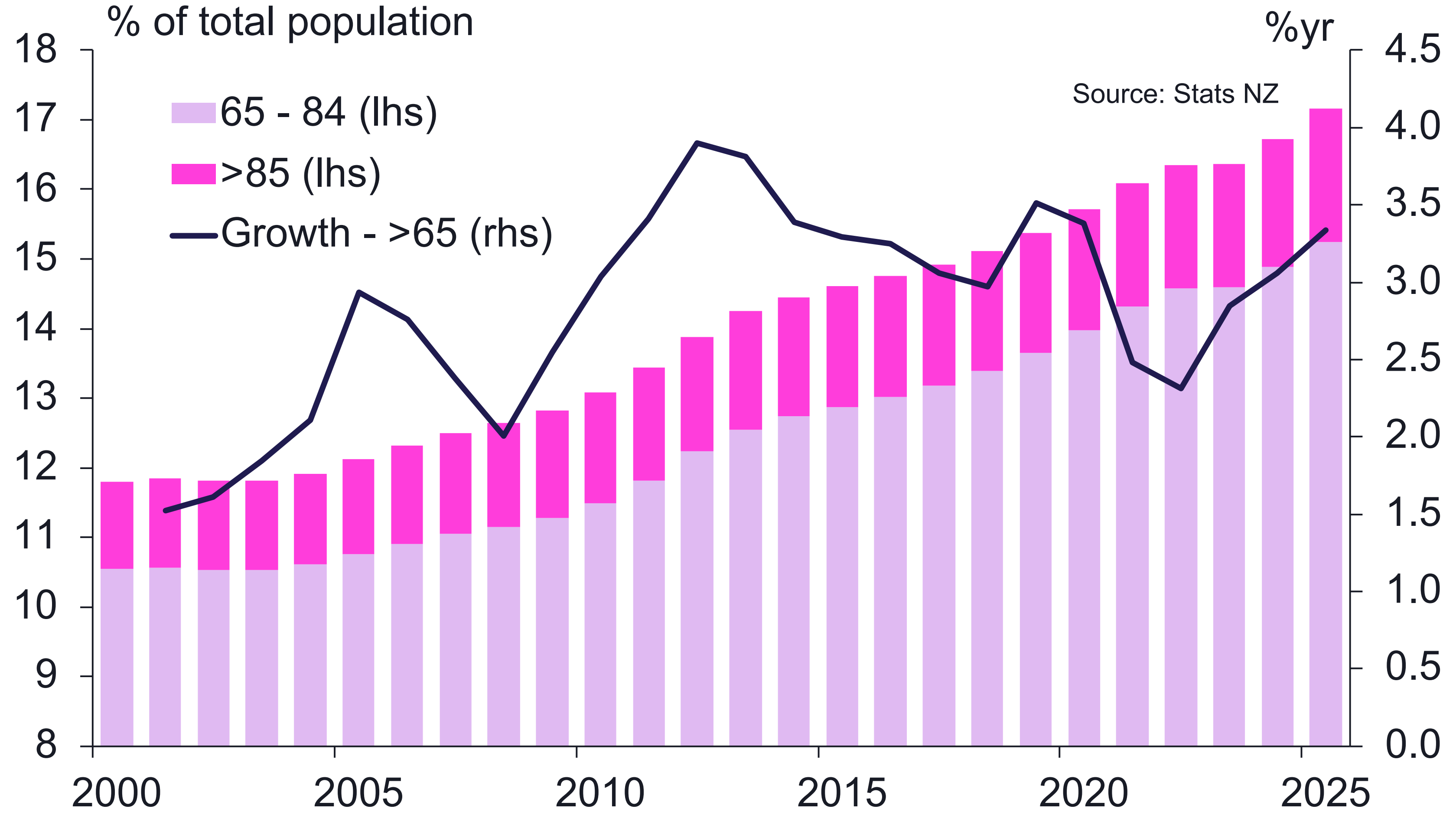
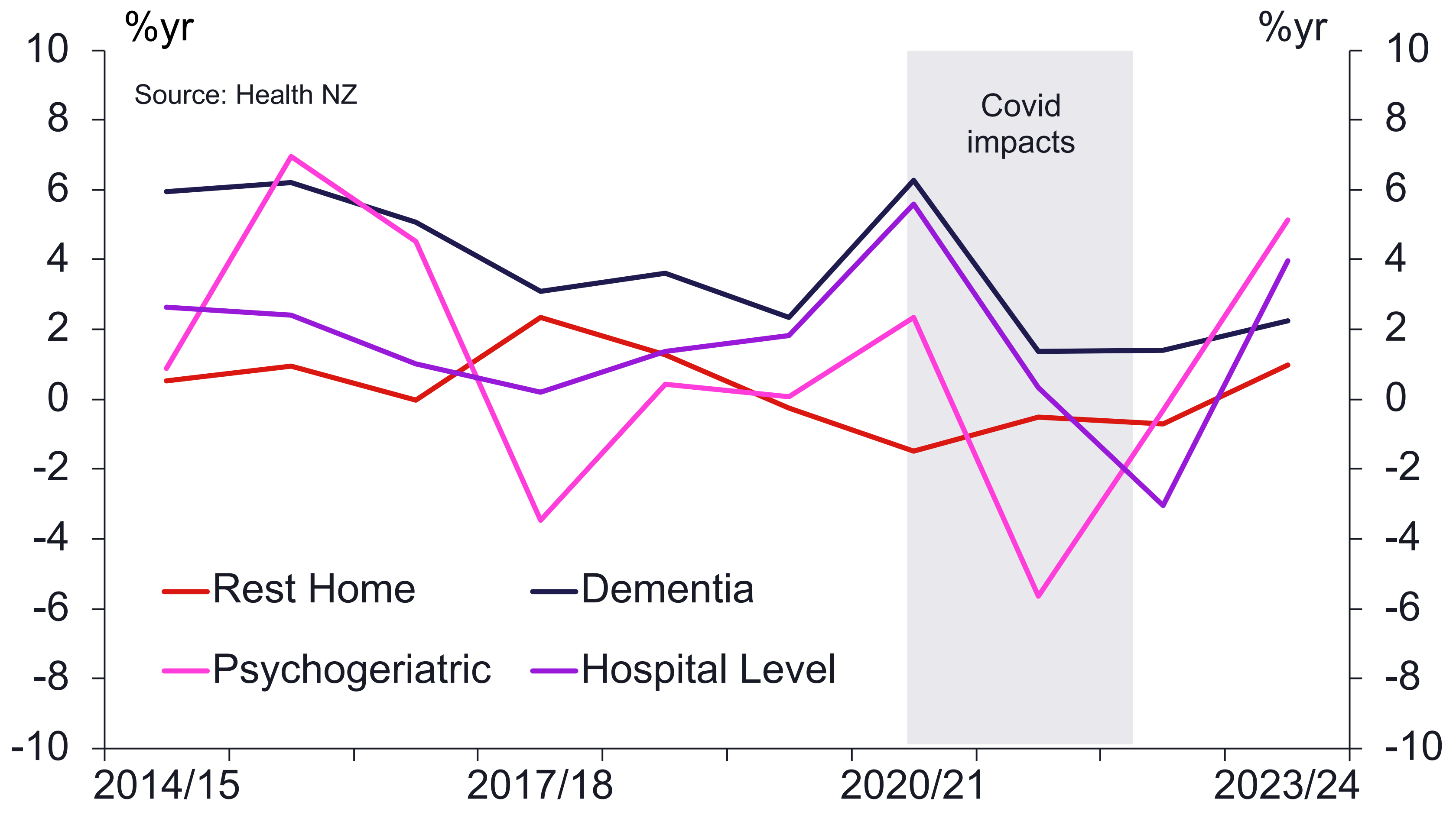


Figure 6: Growth in ARC residents by level of care



for hospital, dementia, and psychogeriatric care, while growth in lower-acuity rest home care remains relatively subdued.

Funding.

Total sector funding rose to just over $2.7bn in 2025, comprising around $1.5bn from RCS and Crown top-ups and $1.2bn from residents. Funding has increased by about 4% annually since 2010, driven by population ageing, resident growth, and increasing care complexity. However, after adjusting for inflation, funding per resident has grown by only around 0.7% per year, indicating much of the increase has been absorbed by rising costs and higher care needs.

In line with demand, funding growth has increasingly been directed toward residents with more complex needs. Crown top-up funding for hospital, dementia, and psychogeriatric care has grown faster than standard RCS payments, reflecting the trend of people entering care later in life with greater frailty, cognitive impairment, and clinical complexity. Resident contributions have also increased steadily, supported by growing demand and greater uptake of premium accommodation and additional services.

Hospital-level care receives the largest share of ARC funding, accounting for just over $1.2bn in 2025, followed by rest home care at around $900m, dementia care at approximately $500m, and psychogeriatric care at about $110m. Between 2014 and 2025, funding for dementia care increased by 134%, hospital care by 94%, psychogeriatric care by 72%, and rest home care by 30%. In real terms,

Figure 7: ARC funding by source (nominal and real)

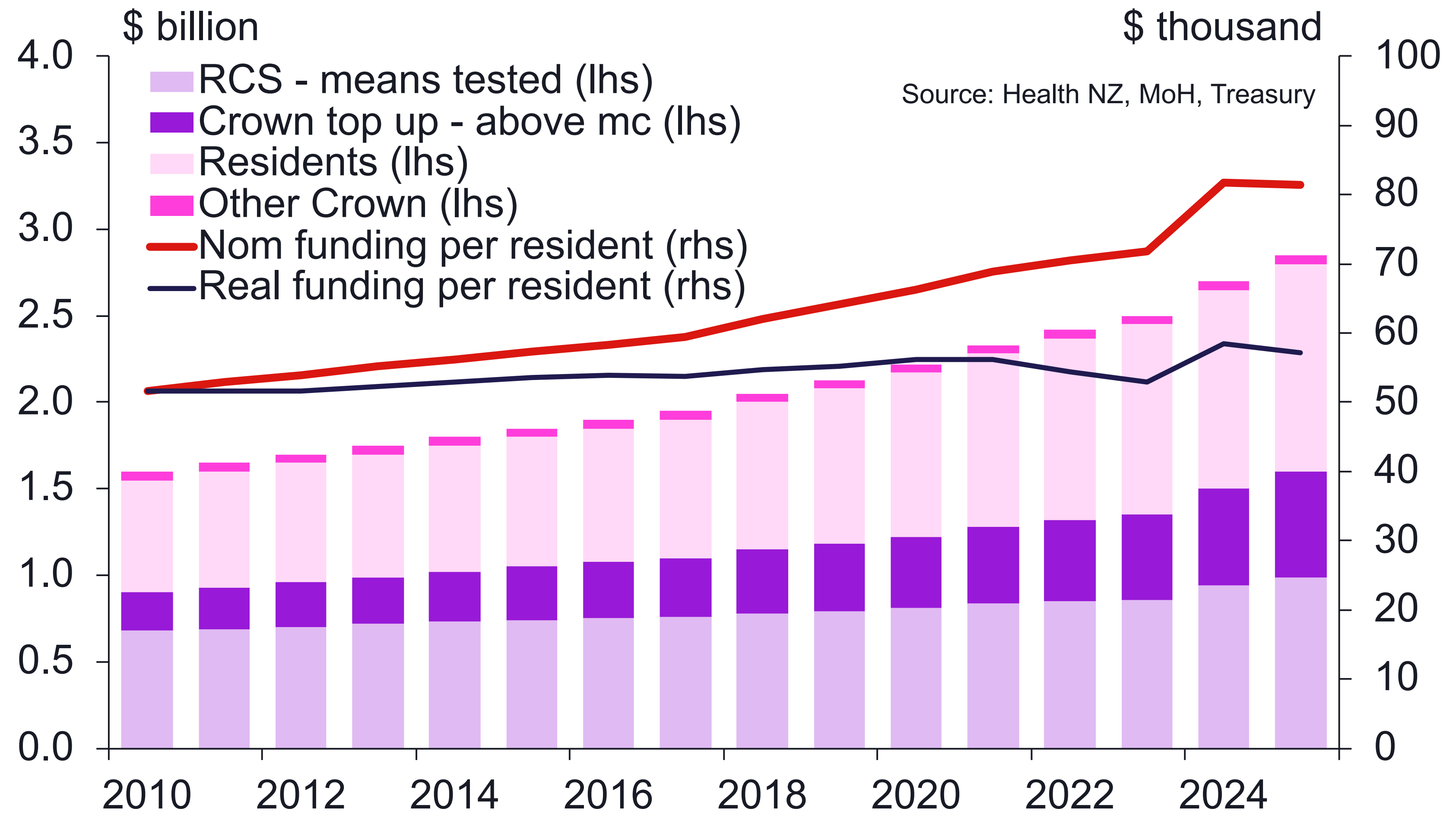


Figure 8: ARC funding by source

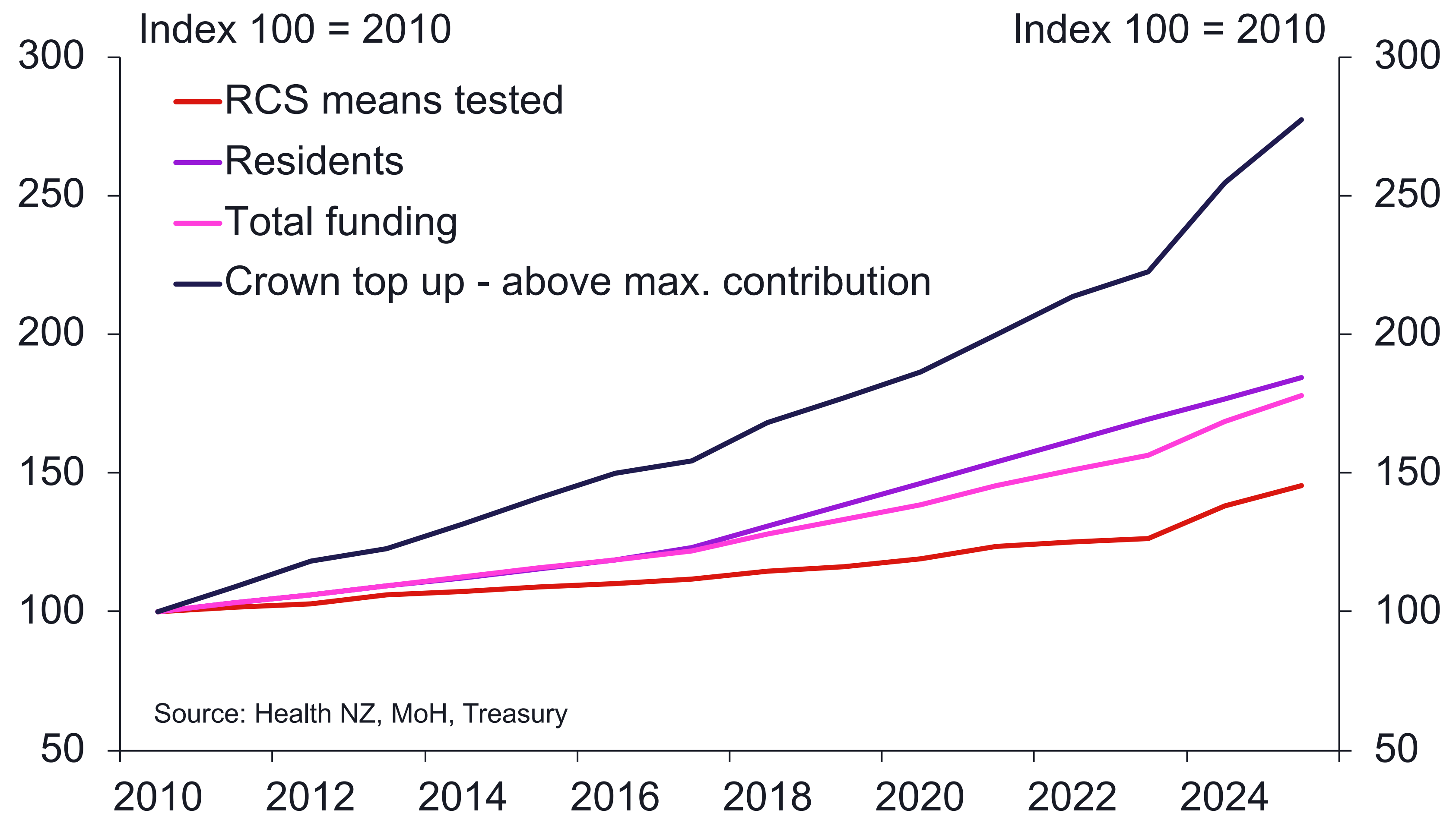
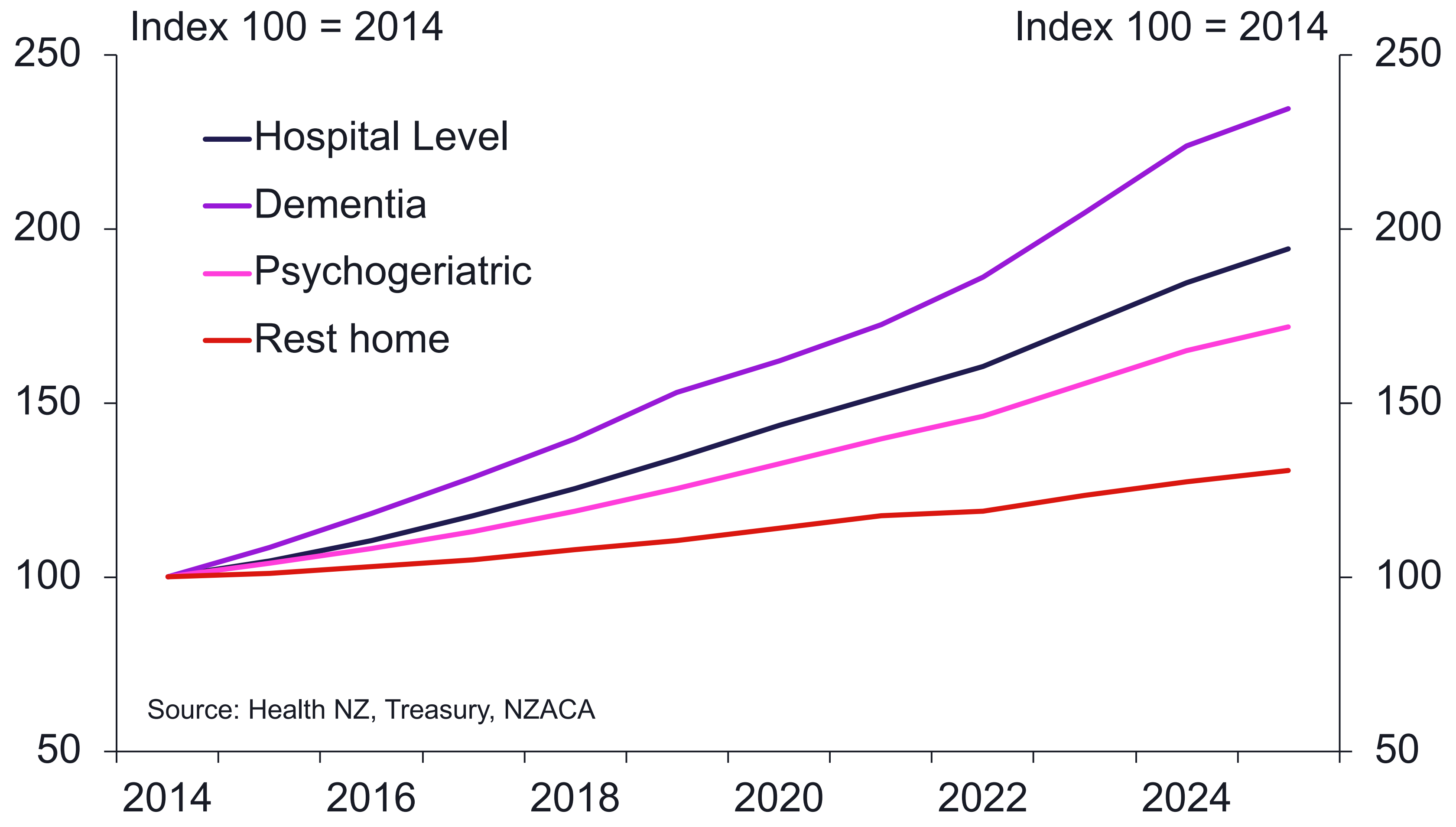


Figure 9: ARC funding by level of care



dementia and hospital care recorded the strongest growth, while rest home funding was broadly flat to slightly lower. These trends highlight the ongoing shift in sector resources toward more specialised and clinically intensive services as resident acuity increases.

Costs of delivery.

The cost of delivering ARC continues to rise and is widely viewed as outpacing available funding. Total sector expenditure was estimated at $3.36bn in 2025, comprising $2.0bn in operating costs and about $1.4bn in capital investment, largely for new developments, refurbishments, and equipment. Since 2014, both operating and capital expenditure have increased by just over 4% annually, reflecting growing demand, higher resident acuity, and ongoing investment in facilities.

Hospital-level care accounted for the largest share of expenditure in 2025 at approximately $1.5bn followed by rest home care ($1.1bn), dementia care ($0.6bn), and psychogeriatric care ($0.1bn). Dementia care recorded the fastest growth, with costs increasing by an estimated 162% between 2014 and 2025, reflecting both rising demand and the resource-intensive nature of dementia services. Hospital-care costs have also increased strongly as residents enter care later in life with more complex clinical needs.

Labour remains the sector's largest cost and has risen substantially due to pay-equity settlements, workforce shortages, reliance on agency staff, rising resident acuity, and Covid-related pressures. Depreciation and clinical costs have also

Figure 10: ARC delivery costs by level of care

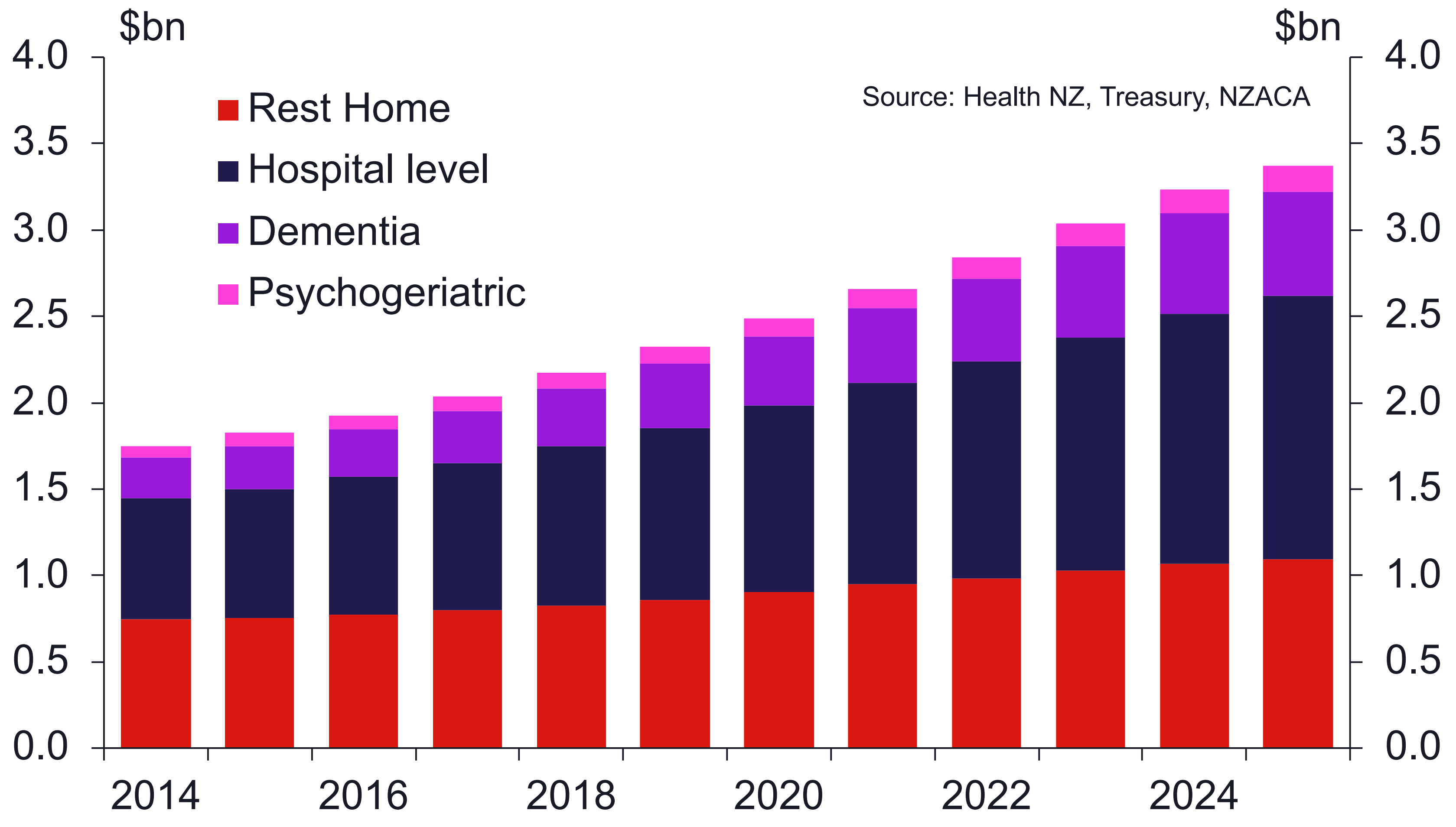


Figure 11: ARC delivery costs by level of care (indexed)

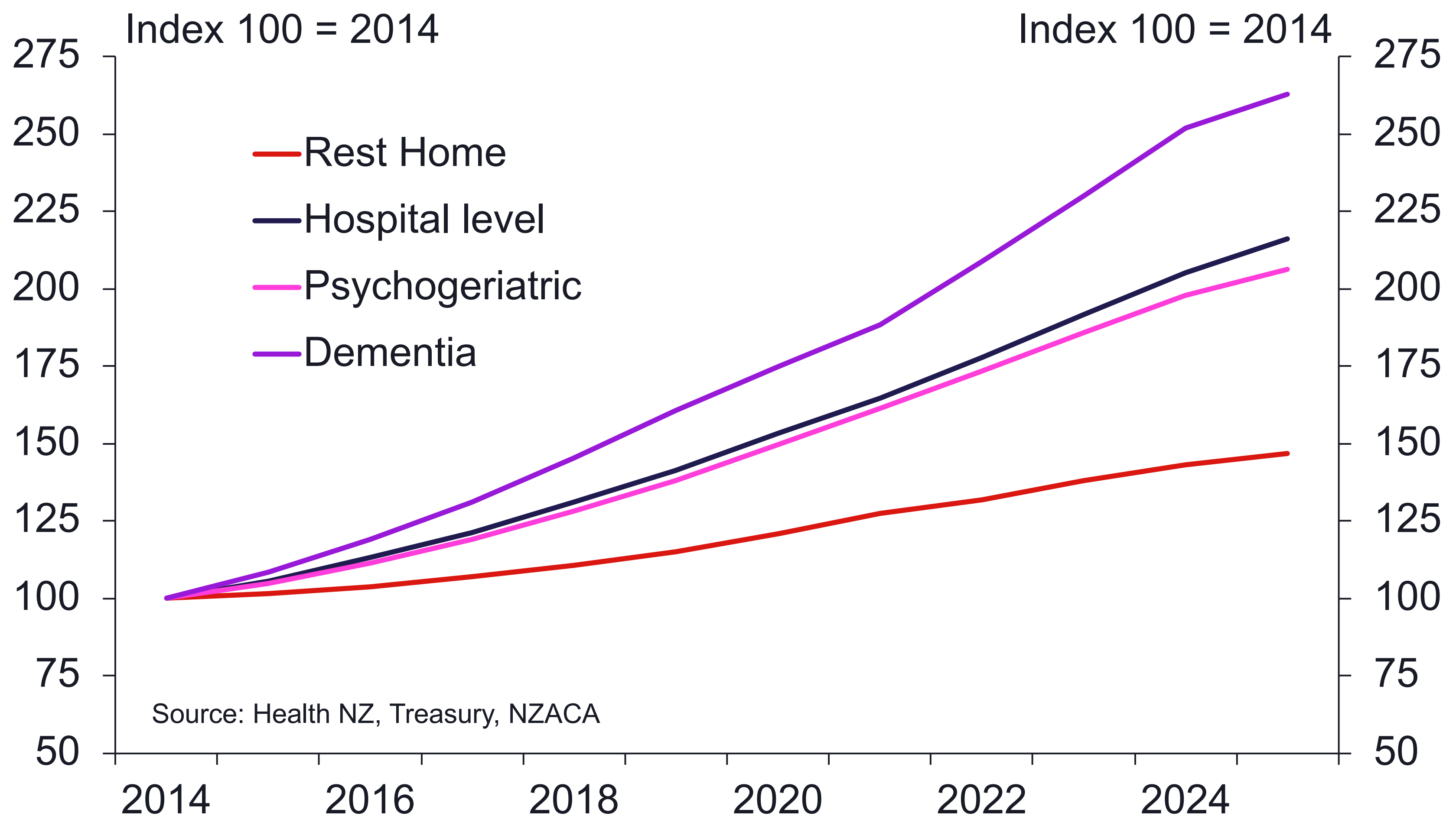
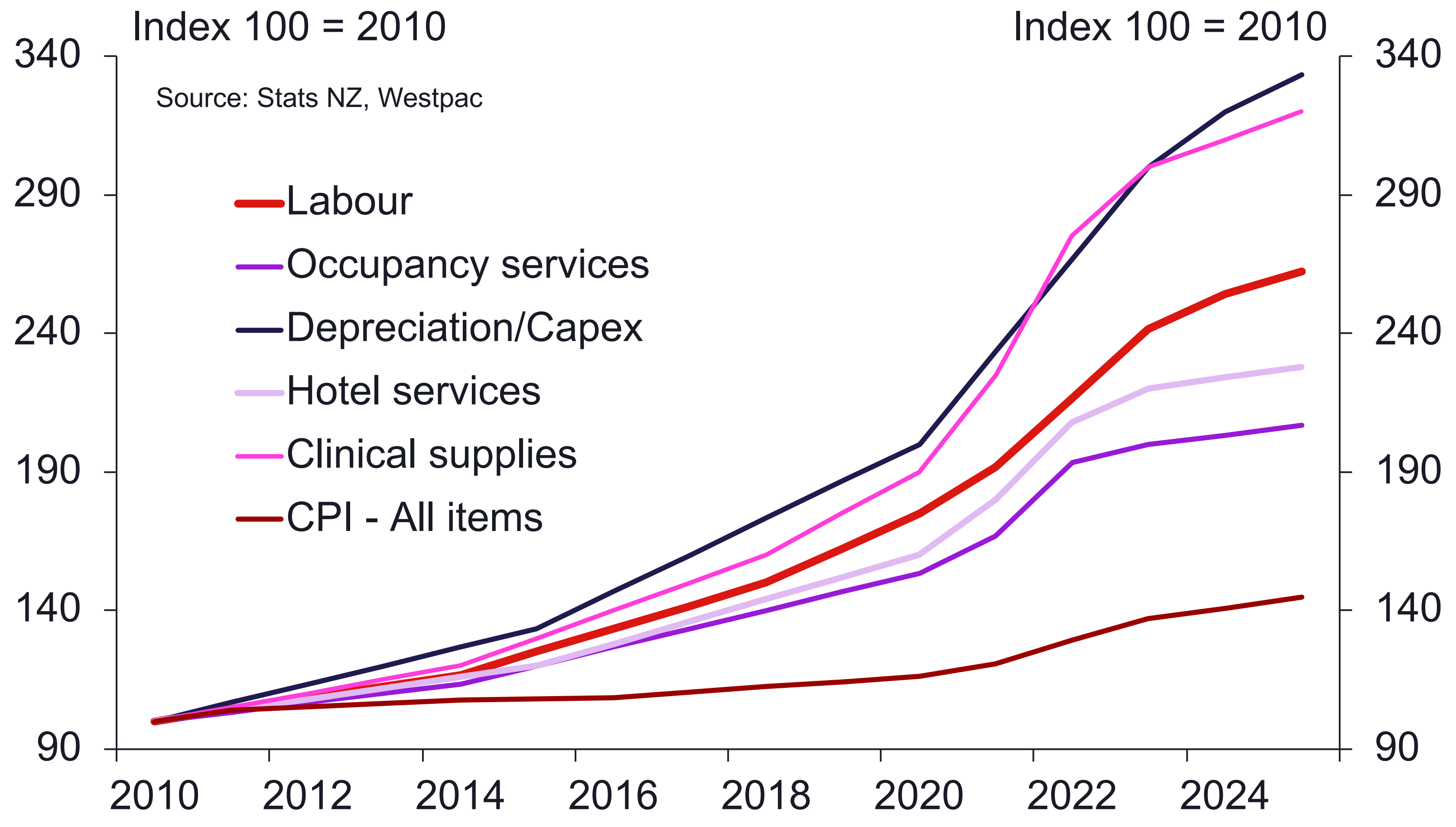


Figure 12: ARC cost price indices



increased, driven by investment in new facilities, refurbishments, compliance requirements, infection control, and more complex care delivery.

Other operating expenses, including utilities, cleaning, laundry, maintenance, food services, and resident amenities, have also risen, easily outstripping headline inflation. Cost pressures were particularly acute during 2021 to 2022 due to inflation, higher energy prices, wage growth, and pandemic-related disruption. Although cost growth has moderated as inflation and labour market pressures have eased, significant structural pressures remain.

Funding gap.

Collectively, these pressures have contributed to an estimated sector funding gap of around $650m in 2025, up from $166m in 2014, highlighting the ongoing challenge of maintaining financial sustainability while meeting increasingly complex care needs. The gap reflects a persistent mismatch between government funding and the actual cost of care, with labour, clinical, compliance, insurance, and capital costs generally rising faster than funding over the past decade.

This funding shortfall spans all levels of care, with estimated deficits of approximately $290m in hospital care, $215m in rest home care, $110m in dementia care, and $35m in psychogeriatric care. Hospital and rest home services account for the largest share of the gap because they represent most sector capacity, while dementia and psychogeriatric services face particularly acute cost pressures, with residents requiring more complex and expensive clinical care as well as higher staffing requirements.

The funding gap has widened substantially over time. We estimate the sector-wide deficit has increased by around 290% since 2014, reflecting a persistent divergence between funding growth and the rising cost of delivering care. While later entry into residential care has concentrated residents with higher and more complex needs, labour, clinical, compliance, insurance, and capital costs have also increased faster than funding. This trend raises concerns about the long-term sustainability of the sector, as a continuing and widening funding gap may reduce providers' ability to reinvest, expand capacity, and meet growing demand.

Having said that, the rate at which this funding gap has grown in recent years has slowed. Wage-linked indexation, targeted funding uplifts, and more responsive price-setting mechanisms have improved funding outcomes, while easing inflationary pressures and labour shortages have tempered cost growth. Even so, the underlying funding imbalance remains unresolved, meaning financial sustainability challenges are likely to persist without further structural changes to funding arrangements.

Figure 13: Gap between ARC funding and costs

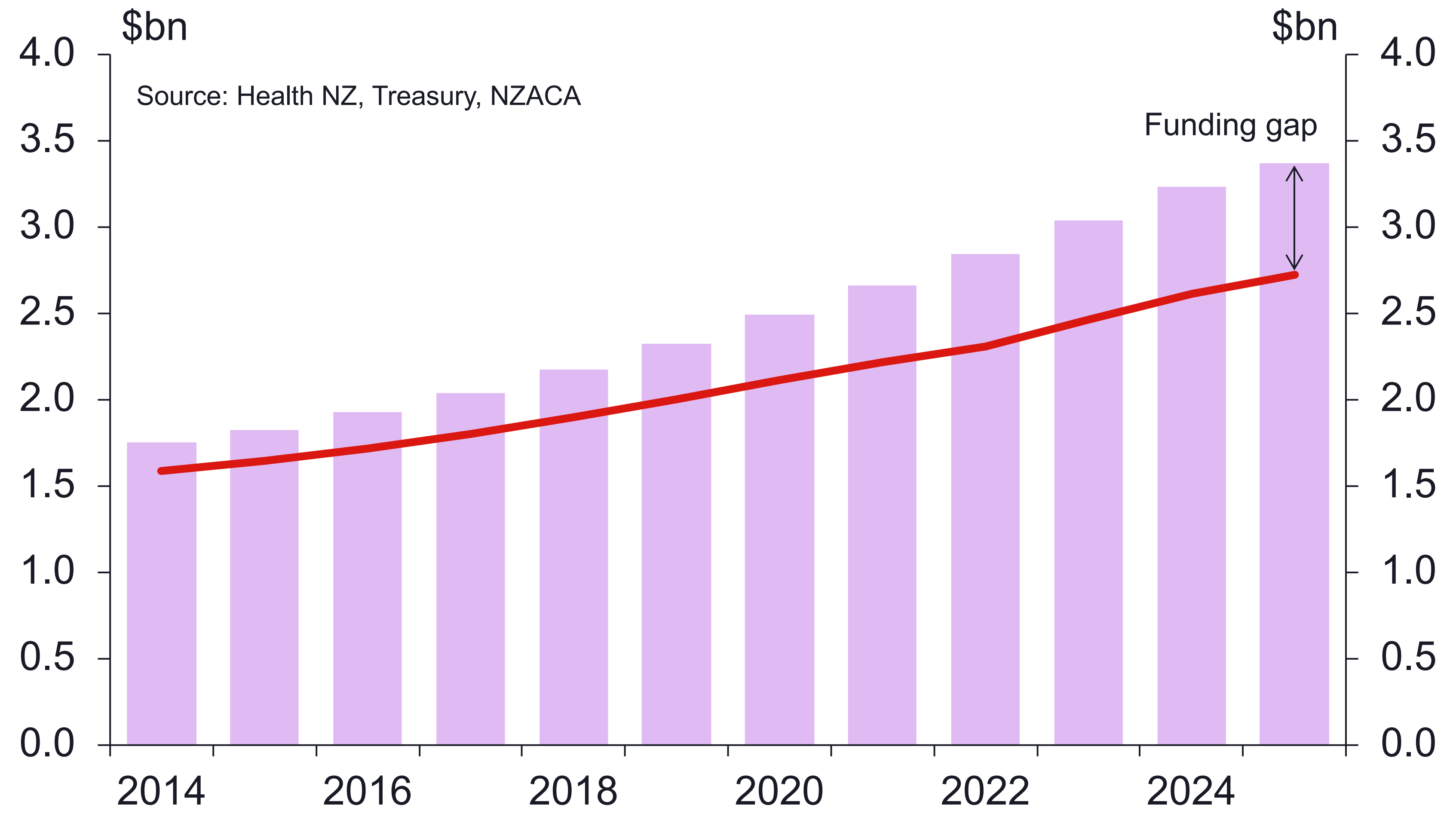
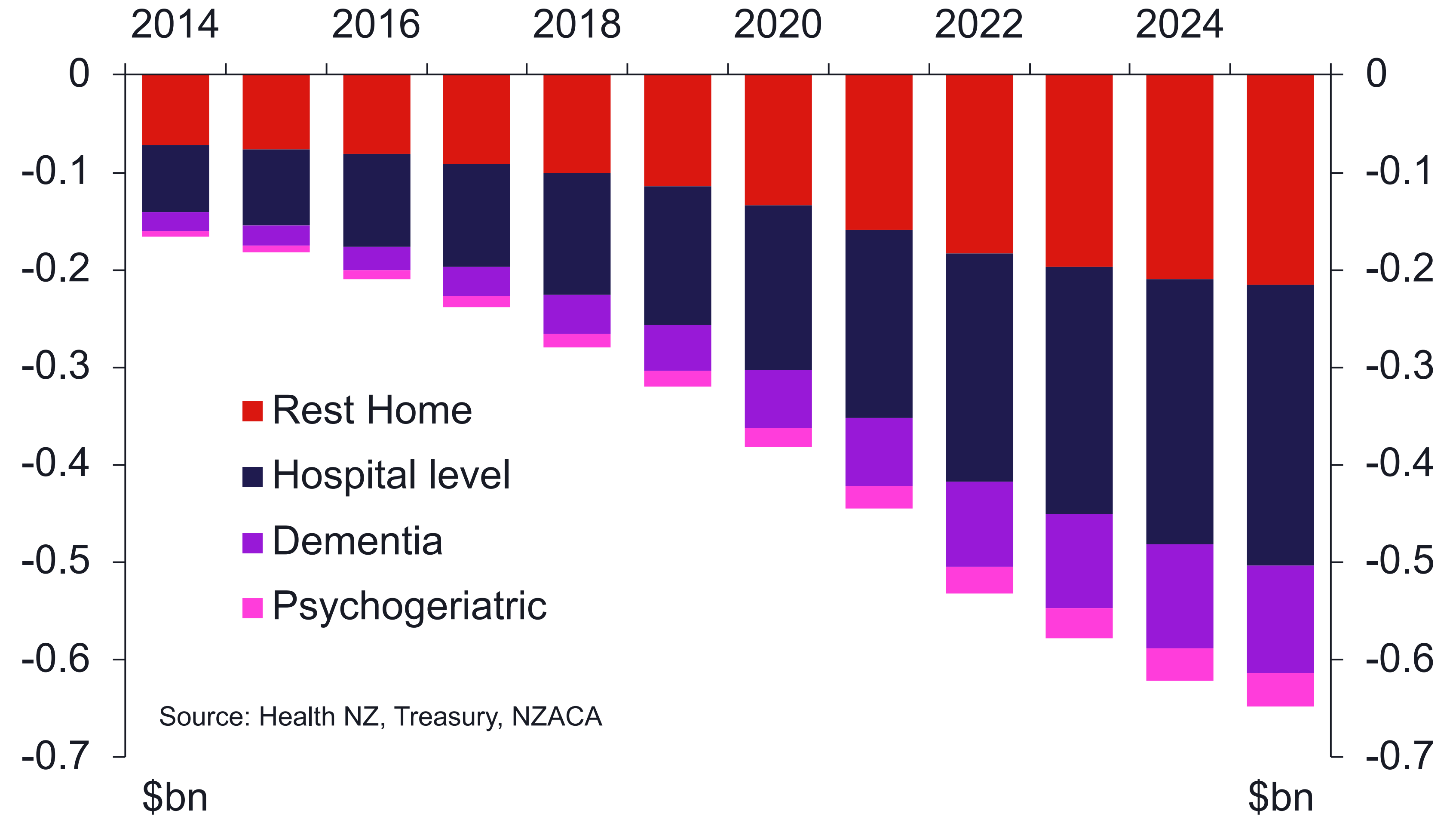


Figure 14: Gap between ARC funding and delivery costs by level of care



Closing the gap.

ARC providers are responding to funding pressures through a combination of revenue diversification, operational efficiencies, and service adaptation. Village-linked providers benefit from retirement village income streams, including DMFs, ORA relicensing gains, and development profits, which support care operations and investment in new facilities. Both village-linked and standalone providers also generate additional revenue through premium accommodation and in the case of the former, care suites.

Some providers are looking to achieve productivity gains through technology, procurement savings, shared services, workforce optimisation, and scale efficiencies. Many are also increasing capacity in hospital, dementia, and psychogeriatric care to meet growing demand from residents with more complex needs. However, funding growth has generally not kept pace with rising labour, clinical, compliance, and capital costs, leading some providers to defer refurbishments, developments, or capacity expansion.

While these measures help improve financial sustainability and adapt services to changing demand, most providers view them as insufficient to fully address the sector's underlying funding gap.

Consequently, the sector continues to advocate for funding arrangements/reforms that better reflect the cost of care delivery and support future capacity growth. Coverage includes the modernising of the funding model, increasing support for capital investment, improving funding transparency, the reviewing of cost sharing arrangements between residents and government, and the changing of regulatory settings to reduce compliance costs.

ORA is big business.

Using public domain information, we estimate that ORA generated from annual unit sales (circa 8,000 at an average price of $600k) is worth about $5bn a year to retirement village operators.

Profitability.

The ongoing challenge of delivering residential care on a financially sustainable basis is shown in table 7. Care-related revenue, including government funding, resident contributions, premium room charges, and ancillary services, is often insufficient to fully cover operating costs, particularly in hospital and psychogeriatric care where clinical, staffing, and compliance requirements are greatest. As a result, care-only margins are frequently negative or only marginally positive.

Financial performance therefore depends heavily on provider business models. Village-linked operators can supplement care revenue through property-related income streams, including DMFs, ORA (new sales and relicensing gains), development profits, and village service fees. These revenue sources can offset care deficits and, for many operators, contribute more to overall profitability than care services themselves. That said, with the funding gap having expanded over time, village-linked operators have become less inclined to divert profits from their village operations, resulting in new villages being designed with a lower proportion of care units than historically has been the case, which means fewer care units available in the future to meet rising demand.

This doesn't apply to standalone providers that are typically more reliant on government funding and accommodation payments, leaving them more exposed to rising costs and funding pressures.

Performance also varies between care types. Hospital and psychogeriatric services generally face the strongest margin pressure because of higher staffing ratios and resident acuity. Dementia care is similarly resource intensive, although specialised service offerings and accommodation charges may partially offset costs. Rest home care tends to have lower clinical intensity and therefore faces less financial pressure than higher-acuity services.

Providers have increasingly relied on accommodation supplements and premium room charges to support viability, with a substantial majority of residents now making some form of accommodation contribution. To that end, transferring a greater share of costs to residents improves provider sustainability.

Overall, the figures reinforce a key sector trend: while aged residential care is fundamentally a care-based service, the financial sustainability of many providers – particularly village-linked operators – depends on access to diversified revenue streams. Property-related income has become increasingly important for funding investment, maintaining service quality, expanding capacity, and bridging the gap between the cost of care and government-funded revenues.

Table 7: Indicative ARC financials by level of care*

Item ($ per bed per day)	Total ARC	Rest home	Hospital	Dementia	Psychogeriatric
Total care funding	100 to 108	78 to 86	88 to 102	82 to 96	78 to 92
Premium/extra services	6 to 10	6 to 10	3 to 7	10 to 8	3 to 7
Respite/ancillary	3 to 5	3 to 5	2 to 5	2 to 5	1 to 4
Operating revenue (care-side only)	109 to 123	87 to 101	93 to 114	94 to 119	82 to 103
Operating costs (care-side attributable)	115 to 129	102 to 116	112 to 130	110 to 128	112 to 132
Care-only profit	-20 to -6	-15 to -1	-22 to -6	-18 to -4	-30 to -10
ORA/DMF income	20 to 28	15 to 22	18 to 28	15 to 24	N/A
Development/resale margin	6 to 12	3 to 8	4 0	4 to 10	N/A
Village fees (net)	6 to 10	6 to 9	6 to 10	6 to 10	N/A
Property + other uplift	22 to 34	23 to 39	20 to 34	24 to 40	N/A
Total operating profit	**2 to 28**	**8 to 38**	**-2 to 28**	**6 to 36**	

Sources: Health New Zealand, Ministry of Health, NZ Aged Care Association, provider disclosures and industry analysis.

* Figures are indicative estimates only and should not be interpreted as actual provider-level results. Financial performance varies materially by occupancy, location, scale, ownership structure, care mix, and retirement village integration. Care-only profitability is often negative, with many village-linked providers relying on retirement village-related income streams to support the overall economics of aged care provision.

Basis of competition.

While village-linked and standalone providers operate within the same funding and regulatory environment, they typically compete in different segments because their business models, revenue sources, and access to capital differ.

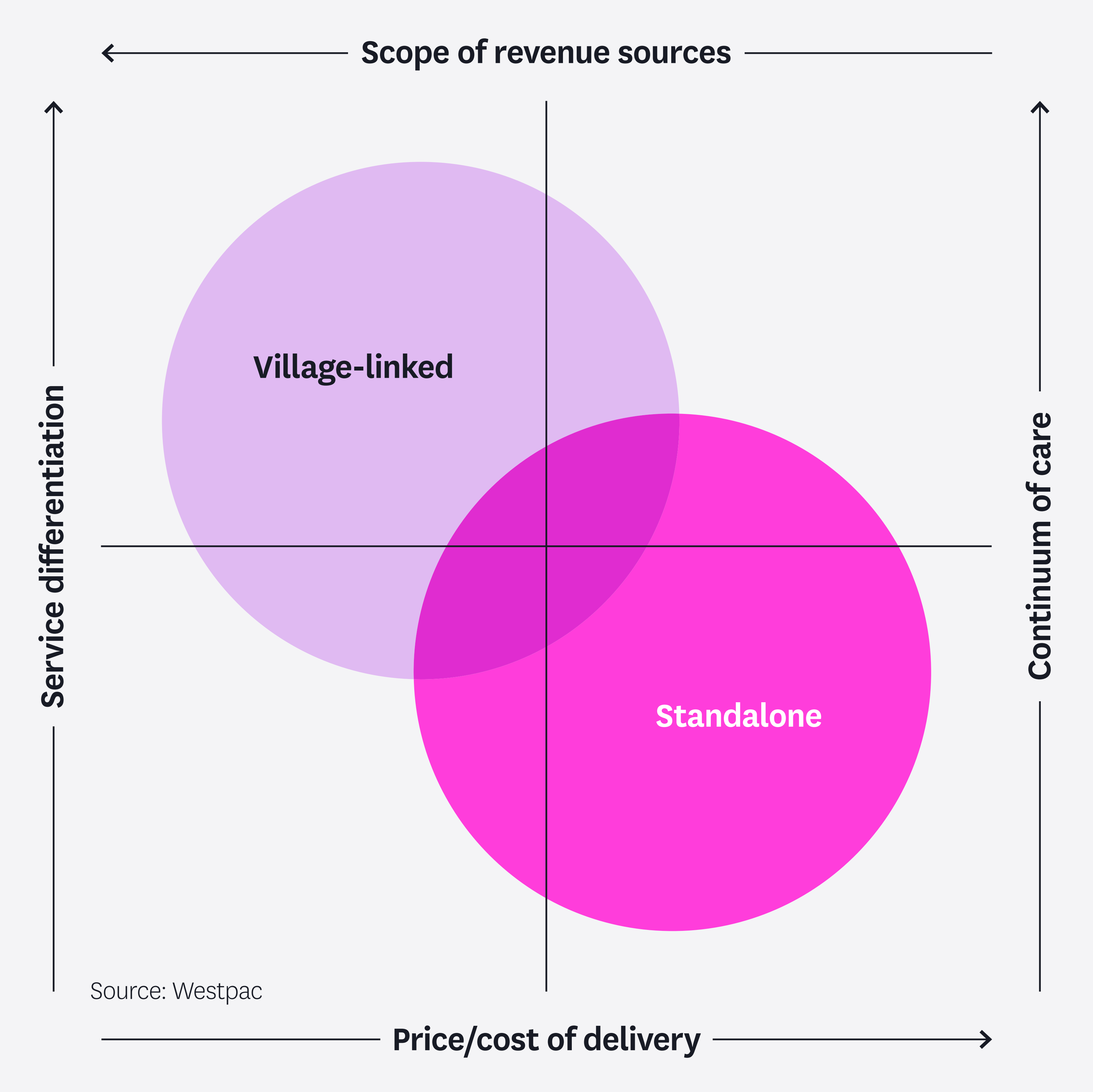
Village-linked providers generally compete through differentiation rather than price. Income from retirement villages, ORAs, DMFs, and care services supports greater investment in facilities, amenities, redevelopment, branding, and service quality. Competition is therefore focused on resident experience, care quality, reputation, modern facilities, and the ability to support residents as their care needs change. Managing costs remain a key focus. The retirement village business model also provides capital that can be reinvested into care services and infrastructure.

Standalone providers face different constraints. Relying primarily on care-related revenue, they generally have less capacity for large-scale capital investment or premium offerings. Competition therefore centres on care quality, occupancy, local relationships, operational efficiency, and cost control. Many also specialise in specific care segments rather than providing a full continuum of care, making competition more localised.

The distinction is not absolute. Some well-capitalised standalone and medium-sized providers with modern facilities compete directly with village-linked operators on quality and service. However, competition remains strongest within each segment, reflecting differences in revenue models, capital resources, and strategic priorities.

For further detail on how village-linked and standalone ARC providers compete, refer to Appendix C.

Figure 15: Basis of competition



Source: Westpac

Competitive pressures.

Competitive pressures are high for village-linked providers and very high for standalone ARC providers, The source, intensity, and direction of competitive pressures also differ.

Industry rivalry is high and increasing for both models. Village-linked providers compete for retirement village residents, premium sites, and development opportunities, with competition centred on lifestyle offerings, facility quality, reputation, and access to a continuum of care. For standalone providers, rivalry is also high and increasing, although competition is more localised and focused on occupancy, care quality, clinical capability, reputation, and operating efficiency.

The threat of new entrants is low and broadly stable for village-linked providers due to high land, capital, development, and regulatory requirements. This threat is moderate and stable for standalone providers. That said, while barriers are lower, workforce shortages, compliance requirements, and relatively low care-sector margins continue to discourage new entry in the standalone sub-segment.

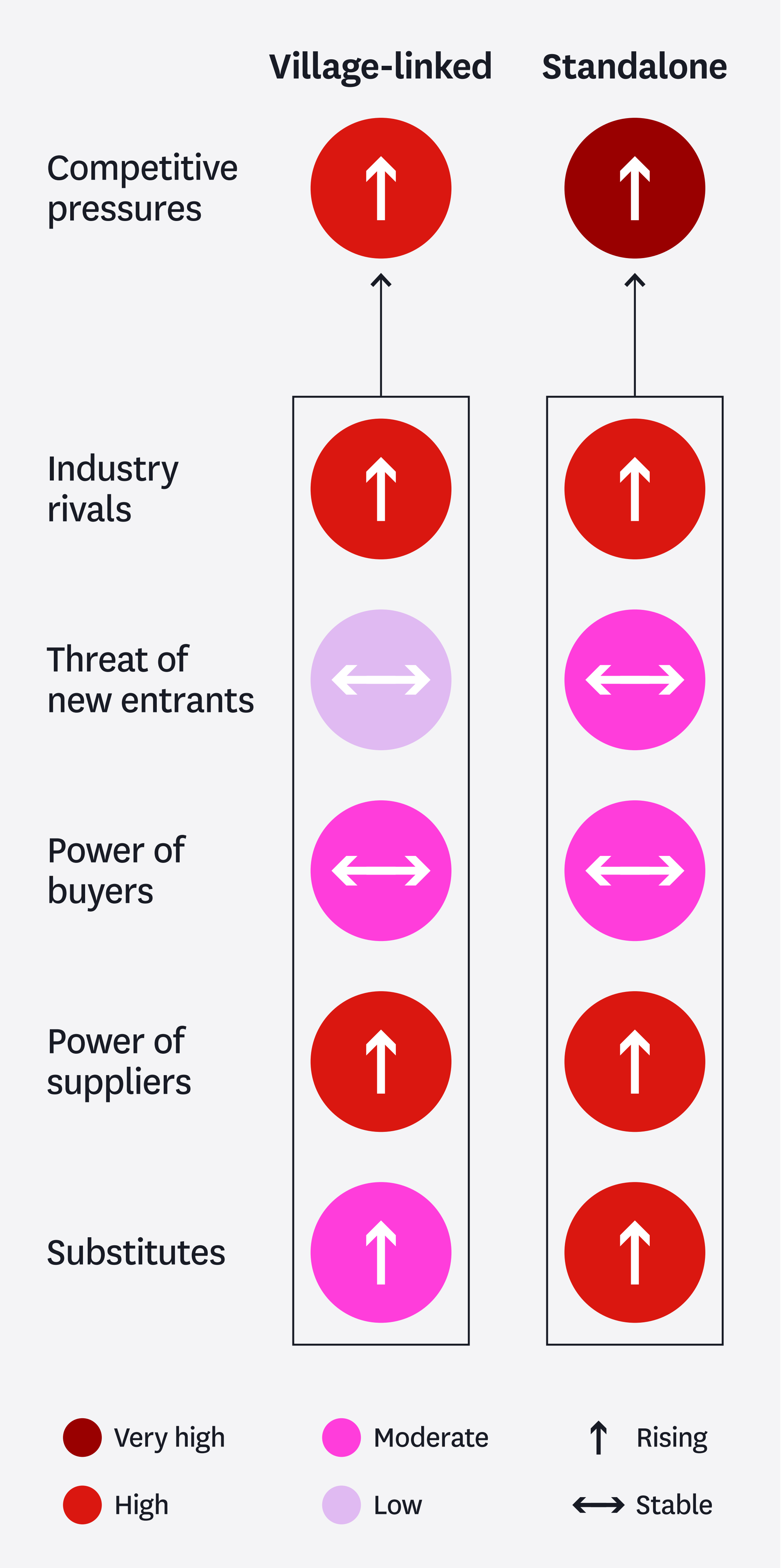
Supplier power is high and rising across the sector because nurses, caregivers, and clinical staff remain in short supply. The impact is greater for standalone providers, which have less scale and fewer opportunities to absorb rising labour costs. Village-linked providers generally benefit from stronger recruitment capability, greater operating scale, and more diversified income streams.

Buyer power is moderate and broadly stable. Residents and families can choose providers based on location, care quality, facilities, and reputation, particularly in larger urban markets. However, demand remains largely needs-based and capacity constraints limit buyer bargaining power. Government also exerts significant influence through funding and pricing arrangements.

The threat of substitutes is moderate to high and increasing, reflecting the expansion of home and community-based services that allow older people to remain at home longer and delay entry into residential care. This pressure is generally greater for standalone providers, particularly those focused on lower-acuity care. Village-linked providers are less exposed because retirement villages can act as an intermediate step between independent living and residential care.

Overall, village-linked providers face their greatest pressures from rising rivalry, housing market exposure, and development risk. While ORA sales, DMFs, relicensing gains, village fees, and development activity provide financial resilience, weaker housing markets, slower sales, higher debt, and elevated construction costs can reduce profitability and growth. Standalone providers face greater pressure from rising supplier power, funding constraints, and substitutes. Their reliance on care-related revenue makes them more exposed to labour cost inflation, workforce shortages, and rising operating costs. Consequently, competitive pressure is assessed as high and increasing for village-linked providers and high to very high and increasing for standalone providers.

Figure 16: Summary of competitive forces



Source: Westpac

Critical success factors.

For both village-linked and standalone ARC providers, long-term success depends on five key factors: clinical quality, workforce capability, occupancy, financial sustainability, and facility quality. While both models generally deliver acceptable care outcomes, village-linked providers tend to perform better overall because retirement villages provide additional revenue streams, stronger referral pathways, and greater scale. As such, the effective integration of the retirement village and aged care business is the most critical success factor for village-linked providers.

Clinical quality is also of critical performance. Most providers meet regulatory standards and achieve acceptable resident outcomes despite increasing care complexity. Village-linked providers generally have a modest advantage due to stronger clinical governance, larger multidisciplinary teams, and greater investment in training, technology, and quality improvement. Standalone providers also perform well, although smaller scale can limit access to specialist expertise and investment.

Workforce attraction, retention, and productivity remain significant challenges. Village-linked providers are generally better positioned because they offer broader career pathways, stronger recruitment capability, and greater staffing flexibility. Standalone providers often face greater recruitment difficulties, particularly in regional and rural areas, and have less capacity to absorb rising labour costs.

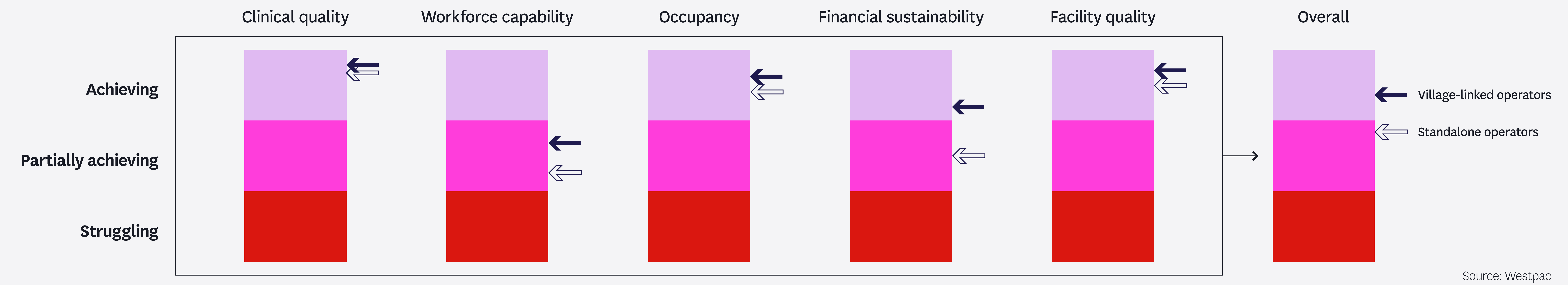
Occupancy and demand management are among the strongest-performing success factors. Village-linked providers benefit from residents transitioning from independent living to care within the same organisation, supporting occupancy and retention. Standalone providers also benefit from strong demographic change but rely more heavily on external referrals and local market conditions.

The largest difference between the models lies in financial sustainability. Village-linked providers benefit from diversified income streams, including DMFs, ORA relicensing gains, development profits, and village service fees, which help offset pressure on care margins. However, they remain exposed to housing market conditions and development risk. Standalone providers rely on government funding, resident fees, and accommodation payments, making them more vulnerable to funding constraints and rising costs.

Facility quality also tends to favour village-linked providers. Larger operators generally have greater access to capital and can invest more consistently in modern accommodation, technology, amenities, and redevelopment. While many standalone providers maintain good-quality facilities, capital constraints can limit refurbishment and expansion.

Overall, village-linked providers generally outperform standalone providers in occupancy, financial sustainability, and facility quality due to the advantages of retirement village integration and diversified revenue streams. Standalone providers often perform comparably on clinical quality but face greater challenges in workforce management, capital investment, and financial resilience. As a result, the integrated village-care model remains the stronger-performing model, although both provider types continue to face workforce shortages, rising costs, and increasing resident acuity.

Figure 17: Sector assessment against critical success factors



Source: Westpac

Opportunities and challenges.

The sector's strongest opportunities are driven by favourable demographic trends. Population ageing, increasing longevity, rising dementia prevalence, and growing demand for higher-acuity care are expected to support sustained growth in aged residential care demand over coming decades. Additional opportunities exist to improve productivity and expand capacity through greater use of technology, operational efficiencies, and scale.

These opportunities are balanced by several significant challenges. Providers continue to face a widening gap between funding and the cost of care, persistent workforce shortages, increasing resident complexity, rising capital requirements, and growing competition from home and community-based care services. As a result, while long-term demand remains strong, financial sustainability and capacity growth are likely to remain key pressures across the sector.

Recommendations.

To capitalise on these opportunities, village-linked providers should leverage their scale, access to capital, and retirement village integration to expand into high-growth urban markets, increasing hospital, dementia, and psychogeriatric capacity, and strengthening specialist services. They should also maximise village-to-care pathways, occupancy, and property income, while using technology, centralised functions, and selective acquisitions to improve efficiency and expand capacity.

Standalone providers should focus on underserved regional markets, specialist or niche care offerings, and premium accommodation where feasible. Technology, procurement groups, shared services, and strategic alliances can help reduce costs and strengthen competitiveness.

Addressing the sector's challenges will require different strategies. Both village-linked and standalone providers should be advocating for funding reforms. In addition, we think village-linked providers should continue to improve efficiencies, diversify revenue sources, strengthen workforce recruitment and retention, build specialist clinical capability, prioritise developments in high-demand locations, and reinforce continuum-of-care pathways.

Standalone providers should focus on cost control, occupancy, and revenue optimisation. Strong workplace culture, local employment relationships, staff development, and clinical governance will be important to managing workforce pressures and increasing resident acuity. Capital should be directed towards targeted refurbishments and expansion projects, with a greater focus on higher-acuity and specialist services that are less vulnerable to substitution from home-based care.

Appendix A.

Table A1: ARC delivery models in New Zealand

Dimension	Model 1: Listed, large corporates	Model 2: Private, large corporates	Model 3: Large not-for-profit/ charitable providers	Model 4: Private, medium sized providers	Model 5: Small independent/ single-site operators	Model 6: High acuity specialist providers
Providers	Ryman Healthcare, Radius, Summerset, Oceania	Bupa, Heritage, Arvida*, Metlifecare*, Alden	Presbyterian Support and other faith/community trusts	Regional private chains	Single-site private operators	Small number of specialist providers (e.g. dementia/ psychogeriatric)
Characteristics	National coverage	National to multi-regional coverage	Regional to national footprint (often geographically concentrated)	Selected regional coverage	Local	Typically located in larger population centres
	ARC facilities typically co-located with retirement villages	Mix of village-linked and standalone	Mission-driven rather than profit-maximising	Typically not co-located	Limited economies of scale	Narrow specialist service focus
	ARC is one component of a broader property-based business	Mixed care and property exposure	Often long-established with legacy land/buildings	Moderate scale enabling some centralisation	Often ageing infrastructure	High clinical skill and staffing intensity
	Strong balance sheets with access to capital	Moderate to strong access to capital (often shareholder-backed)	Limited access to fresh capital	Generally privately owned and debt funded	Often owner-operated or family businesses	Heavily reliant on public funding and service contracts
Economics	ARC delivers lower returns and supports overall village profitability	Low-margin but commercially sustainable at a portfolio level	ARC typically operates around breakeven or loss, supported by donations and asset recycling	Thin margins	ARC delivers thin margins	Margins typically very thin due to high clinical cost base
	Viability supported by cross-subsidisation (village margins, fees, ORAs)	Limited internal cross-subsidy	Limited ability to offset losses beyond asset sales, cost control and external funding	Occupancy and acuity critical	Structurally challenged under the current funding model, highly occupancy dependent	Viability depends on subsidies and cross-support from related services
Strategic behaviour	Willing to expand into higher-acuity care despite lower margins	Disciplined expansion; portfolio optimisation	Continue providing services despite financial pressure	Cautious expansion into higher acuity	May exit market (sell or close facilities)	Capacity constrained due to specialist workforce requirements
	Continue investing to support village value and resident proposition	Selective capex, refurbishments and acquisitions	Under pressure to rationalise capacity and older facilities	Limited new builds; portfolio churn	Often reduces service scope to manage costs	Highly sensitive to staffing availability and funding changes

Source: NZ Retirement Commission (sector and international scans), OECD long-term care framework, Australian Department of Health (AN-ACC), company disclosures.

* Arvida and Metlifecare operate similar to Ryan and Summerset on the "Economics" dimension.

Table A2: ARC New Zealand peer comparisons

Feature	New Zealand	Australia	United Kingdom	Canada
System type	Publicly funded, price-regulated, privately delivered	Public subsidies and user contributions, privately delivered	Social care, means-tested, largely privately delivered	Publicly funded health plus mixed long-term care, user-paid accommodation
Access trigger	Needs assessment (NASC)	Needs assessment	Local authority needs and means assessment	Provincial needs assessment
Means testing	Yes: determines subsidy and contributions	Yes: determines care and accommodation contributions	Yes: strict means testing	Yes: varies by province
Who pays for care	Govt pays if eligible, others self fund up to a maximum contribution. Govt funds balance for higher levels of care.	Govt majority via AN-ACC, resident co-pay	State pays if eligible, others self-fund	Provinces fund medical/nursing care
Who pays for accommodation	User-paid (means-tested, capped)	User-paid	User-paid	User-paid (often capped)
Price setting	National regulated prices	AN-ACC funding model	No national prices, locally set	Provincial budgets and fees
Care differentiation	4 care levels	Case-mix (AN-ACC)	Residential/nursing/dementia	Varies by province
Provider ownership	Mostly private for-profit	Mixed (for-profit and not-for-profit)	Mixed, mainly private	Mixed (public, non-profit, private)
Capital funding model	Provider-funded (debt/equity)	User and provider capital	User-funded/developer-led	Mixed, often publicly supported
Financial risk – providers	High	Moderate	High	Mixed
Equity of access	High once eligible	Moderate-high	Low-moderate	High for care, mixed for accommodation

Source: NZ Retirement Commission (international scan), Australian Dept. of Health (AN-ACC), OECD long-term care framework, National Institute on Ageing (Canada), country funding frameworks.

Appendix B.

Table B1: Value proposition of ARC business models

Aspects	Village-linked ARC providers	Standalone ARC providers
Core value proposition	Lifestyle and care continuum. From a provider's view, care is supplementary to its lifestyle offering.	Care only service – no lifestyle offering.
Target customers	Wealthier residents and existing village residents transitioning into care.	Rest of the population, which means a heavy reliance on RCS.
Quality and amenities	Competes on having modern facilities, premium rooms, lifestyle offering. Village cashflows fund ongoing upgrades and redevelopment.	Competes on basic care quality and reputation. Facilities tend to older and with more basic facilities, that offer less amenity differentiation.
Pricing/revenue flexibility	Can offer premium rooms and extras (supported by village brand and positioning), allowing for premium pricing.	Limited pricing power; relies more on standard funding and small top-ups to complex care needs.
Demand pipeline	Internal pipeline-village residents transition through stages of care.	Must compete for external referrals only (GPs, hospitals, NASC).
Location strategy	Often in premium/high-demand locations linked to villages.	More mixed, often local/community-based.
Service offering (continuum of care)	More likely to offer fuller continuum of care i.e., rest home, hospital and dementia care as needs rise. Psychogeriatric care is a very small offering.	Often more limited care mix – typically rest home and some hospital care Most psychogeriatric care is provided by standalone operators.
Brand and reputation	Competes on strong national brands and integrated retirement lifestyle proposition.	Competes on local reputation and relationships.
Occupancy management	More stable as residents move through continuum of care plus brand pull.	More volatile; relies on local demand conditions.
Staffing capability	Better ability to attract staff because of scale, pay and better career prospects.	Competes on culture and flexibility, but face recruitment challenges.
Cost efficiency	Benefits from scale economies (larger sites with more beds, centralised procurement, systems).	Smaller scale implies lack of economies of scale and higher unit costs of delivery.
Capital investment	Competes through continuous reinvestment in facilities (funded by village model). New builds are common.	Limited ability to invest/re-invest facilities often older/slower to upgrade.
Business resilience	Competes with diversified income (property and care).	Compete purely on care performance and cost control.

Source: New Zealand Retirement Commission, New Zealand Aged Care Association, Grant Thornton, EY, IBISWorld, company disclosures.

Appendix C.

Table C1: How village-linked providers compete

Driver	How they compete	What "winning" looks like
Location strategy	· Target high-growth, high-income areas. · Co-locate villages and care facilities.	Sites in desirable locations with strong demand and pricing power.
Village offering (entry funnel)	· Attract residents into retirement villages earlier. · Offer strong lifestyle proposition.	Large resident base feeding into care pipeline.
Facility quality and design	· Continuous upgrades, premium rooms (larger, ensuite, care suites) and hotel-style amenities.	"Best-in-class" facilities that justify premium fees and attract high-income residents.
Brand and reputation	· Invest in national brand recognition. · Market lifestyle and continuum of care.	Strong brand that drives demand and trust.
Continuum of care	· Provide full range of care level services.	Ability to retain residents as care needs escalate.
Customer experience	· Focus on lifestyle, wellbeing, and service quality. · Differentiate on non-clinical aspects.	High resident satisfaction and referrals.
Pricing/premium positioning	· Offer differentiated accommodation and extras. · Segment rooms by price/quality.	Ability to capture higher fees above regulated funding.
Occupancy optimisation	· Use internal pipeline from village residents. · Manage mix of residents and care levels.	High and stable occupancy across care levels.
Product mix strategy	· Shift toward premium rooms/care suites. · Adjust mix toward higher-acuity care.	Better revenue yield per bed.
Development pipeline	· Build new villages to expand care capacity. · Villages are looking to limit care options to existing residents.	Ongoing growth and asset recycling.
Capital access and deployment	· Use ORA inflows/balance sheet strength to fund expansion.	Ability to invest ahead of competitors.
Scale and efficiency	· Operate large sites (100–300 beds) for efficiency. · Centralise operations (procurement, systems).	Lower unit costs and higher margins.
Staffing attractiveness	· Offer career pathways, scale, and better conditions.	More stable workforce and care quality.

Source: NZ Retirement Commission, OECD, PWC, BDO, IBISWorld, company disclosures.

Table C2: How standalone providers compete

Driver	How they compete	What 'winning' looks like
Occupancy and vacancy management	· Operators compete on speed and certainty of admission, and on minimising empty-bed days. · Operators have to be able to respond quickly to referrals, streamline admissions, manage waitlists and bed flow.	Sustained high occupancy with low churn and minimal empty-bed days.
Workforce stability and agency dependence	· Providers compete on improved rosters, retention, supervision, and reduced agency use.	Tight rostering, a focus on staff retention, recruitment pipelines, flexible shifts, float/backfill where possible.
Unit-cost control (labour and overhead)	· Providers focus on optimising the skills mix, improve procurement efficiencies, reduce non-care overhead layers, and standardise consumables	Cost per resident per day (unit cost) is lower than peers without triggering quality failures.
Referral network strength (NASC/hospital/GP)	· Preferred-provider status drives steady inflow. · Build trusted relationships, be 'easy to place', fast clinical info and paperwork.	Repeat referrals and stable inflow even when capacity tight.
Quality and compliance performance	· Internal audits, documentation discipline, training compliance, rapid corrective action to ensure quality standards are met. · Avoidance of negative signals to regulator/referrers.	Clean/low-severity audit findings every cycle, fast closure of actions and low compliance burden.
Clinical risk management	· Falls/infection control, meds management, escalation protocols, care planning discipline. · Providers compete by reducing hidden costs (labour spikes, transfers, claims).	Lower adverse events relative to acuity mid, fewer 'cost shocks', and less complaints.
Case-mix/acuity fit (right resident for capability)	· Manage care level mix, align staffing/skills with acuity, avoid wrong-fit placements.	Better revenue mix without Registered Nurse/clinical cost blowout.
Reputation and family experience (local market trust)	· Strong communication, transparency, consistent experience, culturally aligned care. · Better reputation increases referrals/occupancy and reduces marketing effort.	Word-of-mouth momentum and strong conversion, fewer complaints.
Asset utilisation and configuration	· Minimise idle wings, reconfigure rooms where possible, targeted refurb for appeal. · No idle capacity and rooms match demand.	Improves revenue without major capex, raises return on existing assets.
Capital discipline and maintenance backlog control	· Prioritise safety/compliance capex, stage refurb, avoid capex cliffs. · Compete on surviving without overinvesting.	Cashflow resilience with manageable backlog.

Source: Health New Zealand, Ministry of Health, NZ Aged Care Association, OECD, BDO, PWC, BERL, IBISWorld.

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Westpac Banking Corporation.

Q2 Wage Price Index: steady

#wages #inflation #labour

By Ryan Wells
Economist, Westpac

13:14 August 19 2026

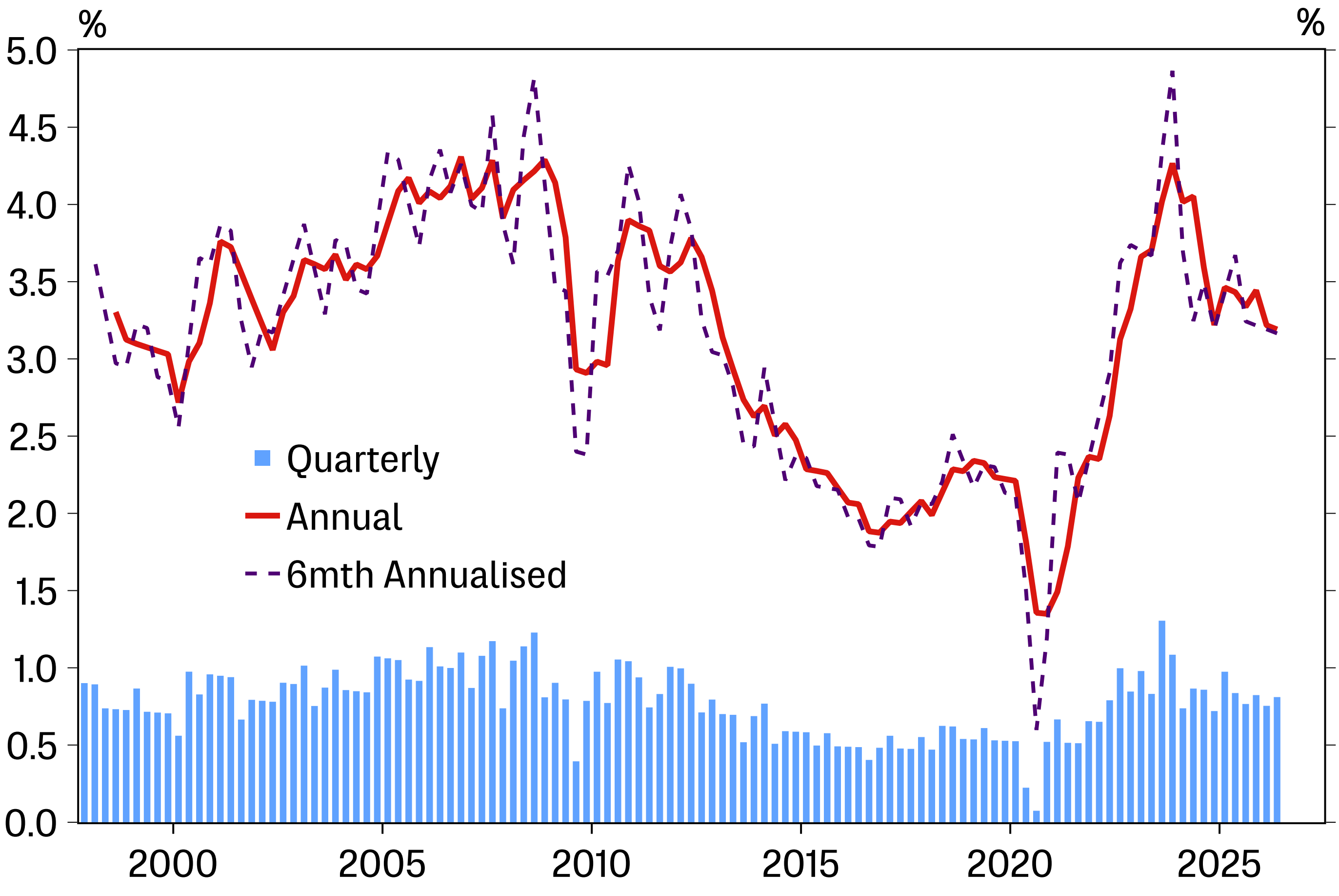
Share

Private wages continue to decelerate while public wages provide a bit of an offset, before the award wage lift in Q3. Q2 2026: 0.8%qtr, 3.2%yr.

- The Wage Price Index (WPI) rose 0.8% in Q2 2026, in line with Westpac's forecast and the market consensus. Wages growth is softer than in 2025, when the bump higher in public sector wages brought annual growth closer to the 3½% mark; at 3.2%yr, wages growth is currently tracking slightly below the RBA's forecast (3.3%yr).

- Overall, the mix was broadly as expected. Private sector wages have continued to decelerate to its softest pace since Q4 2021, in line with a softer labour market. Meanwhile, public sector wages provided a bit of an offset, with the ABS noting gains from government public service jobs and scheduled rises under the existing APS-wide enterprise agreement for Commonwealth employees.
- Q3's result will be closely watched, as it will capture the Fair Work Commission's 2026 Annual Wage Review which handed down a larger-than-expected increase in award wages of 4.75%. Our base case is that wages growth will nudge back up to 3.4%yr but whether a higher pace can be sustained will depend on how the labour market evolves from here – the recent sharp rise in underemployment is a key signal to watch going forward.

Wages growth not a concern for inflation at present



Source: ABS, Macrobond, Westpac Economics

Wages by Sector

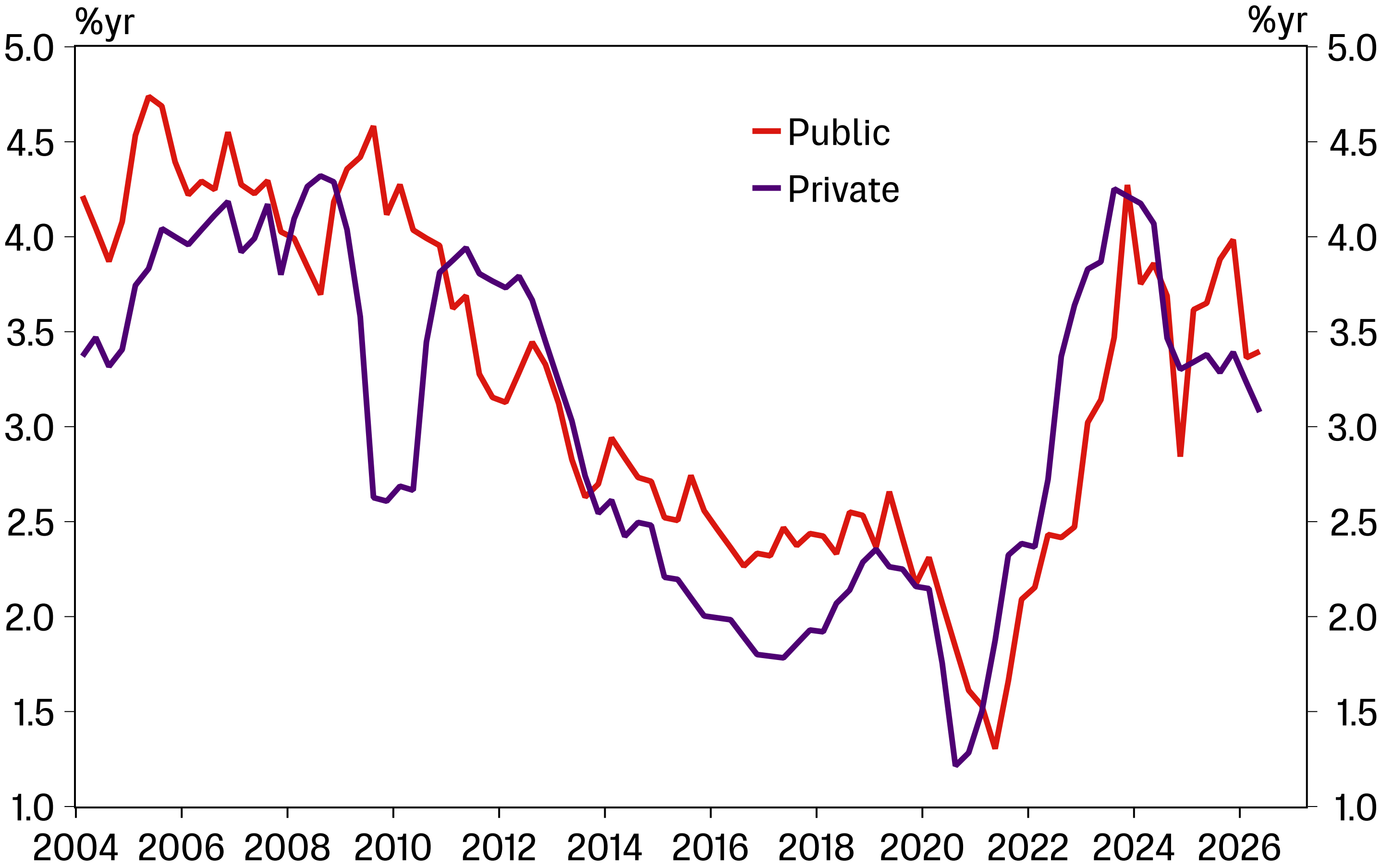
By sector, private wages (excl. bonuses) have continued to decelerate. In Q2, private wages grew by 0.7%, the smallest quarterly gain since the Q4 2021, during the 'delta' outbreak of COVID-19. This leaves the annual pace at 3.1%yr, down from 3.4%yr six months ago. This is in line with the evidence of a softer labour market over the first half of this year. Most notably, a sharp rise in underemployment has surfaced over recent months, likely tied to added pressure from the cost-of-living and interest rate rises, causing more people to seek extra hours of work.

Compared to the same quarter a year ago, the private sector saw a smaller share of jobs record a wage increase (10% vs. 12%), but of those jobs, they recorded around the same average hourly wage increase (3.9%).

Public wages provided a bit of an offset to the private sector in the quarter, gaining 0.9% in Q2, echoing the solid momentum from this time last year, allowing the annual rate hold steady at 3.4%yr. The ABS noted the main driver of the gain were state government public service jobs, in addition to “scheduled rises paid under the existing APS-wide enterprise agreement for Commonwealth employees.”

Interestingly, compared to the same quarter a year ago, there was a larger proportion of jobs in the public sector that recorded a wage increase (25% vs. 20%), but of those jobs, they recorded a smaller average hourly wage change (3.1% vs. 3.5%). This speaks to a broader base of wages growth across the public sector at present, compared to last year’s public sector wage gains which were led by specific state-based enterprise agreements and an increase in aged care wages.

Private wages decelerate, public wages offset a touch



Source: ABS, Macrobond, Westpac Economics

Industry

The contribution from public sector wages was clearly apparent in the industry data. In the quarter, public administration and safety was the largest contributor to aggregate wages growth – impressively, this matched the contribution from health care and social services, Australia’s largest industry with around three-times as many jobs as public administration and safety.

Across the individual industries, health care and social assistance is still leading the pack in terms of annual wages growth (3.8%yr), followed by public administration and safety (3.6%yr) and utilities (3.6%yr), then mining (3.5%yr) and transport, postal and warehousing (3.5%yr). The main laggards are those industries dominated by private sector jobs, including professional, scientific and technical services (2.5%yr), financial and insurance services (2.7%yr) and administrative and support services (2.7%yr).

Bargaining Stream

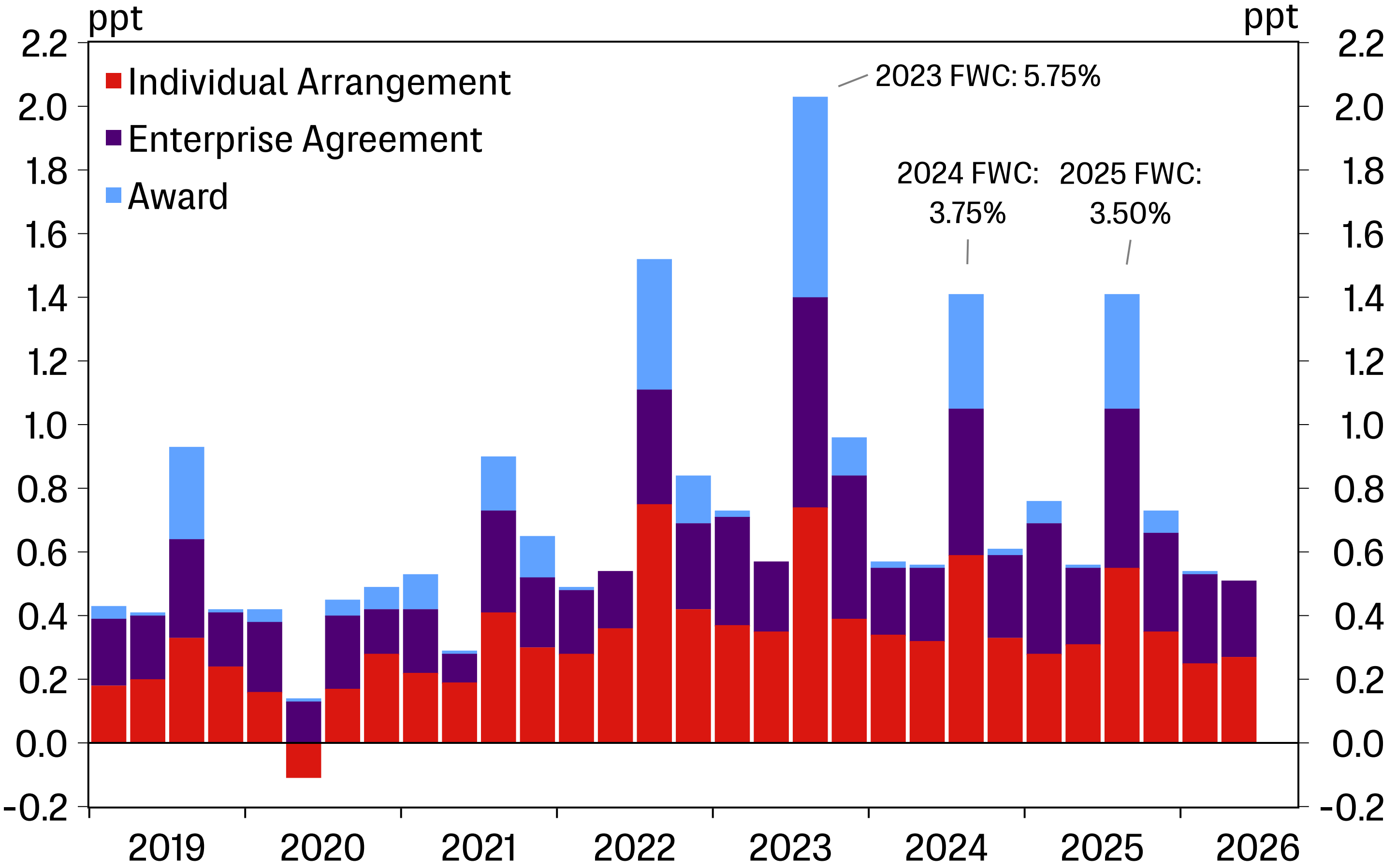
Westpac has long believed focusing on wage inflation by wage bargaining stream can help to understand how wages respond to the economic cycle. Long term readers would know that the Australian labour market is split into three categories of pay setting methods:

- Awards,
- Enterprise agreements, or
- Individual arrangements.

In original terms, the WPI lifted 0.6% in Q2 2026. Of that 0.6% increase, jobs covered by individual arrangements made the largest contribution at 0.27ppt, followed by 0.24ppt from enterprise arrangements, and zero for awards. Compared to this time last year, we can see there has been a continued, gradual slowing in individual arrangements, while the contribution from enterprise arrangements have been relatively more stable.

The largest share of Australian wage adjustments tends to occur in Q3, with July being the start of the new financial year. This result will be closely watched, as it will capture the Fair Work Commission's 2026 Annual Wage Review which handed down a larger-than-expected increase in award wages of 4.75%. Our base case is that this should nudge wages growth back up to 3.4%yr but whether a higher pace can be sustained will depend how the labour market evolves from here. There has been a sharp rise in underemployment in recent months, and this may well be signalling a weaker labour market to come, which may limit bargaining power and dampen the rise in wages growth.

Contributions to Quarterly WPI Growth



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First Impression: RBNZ survey of inflation expectations, September quarter 2026

#inflation #newzealand

By Satish Ranchhod
Senior Economist, Westpac NZ

13:36 August 13 2026

Share

Inflation expectations remained contained in the RBNZ's latest survey. High oil prices and elevated near-term inflation don't appear to have boosted medium-term inflation expectations.

RBNZ inflation expectations survey

1 year ahead: 2.60% (Prev, 3.41%, down 81bps)

2 years ahead: 2.34% (Prev: 2.53%, down 19bps)

5 years ahead: 2.31% (Prev: 2.22%, up 9 bps)

10 years ahead: 2.20% (Prev: 2.19%, up 1 bp)

Expectations for inflation over the next couple of years have dropped back in the RBNZ's latest survey of professional forecasters and selected businesspeople.

Expectations for inflation one year ahead fell to 2.60%, down sharply from 3.41% last quarter.

Similarly, the closely watched measure of inflation in two years' time fell to 2.34% (down from 2.53% previously).

This will be welcome news for the RBNZ. With the rise in oil prices in recent months, inflation has risen to over 4%, and it's likely to remain elevated for the remainder of this year.

But despite such pressures, respondents to the RBNZ's survey do not expect the current uplift in inflation to be enduring.

We did see some rise in expectations for longer term inflation (five and ten years ahead), but those increases are well within the normal quarter-to-quarter volatility we typically see.

All of the measures of expected inflation are either at or slightly below where they were six months ago, before the Iran conflict.

Implications for the RBNZ

While expectations remained contained in today's survey, the RBNZ is still looking at a firm near term inflation outlook, with core inflation at firm levels even before the Middle East conflict. In addition, other business surveys point to ongoing pressures on operating costs.

The RBNZ hiked the Official Cash Rate 25bps at their last policy meeting in July and signalled further hikes over the coming months. We're forecasting two more 25bp hikes this year, most likely at the RBNZ's September and December meetings.

Satish Ranchhod, Senior Economist

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Week beginning 24 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Higher bond yields: not just one thing.

The Week That Was: The foundations of confidence.

Focus on New Zealand: Counting down the days.

For the week ahead:

Australia: RBA minutes, CPI, Q2 private capex, Q2 construction work done, Westpac-MI leading index.

New Zealand: Q2 retail sales, employment indicator.

Japan: CPI, jobless rate.

China: Industrial profits.

Euro Area: Economic confidence, consumer confidence, M3 money supply, IFO business climate survey.

United States: Q2 GDP, personal income and spending, PCE deflator, consumer confidence, new home sales.

Information contained in this report current as at 21 August 2026.

Higher bond yields: not just one thing

Luci Ellis
Chief Economist, Westpac Group

- **Bond yields have been rising in recent weeks, especially at the long end of the maturity spectrum. We have long believed that the global structure of interest rates would have a higher centre of gravity in future than it did in the period between the GFC and the pandemic. The factors often cited for the recent rise in yields – larger government deficits globally, the investment boom from AI – were already behind this judgement.**
- **The question then arises: have we allowed enough for these forces? Getting the direction right is one thing; quantifying the impact is another. In doing so, though, we must take care not to confuse trend and cycle. Some of the recent rise stems from the exceptional demand for funding data centre construction. This effect of the technology wave could last a while, but it is more a cyclical development than a permanent structural one.**
- **For the Australian economy, developments at the long end of the yield curve tend to be less relevant. Most financing happens at the short end of the maturity spectrum, especially for households. But there are borrowers and investors who are affected by long-dated yields, especially governments.**
- **Higher yields mean higher debt-servicing costs, particularly for the US government. Expect more manoeuvres like the US Treasury supporting the yen by selling euros not dollars, as well as the buy-back operation this week. These are merely stop-gaps rather than a lasting solution like genuine fiscal consolidation.**

Westpac Economics has long held the house view that the global structure of interest rates would be higher in the future than it was in the period between the GFC and the pandemic. Central bank policy might influence the short end, but over a longer period, what matters for interest rates globally is the global balance of saving and investment. Pre-pandemic, saving rates were high, thanks in part to official sectors accumulating reserves. Meanwhile, investment was weak. Confidence had been frayed by the crisis, and some governments were in austerity mode. That decade's new technologies did not spark the same kind of productivity-enhancing investment boom as computers and the internet did in the late 1990s and early 2000s. And in any case, banks in North America and Europe were recapitalising and less inclined to lend.

There were good reasons to see that period as an aberration, though, including the very long-term evidence we noted two years ago. As we highlighted at the time, a range of forces have been pushing "neutral" rates higher, along with the structure of interest rates more broadly. These include higher government spending as populations age, as well as the private sector needing to invest in both energy transition and AI. Higher defence spending was also in the mix, especially after Germany changed its constitution last year to allow more deficit spending for this purpose. The general fiscal incontinence of the US government was already evident two years ago and worsened under the current administration. All these factors imply greater bond supply, and so higher yields.

To unpack this further, a bond yield is normally thought of as being the combination of several components that are easier to name than to measure. Nominal government bond yields are composed of (expected) inflation plus real yields, where real yields are normally assumed to reflect expected future (real) policy rates plus a "term premium". The term premium is in principle the compensation investors require for the risk that things turn out differently from their expectations of the other two components, and in practice is a residual grab bag of everything else that might affect demand and supply in the bond market. Corporate bonds add a risk spread to this, reflecting that a company might default but a sovereign issuing in its own currency will never need to.

The higher global structure of interest rates can be seen in all these components. Inflation generally undershot central bank targets in the 2010s; since the pandemic, it has at best been around target, with global supply shocks periodically lifting it above target. Real yields are higher, and with shorter-maturity bonds now paying positive real yields, we are seeing less of the "search for yield" behaviour that compressed both term premia and risk spreads in the 2010s.

> **"rumblings of investor discontent about the US fiscal position have become evident in yields."**

But how much?

It is one thing to say rates will be higher on average. We also need to ask: by how much? This is where the AI boom comes in. The scale of the planned global investment in data centres is nothing short of mind-boggling, and it is creating substantial demand for debt finance. The "hyperscaler" tech firms (Alphabet, Amazon, Meta and Microsoft) used to be enormous cash generators. Now they are responsible for some of the largest debt issuances in the market, including Alphabet's super-sized $A deal this week. Issuance in Australia and other non-US jurisdictions makes sense for these firms. They want to access a diversified pool of investors, and many of the assets they are financing are outside the US, especially now that data centres have become unpopular in many US communities.

The scale of this greater investment call on global savings is one reason to expect longer-dated yields to average even higher in the near term than their range since the pandemic so far.

We must take care, though, to distinguish trend from cycle. This is particularly relevant for the data centre boom, which is likely to be a big thing for the next few years, but settle down as the technology matures and computing capacity expands (and becomes cheaper).

The US government is also making an exceptional call on global saving, and this looks more like a longer-term structural trend than the AI boom does. The US federal government has been running deficits in excess of 4% of GDP for a decade, aside from a brief period in 2022, and more than 6% since the beginning of 2023.

In recent weeks, rumblings of investor discontent about the US fiscal position have become evident in yields. And those hyperscaler bonds, including the $A-denominated ones, are offering a higher yield for companies with similar ratings to the US sovereign. The bonds of governments in better fiscal positions, including Australia's, also start looking attractive. To this we must add that Japan now looks to be becoming a "normal" economy with positive inflation and interest rates, and an undervalued currency that might tempt some investors to bet on an appreciation. While it remains the case that There Is No Alternative to the US Treasury market for depth and liquidity, some diversification out of USD assets is starting to look both more feasible and more attractive.

The other consequences

For the Australian economy, developments at the long end of the yield curve tend to be less relevant than those at the short end. Most financing happens at the short end of the maturity spectrum, especially for households. But some borrowers and investors are affected by long-dated yields, especially governments, and the local firms involved in data centre construction.

Offshore, we can see higher yields constraining policy decisions by the US government and can expect more on this front. The US government's debt-servicing costs are becoming more burdensome as large deficits persist and yields rise. Just in the past few weeks, we have seen some unusual currency interventions by the US Treasury, followed by buy-backs designed to shorten the maturity profile of US government debt and lower the term premium paid. And while we expect the Fed will not fold in the face of pressure to keep rates low, we can well imagine the content of the phone calls between FOMC Chair Warsh and President Trump. Expect more manoeuvres by the US authorities along the lines seen recently. These are merely stop-gaps, though, not lasting solutions like genuine fiscal consolidation.

Cliff Notes: the foundations of confidence

Elliot Clarke, Head of International Economics

After an upside surprise in June, the labour force survey disappointed in July, reporting a loss of 15.8k jobs. This leaves average monthly employment growth year-to-date at 20.8k, above 2025's 12.6k but below the pace needed to keep the unemployment rate unchanged. It is therefore unsurprising that the unemployment rate continued to edge higher, reaching 4.5% in July, 0.4ppts above its level at the turn of the year. Hours worked also disappointed, declining 0.6% in the month to be up just 0.2% over the year. Slowly but surely, slack is forming in the labour market, weighing on activity growth but supporting the disinflationary trend. That trend must be sustained if the next move in the cash rate is to be down as Westpac forecasts, albeit not until next August.

The Q2 wage price index was also favourable for the inflation outlook. As expected, the headline wage price index rose 0.8% in Q2 to be 3.2% higher over the year. Private sector wage growth is now at its weakest since Q4 2021 (0.7%qtr, 3.1%yr). Public sector wage momentum provided an offset in Q2, gaining 0.9%qtr and 3.4%yr. The detail suggests that a larger share of public sector jobs received a wage increase than a year ago (25% versus 20%), but that the average hourly wage increase for those jobs was smaller (3.1% versus 3.5%).

Australian consumers are becoming more aware of labour market risks, with the Westpac-MI consumer sentiment survey unemployment index rising above its long-run average in August. But the cumulative impact of cost-of-living pressures remains the major impediment to confidence: both "family finances versus a year ago" and "family finances next 12 months" stayed below average in August, despite mortgage holders receiving a welcome reprieve from the RBA. And improved comfort around family finances is only the first step towards a recovery in consumer demand. "Time to buy a major household item" remains 24% below average despite a monthly bounce, while "time to buy a dwelling" is similarly 20% below average. We expect a lengthy period of weakness in Australia's economy, with a return to trend activity growth not foreseen until late-2028.

Offshore, attention centred on FOMC messaging. Overall, the July minutes showed a high degree of caution over the inflation outlook, reflecting uncertainty around the Middle East conflict and US economic policy, as well as an expectation that the US economy would maintain its recent momentum. "Most participants anticipated that inflation would step down over the rest of the year as the effects of tariffs and earlier energy price increases wane, but many participants noted the possibility that inflation might be more persistently elevated." In that context, "many participants assessed that policy tightening would likely be necessary if inflation did not decline".

Since the meeting, data has been constructive for the disinflationary trend, and the majority of FOMC members who have spoken have recognised the importance of the Committee's credibility on inflation but also that they have time on their side in assessing conditions.

Turning to Asia, the July China data round underwhelmed yet again. The return from trade is incredible, but retail sales growth has essentially stalled, 0.6%yr, and the decline in fixed asset investment is increasingly broad based, -6.7%ytd. House price declines continue to weigh on household wealth, and domestic equity holdings do not have the scale or breadth to compensate.

Authorities may be keeping quiet on stimulus ahead of the next meeting between President Xi and President Trump, and as the US looks to expand its economic actions against Iran – potentially via third parties with ties to Iran, such as China. But, very clearly, there is an urgent need for stimulus if the 2026 and 2027 growth targets are to be achieved.

Counting down the days

Michael Gordon
Senior Economist

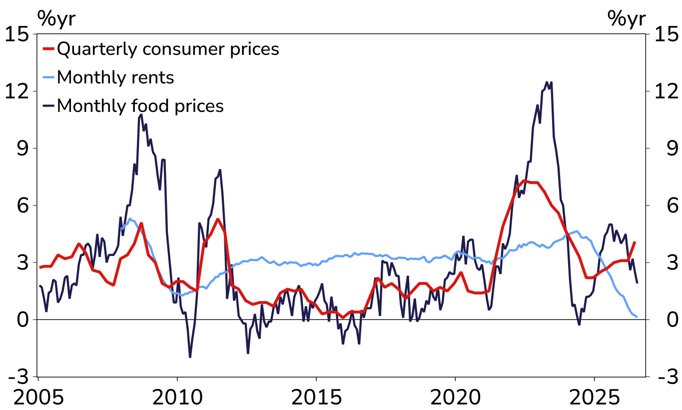
This week saw a handful of data releases, with no decisive signals for the RBNZ as it approaches its 2 September Monetary Policy Statement. Market pricing is firmly in favour of another OCR hike next month, but there is much more uncertainty around what the RBNZ will signal for the remaining meetings this year. We'll be discussing these issues and more in our latest quarterly Economic Overview, released next Wednesday.

The monthly selected prices release, which covers almost half of the quarterly CPI basket, was softer than expected in July. Of particular note was a muted 0.1% rise in food prices for the month, with annual growth slowing to an 18-month low of 1.9%. Meat prices saw their largest monthly fall since 2020, and there were also prices declines for wine and some dairy products.

Outside of food, petrol prices were down 6% over the month, with diesel down 12%. However, the renewed hostilities in the Middle East since July mean that prices at the pump have been higher again over August. There were large increases in domestic and international airfares, both of which experience large seasonal swings, and are likely to ease back next month. However, with global oil prices still elevated, this is one area where we could see ongoing strength.

July also saw another 0.1% fall in housing rents, continuing the weak trend seen over the past year. With weak population growth and ample supply, housing rents are likely to remain subdued for some time. Rents make up just over 10% of the CPI, so they are having a significant dampening effect on overall inflation at the moment.

NZ selected consumer prices



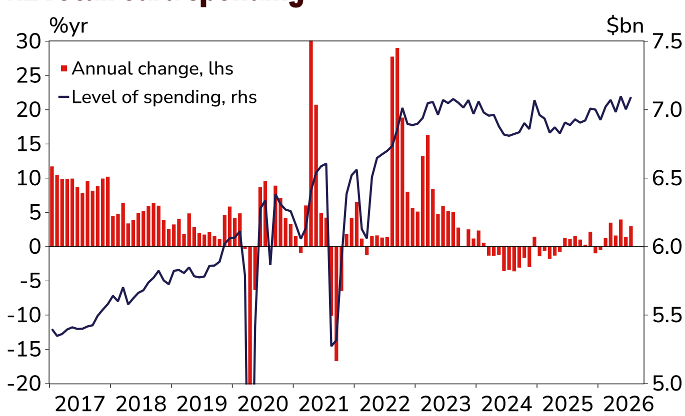
Source: Stats NZ, Macrobond, Westpac Economics

Altogether, the July results signal some downside risk to our existing forecast of a 0.7% rise in consumer prices in the September quarter (which would see annual inflation slow down from 4.1% to 3.7%). However, we're still left with a picture of inflation that's likely to be well above the RBNZ's target range for the remainder of this year, including firm levels of core inflation.

The June quarter producer price index showed a range of cost pressures, with input prices rising 2.9% and output prices up 1.6%. Higher fuel prices were an obvious driver, showing through in a range of industries such as wholesaling, transport and construction. As the June quarter CPI has already shown, though, many firms have limited ability to pass on these cost increases.

Turning to the activity data, card spending at retail stores rose by 1.3% in July, following and equal-sized fall in June. Indeed, these figures have been volatile for several months even after seasonal adjustment – there may have been some changes in the timing of spending that are difficult to account for. Looking through this, spending is up modestly on a year ago, but price increases – especially for fuel – will have accounted for a large part of this. We expect next week's retail trade survey to show a 0.2% fall in sales volumes for the June quarter.

NZ retail card spending



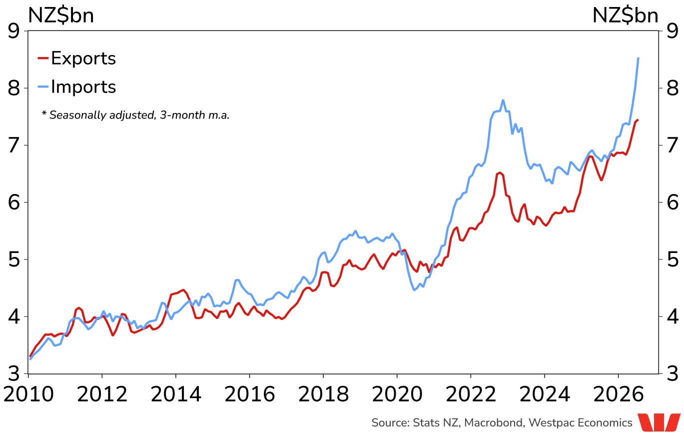
Source: Stats NZ, Macrobond, Westpac Economics

The services PSI was little changed at 50.6 in July, holding just above the zero-growth mark. So far this year the services survey has been more subdued compared to the manufacturing survey, which recorded a solid 54.3 in July after spiking to 60.1 in June. That may reflect their relative exposures to the global market, with strong demand and a favourable exchange rate boosting export-oriented sectors and regions.

The second GlobalDairyTrade auction for August saw a 2.3% rise in dairy prices, led by strong gains in whole milk and skim milk powders. These results had been well signalled by the futures market, which has seen a strong run-up in prices in recent weeks. Longer-dated contracts – covering the New Zealand summer – have risen particularly strongly, suggesting that the market is eyeing the risk that a severe El Niño event could restrict milk production this season. With New Zealand accounting for a large share of internationally-traded dairy products, past droughts have tended to squeeze global prices higher, sometimes resulting in a net boost to industry-wide earnings.

The final release this week was the goods trade data for July, which fell further into deficit in seasonally adjusted terms. Exports remained strong, supported by higher commodity prices. But the country's import bill has surged in the last few months, mostly reflecting the jump in fuel prices. The July figures also included a particularly large diesel shipment, for the purpose of lifting our onshore fuel reserves in response to the Middle East conflict. Outside of fuel, the ongoing growth in imports of capital equipment suggests that firms have remained willing to invest through the war uncertainty.

Merchandise trade



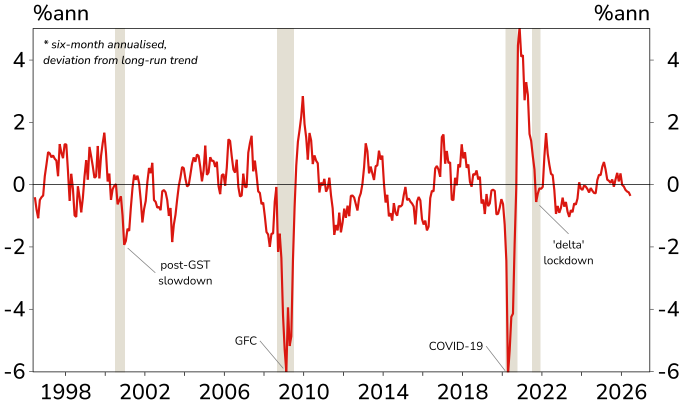
AUS: Jul Westpac-MI Leading Index

Aug 26, Last: –0.36%

The Leading Index growth rate dropped to –0.36% in June from –0.25% in May. The update pointed to a more material loss of momentum although the growth pulse was still not overly weak.

The July read include will again include a mixed bag of monthly updates with equity markets and commodity prices firming, dwelling approvals posting a solid rise and the yield spread and consumer expectations a little more positive but some softer signals emanating from labour market components: consumer unemployment expectations and total hours worked. All up the mix may see a slight improvement in the growth rate signal.

Westpac-MI Leading Index



Source: Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

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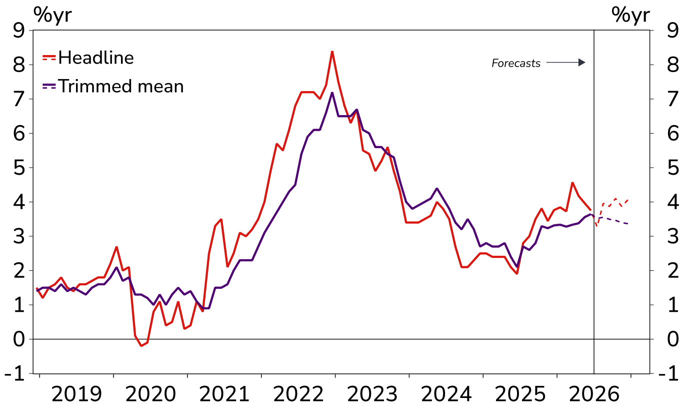
AUS: Jul Monthly CPI (%yr)

Aug 26, Last: 3.8, Westpac f/c: 3.3
Mkt f/c: 3.3, Range: 3.1 to 3.6

The June Monthly CPI was much better than feared, falling for a second consecutive month at –0.1%mth/3.8%yr. The monthly trimmed mean also moderated to 0.3%mth with a slight up tick in the year-ended pace of 3.6%yr.

We expect the July monthly CPI to rise 0.8%mth with the annual pace easing back to 3.3%yr. Holiday travel and auto fuel are the key drivers of the stronger monthly outcome, alongside a pick-up in some domestic market services resulting from the higher minimum wage decision. Electricity will be the main drag in the month. The monthly trimmed mean is forecast to rise 0.4%mth, taking the annual pace to 3.5%yr. For the full preview, see here.

Headline and Trimmed Mean Inflation



Source: ABS, Macrobond, Westpac Economics

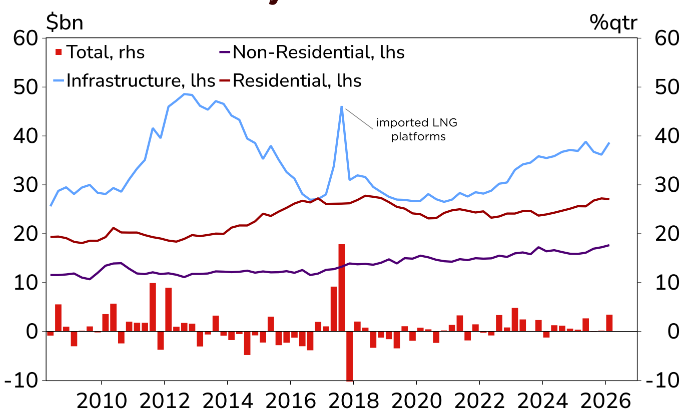
AUS: Q2 Construction Work Done (%qtr)

Aug 26, Last: 3.4, Westpac f/c: –1.0
Market f/c: 0.5, Range: –2.0 to 2.5

Construction activity grew 3.4%qtr in Q1, leaving it 6.3% higher over the year. However, the headline result was boosted by the installation of a floating production unit for the Scarborough Energy Project, much of which would have already been captured in the National Accounts through earlier progress payments. As this temporary spike unwinds, we expect construction activity to fall by around 1.0%qtr in Q2.

Beyond this, underlying trends remain more favourable. Public infrastructure investment is soft as major projects are completed, but residential construction is expected to recover following the unexpected Q1 decline. At the same time, data centre related developments and population-driven demand for commercial floorspace should continue to support non-residential building activity.

Construction activity maintains a solid trend



Source: ABS, Macrobond, Westpac Economics

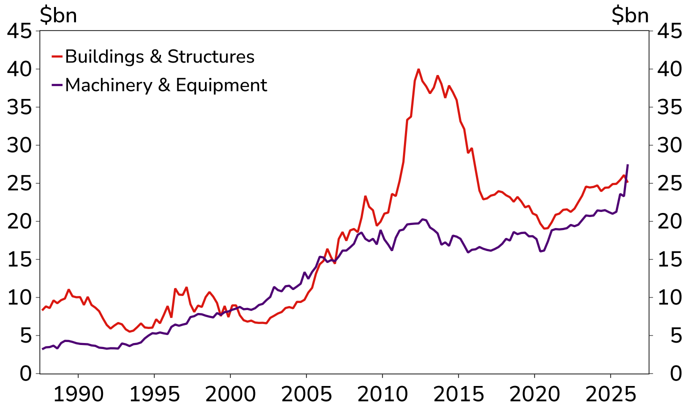
AUS: Q2 Private CAPEX (%qtr)

Aug 27, Last: 6.5, Westpac f/c: 0.0
Market f/c: 0.0, Range: –6.0 to 4.0

Private capex grew a very strong 6.5%qtr in Q1 2026, with investment in machinery and equipment driving much of the increase, primarily led by the IT sector. Capital imports suggest there will be some payback in the machinery and equipment component this quarter following that surge. However, there has also been a significant increase in the construction of commercial buildings with building approvals rising strongly over the June quarter. Overall, this should see private capex hold flat in Q2, while remaining elevated in level terms.

Est 6 for 2025/26 capex plans, after our adjustment, is consistent with robust nominal growth of 11.2%yr and real growth of 10.7%yr. We expect Est 3 unadjusted plans for 2026/27 to come in at $195bn, an 11.5% increase on a year ago, pointing to continued growth in FY27.

Private Capex



Source: ABS, Macrobond, Westpac Economics

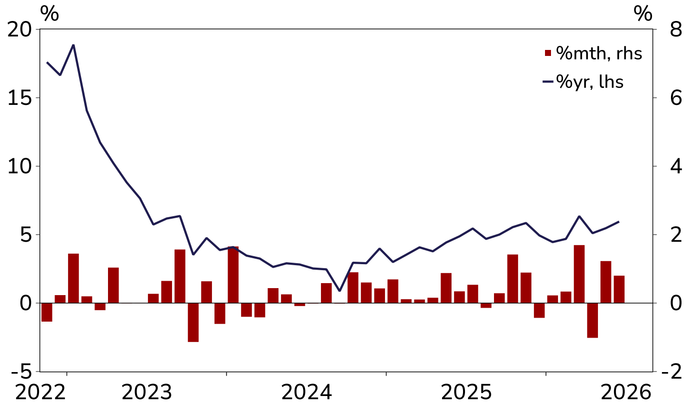
AUS: Jul Household Spending Indicator (%mth)

Aug 27, Last: 0.8, Westpac f/c: –0.5
Mkt f/c: 0.3, Range: –0.5 to 0.7

The household spending indicator rose 0.8%mth in June, beating expectations. The gain followed a choppy run, spending up 1.2%mth in May having fallen 1%mth in April. Annual growth strengthened to 6.0%yr.

Our **Westpac-DataX Card Tracker** maintained solid momentum through July and early August. However, the gains were stronger in parts that are not covered by the ABS HSI (including international transactions). A narrower measure that more closely aligned with the HSI points to a dip in the July month. Vehicle sales (covered by HSI but not the card tracker) also look to have dipped after a strong June quarter. Overall we expect the indicator to show a 0.5% decline with a small downward revision to June also possible.

Monthly household spending indicator



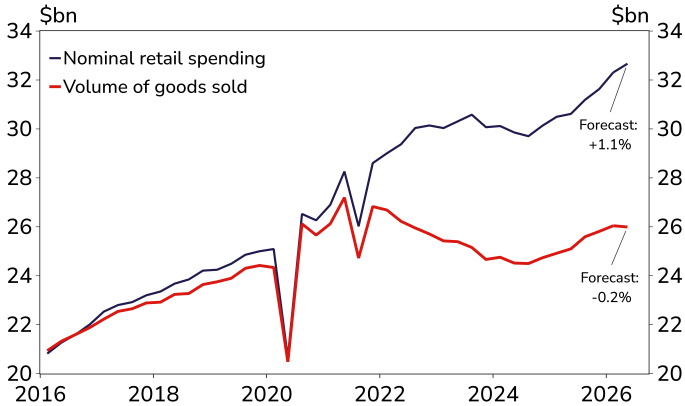
Source: ABS, Macrobond, Westpac Economics

NZ: Q2 Retail Trade Survey (%qtr)

Aug 24, Volumes last: 0.9, Westpac f/c: –0.2

In the early part of this year, we were seeing signs that spending appetites were lifting, with retail sales posting several quarters of solid growth. However, that momentum has taken a knock recently due to the large increase in fuel prices and related uncertainty about the economy outlook. We're forecasting a 1.1% rise in nominal spending over the June quarter. However, with a large rise in prices, volumes are expected to be down 0.2%. Core spending is expected likely to be firmer, with a moderate 0.6% rise forecast.

Retail spending



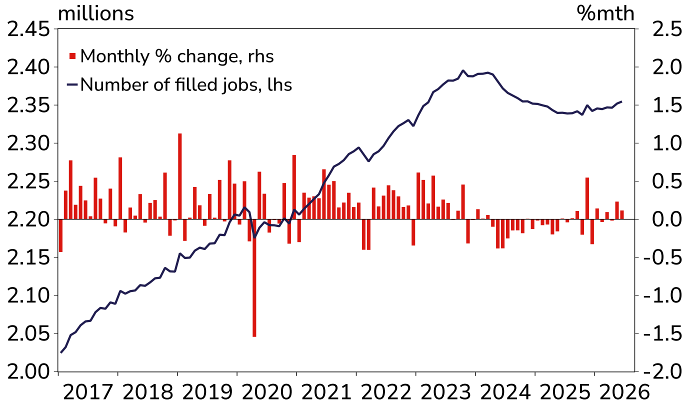
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Jul Monthly Employment Indicator (%mth)

Aug 28, Last: 0.1, Westpac f/c: 0.3

The MEI has continued to tick higher in recent months, showing that the jobs market has held its ground through the Iran conflict and the consequent surge in fuel prices. The weekly snapshots provided by Stats NZ have been running ahead of year-ago levels and suggest another solid result for July – we've pencilled in a 0.3% rise on the initial release, although this measure tends to get revised down a bit in later releases.

Monthly Employment Indicator



Source: Stats NZ, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 24							
NZ	Q2	Real Retail Sales	%qtr	0.9	0.0	–0.2	High fuel prices weighing on spending.
US	Jul	Chicago Fed Activity Index	index	–0.02	–	–	Indicates underlying growth momentum relative to trend.
Tue 25							
Aus		RBA Minutes	–	–	–	–	Discussion of inflationary pressures in focus.
		RBA Speak	–	–	–	–	Speech by David Jacobs, Head of Domestic Markets, 2:00pm.
Ger	Aug	IFO Business Climate Survey	index	86.6	–	–	Will test whether confidence is stabilising
US	Jun	FHFA House Price Index	%mth	0.3	0.2	–	High interest rates dampening house price growth,
	Jun	S&P/CS Home Price Index	%mth	0.15	0.10	–	Has been around zero lately.
	Jul	Building Permits	%mth	5.0	–	–	Final estimate, ample supply keeping new construction low.
	Jul	New Home Sales	'000	628	620	–	Slow housing market activity.
	Aug	Richmond Fed Manufact. Survey	index	5	7	–	Manufacturing sentiment recovered in recent months.
	Aug	Conf. Board Consumer Confidence	index	90.8	90.2	–	Weakened notably over the last twelve months.
Wed 26							
Aus	Jul	Westpac–MI Leading Index	%ann'd	–0.4	–	–	Mixed monthly data may see an improvement on net in July.
	Jul	Monthly CPI	%ann	3.8	3.3	3.3	Holiday travel and autofuels will support the headline.
	Q2	Construction Work Done	%qtr	3.4	0.5	–1.0	First partials of the Q2 GDP growth.
US	Jul	Personal Income	%mth	0.2	0.2	–	Income growth continues to support spending
	Jul	Personal Spending	%mth	0.4	0.0	–	Can strong Q2 growth be maintained in Q3?
	Jul	PCE Deflator	%mth	–0.1	0.1	–	Inflation pressures are easing gradually…
	Jul	Core PCE Deflator	%mth	0.1	0.2	–	…but core inflation may prove sticky.
	Q2	GDP	%ann'd	1.5	1.5	–	Second est., slower Q2 growth despite higher consumption.
	Jul	Durable Goods Orders	%mth	0.5	0.5	–	AI investment driving underlying demand.
Thur 27							
Aus	Q2	Private New Capital Expenditure	%qtr	6.5	0.0	0.0	Data-centre investment in focus after a surge in Q1.
	Jul	Household Spending Indicator	%mth	0.8	0.3	–0.5	Vehicle sales to detract from the headline after a strong June.
Chn	Jul	Industrial Profits	%ann	15.1	–	–	Weak domestic demand challenging profit growth.
Eur	Jul	M3 Money Supply	%ann	3.3	–	–	Focus on credit conditions after the ECB interest rate hike.
US	Jul	Wholesale Inventories	%mth	0.2	–	–	Inventory adjustment cycle still unfolding.
	Jul	Advance Goods Trade balance	$bn	–101.4	–99.5	–	Goods trade deficit increased recently.
		Initial Jobless Claims	000s	206	208	–	Consistent with broadly balanced supply and demand.
	Aug	Kansas City Fed Manufac. Activity	index	9	–	–	Manufacturing sentiment recovered in recent months.
Fri 28							
NZ	Jul	Employment Indicator	%mth	0.1	–	0.3	Jobs have held their ground through the Iran conflict.
Jpn	Aug	Tokyo CPI	%ann	2.0	1.9	–	Inflation pressures remain firm.
	Jul	Jobless Rate	%	2.5	2.5	–	Labour market conditions remain tight.
Eur	Aug	EC Economic Confidence Index	index	96.9	–	–	Good indicator of how GDP growth impulse is evolving in Q3.
	Aug	EC Consumer Confidence Survey	index	–15.9	–16.0	–	Recovering after the energy price shock.
US	Aug	Chicago PMI	index	57.6	59.0	–	Increased a lot this year despite higher economic uncertaintuy.
	Aug	Uni. Of Michigan Sentiment	index	51.0	51.0	–	Confidence remains very low by historical norms.
		Fedspeak	–	–	–	–	Chair Kevin Warsh's speech at Jackson Hole

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (21 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.49	4.46	4.46	4.46	4.26	4.01	3.76	3.61	3.71	3.70	3.70
3 Year Swap	4.56	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.57	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	5.06	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	34	30	25	20	10	5	0	–5	–10	–15	–20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.70	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.99	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.66	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.71	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	1	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (21 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7139	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5941	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	159.03	162	160	160	158	156	154	152	150	148	146
EUR/USD	1.1691	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3643	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7218	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.1969	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.3	0.2	0.2	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.4	1.7	1.5	1.0	1.1	1.3	1.4	1.5	2.6	1.0	1.5	2.5
Unemployment rate %	4.2	4.4	4.6	4.8	4.9	4.9	4.8	4.8	4.3	4.8	4.8	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.1	0.8	0.6	0.6	0.8	0.5	–	–	–	–
%yr end	4.1	3.9	3.7	3.9	3.1	3.2	2.9	2.6	3.6	3.9	2.6	2.4
Trimmed Mean CPI %qtr	0.8	0.8	0.8	0.8	0.8	0.7	0.6	0.6	–	–	–	–
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.9	2.7	3.3	3.3	2.7	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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Week beginning 17 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: RBA holds at 4.35%, narrows risk of hikes.

The Week That Was: A cautious turn.

Focus on New Zealand: Political drama and mixed data.

For the week ahead:

Australia: Labour force survey, Q2 WPI, Westpac-MI Consumer Sentiment, inflation expectations.

New Zealand: Retail card spending, food price index, Q2 PPI, trade balance, performance services index.

Japan: Q2 GDP, CPI, industrial production, core machinery orders.

China: Retail sales, industrial production, fixed asset investment.

Euro Area: ZEW survey of expectations.

United Kingdom: CPI, ILO unemployment rate, retail sales, GfK consumer sentiment.

United States: Leading index, import price index, industrial production, FOMC meeting minutes.

Global: S&P Global manufacturing and services PMIs.

Information contained in this report current as at 14 August 2026.

RBA holds at 4.35%, narrows risk of hikes

Luci Ellis
Chief Economist, Westpac Group

As widely expected, the RBA Monetary Policy Board (MPB) kept the cash rate on hold at 4.35% at its August meeting. The accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, if upside risks to inflation materialise. This is more specific and narrower language than in May, when it was stated that the cash rate would be increased "if needed".

The RBA has evidently concluded that the base case is that rates are on hold. Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it expected. Pass-through of higher energy prices came in quickly and in size – as we flagged at the time. But as we noted in our change of rate call, this pass-through has since tapered off, undershooting the RBA's expectations.

This decision is a hold of a different character to June's meeting, where a hike was not even contemplated because the MPB was in "wait and see" mode ahead of the Q2 CPI. This month's decision involved consideration of a hike, but the base case forecasts, which show inflation below the target midpoint by 2028, did not really support such a decision.

Softer inflation and labour market outcomes have strengthened the assessment that monetary policy is somewhat restrictive, a judgement the RBA had less confidence about earlier in the year. Still, the RBA is looking for a period of below-trend growth, and ultimately some spare capacity to build up, to engineer the reduction in inflation. Currently its forecasts show the economy to be on track to deliver that outcome.

The MPB is not yet ready to rule out rate hikes, however, because it assesses that inflation risks are skewed to the upside. It is particularly concerned that pass-through from energy prices to other prices might continue, even though it has eased off a bit sooner than originally expected. Further escalation in the Middle East conflict might result in higher energy prices than forecast, and/or more pass-through. These are similar considerations to the ones that led us to flag that there was still some chance that the RBA hikes again this cycle, even though that is no longer our base case.

The RBA still assesses the labour market to be somewhat tight, although it has eased recently. However, some of the measures the RBA typically relies on for this assessment have been affected by changes to the Labour Force Survey; measures that do not involve this survey such as capacity utilisation and business difficulty finding suitable labour provide a clearer easing signal. The SMP highlights underemployment as supporting the assessment that the labour market is still tight. As we have previously noted, other measures of underemployment published by the ABS have increased more sharply than the headline measure. The RBA's evolving assessment of labour market conditions will be a key driver of its inflation outlook, arguably more so than the housing market, which is also being affected by changes to taxation arrangements.

The RBA's underlying analysis that capacity pressures are boosting inflation and constraining output growth remains in place. Although the RBA's assessment of potential output growth is a little higher than in recent quarters, the revision was driven solely by a revised outlook for population growth. The RBA's downbeat assumptions about trend productivity growth have not changed, despite extensive language in the SMP highlighting the boom in AI and data centre investment, which has been stronger than its forecasts recognised in May.

"RBA on hold as expected, recognising the data has broken against its hawkish narrative."

Curiously, the SMP highlighted the inflationary risks posed by the AI boom pressuring construction capacity at home and semiconductor-related inflation globally, despite not factoring in any positive productivity spillover from the resulting investment. While productivity benefits would be expected to come through with a lag, how long this was expected to take was not addressed. We also find it curious that the SMP and Governor highlighted the contention for construction labour and other resources this involves, but the effects of this are only barely evident in its GDP forecasts. This implies a view that data centre construction must be crowding out other construction.

We continue to expect the RBA to remain on hold through to mid next year. However, it will be a "hawkish hold" with the MPB slow to relax given its view that upside inflation risks predominate. While we believe that investors should allow for some risk of a hike later this year, it is not our base case. There are clearly upside risks to inflation, as the RBA has highlighted, but in our view downside risks as well.

Forecast changes

- **A full update to our forecasts has been published in our Market Oulook publication today, August 14.**

Cliff Notes: a cautious turn

Elliot Clarke, Head of International Economics

This week the RBA took centre stage in Australia deciding unanimously to keep the cash rate unchanged for a second consecutive meeting. As detailed by Chief Economist Luci Ellis, the accompanying statement highlighted that the MPB is prepared to increase the cash rate from here, if upside risks to inflation materialise. This is more specific and narrower language than in May, when it stated that the cash rate would be increased "if needed".

Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it anticipated. These outcomes have strengthened their assessment that monetary policy is somewhat restrictive, likely sufficiently so to bring inflation below the target range mid-point by 2028. Inflation risks are still regarded as skewed to the upside, however, and the labour market tight. So, we expect the RBA's communications to maintain a hawkish tone while they remain on hold through late-2026 and early-2027. By August 2027 though, we believe a period of below-trend growth, an unemployment rate above the full employment level and a trend deceleration in annual inflation will be enough to warrant the first of three 25bp rate cuts, to be followed up in November 2027 and February 2028. Until this relief is given, the consumer is likely to remain cautious on spending and housing, topics assessed in depth in our latest Red Book.

On the data front, the July NAB business survey captured businesses' reaction to the breakdown of the US/Iran Memorandum of Understanding and the brief spike in Brent oil above USD100 per barrel. Business conditions continued to show resilience (+1pt to 4), but confidence remained sub-par, registering a second-consecutive reading of -6 – 11pts below its long-run average and within the bottom 10% of outcomes recorded since 1997. Input cost increases are materially affecting business profitability, particularly in sectors where weak and/or fragile demand is limiting the ability of firms to pass costs on. The survey's gauge of profitability remained only modestly below its long-run average, and the employment index in line. That said, forward orders showed a 3pt decline in July to -3 highlights a need to monitor risks closely.

Offshore, US inflation data was in focus. Again, it proved benign, headline prices rising 0.1% and 0.2% excluding food and energy. While annual headline inflation is still a multiple of the FOMC's 2.0%yr target (3.4%yr in July), core inflation has moderated all the way back to 2.5%yr. And recent monthly outcomes suggest further progress is in train. Since December 2025, core goods prices have essentially been flat. Core services inflation has meanwhile averaged 0.3% per month over the period with an outsized contribution from shelter. Indeed, 6-month annualised inflation excluding food, energy and shelter was just 1.6% in July compared to 2.4% for the traditional ex food and energy measure. There is little the FOMC can do about shelter inflation in the short to medium-term, and inflation across the rest of the basket is clearly not suggesting a hike(s) is necessary now or in coming months.

Last Friday's nonfarm payrolls report also argues in favour of restraint by the FOMC, the employment gauge surprising to the downside in July (-23k) following a -103k revision to the prior two months. Household survey employment was weaker still, with 87k fewer people reporting they are employed in the month, continuing the trend of the past 6 months (an average monthly decline of 153k). Declining participation continues to mask the deterioration in household employment. Had participation not fallen 1.2ppts since January 2025, the unemployment rate would be through 5.0%. Average hourly earnings are increasingly reflecting labour market slack, rising just 0.1% in the month, slowing the annual pace to 3.2%.

All told, we expect the US economy to continue to show resilience, growing around trend in 2026–28. But the household sector is set to remain under considerable pressure, with excess capacity likely to build in the labour market and the ability to unlock housing wealth constrained by borrowing costs and uncertainty. A complete update of our global analysis and forecasts will be made available in our August Market Outlook today on Westpac IQ.

Political drama and mixed data

Darren Gibbs
Senior Economist

While much of the focus remains on developments offshore, over the past week market participants have also had to digest both further domestic political drama and the release of several local economic indicators.

Beginning with political developments, the National Party is continuing to poll well below its 2023 General Election result, suggesting that several of the party's MPs are at risk of losing their seats at the next General Election on 7 November. So perhaps unsurprisingly, media speculation about a possible change in the party's leadership – citing sources within the party – resurfaced over the weekend. This led Prime Minister Christopher Luxon to call an impromptu caucus meeting on Wednesday, calling MPs back to Wellington despite parliament being in recess.

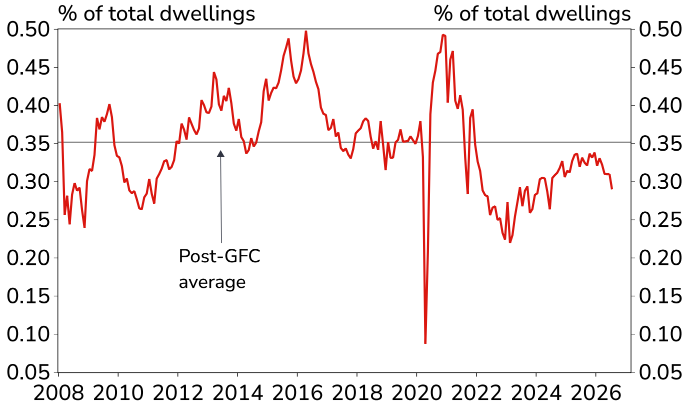
Following a three-hour meeting, Luxon held a very short press conference at which he confirmed that he had survived a no confidence motion. This follows him surviving an earlier confidence motion back in April (on that occasion, initiated by Luxon himself following widespread media reporting of dissatisfaction within the party caucus). Later in the day it emerged that one minister, Chris Penk, had challenged Luxon for the leadership. Penk has since been sacked from the Cabinet and has announced that he will no longer be standing for re-election.

With the next General Election now less than 90 days away, polling continues to show a tight race. Crucially, another well-respected poll released this week (the 1News-Verian poll) suggests that the Opportunity Party will – for the first time – achieve the 5% vote threshold that will allow it to enter parliament. Moreover, the same polling suggested that it could well be the "kingmaker" after the election. Given that the National Party has indicated an unwillingness to work with it, the Opportunity Party's rise increases the likelihood of a change of government.

It will be interesting to see how this week's developments impact polling over coming weeks, with political infighting usually punished by potential voters. It is worth noting that measures of headline business confidence have historically been weaker when a left-of-centre government is in power, so it would not be surprising to see a slip in sentiment over the next month or so (even more so given the ongoing Middle East conflict).

Turning to this week's economic data, news from the housing market remained soft in July. House sales fell 4.6% – their fifth straight monthly decline. Sales are now at their lowest level in two years. The median time to sell extended to around 47 days, thus remaining much longer than the historic average. Meanwhile, the REINZ house price index was unchanged for the month and was down 0.4% on a year ago. Conditions remain stronger in the south, with prices up on a year ago in Canterbury, Otago and Southland. However, Auckland prices were down 1.7% on a year ago, while Wellington was down 4.4%. Fixed-term mortgage rates have continued to rise since the start of this year, in anticipation of the next RBNZ tightening cycle (which is now in motion). This will continue to weigh on the housing market, leaning against any improvement in incomes as the economy gets back on its feet.

Monthly house sales

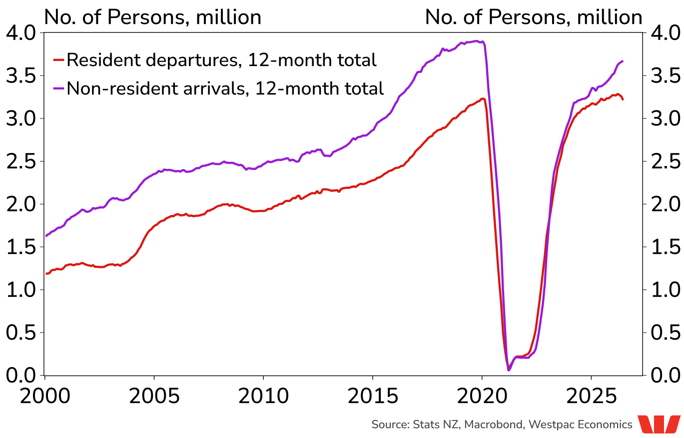


Source: REINZ, Stats NZ, Macrobond, Westpac Economics

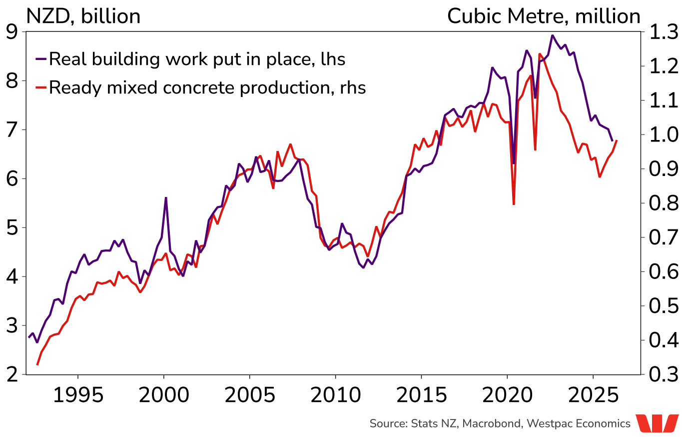
The subdued activity being seen in the housing market is also a reflection of slow population growth. The estimated net migrant inflow in the year to June was just 17,600 – little more than half the average pace experienced over the past two decades. The net inflow has increased marginally over the past year, mostly due to a 5% decline in migrant departures. Looking ahead, given the expected cyclical improvement in the New Zealand economy over the next 12 months, and the expected weakening of the Australian labour market, a further reduction in migrant outflows should contribute to a gradual strengthening in population growth, providing some support to the housing market in time.

In other news, short-term foreign visitor arrivals were down fractionally in June but still 8% higher than a year earlier. Annual growth in total arrivals hides some quite divergent performance across New Zealand's major source markets, however. Arrivals from Australia – the largest market – were up 16%yr and are now well above pre-pandemic levels, doubtless helped by the significant fall in the NZD/AUD cross over the past year. The recent strong performance of the Chinese market also continued, with arrivals up 33%yr (now around 88% of pre-pandemic levels). By contrast, arrivals from the US and Canada were down around 8%yr. Less surprisingly, arrivals from Germany and the UK were down over 9%yr, likely reflecting both the undesirably of transiting via the key Middle East hubs as well as the large increase in long-haul airfares. Meanwhile, the Middle East conflict also appears to be impacting the travel habits of New Zealanders, with outbound travel falling for a third consecutive month in June to sit slightly below its year-earlier level.

Tourism flows



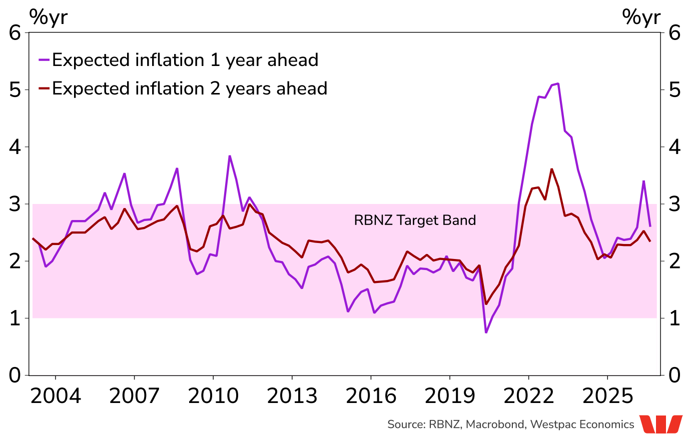
Concrete poured vs real building work



The Business NZ manufacturing index fell 5.8pts to 54.3 in July – roughly halfway between its sharply contrasting May and June readings. The sharpest decline was seen in the new orders index, which fell 10.8pts to 53.3 – just above its May reading. By contrast, the production index remained quite resilient, falling just 1.9pts to 57.3. We think that the manufacturing sector is continuing to benefit from strong conditions in the primary food sector and the beginnings of an upturn in the construction sector. Indeed, further signs of the latter were evident in concrete production data for the June quarter. At the nationwide level, production increased 3.7% during the quarter to be 12.4% higher than a year earlier. In common with many other macroeconomic statistics, the South Island regions stood out as relatively strong, with growth of 25%yr in Canterbury and 20%yr in Otago/Southland.

Turning to inflation, the RBNZ's September survey of professional forecasters and selected businesspeople pointed to a welcome decline in expectations over the next couple of years. Expectations for inflation one year ahead fell to 2.60%, down sharply from 3.41% last quarter. Similarly, the closely watched measure of inflation in two years' time fell to 2.34%, down from 2.53% previously. We did see a small rise in expectations for longer term inflation (five and ten years ahead), but those increases are well within the normal quarter-to-quarter volatility we typically see. Meanwhile, in a similar vein, the RBNZ's household survey reported that the median one-year ahead inflation expectation had declined by 0.5pts to 4.5%, while the two-year ahead expectation fell 0.6pts to 3.4%. At the margin these results might ease the RBNZ's concerns about the potential for second-round inflation impacts.

RBNZ Survey of Expectations



Finally, after trending sideways for most of this year, Westpac's indicator suggests that spending levels took a step higher in July, with per-person spending on Westpac issued credit and debit cards rising 2% over the month. Helping to support July's lift in spending were falls in fuel prices, with the savings there supporting a near 3% lift in spending on groceries. We also saw sizeable increases in some categories of discretionary spending – spending in restaurants was up 5% and spending on other entertainment was up 2%. That lift coincided with the FIFA World Cup. Stats NZ will release its more comprehensive measure of electronic card spending over the coming week.

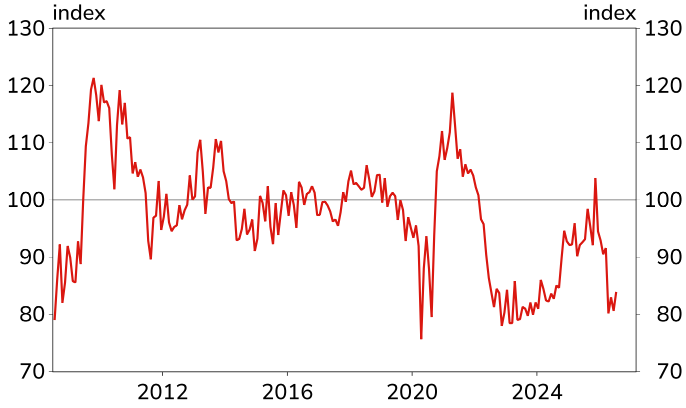
AUS: Westpac-MI Consumer Sentiment

Aug 18, Last: 83.9

Consumer sentiment rose 4.1% to 83.9 in July. Despite the gain, sentiment remains deeply pessimistic, ranking in the bottom 10% of outcomes over the survey's 50-year history. The improvement appears to reflect growing confidence that the worst-case scenarios around energy prices, interest rates and the labour market are not materialising, although cost-of-living pressures continue to weigh heavily on households.

Developments over the past month have been mixed. An unsettled situation in the Middle East has contributed to higher fuel prices following the expiry of the fuel excise discount, with the national average retail pump price now back above $2.00/L. Offsetting this, the RBA kept rates on hold in August and signalled it was a little less worried about inflation following the softer Q2 CPI print. Sentiment may also see some influence from a broadening downturn in housing markets.

Consumer Sentiment Index



Source: Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

AUS: Q2 Wage Price Index (%qtr)

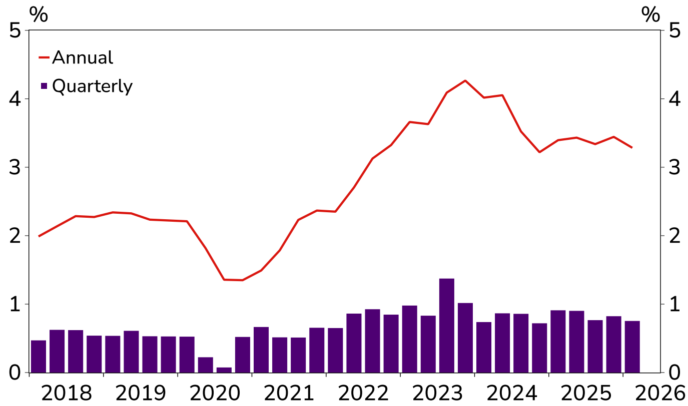
Aug 19, Last: 0.8, Westpac f/c: 0.8
Market f/c: 0.8, Range: 0.8 to 1.0

The Wage Price Index (WPI) rose 0.8% in Q1 2026, in line with Westpac's forecast and the market consensus.
Growth in private sector wages continued to moderate, annual growth now at its slowest pace so far in the cycle (3.2%yr). Meanwhile, growth in public sector wages eased back following some larger gains over last year that were due to state-based enterprise agreements and an increased in aged care wages.

We expect a similar result for Q2 2026, a 0.8% increase that should see the annual pace tick down from 3.3%yr to 3.2%yr

Further ahead, the Fair Work Commission's 2026 Annual Wage Review handed down a larger-than-expected increase in award wages of 4.75%. That will come into effect in Q3, which we expect will raise the WPI pace back around the 3½%yr mark.

Wage Price Index



Source: ABS, Macrobond, Westpac Economics

AUS: Jul Labour Force – Employment Change (000s)

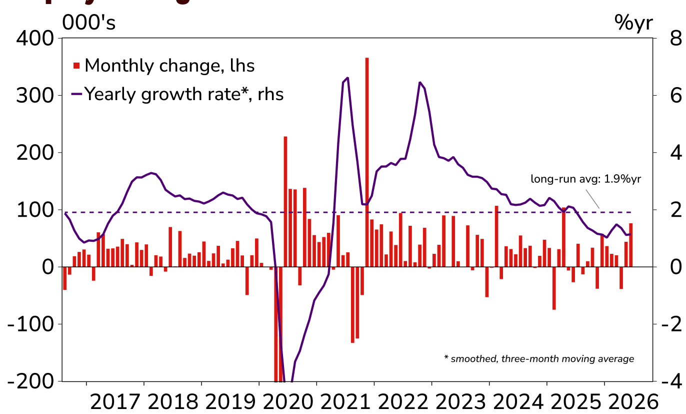
Aug 20, Last: 76.3, Westpac f/c: 15.0
Market f/c: 13.5, Range: –15.0 to 25.0

Employment surprised to the upside in June, jumping +76.3k following a couple of volatile readings over April (–38.6k) and May (+44.0k), matched by a sizeable lift in labour supply.

On a three-month average basis, employment growth is running at an annual pace of 1.1%yr, well below the long-run average (1.9%yr) and the current pace of working age population growth (1.8%yr). High inflation, recent interest rate rises and lingering uncertainty makes for a challenging hiring environment, as evinced by recent business surveys

For July, we have pencilled in a lift in employment of 15k. We recommend watching the employment-to-population ratio on the day, as it will be subject to less noise around population projections. Please see **our preview** for more detail.

Employment growth



Source: ABS, Macrobond, Westpac Economics

AUS: Jul Labour Force – Unemployment Rate (%)

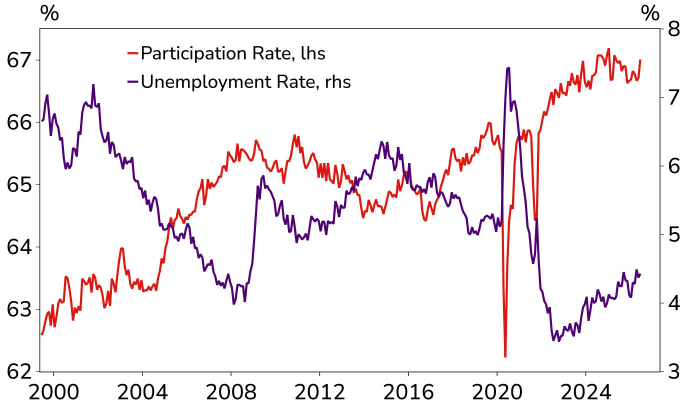
Aug 20, Last: 4.4, Westpac f/c: 4.4
Market f/c: 4.4, Range: 4.3 to 4.5

The participation rate bounced 0.3ppt higher to 67.0% in June, and since the increase in employment was driven by new entrants into the labour force, the unemployment rate held steady at 4.4%, though at the second decimal place it edged slightly higher (4.37% to 4.43%).

Explaining at least some of this surprise, the ABS noted that in May, there was a larger group of individuals who already had a job lined up but just hadn't started working, where come June they moved into the labour force and started work.

For July, we expect the participation rate to tick down to 66.9% while the unemployment rate holds broadly steady at 4.4%. As discussed in our preview, the recent sharp jump in underemployment may be a signal of more slack to come.

Participation and unemployment rates



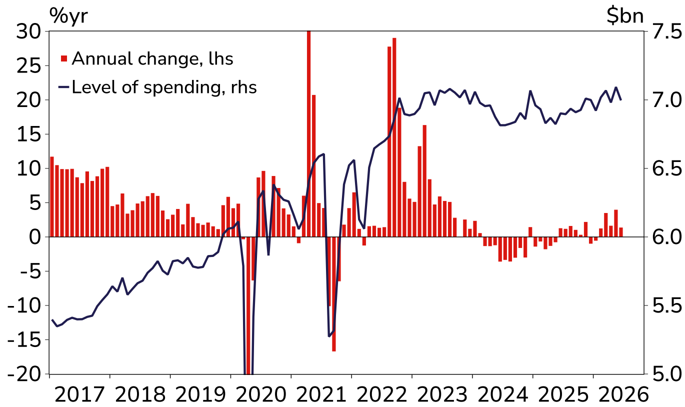
Source: ABS, Macrobond, Westpac Economics

NZ: Jul Retail Card Spending (%mth)

Aug 17, Last: -1.4, Westpac f/c: 0.3

Retail spending fell 1.4% in June, reversing the step higher that we saw in May. June's fall in spending was in part due to the fall in fuel prices, with spending on fuel down 1.7%. However, while lower fuel prices did put money back into households' pockets, spending was also down in most other areas. We're expecting moderate growth of 0.4% in July. That's in part due to the continued easing in petrol prices. Core (ex-fuel) spending is likely to record a larger 0.7% gain, including a pick-up in hospitality spending which was boosted by FIFA World Cup celebrations.

NZ retail card spending



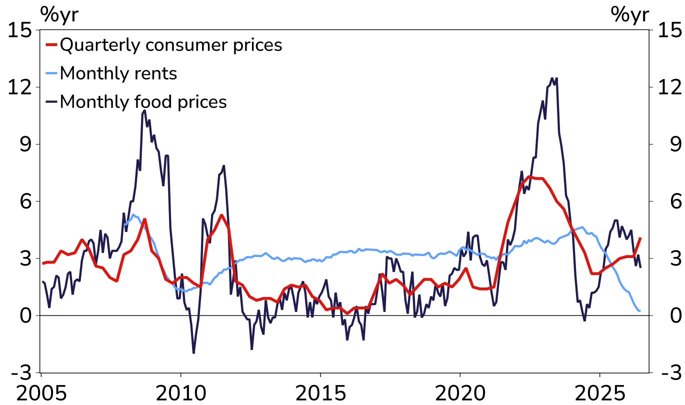
Source: Stats NZ, Macrobond, Westpac Economics

NZ: Jul Selected Consumer Prices (%mth)

Aug 17

Stats NZ's monthly Selected Prices update provides information on around 50% of the full CPI basket, including some of the more volatile components. Looking at some of the big groups, we expect the July update will show a 5% fall in fuel prices. We also expect further softness in housing rents, which have essentially shown no growth for a year. On the upside, we expect a 1% rise in food prices related to the seasonal rise in the price of fresh fruit. Overall, this month's release is expected to leave us with a picture of headline inflation tracking close to 4% and core at firm levels. The key areas of uncertainty are the travel categories, which have been volatile in the wake of the war in the Middle East.

NZ selected consumer prices



Source: Stats NZ, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 17							
NZ	Jul	Performance Services Index	index	50.6	–	–	Services have underperformed so far this year.
	Jul	Selected Price Indices – Food	%mth	0.6	–	1.1	Seasonal lift in prices for fresh fruit.
	Jul	Selected Price Indices – Rents	%mth	0.1	–	0.0	No sign that softness is dissipating.
	Jul	Retail Card Spending	%mth	–1.4	–	–	Core spending picking up as fuel prices edged back.
Jpn	Q2	GDP	%qtr	0.5	0.5	–	Firmer domestic demand to support growth.
	Jun	Industrial Production	%mth	1.3	–	–	Final estimate.
Chn	Jul	Retail Sales	ytd %yr	1.3	1.4	–	Activity indicators will likely show an economy that...
	Jul	Industrial Production	ytd %yr	5.4	5.3	–	...continues to lose momentum as policymakers fail to offer...
	Jul	Fixed Asset Investment	ytd %yr	–5.7	–6.2	–	...new stimulus, putting 2026 growth target at risk.
US	Aug	Fed Empire State Manufacturing	index	15.6	10	–	A bumpy up trend since early–2025 remains intact.
	Aug	NAHB Housing Market	index	34	33	–	Homebuilder sentiment expected to reach a 2026 low.
Tue 18							
Aus	Aug	Westpac–MI Consumer Sentiment	index	83.9	–	–	Steady rates, higher fuel, housing downturn, all in play.
		RBA Speak	–	–	–	–	RBA's Jones–Fireside Chat
Eur	Aug	ZEW Survey Of Expectations	index	23.4	–	–	Sitting at a five month high as reform spur hope for growth.
UK	Jun	ILO Unemployment Rate	%	4.9	4.7	–	Stabilising after coming off early–2026 peak.
US	Jul	Import Price Index	%mth	0.3	0.1	–	Prices for consumer goods firmed partly offset by energy costs.
	Jul	Housing Starts	%mth	19.0	–5.7	–	Partial unwind expected following June boost...
	Jul	Building Permits	%mth	–2.6	–0.2	–	...while permits expected to record third consecutive decline.
	Jul	Industrial Production	%mth	0.1	0.3	–	Rising production sees capacity pressures increase.
Wed 19							
Aus	Q2	WPI	%qtr	0.8	0.8	0.8	Higher than expected FWC decision to lift wages.
		RBA Speak	–	–	–	–	RBA's Hauser Fireside Chat, 12:45pm AEST.
NZ	Q2	PPI	%qtr	0.8	–	–	Will reflect higher fuel prices.
Jpn	Jun	Core Machinery Orders	%mth	–12.4	7.8	–	To partly reverse following last month's contraction.
UK	Jul	CPI	%ann	2.6	3.0	–	Services to moderate as energy pressures persist.
US		FOMC Meeting Minutes	–	–	–	–	Minutes for the July Committee meeting.
Thur 20							
Aus	Aug	MI Inflation Expectations	%ann	4.7	–	–	Could see an increase given the end of the fuel excise cut.
	Jul	Employment Change	000s	76.3	13.5	15.0	Watch employment-to-population to dampen noise...
	Jul	Unemployment Rate	%	4.4	4.4	4.4	...as participation rate ticks lower keep the UR steady.
US	Aug	Philly Fed Manufacturing	index	41.4	25.0	–	At a near five year high.
		Initial Jobless Claims	000s	209	210	–	Down trend resumes after early–May–to–mid–June up trend.
	Jul	Leading Index	pts	–0.2	0.1	–	Consumers are the key headwind to economic growth.
Fri 21							
NZ	Jul	Trade Balance	$m	23	–	–	Exports likely to decline from exceptional June level
Jpn	Jul	CPI	%ann	1.6	2.0	–	Price pressures broaden beyond food and energy costs.
	Aug	S&P Global Manufacturing PMI	index	54.5	–	–	Activity buoyed by steepest rise in new orders in four years...
	Aug	S&P Global Services PMI	index	51.2	–	–	...while cost and capacity pressures remain at odds in services.
Eur	Aug	S&P Global Manufacturing PMI	index	51.9	51.6	–	Production sees fastest rise since post–Covid related surge...
	Aug	S&P Global Services PMI	index	51.7	51.5	–	...with services activity rebounding into expansion.
UK	Aug	GfK Consumer Sentiment	index	–17	–18	–	Yet to recover from Middle East led deterioration.
	Jul	Retail Sales	%mth	1.0	–	–	World Cup overrides sour sentiment to lift spending.
	Aug	S&P Global Manufacturing PMI	index	51.9	51.8	–	Input price inflation eased considerably...
	Aug	S&P Global Services PMI	index	52.1	51.8	–	...as services activity returned to expansion in July.
US	Aug	S&P Global Manufacturing PMI	index	53.9	53.7	–	Rising at a milder pace due to supply chain disruptions...
	Aug	S&P Global Services PMI	index	54.6	53.9	–	...while outlook for services improves bolstering job creations.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.51	4.46	4.46	4.46	4.26	4.01	3.76	3.61	3.71	3.70	3.70
3 Year Swap	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	4.98	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	34	30	25	20	10	5	0	–5	–10	–15	–20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.64	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.95	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.60	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.64	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	0	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (14 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7062	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5856	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	159.46	162	160	160	158	156	154	152	150	148	146
EUR/USD	1.1533	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3489	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7449	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.2069	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.2	0.2	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.4	1.7	1.5	1.0	1.1	1.3	1.4	1.5	2.6	1.0	1.5	2.5
Unemployment rate %	4.2	4.4	4.6	4.8	4.9	4.9	4.8	4.8	4.3	4.8	4.8	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.1	0.8	0.6	0.6	0.8	0.5	–	–	–	–
%yr end	4.1	3.9	3.7	3.9	3.1	3.2	2.9	2.6	3.6	3.9	2.6	2.4
Trimmed Mean CPI %qtr	0.8	0.8	0.8	0.8	0.8	0.7	0.6	0.6	–	–	–	–
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.9	2.7	3.3	3.3	2.7	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

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17 AUGUST 2026

WESTPAC–DATAX CARD TRACKER

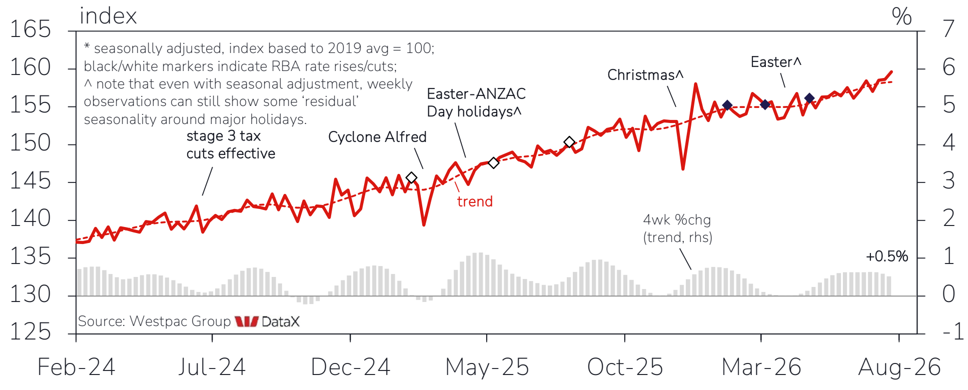
Powered by DataX

Card activity: solid growth pulse returns

- The **Westpac–DataX Card Tracker Index*** has posted a sustained improvement since mid-July, rising 2.6pts to 159.6, a new historical high.
- Quarterly growth momentum has lifted back into the 1.1–1.5% range, the strongest pace since late-March. Notably, this has little to do with the move higher in fuel prices following the end of temporary excise tax cuts, with this effect having little bearing on quarterly growth rates so far.
- Monthly growth momentum is also holding steady at around 0.7%, although here the impact of fuel price changes is clearer with card activity ex fuel tracking a softer 0.3% pace.
- The softer fuel and electricity spending over the quarter appears to have freed up some capacity for discretionary spending. Discretionary segments are now growing at 2.4%, the strongest pace in around a year. Much of the lift has been driven by holiday travel, which has rebounded following disruptions earlier in the year associated with the Middle East conflict. In contrast, spending on essentials has been broadly flat over the quarter.
- By state, Victoria continues to lead the majors, with card spending up 2.4%, although momentum has softened noticeably over the past four weeks. Elsewhere, spending growth remains more modest but positive, tracking between 1.1% in NSW and 1.8% in WA.
- Momentum has strengthened through recent months, even though consumers face several headwinds. Looking back, the Q2 Household Spending Indicator, which captures around two-thirds of consumption, recorded a solid 0.7% rise in real terms. However, we still expect the broader national accounts measure to show a more modest 0.2% increase in Q2 when it is released on 2 September. While still early in the quarter, the latest card data suggest some upside risk to our current forecast of a 0.4% rise in household consumption in Q3. Overall, we expect consumption to rise by 1.6% in 2026 (see our August Market Outlook for the full outlook and our August Red Book for a consumer deep dive).

"…. essentials relief supporting discretionary spending."

1. Westpac–DataX Card Tracker Index*



The **Westpac–DataX Card Tracker** presents indicators based on the millions of credit and debit card transactions processed by Westpac every day. The measures are a timely guide to shifts in spending. See p9 for a detailed explanation.

This report is produced by Westpac Economics.
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This issue was finalised on 17 August 2026.

If you would like more insights on your sector or business from this and other Westpac data please visit Westpac DataX or contact datax@westpac.com.au.

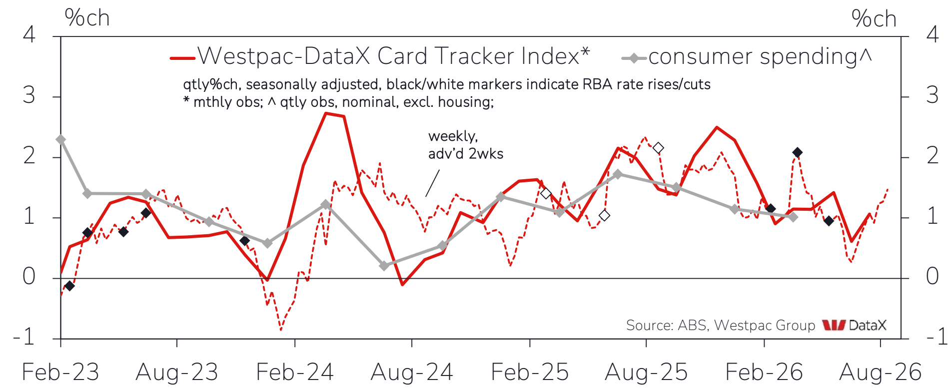
Higher rates not biting the consumer

- Chart 2 shows how quarterly growth in the **Westpac–DataX Card Tracker Index** compares to growth in nominal consumption as reported in the quarterly national accounts. All estimates are adjusted for regular seasonal variations.
- The quarterly growth momentum continued to improve since our last update, with the latest pace tracking 1.5% – the strongest since late-March. Underlying this is a 1.2% rise in domestic transactions and a 6.0% rise in international. Earlier estimates have also been revised higher.
- Notably, excluding fuel and electricity spending from this measure, quarterly growth momentum was running at 2.1%, the strongest in around a year. The near-term momentum tells a different story, though, with broader card activity tracking 0.7% over the past month and 0.3% after excluding electricity and fuel.
- Overall, we see some upside risk to our current estimate of 0.4% for consumption in Q3.
- The Q2 ABS household spending indicator posted a solid 0.7% rise in real terms. The full consumption wash-up will be provided in the national accounts, due September 2. We expect a 0.2% rise in consumption over Q2.

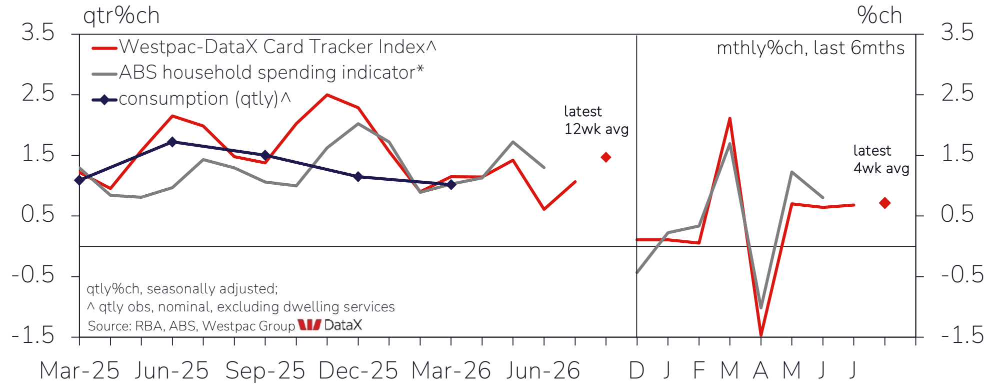
qtly%ch	Q4	Q1	Q2	latest^
Westpac–DataX Card Tracker	**2.3**	**1.1**	**0.6**	**1.5**
ABS monthly household spending indicator*				
Nominal	2.0	1.0	1.3	n.a.
Real*	0.9	0.8	0.7	n.a.
ABS consumer spending (qtly)#				
Nominal	1.1	1.0	n.a.	n.a.
Real	0.4	0.5	n.a.	n.a.

All series seasonally adjusted. Latest is either the latest weekly obs (12wks %ch on previous 12wks) or latest monthly obs (3mths %ch on previous 3mths). See p9 for more details.
* ABS monthly household spending indicator based on domestic card transaction and new vehicle sales data. Real estimates are quarterly.
# Consumer spending excludes housing costs.
Sources: ABS, Westpac Group

2. Card activity and spending: growth momentum



3. Consumer spending: selected indicators



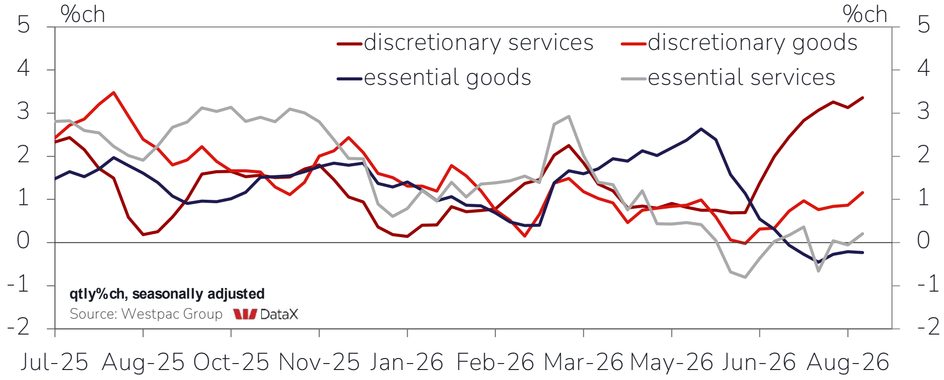
Discretionary categories and Vic lead

- Chart 4 shows quarterly growth in card activity across broad categories. The slowdown in Q2 was fairly broad-based but slightly more pronounced for essentials (noting that for essential goods this is partly due to the unwinding fuel price spike).
- The recent firming continues to be centred on discretionary categories. Growth in discretionary services is running at 3.4%qtr (strongest since mid-2025), in particular holiday travel which is growing at 5.2%qtr. Discretionary goods are growing at 1.2%qtr – the strongest in about five months.
- By contrast spending on essentials has been flat, with a modest rise in services (+0.2%qtr) offset by a decline in goods (–0.2%qtr). The weakness in the latter is entirely due to vehicle-related spending. The near-term momentum for both appears much stronger, running at 1.0%mth and 1.9%mth respectively, mostly due to the operation of vehicles and transport services component.
- Chart 5 shows card activity across the major states. Vic continues to run ahead of other states, with spending up 2.4%qtr, though the trend softened over the past four weeks. Card activity is running at 1.1%qtr in NSW, 1.2%qtr in Qld, 1.3%qtr in SA and 1.8%qtr in WA.

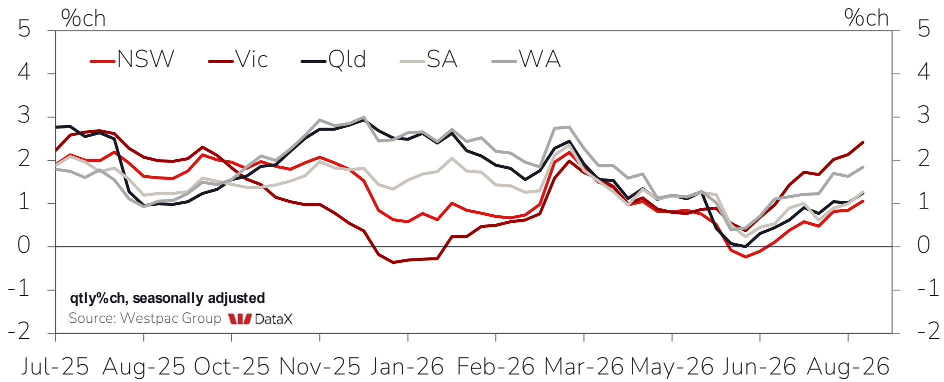
	May	Jun	Jul	8/8
Westpac–DataX Card Tracker	**156.0**	**157.0**	**158.1**	**159.6**
By category				
– discretionary*	157.5	159.1	160.4	162.7
– essential*	151.6	151.7	152.5	154.5
By state				
– NSW	149.1	149.5	150.5	154.5
– Vic	147.3	148.0	148.9	152.8
– Qld	170.1	172.3	174.3	175.3
– WA	171.4	173.9	176.2	179.8
– SA	163.3	163.6	164.9	168.4

All indexes based on the value of spending–related transactions, seasonally adjusted, 2019 avg=100, see p9 for more details including classifications.
* indexes revised due to re-classification.
Sources: ABS, Westpac Group

4. Card activity by broad category



5. Card activity by state

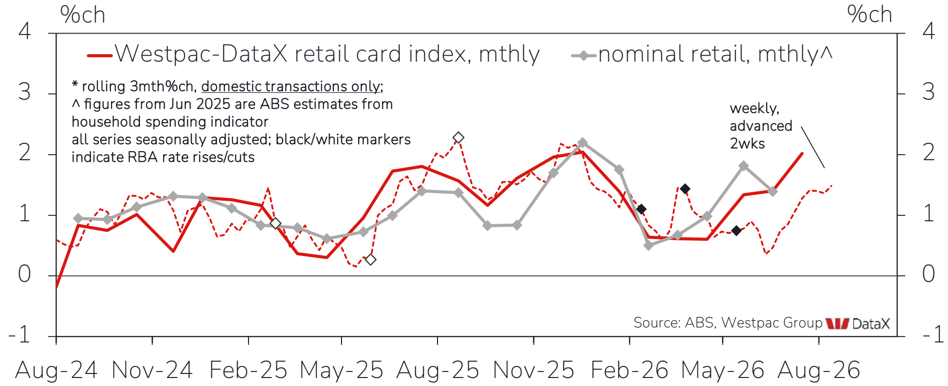


Food retailing slows led by hospitality

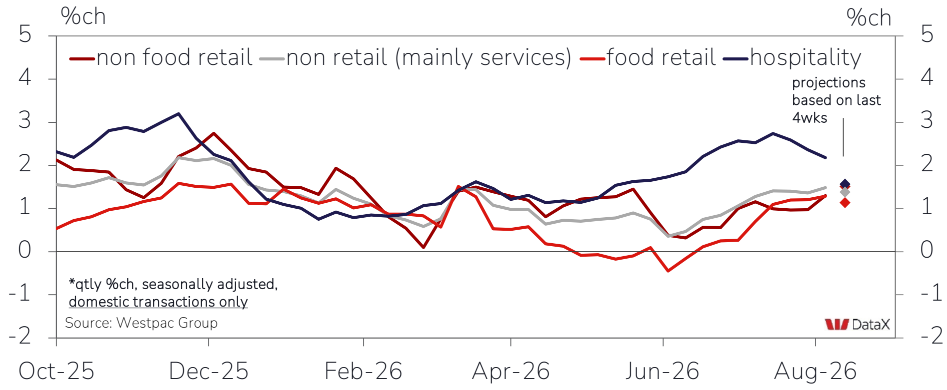
- Our MHSI and retail card indexes are composites based on transactions in categories that are in scope for the ABS monthly household spending indicator and ABS retail sales surveys (based on MHSI) respectively.
- The divergence between the broader WCTI and the retail and MHSI card measures has narrowed substantially since our last update. The retail card index is now growing in line with broader spending, at 1.5%qtr. The recent slowing here is attributed to food-related category, in particular hospitality spending, with non-food retail spend partly offsetting. Meanwhile the MSHI card index is well behind, at 0.9%qtr.
- The latest ABS MHSI showed a 0.8% rise in June, with quarterly growth lifting to 1.3%. This compares to the June monthly outcome for our index which was flat. The ABS attributed the recent strength in spending to electric vehicle purchases. This may explain some of the miss as vehicle purchases are not well-captured in card transaction data alone.
- Our MHSI card index rose 0.9% in July, with the official ABS outcome due 27 August.

	May	Jun	Jul	8/8
MHSI card index	**153.6**	**153.6**	**155.0**	**157.4**
– qtly%ch	1.9	0.9	0.9	1.0
– qtly, ann%ch	6.2	5.1	5.3	5.3
ABS MHSI				
– %ch	1.2	0.8	n.a.	n.a.
– qtly%ch	1.7	1.3	n.a.	n.a.
– qtly ann%ch	5.4	5.5	n.a.	n.a.
Retail card index	**154.2**	**154.5**	**155.6**	**156.1**
– qtly%ch	1.3	1.4	2.0	1.5
– qtly, ann%ch	5.6	5.3	5.7	5.5
ABS retail sales				
– %ch	1.2	0.1	n.a.	n.a.
– qtly%ch	1.9	1.3	n.a.	n.a.
– qtly ann%ch	5.5	5.2	n.a.	n.a.

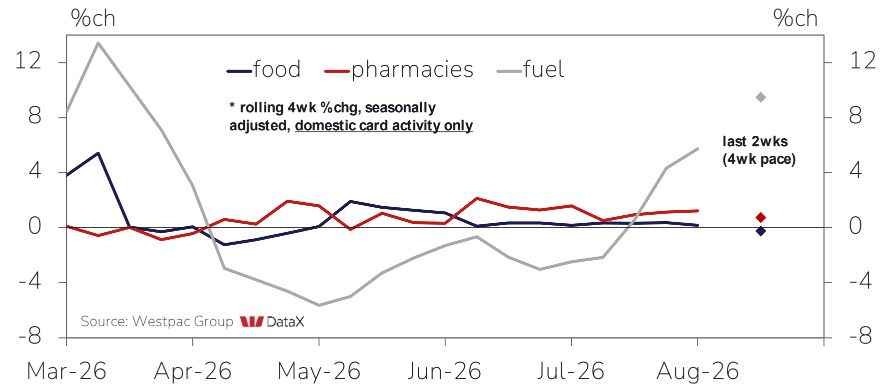
6. Card activity: retail



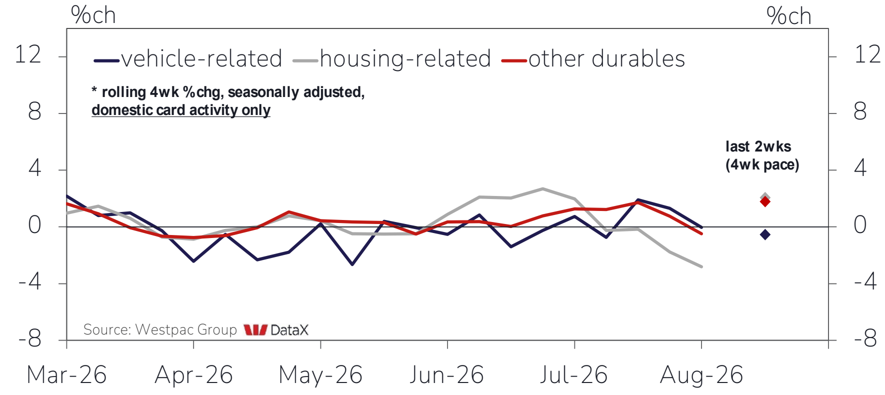
7. Card activity: retail segments and non-retail



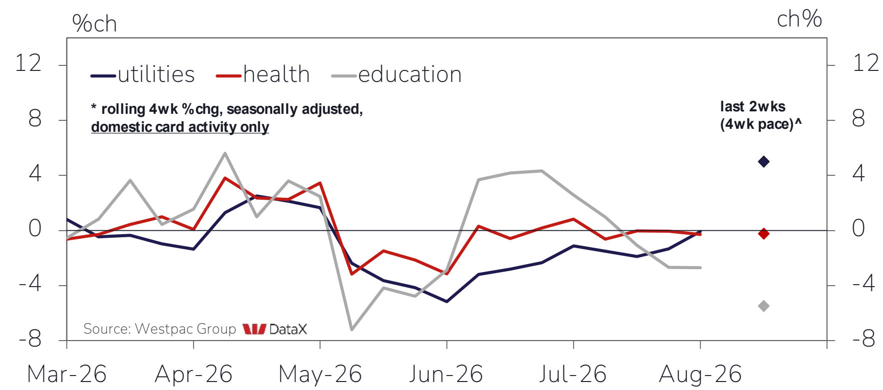
8. Card activity: essential goods



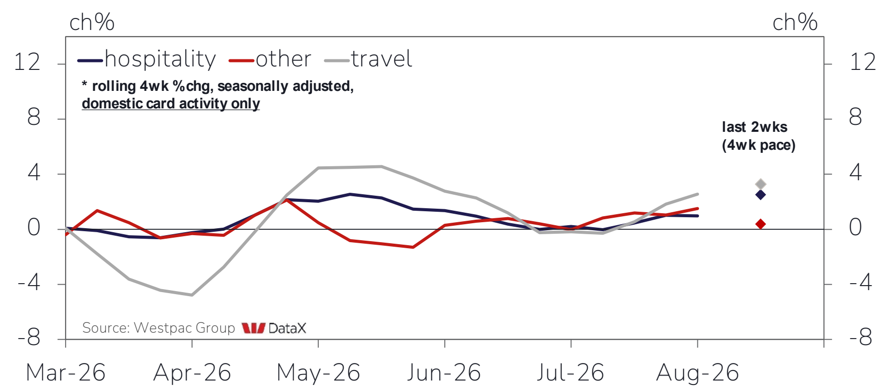
9. Card activity: discretionary goods



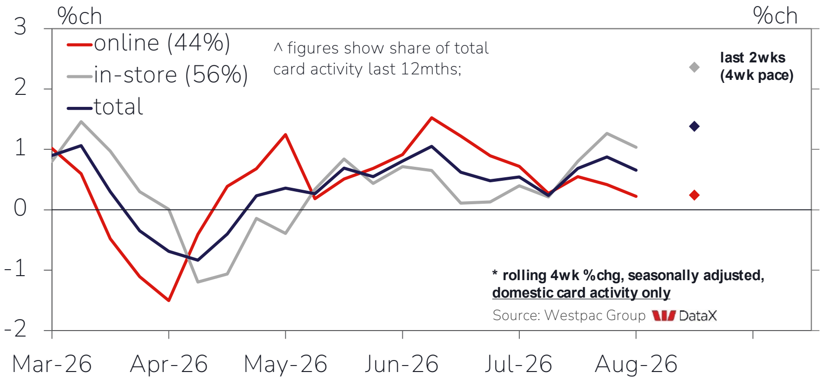
10. Card activity: essential services



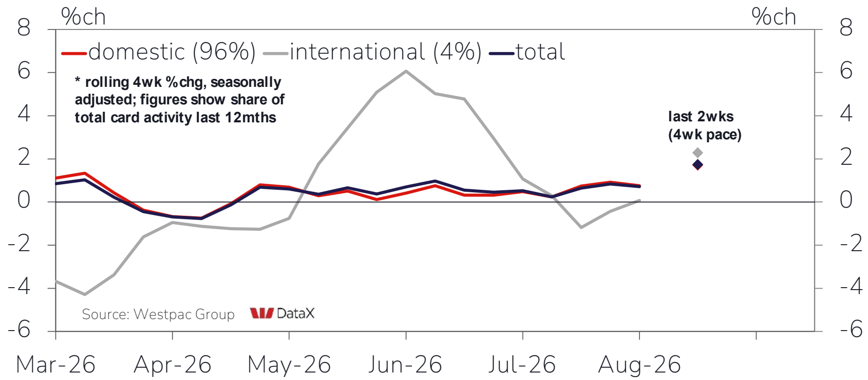
11. Card activity: discretionary services



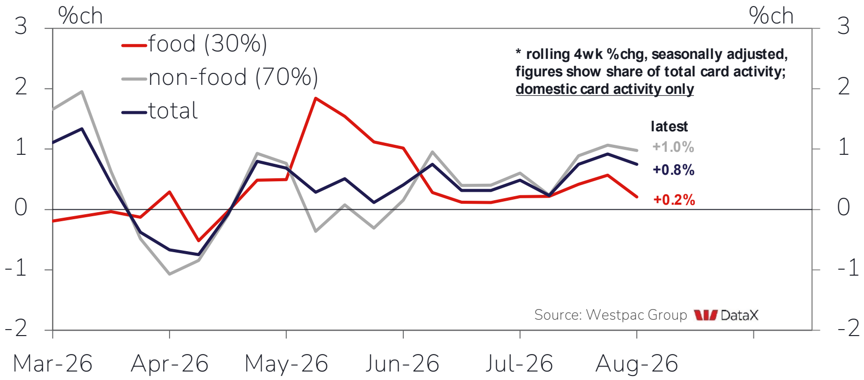
12. Card activity: online and in-store



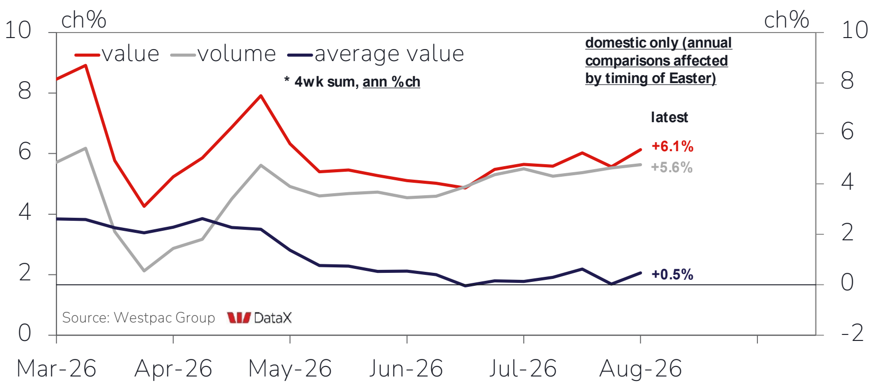
13. Card activity: domestic and international



14. Card activity: food and non-food



15. Card activity: value and volume



	2024		2025				2026					week ending:			
	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	May	Jun	Jul	18/7	25/7	1/8	8/8
Westpac–DataX Card Tracker Index	**141.0**	**143.0**	**144.7**	**147.8**	**149.9**	**153.3**	**155.0**	**156.0**	**156.0**	**157.0**	**158.1**	**157.0**	**158.5**	**158.6**	**159.6**
qtly%ch	0.4	1.4	1.2	2.2	1.4	2.3	1.1	0.6	1.4	0.6	1.1	0.9	1.2	1.3	1.5
qtly, ann%ch	3.9	5.4	3.8	5.3	6.3	7.2	7.1	5.5	6.4	5.5	5.9	5.7	5.8	5.8	6.0
By category															
– discretionary	142.8	145.7	146.0	149.4	151.3	155.2	155.7	157.3	157.5	159.1	160.4	160.2	161.2	161.2	162.7
– essential	137.9	138.4	141.2	143.9	146.0	148.2	151.2	151.7	151.6	151.7	152.5	151.5	153.7	153.7	154.5
services	147.3	150.3	152.7	157.0	160.0	164.0	165.3	165.8	165.7	167.9	169.2	168.5	170.0	168.5	172.1
– discretionary services	150.5	154.3	154.9	159.3	161.1	166.2	166.3	167.6	167.5	170.3	171.5	171.6	172.6	172.4	174.9
– essential services	142.7	144.6	149.5	153.6	158.4	160.9	164.0	163.2	163.1	164.5	165.8	164.0	166.2	163.1	168.2
goods	134.8	135.4	136.3	138.2	139.4	141.8	143.8	145.4	145.5	145.2	146.2	145.7	147.3	148.5	147.5
– discretionary goods	134.6	136.4	136.6	138.7	140.9	143.5	144.4	146.3	146.9	147.1	148.6	148.0	149.0	149.2	149.7
– essential goods	135.0	134.6	136.1	137.8	138.2	140.3	143.2	144.6	144.4	143.6	144.1	143.7	145.8	147.9	145.7
MHSI card index*	140.6	142.4	143.2	145.9	147.5	150.6	152.0	153.4	153.6	153.6	155.0	155.1	156.6	157.3	157.4
qtly%ch	0.4	1.2	0.6	1.9	1.0	2.1	1.0	0.9	1.9	0.9	0.9	0.8	0.9	0.8	1.0
qtly, ann%ch	3.1	4.7	2.5	4.2	4.8	5.8	6.1	5.1	6.2	5.1	5.3	5.0	5.0	5.1	5.3
retail card index*	141.0	142.8	143.3	145.8	147.5	150.5	151.4	153.5	154.2	154.5	155.6	155.3	155.7	156.3	156.1
qtly%ch	0.7	1.3	0.4	1.7	1.2	2.0	0.6	1.4	1.3	1.4	2.0	1.4	1.4	1.4	1.5
qtly, ann%ch	2.8	4.2	1.8	4.2	4.6	5.4	5.7	5.3	5.6	5.3	5.7	5.6	5.5	5.5	5.5
By state															
– NSW	136.4	138.5	139.6	142.5	144.2	148.2	148.5	149.2	149.1	149.5	150.5	151.6	152.8	153.2	154.5
– Vic	135.5	136.8	138.7	140.2	142.4	144.7	146.5	146.8	147.3	148.0	148.9	150.7	152.2	151.3	152.8
– Qld	150.7	152.3	155.5	159.5	161.9	167.0	169.6	169.8	170.1	172.3	174.3	174.1	175.0	175.3	175.3
– WA	151.0	154.2	157.3	158.9	162.9	168.2	171.6	171.1	171.4	173.9	176.2	177.9	178.7	177.9	179.8
– SA	147.7	150.0	152.0	154.4	157.3	160.2	162.2	162.8	163.3	163.6	164.9	164.4	166.1	166.6	168.4

All indexes based on the value of spending–related transactions, seasonally adjusted by Westpac, 2019 avg=100. See p9 for more details.
* composite based on transactions in categories in scope for ABS monthly spending indicator and ABS retail sales surveys respectively.

Sources: ABS, Westpac Group

About the Westpac card data indicators

The indicators presented in this report are based on the millions of credit and debit card transactions processed every day. Transactions covering over ten million merchants are classified into over 700 categories. These are in turn grouped into higher level aggregates that provide a timely guide to wider economic trends.

The main focus of these indicators is consumer spending. Where possible, we have sought to exclude 'non spending' transactions such as: money transfers; tax payments; loan repayments; charitable donations; and superannuation contributions.

It should also be noted that these indicators will also be affected by shifts between card and non-card transactions. This was a significant factor during the COVID–19 pandemic – health concerns about the use of physical cash leading to significantly higher use of cards vs cash, particularly where contact–less transactions are available. Transaction flows also include reversals/refunds which were also a significant phenomenon during the onset of COVID, especially in areas such as travel.

All transaction data is compiled at a highly aggregated level so that individual customer or merchant data is never revealed.

Index construction

The key metrics used in this report are indexes of spending–related card activity where the base of 100 is average activity in 2019. As an example, if transaction flows are 5% above their average level in 2019, the index read for the period is 105. If flows in a subsequent period are 8% above the average level in 2019, the index read for this period is 108. Growth between the two periods can be calculated simply as the change between the two index reads, i.e. 2.9%.

All measures are adjusted for regular seasonality. Weekly estimates are generated using the US Bureau of Labor's MoveReg weekly seasonal adjustment program. Note that in some cases, high levels of volatility during the COVID period mean it is not possible to produce seasonally adjusted estimates for some historical periods.

Also, note that previous versions of this report used different approaches to seasonal adjustment and measurement more generally. This means Index reads are sometimes not directly comparable. See the 'About the Westpac card data indicators' sections from earlier reports to more detail.

Classifications

Note that the measures used for card data and in this report do not align completely with the those used in official ABS statistics, including the ABS household spending indicator, ABS retail trade survey and ABS estimate of consumer spending published in the national accounts. There are a range of differences including around both coverage and classification. As such, the card data should be treated as broadly indicative.

The transaction data is grouped into 26 categories that are then combined into four main as follows:

Discretionary goods: alcoholic beverages, tobacco, clothing & footwear, furnishings & household equipment, household appliances, vehicle–related, recreational & cultural goods, newspaper, books & stationery, and other personal effects.

Discretionary services: transport services (part), recreational & cultural services, gambling, catering services, accommodation services, other personal care, insurance & financial services, other services.

Essential goods: food & non alcoholic beverages, medical products, appliances & equipment, and operation of personal transport equipment.

Essential services: electricity, gas & other fuels, health services, transport services (part), communications and education.

The report also uses two additional classifications:

MHSI/Retail: based on the extent to which categories cover activity that is in scope for the ABS monthly household spending indicator and ABS retail trade survey.

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Week beginning 10 August 2026

AUSTRALIA & NEW ZEALAND WEEKLY

Analysis and forecasts for this week's key releases.

In this week's edition:

Economic Insight: Buckle up for some short-term housing turbulence.

The Week That Was: Consumer shows resilience amid housing gloom.

Focus on New Zealand: Plenty of slack in the labour market.

For the week ahead:

Australia: RBA policy decision, Governor Bullock testifying before House of Representatives, dwelling finance approvals, business survey.

New Zealand: inflation expectations, house prices and sales, net migration, manufacturing PMI.

China: current account balance.

Euro Area: industrial production, trade balance, investor confidence.

United Kingdom: Q2 GDP.

United States: CPI, PPI, retail sales, UoM consumer sentiment, NFIB small business optimism, home sales.

Information contained in this report current as at 7 August 2026.

Buckle up for some short-term housing turbulence

Luci Ellis
Chief Economist, Westpac Group

- **Tight monetary policy plus tax changes add up to a powerful combination weighing on the housing market. Credit remains readily available, but demand is weak. The various indicators point to a weaker near-term outlook for prices than the base-case projections we published in late June.**
- **The RBA is expected to keep the cash rate on hold at its August meeting. This is an outworking of the better inflation outlook; the RBA was never likely to overreact to the fourth housing downturn in a decade. Targeting housing prices is not part of the central bank's remit, and most of the softness will be seen as normal policy transmission.**
- **Looking beyond this year, a lower path for interest rates and earlier timing of subsequent rate cuts mean that any housing market downturn is likely to be relatively short-lived – an "air pocket", not a crash.**

Since the Federal Budget in May, alarmist predictions about the housing market consequences of the announced tax changes have become commonplace. Recent interest rate rises, together with these changes, are clearly weighing on housing turnover and prices, leaving both buyers and sellers more uncertain.

As the pandemic experience made clear, when fiscal and monetary policy work together, they make for a powerful combination. The current situation is an example: a tightening of tax policy affecting housing coinciding with tight monetary policy. Given housing is a notably interest-sensitive sector, the conditions are therefore in place for a weaker housing market. Importantly, though, this is not the same kind of policy shock as the prudential policy changes and Royal Commission response of the 2010s. Credit supply is not directly affected and remains readily available.

There are, however, signs that things are turning out a bit weaker than our projections, released in late June. Housing price growth has turned down across all cities, with outright declines for most in the latest month; while we expected prices to move lower, the momentum is running a little ahead of our projections.

How people interpret this weakness is an open question. In recent times, when prices have been expected to fall, consumers have seen this as meaning it is a less bad time to buy a home. This contrasts with the usual historical pattern when strong price growth was seen as heralding a good time to buy.

A slightly-less-bad view of affordability as prices decline is not currently translating to buyer interest, though. The uncertainty around the effects of the tax changes could be inducing some negativity, or at least some divergence of views across the household sector, especially between investors and prospective owner-occupiers. Timely industry data show home loan credit enquiries have declined to levels last seen in late 2022 and are falling at a monthly pace of around 4%. This is broadly consistent with our forecast for turnover to decline by around 20% this year.

Indicators of conditions in the physical market are also weaker. Auction clearance rates have fallen to previous cycle lows in Sydney and Melbourne. Turnover has declined sharply in most jurisdictions, and while new listings are also starting to move lower, they are falling more slowly than sales. As a result, stock on market is rising relative to the flow of sales and turning established housing into more of a "buyer's market". That said, the data also show notable divergences across cities, highlighting that local market conditions matter, and often differ materially.

"The housing market might be entering a short-term 'air pocket' but greater turbulence does not imply a crash. "

While things seem a bit softer than we earlier projected, consider the starting point. In all major cities other than Melbourne, housing prices had run up considerably in recent years. A moderate decline would still leave prices notably higher than a few years ago. As the RBA has pointed out recently, the number of people in negative equity (home value below mortgage balance) is very low, and even a moderate decline in prices will not add much to this figure. While unemployment is forecast to drift up from here, this is mostly a story of job growth failing to keep pace with strong population growth and rising participation, not outright job losses. "Fire sales" by distressed borrowers are therefore unlikely to add downward pressure to housing prices while job prospects for mortgagors remain reasonable.

Meanwhile, the grandfathering of tax changes means that current owners of investment properties have little incentive to sell, while owner-occupiers are also likely to want to stand back and avoid catching the "falling knife". A period of low turnover is likely; this kind of thin market can result in prices being volatile, but it typically lacks the wave of distressed selling that is needed to induce large, self-reinforcing downward price spirals.

RBA will not take fright

The question then becomes how the RBA will respond. Will it see a softer housing market as simply the normal channel of policy transmission, or an additional shock with the potential for a more alarming over-correction? Some of the more dovish perspectives we have heard from customers tilt to the "over-correction" story, but in our view, the RBA was never likely to react strongly to the fourth housing downturn in a decade.

The RBA's mandate relates to inflation and full employment; housing prices are not a policy objective – and in any case, it is not obvious what such an objective would entail. Would a financial stability lens favour gently rising prices to avoid negative equity and loan distress? Or would an affordability lens favour declining prices? There are good reasons why Parliament has not charged the RBA with targeting housing prices, and good reasons why the housing element in the RBNZ's mandate was dropped after a few years.

As RBA officials have been at pains to point out, the Bank does not target housing prices but instead glean information from them. Weak prices tend to induce weak turnover, which contributes to softer economic activity. Lower housing prices can over time induce negative wealth effects on consumption – though any period of decline must be set against earlier run-ups. How the housing market is performing tells the RBA something about how monetary policy is playing through the economy. Some softness is expected when interest rates are high; the question is whether that softness is greater or less than expected. The experience of 2018–19 shows that soft housing markets and weak growth in household incomes can weigh on consumption – and so inflation – more than expected. But recall that was when inflation and interest rates were already subdued, fiscal policy was contractionary and there were no offsetting boosts to demand from infrastructure, data centres, or other forms of investment.

We also note that, since our last published release of housing price forecasts in the late-June Housing Pulse, we have taken out the two RBA rate hikes we previously expected and brought forward the timing of the subsequent rate cuts from February 2028 to August 2027. A period of stability for rates in the near term might be enough to temper the downside risks in housing or even allow for some stabilisation. Whether this plays out will become clearer as we head into the spring selling season.

In addition, earlier rate cuts mean the outlook for 2027 is a bit brighter than before, further supporting the idea that weakness this year is an "air pocket", not a lasting downturn. We will formally revise our housing price forecasts in next week's *Market Outlook*, after the RBA decision. Directionally, though, the story is near-term weakness in 2026, not a downturn stretching into 2027.

Cliff Notes: consumer shows resilience amid housing gloom

Elliot Clarke, Head of International Economics
Ryan Wells, Economist
Illiana Jain, Economist

In Australia, the week kicked off with a gloomy update on the housing market. Cotality's nationwide home value index dropped another 0.7% in July, following declines of 0.5% and 0.7% in May and June respectively, leaving prices 1.6% below their March peak. The scale of the correction is broadening across the capitals, with momentum in Brisbane and Adelaide abruptly shifting from gains to losses, while prices in Sydney and Melbourne fall more than 1% per month. The combination of restrictive monetary policy, weak homebuyer sentiment following the Budget and general economic uncertainty makes for a challenging backdrop.

Shifting focus to the consumer, recent readings on household spending point to a degree of resilience. Nominal household spending rounded out the quarter with a 0.8% increase in June, taking the Q2 gain to 1.3%. Just under half of that increase was driven by higher prices (0.6%), with higher volumes (0.7%) accounting for the remainder of the gain – implying slightly higher inflation and slightly lower real spending versus Q1. Gains across household contents, recreation & culture and hospitality point to the potential for improved discretionary spending, however.

Our Q2 Westpac-DataX Consumer Panel – a comprehensive update on income, spending and saving flows across the country – adds useful context. It shows that income growth has trailed spending growth over the past year, prompting households to draw down on savings. However, this drawdown had a relatively robust starting point given the median consumer had rebuilt savings buffers to around 2022 levels prior to the post-pandemic tightening cycle. While conditions remain uneven across the mortgage belt, the aggregate drawdown this year has been relatively modest, suggesting households retain a degree of financial resilience.

Before moving offshore, a final note on trade. June's goods trade data surprised to the upside, recording a surplus of $1.9bn following May's deficit of $2.4bn. Gold exports was the primary driver of monthly volatility, although a solid performance from iron ore also contributed to export earnings. For Q2 as a whole, goods trade appears set to detract around ½ppt from GDP growth, most notably due to large increases in fuel and EV imports.

Over in the US, the manufacturing PMI rose 2.3pts to 55.6, its highest level since May 2022, as production jumped 6.3pts to 58.5 and new orders remained firmly in expansionary territory at 56.7. Employment also returned to expansion for the first time in nearly three years. For the services sector, the headline PMI was broadly unchanged at 54.1, but the detail was mixed. New orders lifted 2.1pts to 57.2 and business activity 3.7pts. However, the employment index fell 3.8pts to 47.4, an outright contractionary read.

While a month behind the ISMs, the latest JOLTS job report points to less demand for labour across a number of key services sub-sectors including healthcare (-147k to 1,347k), education (-133k to 1,475k), professional & business services (-71k to 1,304k), and accommodation & food services (-68k to 684k). The only meaningful offset came from transportation & warehousing, which rose 119k to 1,369k reflecting a seasonal pattern. That said, the current job opening rate for the economy overall is consistent with labour demand and supply remaining broadly in balance as opposed to outright declines. Tonight sees the eagerly awaited release of the July employment report.

In China, the RatingDog manufacturing PMI fell 0.8pts to 50.9 in July, its weakest reading in four months. The headline decline was concentrated in production and new orders. Consistent with a soft domestic economy, price pressures eased further, input price inflation slowing to a six-month low and output price growth remaining broadly flat. The services PMI experienced a sharper fall to 50.4 in July, its lowest reading since September 2024. The July decline was primarily driven by weaker growth in domestic new orders. Employment continued to expand, albeit at a slower pace, while business sentiment fell to its lowest level since early 2020. Clearly there is need for pro-active stimulus in scale through the second half of the year.

Finally, in the Middle East, a deal between Iran and Oman over transit through the Strait of Hormuz is reportedly in the final stages of drafting. If implemented, it will allow safe passage for commercial ships. Iran has said, however, that US and Israeli-linked vessels will not be allowed to transit while the US' blockade remains in effect. Whether this stance causes an issue for the implementation of this deal and/or any further progress towards a lasting peace is a question for another day. Market participants continue to take a glass half full view, with Brent oil having traded near USD80 most of this week.

Plenty of slack in the labour market

Kelly Eckhold
Chief Economist NZ

The economy appears to have weathered the Iran war fairly well but has not emerged totally unscathed. Labour market data this week confirms significant excess capacity remains which is helping to restrain inflation pressures. Nevertheless, inflation remains too high, and wage pressures appear sticky, raising questions on how easy it will be to bring inflation back to 2%. The RBNZ will likely need to do more than they currently say to achieve that. Markets seem to agree with that assessment even though the sequencing of OCR hikes beyond September seems murky.

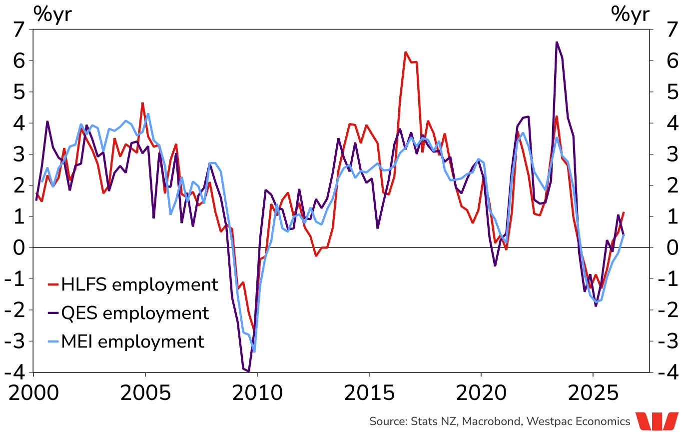
It's been a rougher than ideal five months for the economy. Economic recovery had taken hold from the September quarter of 2025 and delivered three above-trend quarters (averaged) until the Iran war stepped in and interrupted progress. The war saw a reduction and increased volatility in consumer and business sentiment and consumer spending. Increased uncertainty associated with the energy supply situation reasonably saw consumers and businesses retreat into their shells while the shooting was going on.

We can now see that GDP Nowcasts and high frequency activity indicators are consistent with a flat to negative June quarter 2026 growth outcome. Nevertheless, this is a better performance than was feared early in the war when the risks of very high fuel costs and potential supply disruptions were in prospect. Early indicators for September quarter growth look noticeably stronger than the June quarter and suggest a return to growth.

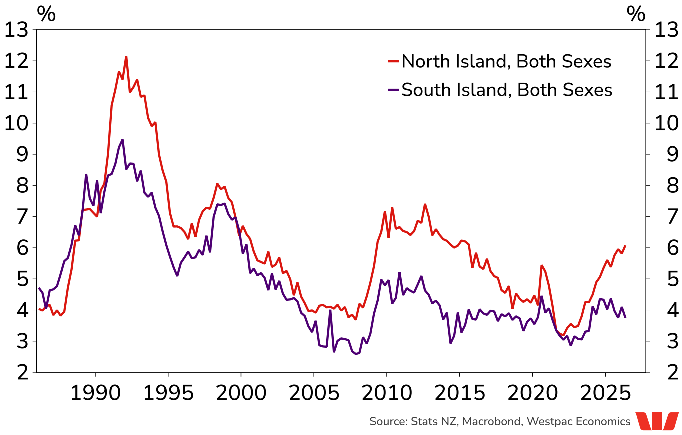
Whether that Q3 growth is above trend remains to be seen. Uncertainty remains high as we go into the sixth month of the Iran war. The Strait of Hormuz remains effectively closed and the entry of the Yemen Houthis into the fray is interrupting alternative Red Sea supply routes. Deals are purportedly on the table but at the time of writing the shooting continues and oil prices are moving up into the mid USD80s again. Recent strength in consumer and business confidence seems fragile and its sustainability will be heavily dependent on whether some kind of Middle East stability can be found. And as noted, prospects there remain very murky. The Government announced this week an extension to the fuel relief package that was initially implemented in March to assist lower income households. Technically, the threshold to withdraw the scheme was close to being met in the last week. But rising fuel costs and high uncertainty meant it was pragmatic for the government to maintain the support for now.

This week's data confirmed that significant slack remains in the labour market. The key signal came from the unemployment rate which rose more than expected to a new cycle high of 5.6%. The RBNZ will likely put the most weight on this observation when determining how much downward pressure excess capacity is exerting on inflation at its still very elevated level.

NZ employment measures



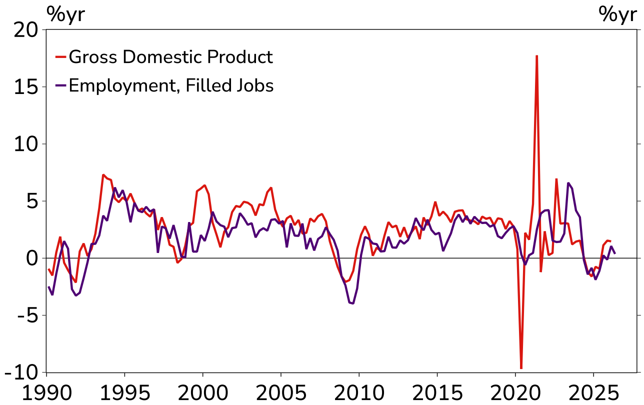
Unemployment Rate – North vs South Island



Interestingly though, the details of the labour market report were messy, and not uniformly consistent with a weak economy view. The official measure of household employment growth and labour force participation surpassed expectations – albeit possibly exaggerated by survey sample error given what we see in other employment measures – continuing a trend seen for a few quarters now. At face value, slack was created through a rise in labour supply that stronger than expected labour demand could not overcome. That's not fundamentally a weak economic story. Employment growth is firmly positive in a 0.4-1.2% y/y range which is consistent with the lift in GDP growth seen since the middle of last year.

We see significant diversity in labour market performance around the country. The South Island, which is more heavily driven by the strong agricultural and tourism sectors, saw a falling unemployment rate which is close to the 10-year average. At the same time the more heavily service sector dominated North Island urban centres were weak and unemployment is almost 2 standard deviations above the 10-year average. Population growth trends likely reflect these divergent performances.

NZ annual GDP growth versus filled jobs growth



Source: Stats NZ, Macrobond, Westpac Economics

Interestingly, wage growth slightly surpassed expectations and looks sticky at 3.1% on an unadjusted Labour Cost Index (LCI) basis. The headline productivity-adjusted LCI growth rate of 2% – less than half of its pandemic peak – is consistent with achieving 2% inflation over the medium term, but as yet labour market slack seems not to have led to sub-2% wage growth. This raises questions on the future direction of wage growth given elevated inflation expectations and reduced labour market slack as the economy further recovers. Firms report a rising proportion of wage demands that reflect cost of living pressures. This tells us the public has noticed elevated inflation and sees it as sufficiently persistent to warrant including in the wage bargaining process. This could be a headwind for the RBNZ to overcome if it hopes to return inflation to 2% in any reasonable timeframe.

This week the RBNZ's Governor commented to the press on policy and the economy. She understandably reiterated her goal of returning inflation to 2%. However, the strategy to achieve this is unclear as the policy strategy at this point is limited to "taking away a little bit of the stimulus". The RBNZ's forecasts are for the OCR to return to their view of long-term neutral levels as opposed to restrictive levels. Hence, it's unclear how this strategy will push core inflation down from the current 2.5-3% level to 2% as the economy recovers.

Disinflation may or may not happen within a reasonable timeframe and could easily be knocked off course by future inflation shocks (for example El Niño driven food price risks).

In all likelihood, more work will be required in time. Historically this has been the behaviour of the RBNZ. Early in the cycle, forecasts often indicate a modest tightening cycle that is scaled up as the cycle progresses. Hence, we remain comfortable with the idea the OCR reaches 4% sometime in 2027.

In the immediate period though, the observation of increased labour market slack asks questions of the cadence of OCR increases to end 2026. A tightening in September remains a strong possibility as we currently forecast. The elevated headline inflation outlook also strongly points to a September OCR increase. However, the case for an October hike remains unclear given the unemployment rate has lifted by more than the RBNZ forecast in May. The MPC can reach a year end OCR of 3% without an October move. We really don't have enough clarity on the MPC's strategy to be sure how meetings beyond September will progress.

There has been a shift away from providing forward guidance in central banks globally. Both the US and Australian central bank governors have shied away from such guidance recently. It's important though for the policy reaction function and strategy to be clear. Doubts have emerged in the US recently about the Federal Reserve's reaction function and strategy to return inflation to 2%. These doubts have impacted on long term interest rates and some measures of policy credibility. We think it will be important that the RBNZ doesn't also slip into the same trap. Hence at some point the RBNZ should clarify how exactly inflation will be returned to target. Hope is not a strategy, but raising the OCR to restrictive levels is a credible approach. The RBNZ will need ultimately to move away from the "removing stimulus" line and be upfront on the path ahead for the OCR through 2027. Perhaps we will hear more in the September Monetary Policy Statement.

Lastly, the election campaign period is now upon us, and the race looks very close. While for much of the year the polls have pointed to a right-leaning coalition being returned to power with NZ First being the kingmaker, the situation is now changing. The Opportunity Party is gaining ground and increasingly looks likely to breach the key 5% threshold. These developments have shifted the calculus and made a left-leaning coalition more likely and has positioned Opportunity as the deciding factor. Hence political uncertainty in on the rise and the future policy mix is in flux. Watch this space!

AUS: RBA Policy Decision (%)

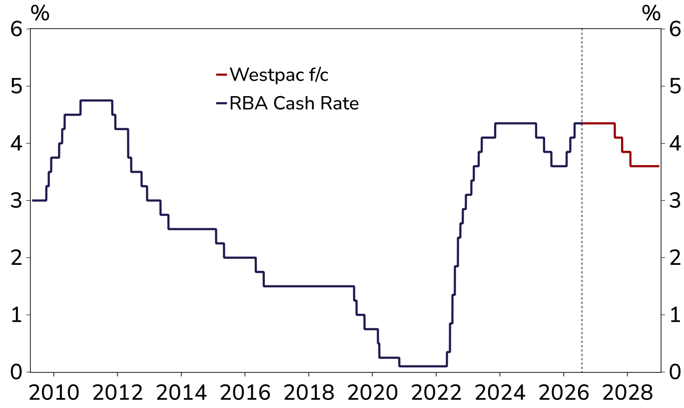
Aug 11, Last: 4.35, Westpac f/c: 4.35
Market f/c: 4.35, Range: 4.35 to 4.35

Westpac expects the RBA Monetary Policy Board (MPB) will keep the cash rate unchanged at 4.35% at its August meeting.

The Q2 CPI came in below our expectations on both a headline and trimmed mean basis. We had highlighted the risks in our preview and in the event, only the downside risks materialised. This is welcome news – the substantial pass-through of higher energy costs seen in the early phase of the Middle East conflict has not been followed up in recent months.

The MPB will likely retain a hawkish posture as it assess the data flow over the coming months. Should the data behave as expected, the MPB can gain confidence that inflation is returning to target under existing policy settings.

RBA to hold in August



Source: RBA, Macrobond, Westpac Economics

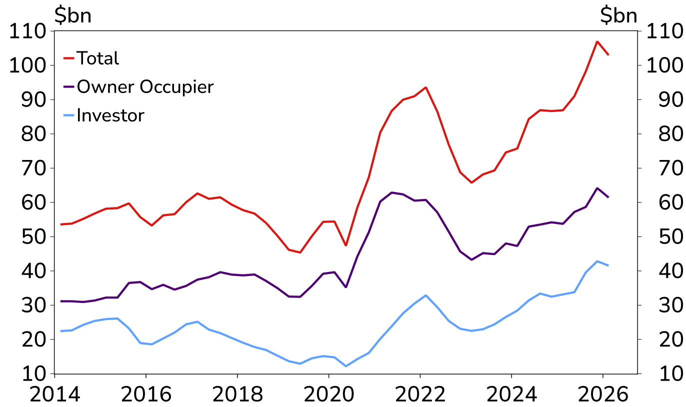
AUS: Q2 Housing Finance Approvals (%qtr)

Aug 14, Last: –3.8, Westpac f/c: –6.0
Market f/c: –4.0, Range: –7.0 to –1.0

The total value of housing finance approvals fell –3.8% in Q1, the largest drop in three years, annual growth slowing to 18.5%yr. The fall was volume-led and slightly more pronounced for owner-occupier than for investors.

We expect a more pronounced 6% decline in Q2. Interest rate rises in March and May, an uncertain near-term economic outlook, and the start of a sharp pull back in investor activity following housing-related tax policy changes announced in the Federal Budget are all at play. Loan enquiries and turnover are down materially, with price declines pointing to lower average loan values. It's unclear how much of the move is captured in Q2 or Q3. We expect the Q2 mix to show investor approvals down 9.7%qtr and owner occupier approvals down 3.5%qtr.

Dwelling Finance Approvals



Source: ABS, Macrobond, Westpac Economics

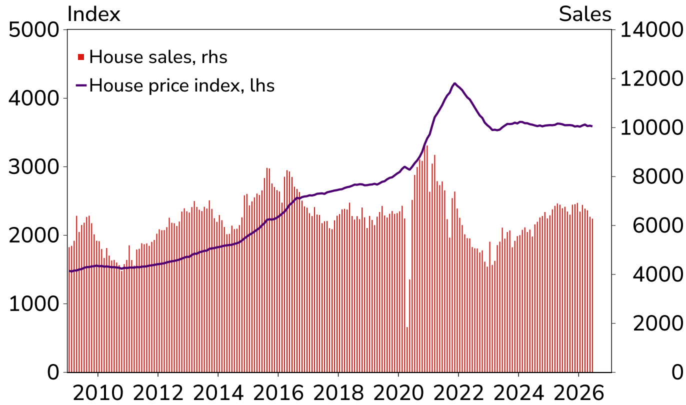
NZ: Jul REINZ House Sales & Prices (%ann)

Aug 13, Sales, Last: –2.9; Prices, Last: –0.8

The housing market softened further in June. House sales were down around 1% in seasonally adjusted terms, adding to a cumulative 9% fall since the start of the year. The REINZ house price index fell by 0.3% for the month and was down 0.8% on a year ago. Fixed-term mortgage rates have risen since the start of this year, in anticipation of the next RBNZ tightening cycle (which is now in motion).

We expect that higher interest rates will continue to weigh on the housing market, leaning against any improvement in incomes as the economy gets back on its feet.

REINZ house sales and prices



Source: REINZ, Macrobond, Westpac Economics

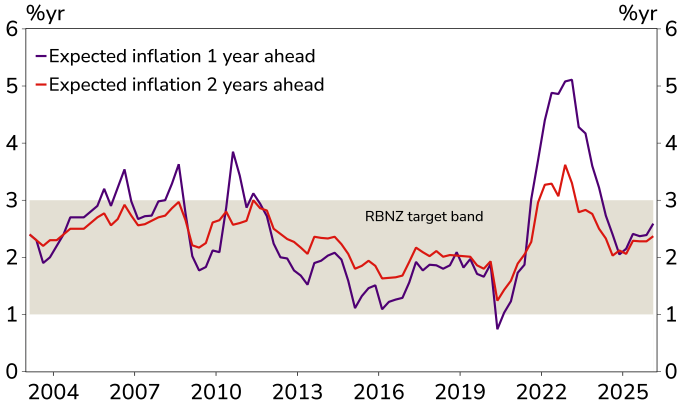
NZ: Q3 RBNZ Survey of Inflation Expectations (%ann)

Aug 13, Inflation Two Years Ahead, Last: 2.53

Inflation expectations are a key focus for the RBNZ right now, with concerns that the oil-related rise in inflation will result in a broader and more enduring lift in pricing behaviour. Expectations already took a step higher in the Q2 survey. Since then, we've seen large swings in oil prices, while overall inflation has risen back up to 4.1%.

We're expecting that the Q3 survey will show another rise in inflation expectations at the closely watched one- and two-year ahead horizons. However, expectations at longer horizons (five and ten years ahead) are likely to be more stable given the start of the RBNZ's tightening cycle.

RBNZ survey of inflation expectations



Source: RBNZ, Macrobond, Westpac Economics

US: Jul CPI (%mth)

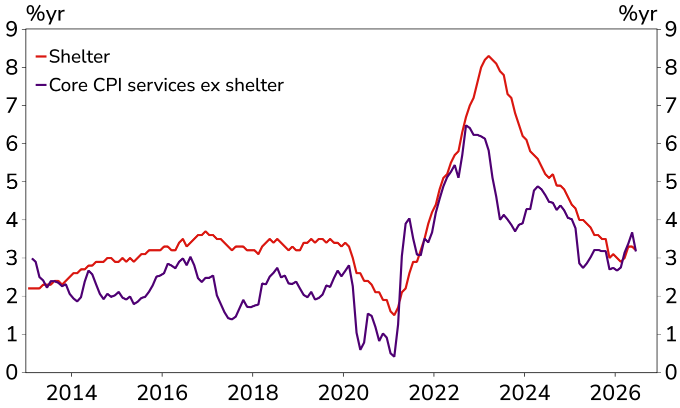
Aug 12, Last: –0.4, Market f/c: 0.1, Westpac f/c: 0.2

June's headline outcome benefitted materially from the month's sharp drop in energy prices as the US/Iran memorandum came into effect. Other components of the inflation basket were benign, with core prices unchanged.

July's print will be boosted by the recommencement of strikes by both Iran and the US, with Brent oil surging back through USD100 late in the month. The remainder of the basket is expected to hold to the modest trend of the first half, with both core and headline inflation expected to print at 0.2%.

In terms of the risks, the market will be watching closely for any signs of secondary effects, particularly in transport services. If these are seen, expect market participants to price in a high chance of a hike by the FOMC in September.

Market watching for second round risks



Source: BLS, Macrobond, Westpac Economics

What to watch

	For	Data/Event	Unit	Last	Market f/c	Westpac f/c	Risk/Comment
Mon 10							
Jpn	Jun	Current Account Balance	¥bn	3968	1514	–	Weakness in net direct investment likely to narrow surplus.
		BoJ Summary of Opinions	–	–	–	–	Minutes from the July meeting.
Eur	Aug	Sentix Investor Confidence	index	–3.1	–2.9	–	Confidence recovery faces ongoing uncertainty.
Tue 11							
Aus	Jul	NAB Business Conditions	index	3	–	–	Conditions sluggish, confidence fragile.
		RBA Policy Decision	%	4.35	4.35	4.35	'Hawkish' hold is expected; updated forecasts also in focus.
US	Jul	NFIB Small Business Optimism	index	97.4	97.3	–	Small firms remain cautious on demand and costs.
	Jul	Existing Home Sales	%mth	–2.4	–1.0	–	Affordability pressures continue to curb turnover.
Wed 12							
US	Jul	CPI	%mth	–0.4	0.1	0.2	Markets watching for second-round risks.
Thu 13							
Aus		RBA Assistant Governor (Fin Mkts)	–	–	–	–	Kent, fireside chat at 10:15am AEST.
NZ	Jul	REINZ House Prices	%yr	–0.8	–	–	Buyer enthusiasm dampened by rising mortgage rates ...
	Jul	REINZ House Sales	%yr	–2.9	–	–	... and an ample supply of homes on the market.
	Q3	RBNZ 2Yr Inflation Expectations	%ann	2.5	–	–	Likely to lift again, consistent with the lift in actual inflation.
Eur	Jun	Industrial Production	%mth	–0.2	0.2	–	Manufacturing activity continues to underperform.
UK	Q2	GDP	%ann	0.6	0.4	–	Growth momentum relatively firm, probably not for long.
US		Initial Jobless Claims	000s	199	203	–	Still at relatively low levels.
	Jul	PPI	%mth	–0.3	0.2	–	Upstream price pressures contained despite oil prices.
		Fedspeak	–	–	–	–	Hammack, Barkin.
Fri 14							
Aus		RBA Governor Bullock	–	–	–	–	Testimony before House of Representatives, 9:30am AEST.
	Q2	Housing Finance Approvals	%qtr	–3.8	–4.0	–6.0	Larger decline anticipated given interest rate rises, uncertain ...
	Q2	Owner-Occupier Approvals	%qtr	–4.3	–	–3.5	... near-term economic outlook and a sharp pull-back in ...
	Q2	Investor Approvals	%qtr	–3.0	–	–9.7	... investor activity following the Budget's tax policy changes.
NZ	Jul	Manufacturing PMI	index	59.7	–	–	Oil fluctuations continuing to impact trading conditions.
	Jun	Net Migration	no.	1860	–	–	Balance turning more positive as outflow of NZers slows.
Chn	Q2	Current Account Balance	US$bn	184.3	–	–	Trade's strength a saving grace amid sluggish domestic growth.
Eur	Q2	GDP	%qtr	0.4	0.4	–	Second estimate to provide more colour.
	Jun	Trade Balance	€bn	–5.0	–	–	Surplus with US shrinking, deficit with China growing.
US	Jul	Retail Sales	%mth	0.2	0.2	–	Consumer spending slowed to a below-trend pace ...
	Aug	Uni. Of Michigan Sentiment	index	55.2	54.1	–	... record-low consumer sentiment skews risks to downside.
	Jun	Business Inventories	%mth	0.3	–	–	Inventory accumulation has picked up in recent months.

Economic & financial forecasts

Interest rate forecasts

Australia	Latest (7 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.51	4.45	4.45	4.45	4.25	4.00	3.75	3.60	3.70	3.70	3.70
3 Year Swap	4.54	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.54	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	5.02	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	34	30	25	20	10	5	0	-5	-10	-15	-20
United States											
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.68	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85
New Zealand											
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.93	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.66	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.72	4.55	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US (bps)	4	5	15	25	45	45	40	35	30	25	20

Exchange rate forecasts

	Latest (7 Aug)	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
AUD/USD	0.7026	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD/USD	0.5864	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
USD/JPY	158.38	162	160	159	158	156	154	152	150	148	146
EUR/USD	1.1524	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
GBP/USD	1.3454	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
USD/CNY	6.7471	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
AUD/NZD	1.1982	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10

Australian economic forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4	–	–	–	–
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5	2.5	0.7	1.5	2.6
Unemployment rate %	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.3	1.0	0.7	0.6	0.9	0.5	–	–	–	–
%yr end	4.1	3.9	3.9	4.3	3.7	3.7	3.3	2.8	3.6	4.3	2.8	2.6
Trimmed Mean CPI %qtr	0.8	0.8	1.0	0.8	0.8	0.7	0.7	0.7	–	–	–	–
%yr end	3.5	3.6	3.6	3.5	3.4	3.3	3.0	2.8	3.4	3.5	2.8	2.4

New Zealand economic forecasts

	2026				2027				Calendar years			
% Change	**Q1**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
GDP %qtr	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	–	–	–	–
Annual avg change	0.8	1.6	1.8	1.9	2.0	2.1	2.4	2.6	0.3	1.9	2.6	3.2
Unemployment rate %	5.3	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
CPI %qtr	0.9	1.5	0.7	0.4	0.5	0.2	0.7	0.4	–	–	–	–
Annual change	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0

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August 2026

WESTPAC MARKET OUTLOOK

Your monthly report on Australia and the global economy.

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August 2026

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This issue was finalised on 14 August 2026.

NB: Quarterly forecasts for commodities on page X are now reported on a quarter-average basis. Forecasts on an end-of-quarter basis will be made available the week after Market Outlook is published.

Vale Bill Evans, Westpac Chief Economist

The Westpac Economics team is deeply saddened by the passing of William 'Bill' Evans, whose contribution to the team, the wider Westpac bank, the economics profession and the Australian community leaves an enduring legacy.

For more than three decades, Bill was a trusted colleague, mentor and friend. He helped Australians understand the economy through periods of uncertainty, always with clarity, insight and conviction.

As some of Bill's closest colleagues, we remember him for his energy, his high standards as an economist, his commitment to customers and the generosity and humility he brought as a leader. He had a rare ability to connect with people from all walks of life and make complex issues easy to understand.

Bill has had an enormous impact on the Economics team and its members, past and present. We are grateful for his guidance, friendship and leadership and extend our heartfelt condolences to his family and friends. He will be missed.

For those interested, this interview with Bill, from 2023 provides a fascinating look back on his time as Westpac's Chief Economist.

At sea

The influence of the Middle East conflict on markets is continuing to fade, allowing policymakers to refocus on domestic inflation and growth dynamics. The latest data suggests the pass-through from higher energy prices is proving to be less persistent than initially feared. In Australia, softer-than-expected Q2 inflation has prompted us to move from hikes to an 'on hold' view for the RBA. But central banks generally remain cautious, with most reluctant to move away from mildly restrictive policy while also emphasising a willingness to respond to upside inflation surprises.

The last month has seen some notable developments around central bank communication. In particular, incoming Fed Chair Warsh has made an explicit move to provide much less forward guidance on policy. The market volatility following his most recent post-FOMC press conference, when this approach became enacted, shows markets were unsettled by the change and may struggle with the loss of this important anchor. While the FOMC may be comfortable with this now, the real test will come if and when the next unexpected shock arrives. The Bank of England, by contrast, continues to use hawkish rhetoric to keep financial conditions restrictive even as the domestic economy softens, in our view highlighting the value clear communication can have as a tool in its own right. Closer to home, the RBA's recent shift in language suggests they are a little more comfortable that current policy settings are sufficiently restrictive but unwilling to give forward guidance.

Around AI, the theme looks to be evolving from a cyclical equity market feature to a broader growth and productivity story. Across Asia, governments and corporates are seeking to turn AI-related investment into a lasting source of productivity gains, industrial upgrading and stronger trend growth. Northeast Asia looks best-placed to broaden gains across their economies, while China may require additional policy support to ensure industrial strength flows through to households and domestic demand. In Australia, the rapid expansion of data-centre investment is becoming a more prominent source of growth although policymakers seem more focused on the potential for this to intensify near term capacity constraints than the potential uplift to productivity growth.

Australia: The economy appears to be on a firmer footing after slowing sharply in late 2025 and early 2026. Looking ahead, a more material correction in Australia's housing markets is set to be a slightly bigger drag but is balanced by a less restrictive outlook for monetary policy, with the RBA no longer expected to raise rates. Overall, the environment is a little less challenging but growth will still be subdued in 2026, with a gradual pickup coming through in 2027 and 2028 as policy becomes less restrictive and the investment gains traction.

El Niño: El Niño is strengthening but drought is not inevitable. While winter crops and livestock are exposed, our central case outlook remains for a manageable and regionally concentrated impact rather than a material shock to growth.

Commodities: Most commodities fell in July as the geopolitical risk premium that had built through much of the year continued to unwind. However, renewed hostilities, which we had highlighted as a key risk, briefly pushed oil back above US$100/bbl in late July. Our broadest commodities index declined 1.8%mth.

Global FX Markets: The US dollar has struggled to make headway this month, ranging 0.5ppts higher than its 10 July level on several occasions only to falter and eventually settle 0.9ppts lower for the month at 100.0.

New Zealand: New Zealand's economy appears to have weathered the Iran war reasonably well but has not been unscathed. The labour market has excess capacity which suggests the OCR path beyond September remains unclear. Inflation remains too high and will take some time to subside. The RBNZ will likely need to tighten more than they currently indicate, as markets suggest. A stronger tone to the exchange rate may be in prospect.

United States: Participants continue to believe inflation is the bigger threat despite a clear turn in the labour market and term interest rates which are a constraint for all but tech.

China: Q2 GDP and the June data highlight China's economic resilience and offer a degree of hope that domestic demand will strengthen over the coming year(s), if authorities provide aid.

Asia: A defining feature of Asia's growth story is AI investment. The key question for markets is whether this wave of investment will be narrow and transitory, or can be sustained and broaden across economies.

Europe & UK: Europe's policy outlook is diverging, with the ECB still focused on inflation risks while softer UK inflation and labour market conditions challenge the case for further BoE tightening.

Energy shock convergence, Fed-speak divergence ...

Luci Ellis
Chief Economist, Westpac Group

As the conflict in the Middle East drags on and periodically flares up, markets have needed to continuously re-rate their assessments of the implications for inflation, and so central bank policy. Daily fluctuations in expectations for end-2026 policy rates have tended to move with oil prices.

Policy expectations have been most sensitive to oil prices – and so developments in the conflict – for energy-importing economies such as the UK and euro area. That difference conveys a view about central banks' responses to short-term inflation developments in the spirit of risk management, more so than a fundamental view of differing outlooks. The cumulative increase in expectations for policy rates at end-2026 since the outbreak of the war has in fact converged to the 30–40bps range for all three of the Fed, ECB and Bank of England, which maps to a bit more than one hike between now and the end of the year. Our own view is that the ECB and Fed are more likely to hike than the Bank of England.

Market-based inflation expectations beyond the current year have been less affected by energy price developments than current-year forecasts. While daily movements in 1-year–1-year forward expectations of inflation from swaps have been moderately correlated with oil price moves, the net increase since the conflict started has been small. This suggests that market participants expect the energy shock will not induce lingering material second-round pass-through to other prices or lasting effects on inflation expectations, including in Australia.

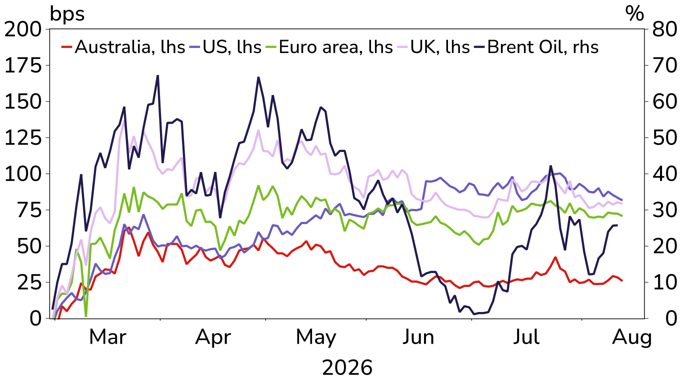
More broadly, though, longer-term yields have lifted since the beginning of the year, including in recent days, with US long-end yields increasing more than other for major economies. The larger rise for US Treasuries has less to do with expected impacts of energy prices, given the US is an energy exporter, and more to do with concerns about the Federal Reserve's strategy. Changes in Fed communication policy since FOMC Chair Warsh took over have reduced market participants' confidence that the Fed will respond to inflation pressures.

We continue to expect that structural constraints in US labour supply will keep inflation pressures to the fore. In the near term, though, the Fed is likely to remain on hold as it balances the signals from the labour market and inflation. The risks are to the upside given the views of some FOMC members.

Our house view is that Japan has broken out of its deflation era and its neutral rate has risen, as it has elsewhere. The BoJ is therefore also on a rate-hiking journey not seen for decades there. Further hikes would narrow rate differentials and support the exchange rate. The authorities have recently instead opted to intervene in FX markets in concert with the Fed, an unusual move historically.

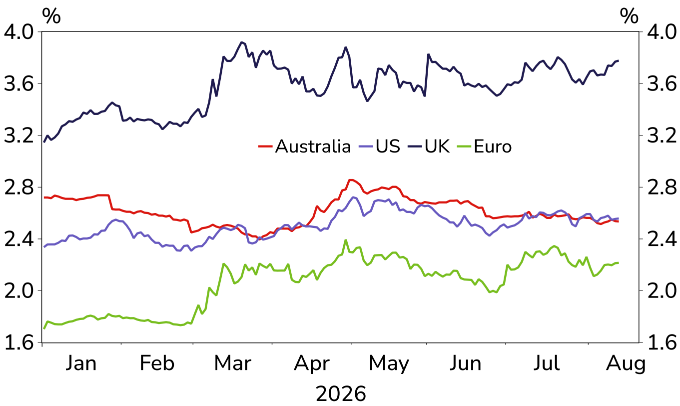
Market policy expectations and Brent oil price

Change since 28 February



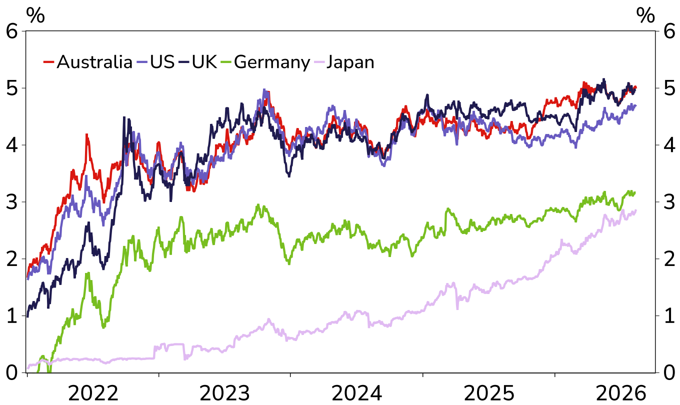
Source: RBA, ECB, CME Group, Macrobond, Westpac Economics

1-year-1-year fwd Inflation Expectations (Swaps)



Source: Bloomberg, Macrobond, Westpac Economics

Global 10-Year Bond Yields



Source: Bloomberg, Macrobond, Westpac Economics

... while RBA still wary of upside inflation risks

As widely expected, the RBA Monetary Policy Board (MPB) kept the cash rate on hold at 4.35% at its August meeting. The accompanying statement highlighted that the MPB is prepared to increase the cash rate further, if upside risks to inflation materialise. This is more specific and narrower language than in May, when it was stated that the cash rate would be increased “if needed”.

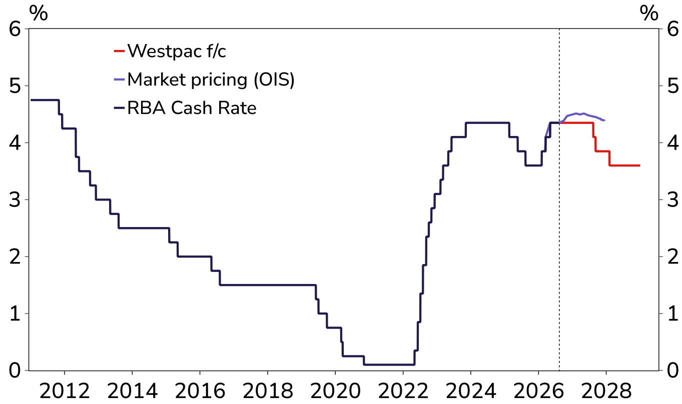
The RBA has evidently concluded that the base case is that rates are on hold. Monetary policy is assessed as being restrictive, and the language in August suggests the MPB seem more convinced on this point than was the case at the previous two meetings. Headline and trimmed mean inflation have both come in lower than the RBA expected in May, and the labour market and housing market are both weaker than it expected. Pass-through of higher energy prices came in quickly and in size – as we flagged at the time. But this pass-through has since tapered off, undershooting the RBA’s (and our) expectations.

The MPB is not yet ready to rule out rate hikes, however, because it assesses that inflation risks are skewed to the upside. It is particularly concerned that pass-through from energy prices to other prices might continue, even though it has eased off a bit sooner than originally expected. Specifically, further escalation in the Middle East conflict might result in higher energy prices than forecast, and/or more pass-through. The RBA also highlighted the inflationary risks posed by the AI boom pressuring construction capacity at home and semiconductor-related inflation globally, a narrative that has received less emphasis overseas. More broadly, the MPB’s emphasis of the upside risks to inflation stands in contrast to the relatively benign market view of 1-year forward inflation shown on the previous page.

The RBA’s underlying analysis that capacity pressures are boosting inflation and restraining output growth remains in place. It still assesses the labour market to be somewhat tight, although it has eased recently. The RBA’s evolving assessment of labour market conditions will be a key driver of its inflation outlook, arguably more so than the housing market, which is also being affected by changes to taxation arrangements. In a related vein, data centre construction was seen as pressuring capacity and crowding out other construction rather than boosting GDP. The RBA’s forecasts implicitly assume that any productivity benefits of AI do not show up in the data until after the end-2028 forecast horizon.

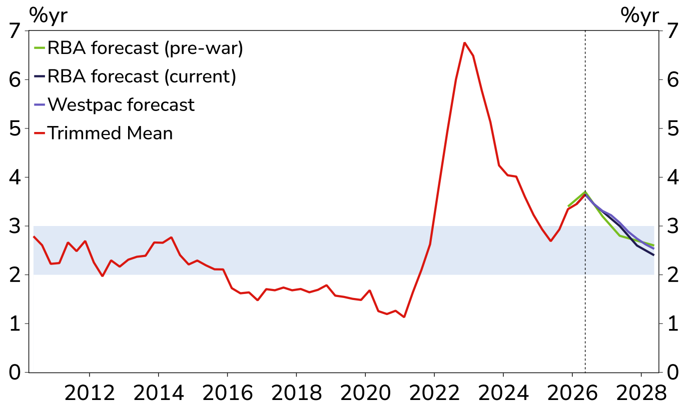
We continue to expect the RBA to remain on hold through to mid next year, before a rate-cut phase starting August 2027. However, it will be a “hawkish hold” with the MPB slow to relax given its view that upside inflation risks predominate. While we believe that investors should allow for some risk of a hike later this year, it is not our base case. There are clearly upside risks to inflation, as the RBA has highlighted, but in our view, downside risks as well.

RBA Cash Rate



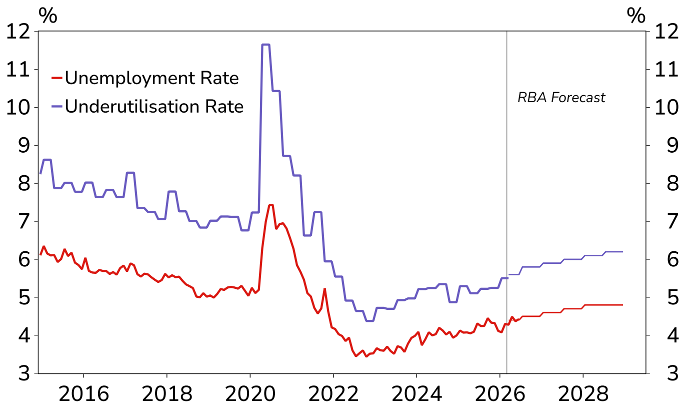
Source: RBA, Macrobond, Westpac Economics

Trimmed Mean Inflation



Source: ABS, RBA, Macrobond, Westpac Economics

Measures of labour underutilisation



Source: RBA, ABS, Macrobond, Westpac Economics

Growth stablises as demand holds up …

Matthew Hassan, Head of Australian Macro-Forecasting
Pat Bustamante, Senior Economist

The economy appears to be on a firmer footing after slowing sharply in late 2025 and early 2026. Our Westpac-Now indicator was the first to detect this stabilisation which has been corroborated by recent updates on consumer spending and business investment. Looking ahead, a more material correction in Australia's housing markets is set to be a slightly bigger drag but is balanced by a less restrictive outlook for monetary policy, with the RBA no longer expected to raise rates. Overall, the environment is a little less challenging but growth will still be subdued in 2026, with a gradual pickup coming through in 2027 and 2028 as policy becomes less restrictive and the investment upturns gain traction.

Consumers stabilise as rates peak

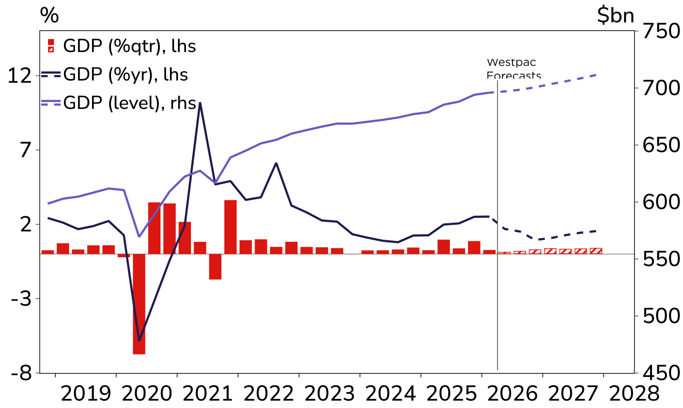
Our near-term outlook has improved slightly on the back of a firmer profile for consumer spending. The flow of data suggests demand has held up better than expected with the ABS Household Spending Indicator recording a 0.7%qtr lift in Q2 (vs an expectation of around 0.2%qtr). Motor vehicles have driven much of this upside, with industry figures showing a robust 6.5%qtr rise in Q2, led by a 30%qtr surge in EV and hybrid vehicle sales. Instead of a flat June quarter, we now expect spending to show a small 0.2%qtr rise. The September quarter is also expected to be little firmer now that interest rates are on hold. All up, we have revised our forecast for spending growth in calendar 2026 up from 1.2%yr to 1.6%yr.

Note that we continue to see a significant disconnect between spending growth, which has been soft but not weak, and extremely pessimistic reads on consumer sentiment. As discussed in our latest Red Book, the disconnect likely reflects high inflation. This is something we have been aware of for some time and have allowed for in our forecasts. However, the flip side of this is that as inflation moderates, and this disconnect unwinds, we are likely to see the associated recovery in sentiment run well ahead of any meaningful lift in spending growth.

Investment boom gathers momentum

Forward indicators for business investment continue to suggest that we are at the start of an upturn. Approvals for non-residential commercial buildings surged 28%qtr in Q2 in value terms, driven by an 80% rise in data centre projects. The latest Deloitte Access Economics Investment Monitor shows the pipeline of major investment projects (those costed at over $250m) posted a solid 5.7%qtr increase in Q2, with growth recorded across all major states. New data centre, defence and energy-transition-related projects drove the gain with the monitor now putting the total pipeline of

GDP Growth

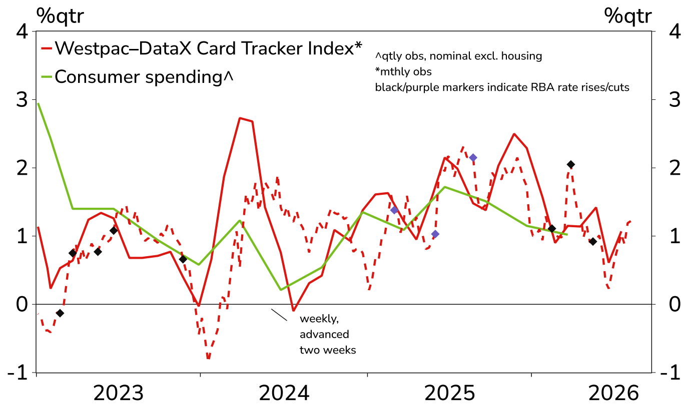


Source: ABS, Macrobond, Westpac Economics

data centre projects alone at around $100bn – our estimates suggest it's closer to $155bn, which would account for around 15% of the total pipeline of major projects. The need to power data centres is also a key aspect that is boosting the more general renewables focused pipeline of electricity generation and distribution projects, which continues to sit at record levels of around $220bn.

As discussed on p4, the Q2 inflation report was a touch softer than both we and the RBA were expecting. This suggests there has been a more muted pass-through of energy-related cost increases to broader prices. There are also some tentative signs that capacity constraints may be easing, in the labour market in particular. Overall, we expect this softer price momentum to carry forward through 2026, with trimmed mean inflation expected to slow to 3.3%yr by year-end, a

Westpac–DataX Card Tracker



Source: Westpac-DataX, Macrobond

… housing headwinds, lower rate risks

much less threatening pace than our previous forecast of 3.6%yr. We continue to expect trimmed mean inflation to make a gradual return to the RBA's target band easing to 2.7%yr by December 2027 and 2.4%yr in 2028.

Housing downturn accelerates

Activity-wise, the main downside surprise over the last month has been around housing markets.

While the pull-back in turnover is tracking expectations, the correction in established house prices has been more material. The downturn has spread across most capital cities, including the previously resilient Brisbane and Adelaide markets. The combination of higher interest rates and housing-related tax changes announced in the May Budget has seen investors vacate the market, with home loan credit enquiries showing a 20% decline.

Consistent with this, we are revising down our calendar 2026 forecast for dwelling prices nationally, from flat growth to a decline of 3%. This assumes a further fall of 2% from current levels between now and year-end, resulting in a peak-to-trough decline of 5%. The peak-to-trough decline is expected to be somewhat larger in Sydney and Melbourne, at closer to 7%.

We continue to expect a pull-back in on-market supply and an otherwise tight physical supply-demand balance to limit price declines. While demand is clearly receding, we do not expect to see the sort of sell-side pressures – from urgent sellers and/or a market with a large overhang of unsold stock – that tend to drive large declines. Prices are instead expected to gradually stabilise as we head into year-end, firming slightly over the course of 2027, with interest rate cuts providing key support.

Importantly, as we have previously shown (see [July's Market Outlook]), lower dwelling prices are likely to weigh on growth in household consumption through the 'wealth channel'. This is expected to offset much of the additional support coming from a lower inflation and interest rate profile.

Dwelling price forecasts

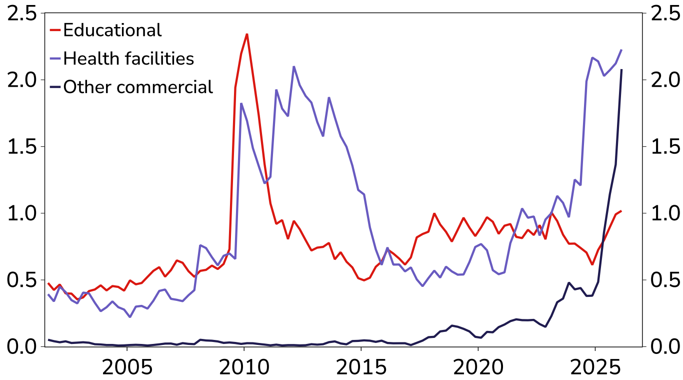
	avg^	2023	2024	2025	2026f	2027f
Sydney	4.1	11.3	2.8	6.5	–7	2
Melbourne	2.6	4.2	–2	5.2	–6	5
Brisbane	8	13.5	11.4	14.9	4	3
Perth	7.6	16.2	18.4	17.6	5	5
Adelaide	7.7	8.8	13.6	8.6	5	4
Australia	5	10.1	5.1	8.3	–3	3

^ avg last 10yrs

Source: Cotality, Westpac Economics

Non-residential building pipeline

% share of the economy, work to be done

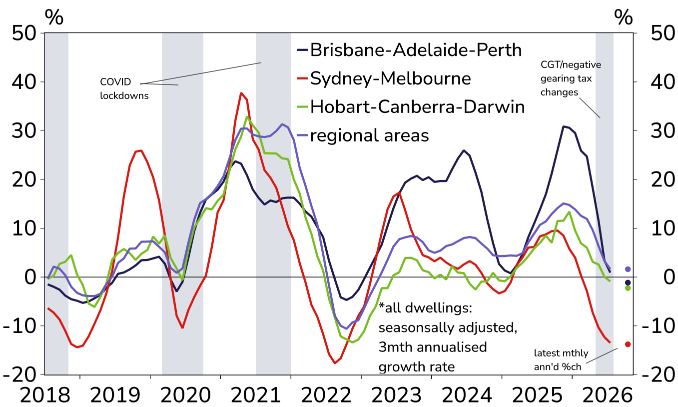


Source: ABS, Macrobond, Westpac Economics

We now expect the RBA to remain on hold until August 2027, when it will begin easing rates in response to trimmed mean inflation falling back to target. Beyond that, our forecasts for 2027 and 2028 remain broadly unchanged, with growth expected to run at 1.5%yr and 2.5%yr.

Aside from a lower pass-through of higher oil prices, the recent downside surprise on trimmed mean inflation may also be an early sign that capacity constraints are starting to ease. Around labour supply, we expect participation rates to remain elevated as higher interest rates and cost-of-living pressures draw more people into the labour market. There are also reasons to expect productivity will improve as the drag from the non-market and mining sectors dissipates and a cyclical upswing in market sector productivity gains traction. There should also be a medium-term tailwind from AI, which has the potential to lift productivity growth both here and abroad.

Dwelling prices: city groups and regional areas

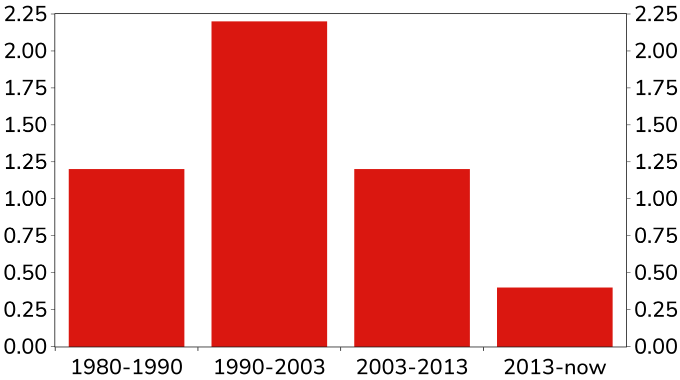


Source: Cotality, Macrobond, Westpac Economics

… AI could be the next productivity boost

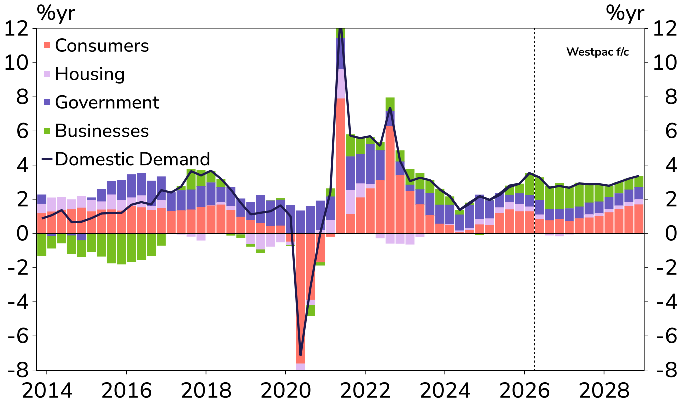
Productivity growth

Annual average % change, total ex agriculture



Source: ASEANstats, Macrobond, Westpac Economics

Contributions to Domestic Demand



Source: ABS, Macrobond, Westpac Economics

Productivity upside from AI

Internal Westpac data suggests spending on AI subscriptions by SMEs remains low but is increasing rapidly, with a near doubling in Q2 2026 according to some metrics. As this technology is adopted and businesses uplift their work processes there should be a 'productivity dividend' in the form of increased production and/or lower costs to end users. The timing and magnitude of these shifts are highly uncertain, but given the pace of AI adoption, it could arrive quite quickly. ABS data, for example, show the share of businesses using AI rose from 1% to 12% over the three years to 2024-25, a figure that has almost certainly jumped again since then.

How big could the payoff be? This is even harder to quantify, not least of all because of the new goods and services this technology will make available. AI will not only affect existing jobs but will very likely create entirely new ones as well.

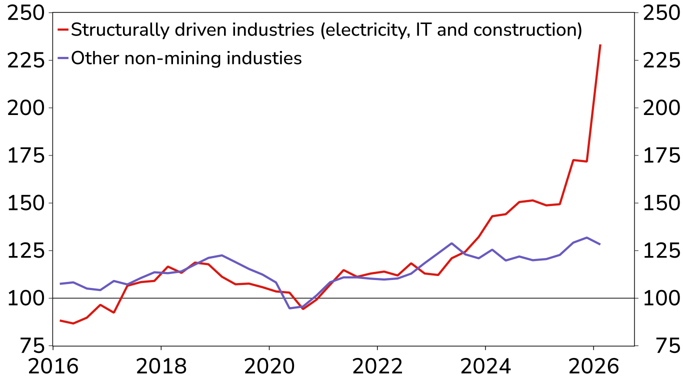
Past experience suggests there is significant upside. While there were other contributors (including significant micro-economic reforms and a sustained shift to low inflation and interest rates) Australia's 'golden era' of productivity growth – the 2.2% pace sustained during the 1990s – also related to IT-driven technological changes. Dramatic changes in computing power, use and, with the advent of the internet, connectivity transformed many industries, allowing for significant increases in what could be produced for a given set of inputs.

If AI follows anything like the path seen when previous general-purpose technologies have emerged (computing, the internet, electricity etc), Australia should experience some sustained improvements in productivity growth.

We will have more to say on the potential scale of this effect in the coming weeks, but needless to say there is considerable potential here, which could have implications for both our forecasts and the broader economy sooner than previously thought.

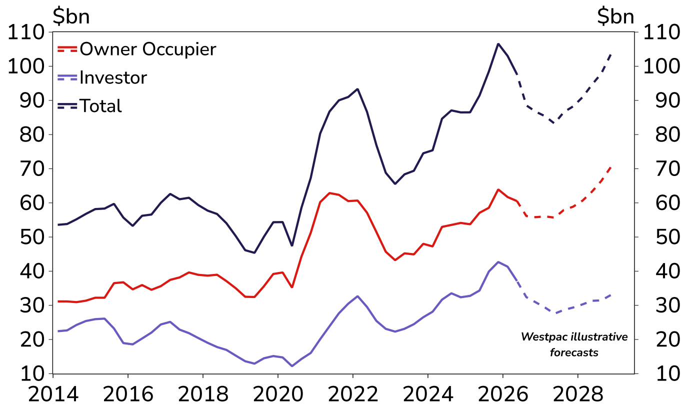
CAPEX by sector

Index 2020 = 100, Chain volume measures



Source: ABS, Macrobond, Westpac Economics

New housing finance



Source: ABS, Macrobond, Westpac Economics

A declaration is not a drought...

Sian Fenner, Head of Business, Industry & Economics
Luka Belobrajdic, Economist

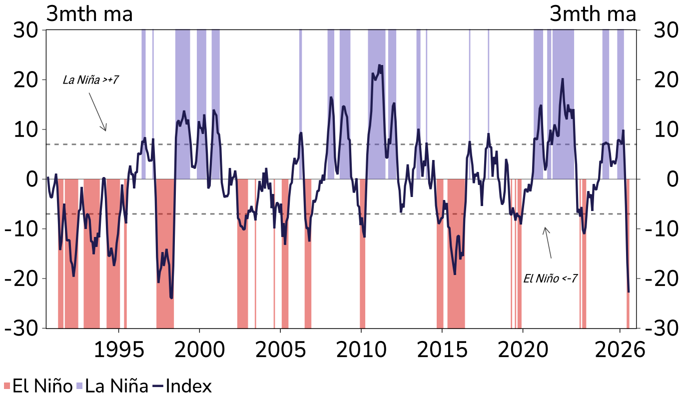
El Niño is strengthening but this does not guarantee a drought and even where it does turn dry the impact will be uneven. Soil moisture, water availability and the Indian Ocean Dipole (IOD) matter as much as El Niño's strength. Australian winter crops and livestock are most exposed, particularly in eastern and northern NSW as well as southern QLD. In New Zealand, dairy is the key channel. We see the macroeconomic impact as manageable under our central case, though a more severe event would add to inflation pressures in Australia and weigh on incomes in New Zealand. For now, we treat that more severe outcome as a risk to watch rather than our base case.

A strong El Niño event has been declared by the World Meteorological Organisation, the Australian Bureau of Meteorology (BOM) and New Zealand's National Meteorological Service. All agencies expect it to strengthen over the next three months and persist into mid 2027. For Australia, the declaration tilts the odds towards a drier, warmer winter and spring across the east and south, with the BOM forecasting below-average rainfall across parts of southern and eastern Australia. In New Zealand, the event strengthens the westerlies, drying the north and east while the southwest turns wetter.

An El Niño event raises the risk of drought but does not make one inevitable. Since 1900, around two-thirds of events have coincided with widespread drought, but the most recent, in 2023-24, delivered a wetter than average eastern summer despite a strong signal. The strength of an event is also not a reliable guide to its impact. The weak 2002 event hit eastern Australia hard, while the very strong 1997-98 event proved relatively benign in Australia (although it was severe in New Zealand). What matters is whether a number of reinforcing conditions fall into place.

Southern Oscillation Index

Indicator of the development and intensity of El Niño or La Niña events



Source: BOM, Macrobond, Westpac Economics

For Australia, the Indian Ocean Dipole is important. A positive IOD develops in winter and peaks in September and October, squarely inside the winter grain-growing season. It is currently neutral, but models point to a positive event developing over winter, which would reinforce the dry signal from El Niño. How much damage follows will also depend on soil moisture and water storage entering the season.

In Australia, the risk is regional. WA, SA and VIC began the year with average to above average sub-soil moisture, but levels were lower in NSW and southern QLD. Water availability has also eased more broadly, with Murray-Darling Basin storages at 58%, down from around 63% a year ago. New Zealand enters from a stronger position with soil moisture, river flows and feed availability broadly favourable, though forecasts point to drier conditions across northern and eastern regions as the event builds towards a possible summer peak.

On the sum of these conditions, our central case remains that an extreme drought in Australia is avoided. That said, farm activity is still expected to contract this year. A drier and warmer season, combined with elevated diesel and fertiliser costs, will see some growers scale back planting area and fertiliser applications, leading to lower yields.

Commodity impacts are uneven

Still, even without an extreme drought, the impact of drier conditions will vary across commodities. In Australia, winter crops are the most exposed. ABARES already expects the combination of El Niño dryness and higher input costs will see the national winter crop drop to around 54.5Mt, 21% below last year. However, this would still be the seventh-largest on record and above the ten-year average. Growers are accounting for this shift by favouring barley over wheat given its lower fertiliser need and better dry-tolerance. Because Australia has a meaningful share of world wheat trade, a domestic shortfall tends to firm global prices and cushion sector revenue even as volumes fall.

The other key exposure in Australia is livestock. We still expect meat prices to remain elevated, supported by tight supply and firm external demand, although they are likely to drift lower through the year. In a more severe scenario, we would expect meat to move through two stages. First, lower rainfall will slow pasture growth and lift feed costs. This will drive higher turnoff and slaughter, weighing on prices, before a smaller herd and flock tighten supply and lift prices later. A

… but a risk to watch

key risk is that producers respond to the El Niño declaration rather than actual weather conditions. In 2023, early destocking increased supply and weighed on livestock prices, only for prices to rebound as rainfall conditions proved more favourable than anticipated.

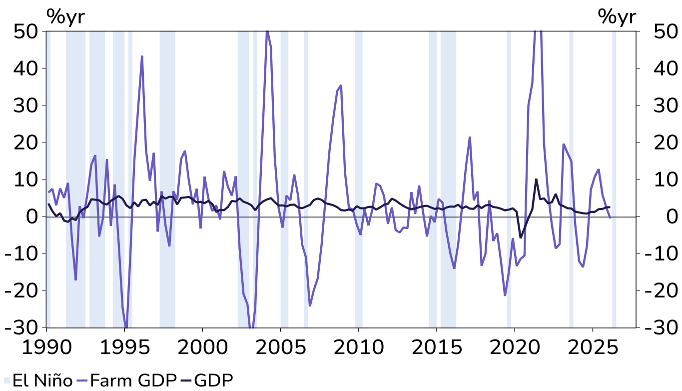
Beyond grains and livestock, water availability matters most for Australia's rice and cotton. Other sectors, such as Queensland sugar, are largely insulated because the crop is well advanced and the El Niño-rainfall link is weaker in the key growing regions. On balance, we expect El Niño's impact to be limited and largely concentrated in the eastern dryland belt.

For New Zealand, dairy matters most, given its weight in the export base at around 3.5% of GDP. A poor season cuts milk-solids volumes, but the income hit is partly offset by price. New Zealand is a large enough share of traded dairy globally that tighter supply tends to firm global prices, even though its share of world production is small. Indeed, the RBNZ found the 2012-13 drought lifted global dairy prices by around 10%. A softer NZD in dry years adds a further cushion, so dairy can be a smaller drag on national income than a poor season implies. Kiwifruit and apples are more resilient given irrigation, though prolonged dry and heat still cut fruit size and quality.

Limited hit to growth

Agriculture accounts for around 1.8% of gross value added in Australia and 3.8% in New Zealand, so a poor season barely registers in headline output. But the weight runs beyond the farm gate through to exports, regional incomes and supply chains. The RBA has estimated that previous major El Niño droughts cut annual GDP growth by around 0.5 percentage points, and up to a full point in the worst cases. The impact today may be smaller. Agricultural production is less exposed to drought than in previous decades, reflecting improvements in water management, crop selection and farming practices. Australia's eastern electricity generation is also less dependent on rainfall-sensitive generation than during earlier droughts, reducing one channel through which dry conditions can affect prices and activity.

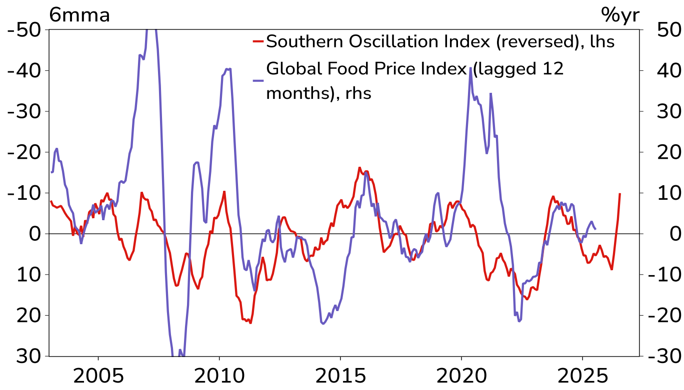
El Niño impact on Australia



Source: BOM, ABS, Stats NZ, Macrobond, Westpac Economics

On the inflation front, our current forecasts already carry some rise in fruit and vegetable prices from August, although this reflects not just drier conditions but also the impact of higher fertiliser costs leading to lower yields. Still, a more severe scenario would add to an already above-target inflation problem.

El Niño event a growing risk to global food prices



Source: BOM, Our World in Data, FAO, NOAA, Macrobond, Westpac Economics

For policy, both the RBA and RBNZ treat weather-driven food-price moves as temporary and look through them, so absent a broader shock we would not expect El Niño to feature in either bank's rate path. But there comes a point where a central bank can no longer ignore the inflation shock. For the RBA, the room to discount a food-price rise is narrower while it is still fighting an above-target problem. The RBNZ faces this issue to a lesser degree, with core inflation on the higher side but still within the target range.

What we are watching

Overall, we see this as a manageable and regionally concentrated risk rather than a national shock. The 2026-27 El Niño raises the odds of a difficult season, but strong signals have delivered benign outcomes before. The sector is in a good place to manage risks -- balance sheets are healthier than in past droughts and the role of the IOD means it could still turn either way. Nor is the global effect large, with losses in Australia and South-East Asia frequently offset by better South American harvests. A genuine food-price spike tends to require a coincident shock, such as an export ban, energy price spike or conflict, rather than El Niño on its own. Historically, the largest food-price shocks have occurred when weather disruptions coincide with broader supply shocks, amplifying what would otherwise be a manageable production shortfall. So, for now, we treat this as a risk to watch rather than a base case.

Commodities whipsawed again in July ...

Justin Smirk, Senior Economist
Luka Belobrajdic, Economist

Most commodities fell in July as the geopolitical risk premium that had built through much of 2025 continued to unwind. The resurgence in hostilities highlighted the fragility of any ceasefire and saw oil briefly surpass US$100/bbl late in the month. Our broadest commodities index declined 1.8%mth, led by thermal coal (-10.2%), which unwound June's gains as supply improved and energy security concerns receded. Aluminium declined 8.2%, lithium (spodumene) fell 6.3% and coking coal eased 4.7%mth. Renewed conflict heightened inflation concerns and expectations of further global rate rises saw gold soften 3.7%mth. Brent averaged 1.5%mth lower over the month, while copper was broadly unchanged (-0.1%mth). LNG bucked the broader trend, rising 10.1%mth on ongoing market tightness.

Oil prices experience a volatile month

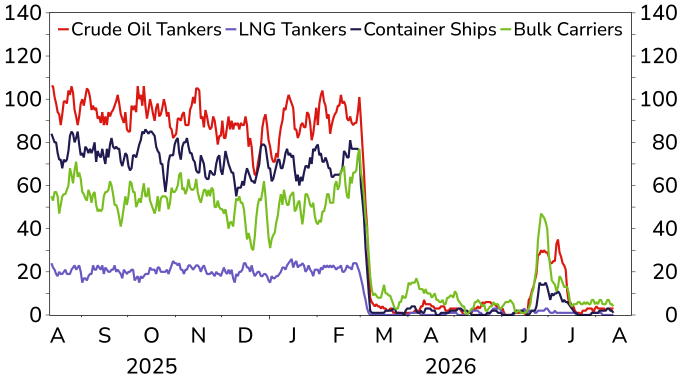
Brent prices saw sharp volatility over the past month. Prices entered July at pre-conflict levels as the MoU held, which saw a surge of vessels exit the Strait and the risk premia unwind. Renewed conflict, which we had previously flagged as a key risk, later constrained traffic through the Strait once again. Houthi attacks on Saudi crude exports in the Red Sea added to market concerns. As a result, Brent briefly rose above US$100/bbl for the first time since May in late July. On net, Brent averaged 1.5%mth lower in July at US$83.0/bbl - in line with our forecast. Prices have since oscillated around this level. We continue to expect volatility, as key differences between the US and Iran remain unresolved. While flare-ups are likely to be short-lived, we expect supply and demand fundamentals to increasingly reassert themselves as the primary drivers of prices over the coming months.

Notably, inventories remain very low. The decline in OECD government stocks by a further 44mb in June will see greater demand for oil as depleted reserves are rebuilt. Further, the lower prices will entice China to replenish their stock reversing some of the weakness seen in Chinese imports through July. China accounted for just 13% of seaborne crude imports in July, down from 19% a year earlier, while independent refinery operating rates remain historically low at just above 50%. Refiners will be further motivated to buy oil in Q4 ahead of the Chinese New Year holiday. While lower Chinese imports have been a key buffer against the gobal supply shock, this support is unlikely to persist.

Overall, we expect Brent to average US$83/bbl in Q3 before softening slightly to US$81/bbl in Q4 - a US$3/bbl downgrade to our previous publication, reflecting the continued unwinding of the geopolitical risk premium. Volatility will remain a feature, with much depending on the durability of the ceasefire and the pace of normalisation in shipping through the Strait. These

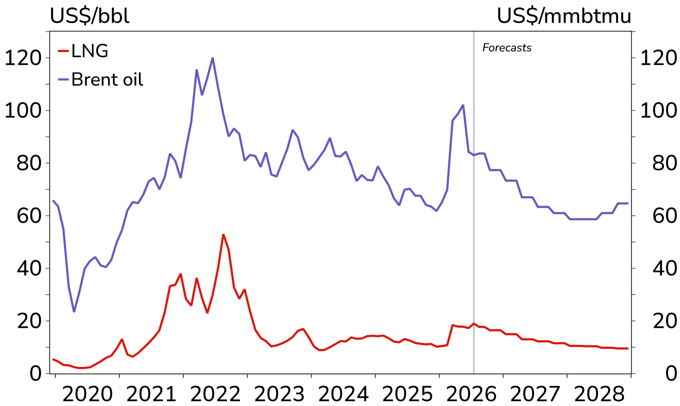
Strait of Hormuz, Outbound Vessels

Vessel Crossings, 7-Day Rolling Total, West to East



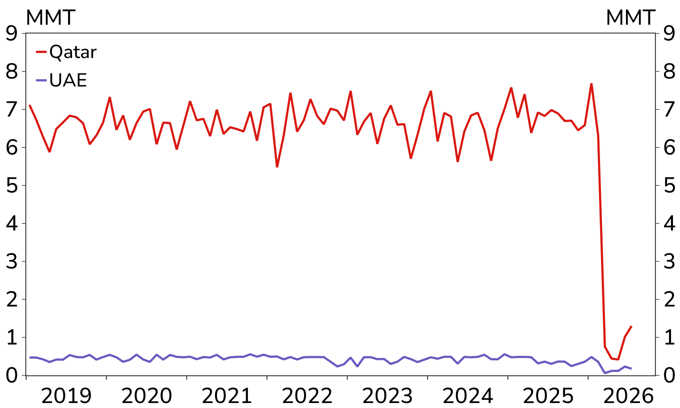
Source: Bloomberg, Macrobond, Westpac Economics

Oil and LNG forecasts



Source: Bloomberg, Macrobond, Westpac Economics

Monthly LNG Exports



Source: Bloomberg, Macrobond, Westpac Economics

...with the geopolitical risk premium yet to settle

figures reflect assumptions captured in the two scenarios we published in June.

LNG markets remain tight

LNG prices, unlike oil, continue to hold near recent highs. Damage to the world's largest LNG export complex at Ras Laffan in Qatar, closure of the Strait of Hormuz, limited vessel availability and constrained spare liquefaction capacity continue to weigh on supply. Coupled with strong demand for energy from a hot summer across Northeast Asia, Japanese LNG prices rose 10.1%mth in July, with average prices reaching US$19.0/mmbtu — around 75% above pre-conflict levels.

We continue to expect Japanese LNG prices will peak at an average of US$18.5/mmbtu in the September quarter. With a recovery in supply improbable, prices are unlikely to return to pre-conflict levels until 2028. For Australians, domestic supply is unlikely to be hampered supported by the FY2027 Federal Budget's domestic gas reservation scheme, which requires exporters to supply the equivalent of 20% of gas exports to the Australian market.

Copper bouyed by COMEX inventory building

Copper prices continued to track sideways in July, falling just 0.1%mth. A resurgence in the Middle East conflict reduced appetite for the copper-linked AI trade. However there were other supportive factors for the metal by July-end including severe winter storms in Chile which caused disruptions across several copper mines and continued delays to the planned announcement of changes to the US' Section 232 tariffs which drove a further build in COMEX inventories in the US (+5.9%mth in July) from already record highs. Structural support continues to come from ongoing investment in electricity networks, renewable energy capacity, AI and data centres.

That said, headwinds are building. Large US stockpiles suggest the market remains well supplied in the near term, while falling sulphuric acid prices have removed a key source of recent support, and Chinese demand remains subdued. Against this backdrop, we expect copper to average US$13,800/t in Q3, and soften to an average fo US$13,110/t in Q4. In the medium-term, incremental mine supply is expected to place downward pressure on prices.

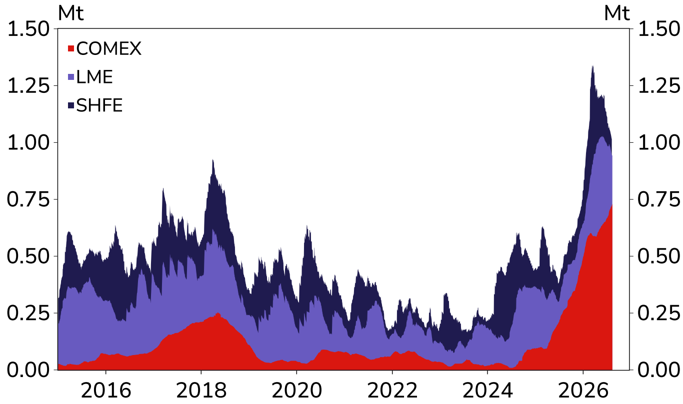
However, structural electrification trends and manufacturing localisation should provide a floor under prices in the long-term, with a trough of around US$11,500/t expected by end-2028. Beyond this point, prices are expected to strengthen as net-zero targets approach, EV uptake gathers momentum, and expanding data-centre investment drives additional demand for energy infrastructure.

Recent energy shock to support lithium

Lithium prices continued to soften from their May highs, falling 6.3%mth in July as markets responded to easing geopolitical tensions, while a more stable price environment has encouraged mine restarts helping boost global supply. Despite this, the outlook remains constructive. Near-term support is expected to persist as downstream users maintain lean inventory positions amid historic price volatility, while recent fuel insecurity continues to encourage investment in energy storage solutions. Additional support is likely to come from accelerating global EV adoption, with electric vehicles projected by the IEA to account for 28% of global sales in 2026.

Over the medium to longer term, lithium demand is expected to remain underpinned by structural electrification trends. EVs will continue to be the primary source of demand, while growth in battery energy storage systems is expected to accelerate alongside expanding renewable generation. The increasing prevalence of data centres is also expected to support demand for storage solutions as operators seek to alleviate transmission constraints and enable peak shaving. On the supply side, expanding production, particularly from Australia, should position the country to capitalise on growing global demand though this benefit will be felt through volumes rather than prices.

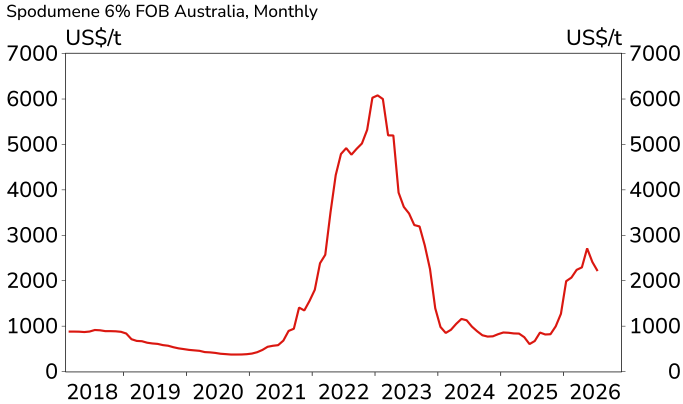
Visible Copper Inventories



Source: Bloomberg, Macrobond, Westpac Economics

Lithium Price

Spodumene 6% FOB Australia, Monthly



Source: Bloomberg, Macrobond, Westpac Economics

USD struggling to make ground ...

Elliot Clarke
Head of International Economics

The US dollar has struggled to make headway this month, ranging 0.5ppts higher than its 10 July level, when our last Market Outlook was released, on several occasions only to falter and eventually settle 0.9ppts lower for the month at 100.0. This is despite a deal between the US and Iran remaining elusive and with market participants remaining optimistic on US growth but concerned over inflation, and consequently expecting the FOMC to hike into year end.

As has been the case over the past year, the primary contributors to movements in the US dollar DXY index over the past 30 days were Euro and Sterling, both appreciating around 1 cent to USD1.15 and USD1.35 respectively. Compared to history, these are not challenging levels for either currency; and the balance of risks faced by each nation are becoming more favourable with respect to growth and inflation.

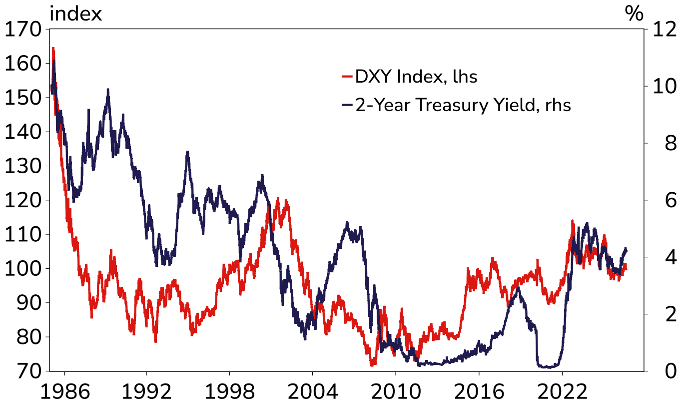
To end-2027, we look for a continuation of this trend, leaving EUR/USD and GBP/USD at USD1.21 and USD1.39 respectively, after which each currency is likely to plateau.

The more time passes, the greater the likelihood of the balance of risks shifting against the US and in favour of Europe and the UK. In part, this is because the US economy has experienced an extended period of outperformance that is coming across an increasingly narrow base, suggesting the run may not last. But it also pertains to the political status quo; the degree of common purpose over defence and economic development in Europe is a striking contrast with the US' partisan turbulence. Government debt is an issue for all three jurisdictions, but the structural imbalance in the US budget position, the ratcheting higher of US debt service and the market's unease over dwindling forward guidance by the FOMC all point to a much greater financial headwind for the US dollar than Euro or Sterling.

It is worth remembering that, while the 10-year average for DXY is around 1.0% below spot, the 20-year average is almost 9.0% lower. If risks crystallise against the US, there is a material chance of an outsized market move.

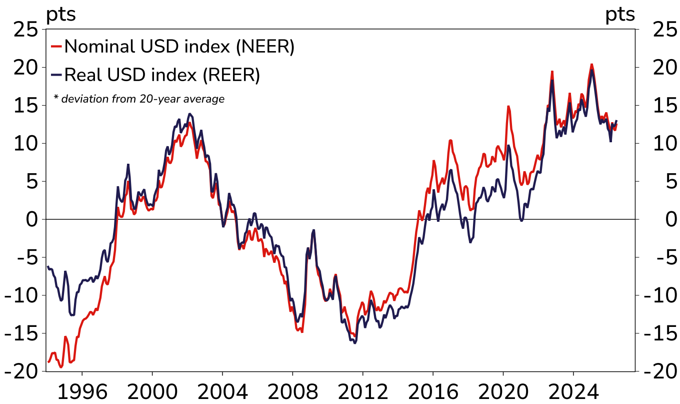
As we write, the big story of the month is slowly fading into obscurity. After numerous failed attempts to turn the yen around, and with USD/JPY threatening to go through JPY165, Japanese authorities this month sought the aid of the US government. Buying of the yen by both counter-parties, aided by an active PR campaign, initially saw USD/JPY drop from a recent peak of JPY164 to a low of JPY155. However, despite warnings of additional actions, USD/JPY reversed course within days, trading back above JPY159. Without further intervention by both Japan and the US, the yen is likely to

USD demand at limit?



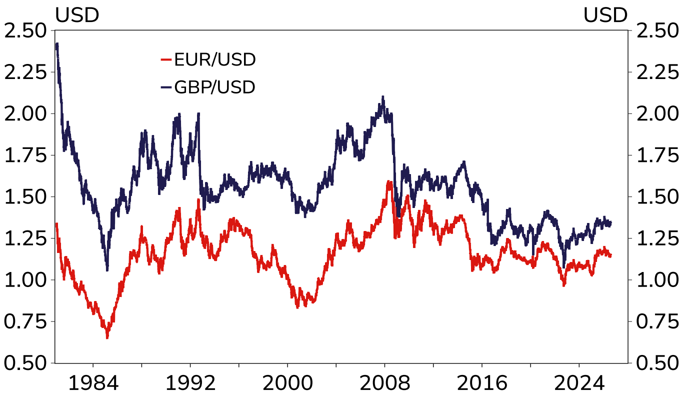
Source: Bloomberg, Macrobond, Westpac Economics

Valuation remains stretched



Source: BIS, Macrobond, Westpac Economics

Euro and UK risks to recede



Source: Bloomberg, Macrobond, Westpac Economics

... despite global risks

weaken further as participants search for authorities' limit. Still, a return to JPY165 seems unlikely absent a marked deterioration in Japan's economy; USD/JPY holding around JPY160 for the foreseeable future is much more probable.

In our view, the yen is unlikely to begin a lasting uptrend until expectations for tighter US monetary policy recede, which we do not see occurring until late-2026. Thereafter, progress is likely to be slow, as participants continue to doubt the Bank of Japan's resolve and given Japan has less exposure to the global tech expansion than South Korea, Taiwan and China. We expect USD/JPY to only decline to JPY154 by end-2027, then to JPY146 come end-2028. At that level, USD/JPY will still be 32% above the 30-year average of 1990–2019 – a truly historic divergence.

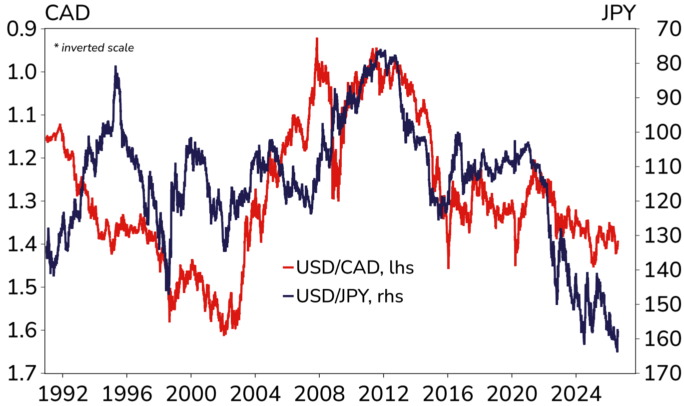
For the rest of Asia's currencies, the direction of travel is likely to be up, albeit proportional to each nation's exposure to technology and starting valuation.

Benefiting not only from exposure to high-end technology expansion but also pharmaceuticals, engineering, finance and tourism, at SGD1.28 Singapore's dollar is within a cent of its lowest level in a decade, and also within reach of the historic low of SGD1.22 seen in 2012. We expect the cross to settle between current spot and the 2012 low by end-2028, targeting SGD1.25 at that time. That said, a downside surprise for the US economy could see the 2012 low reached in the interim.

The softer starting point for China's renminbi provides it with a little more room to rally over the forecast period. To end-2027 then end-2028, we see USD/CNY falling from CNY6.75 today to CNY6.40 and CNY6.30 respectively. A run towards CNY6.00 is certainly possible, although it would arguably require a marked change in domestic conditions as well as continued strength in trade and financial net inflows.

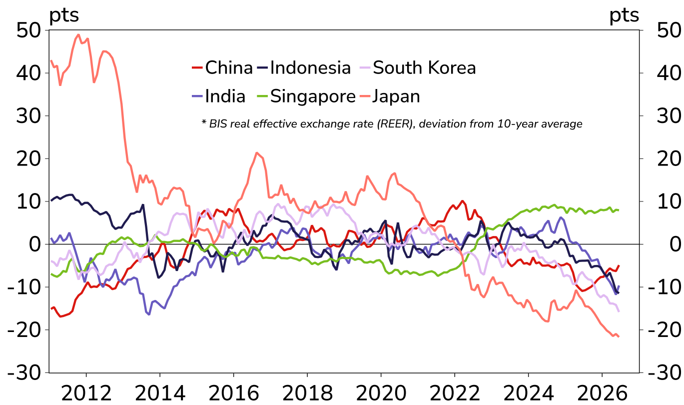
India's rupee is an interesting comparison to the above Asian currencies. While India offers the world considerable capacity for technology and professional services as well as low-value-add manufacturing, it lacks the intellectual property rights of the US, China, Taiwan and South Korea. It also does not have the efficient process, depth of knowledge, financial capital and transport infrastructure that holds Singapore in such great stead. Concerted structural change is necessary if the rupee is going to materially reverse the declines of recent years. This is despite the nation's considerable advantage in terms of its population. To end-2028, we see USD/INR only falling from INR95 to INR87 against a 20-year average of INR64. To this view, there is clearly downside risk for the rupee, particularly if energy prices remain elevated.

JPY challenged short and long-term



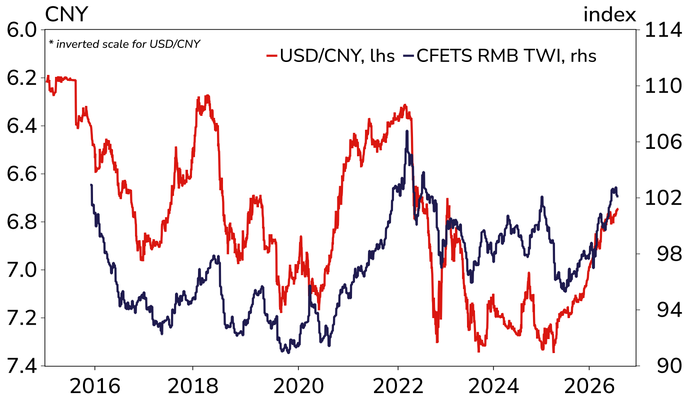
Source: , Macrobond, Westpac Economics

Asia's outlook still promising



Source: BIS, Macrobond, Westpac Economics

Renminbi to sustain rally



Source: Bloomberg, Macrobond, Westpac Economics

There's plenty of slack in the labour market ...

Kelly Eckhold
NZ Chief Economist

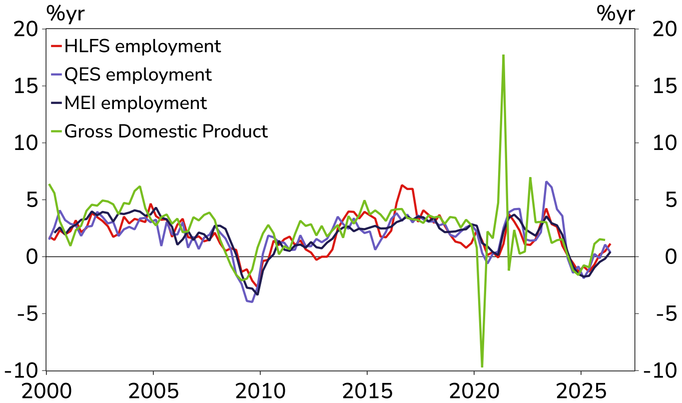
It's been a rough few months for the New Zealand economy. A recovery in activity had taken hold from the September quarter of 2025 and delivered three above-trend quarters on average before the Iran war interrupted progress. The war hit consumer and business sentiment, weighed on spending and lifted volatility. Given uncertainty around energy supply, it was reasonable that households and firms retreated into their shells while the shooting continued.

GDP Nowcasts and high-frequency activity indicators are consistent with a flat to negative June quarter growth outcome. Even so, this is better than feared early in the war, when very high fuel costs and potential supply disruptions loomed. Early indicators for the September quarter look noticeably stronger and point to a return to growth.

Whether September quarter growth is above trend remains to be seen. Uncertainty remains high as we move into the sixth month of the recent Middle East conflict. The Strait of Hormuz remains effectively closed, and the entry of the Yemen Houthis is disrupting alternative Red Sea supply routes. Deals are reportedly on the table, but at the time of writing the shooting continues and oil prices have moved back into the high US$80s.

Recent strength in consumer and business confidence therefore looks fragile. Its sustainability will depend heavily on whether some kind of stability in the Middle East can be found, but prospects remain murky. The Government extended the fuel relief package first introduced in March to help lower income households. Technically, the threshold to withdraw the scheme had been met, but rising fuel costs and ongoing uncertainty made it pragmatic to maintain the support for now.

NZ employment measures



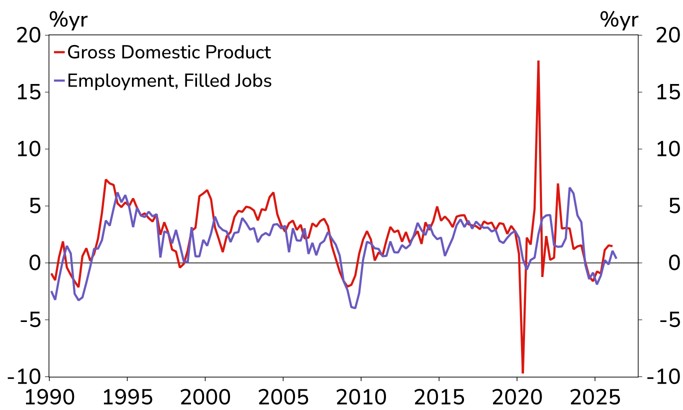
Source: Stats NZ, Macrobond, Westpac Economics

Data has confirmed that significant slack remains in the labour market. The key signal came from the unemployment rate, which rose more than expected to a new cycle high of 5.6%. The RBNZ will likely put the most weight on this when judging how much downward pressure excess capacity is exerting on inflation, which remains far too elevated.

That said, the labour market details were messy and not uniformly consistent with a weak economy. Household employment growth and labour force participation surpassed expectations, although the strength may have been exaggerated by survey sample error given what other employment measures show. At face value, the rise in slack reflected labour supply growing faster than expected labour demand could absorb. That is not fundamentally a weak economic story. Employment growth is firmly positive, in a 0.4–1.2%yr range, consistent with the lift in GDP growth since the middle of last year.

Significant regional differences remain as South Island unemployment, supported by strong agricultural and tourism sectors, fell to around its 10-year average. In contrast, the more service-sector dominated North Island urban centres remain weak and unemployment is almost two standard deviations above its 10-year average.

NZ annual GDP growth versus filled jobs growth



Source: Stats NZ, Macrobond, Westpac Economics

Interestingly, wage growth slightly surpassed expectations and looks sticky at 3.1% on an unadjusted Labour Cost Index basis. The headline productivity-adjusted LCI growth rate of 2% – less than half its pandemic peak – is consistent with achieving 2% inflation over the medium term. But labour market slack has not yet produced sub-2% wage growth. That raises questions over the future direction of wages as inflation

… but the RBNZ still has plenty to do

expectations remain elevated and slack diminishes through the recovery. Firms report a rising share of wage demands linked to cost-of-living pressures. This tells us that the public regards inflation as persistent enough to include in wage bargaining. That could be a headwind for the RBNZ if it wants inflation back at 2% in any reasonable timeframe.

The RBNZ Governor Breman commented on policy and the economy. She understandably reiterated the goal of returning inflation to 2%. However, the strategy remains unclear, with the policy message limited to "taking away a little bit of the stimulus". The RBNZ's forecasts have the OCR returning to long-term neutral, rather than restrictive, levels. It is therefore unclear how this will push core inflation down from 2.5–3% to 2% as the economy recovers. Disinflation may happen, but it may not happen quickly and could easily be knocked off course by future inflation shocks, including El Niño-related food price risks.

In all likelihood, more work will be required. Historically, this has been the RBNZ's behaviour. Early in the cycle, forecasts often show a modest tightening cycle that is scaled up as the cycle progresses. Hence, we remain comfortable with the idea that the OCR reaches 4% sometime in 2027.

In the immediate period, however, increased labour market slack raises questions about the cadence of OCR increases through late 2026. A September tightening remains a strong possibility, as we currently forecast. The elevated headline inflation outlook also points strongly to a September OCR increase. But the case for an October hike is less clear, given unemployment has risen by more than the RBNZ forecast in May. The MPC can still reach a year-end OCR of 3% without moving in October. We simply do not have enough clarity on the MPC's strategy to be sure how meetings beyond September will progress.

There has been a global shift away from forward guidance. Both the US and Australian central bank governors have recently shied away from it. Even so, the policy reaction function and strategy still need to be clear. Doubts have emerged in the US about the FOMC's reaction function and strategy to return inflation to 2%, affecting long-term interest rates and some measures of policy credibility. It will be important that the RBNZ does not slip into the same trap. At some point it should clarify exactly how inflation will be returned to target. Hope is not a strategy, but raising the OCR to restrictive levels is credible. The RBNZ will ultimately need to move beyond the "removing stimulus" line and be upfront on the OCR path through 2027. Perhaps we will hear more in the September Monetary Policy Statement.

Lastly, the election campaign is now upon us, and the race looks very close. For much of the year, the polls pointed to a right-leaning coalition being returned, with NZ First the kingmaker. That is now changing. The Opportunity Party is gaining ground and increasingly looks likely to breach the 5% threshold. These developments have shifted the calculus, made a left-leaning coalition more likely, and positioned Opportunity as the deciding factor. Political uncertainty is therefore rising and the future policy mix is in flux. Watch this space!

	2025					2026						
Monthly data	**Aug**	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**
REINZ house sales %mth	–2.9	–1.9	6.3	0.3	0.8	–5.1	4.2	–2.2	–1.0	–4.0	–1.2	–
Residential building consents %mth	6.3	7.8	–1.1	3.0	–4.2	2.3	2.7	–0.6	12.2	–4.9	–3.6	–
Electronic card transactions %mth	0.6	–0.4	0.2	1.2	–0.1	–1.1	1.4	0.7	–1.2	1.6	–1.4	–
Private sector credit %yr	3.8	4.2	4.6	4.4	4.6	4.6	4.7	4.9	4.7	4.8	4.9	–
Commodity prices %mth	0.7	–1.1	–0.3	–1.6	–2.1	2.0	4.2	4.2	–0.8	0.8	–1.1	–3.9
Trade balance $m	–117	253	–262	–358	–203	–334	–890	–360	191	–1087	–541	–

Quarterly data	**Q1:24**	**Q2:24**	**Q3:24**	**Q4:24**	**Q1:25**	**Q2:25**	**Q3:25**	**Q4:25**	**Q1:26**	**Q2:26**
Westpac McDermott Miller Consumer Confidence	93.2	82.2	90.8	97.5	89.2	91.2	90.9	96.5	94.7	80.4
Quarterly Survey of Business Opinion	–27	–26	–29	–27	–22	–21	–15	–3	0	1
Unemployment rate %	4.4	4.7	4.9	5.1	5.2	5.2	5.3	5.4	5.4	5.6
CPI %yr	4.0	3.3	2.2	2.2	2.5	2.7	3.0	3.1	3.1	4.1
Real GDP %yr	1.8	1.1	0.5	–0.3	–0.9	–1.1	–0.6	0.3	0.8	–
Current account balance % of GDP	–5.7	–5.5	–5.2	–4.7	–4.2	–3.7	–3.5	–3.6	–3.6	–

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

Stimulus required ...

Elliot Clarke
Head of International Economics

The Q2 GDP and the June activity data provided a mixed read on China's economy. Q2 GDP met expectations in the quarter at 0.9%qtr, but the annual rate disappointed, coming in at 4.3%yr. Year-to-date, growth is on track to meet our expectation of 4.7%ytd. However, that is towards the bottom of authorities' 4.5%–5.0% full-year guidance.

Delving into the detail, it is evident that the industrial sector continues to drive aggregate momentum. Having dipped nearly 4.0%yr in April and May, growth in industrial production rebounded to 5.3%yr in June, keeping the year-to-date pulse at 5.4%. High-tech manufacturing categories such as integrated circuits (18.8%yr) and industrial robots (28.1%yr) have supported recent gains, while motor vehicle production is unchanged over the year (-0.2%yr). That said, within the vehicle category, production of new-energy vehicles is up 29.4%yr. Mobile phone production was down 13.5%yr in June.

This rotation towards high-tech manufacturing will weigh on employment given the level of automation used in new factories as is the relocation of assembly work to neighbouring nations.

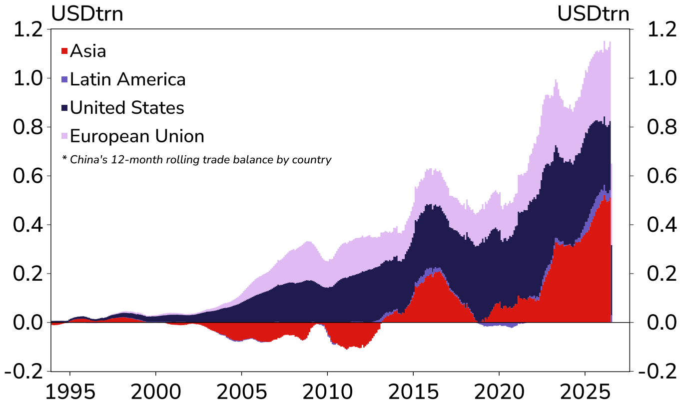
For aggregate activity though, the integration of Asian production and trade combined with rapid technological development continues to produce significant net gains for the trade position, 24%yr growth in exports and a 28%yr gain for imports leaving the monthly trade surplus at USD112.5bn in July – just inside January 2025's record high and a multiple of the surplus prior to the pandemic.

The domestic growth story, however, remains downbeat overall primarily due to declining investment. Fixed asset investment's contraction accelerated in June to -5.7%ytd from -4.1%ytd in May. Mining and transport-related investment have grown year-to-date, but manufacturing and utilities investment remain in a lull after years of rapid growth; healthcare, education, recreation and property investment meanwhile continue to decline at a rapid rate.

Of these sectors, property investment's 18.0%ytd fall is most notable, coming after declines of 11.2%ytd, 10.1%ytd and 7.9%ytd in June 2025, 2024 and 2023 respectively and despite significant support from authorities over the period. Further material losses are likely given sales of residential property were down 13.7%ytd in June and as prices are yet to stabilise. New and existing home prices fell another 0.15% and 0.32% respectively in the month after almost five consecutive years of price falls.

For the consumer though, there are some emerging positives. Having disappointed earlier in 2026, annual growth

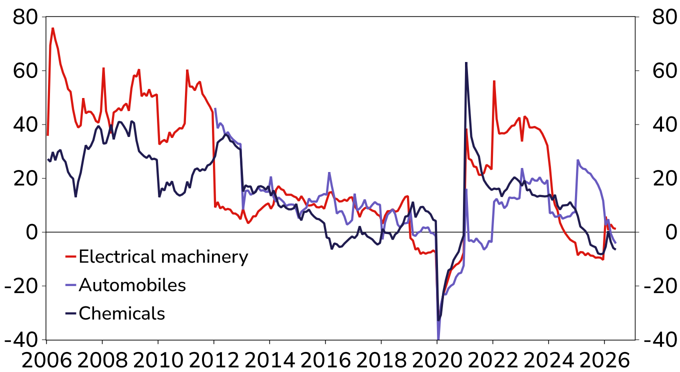
Trade surplus riding high...



Source: GAC, Macrobond, Westpac Economics

... and will spur additional investment

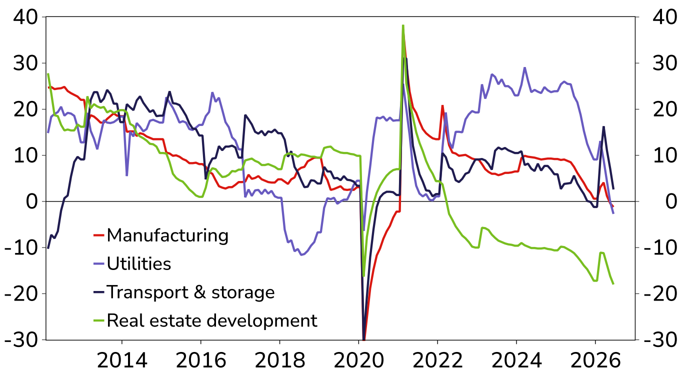
Fixed Asset Investment by Sector (%ytd)



Source: NBS, Macrobond, Westpac Economics

Property remains in a terrible state

Fixed Asset Investment by Industry (%ytd)



Source: NBS, Macrobond, Westpac Economics

Past performance is not a reliable indicator of future performance. The forecasts given above are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The results ultimately achieved may differ substantially from these forecasts.

... to meet full-year guidance

rebounded from -0.6%yr to +1.0%yr in June, leaving sales 1.3% higher year-to-date.

Spending by category was mixed, in part due to volatility created by several past incentive programs. The property sector's decline also continues to weigh heavily on demand for construction goods and appliances. Note though, there was some evidence of accelerating discretionary spending, likely aided by equity market gains over the past 18 months and broadly stable labour markets across the major cities and surrounding regions.

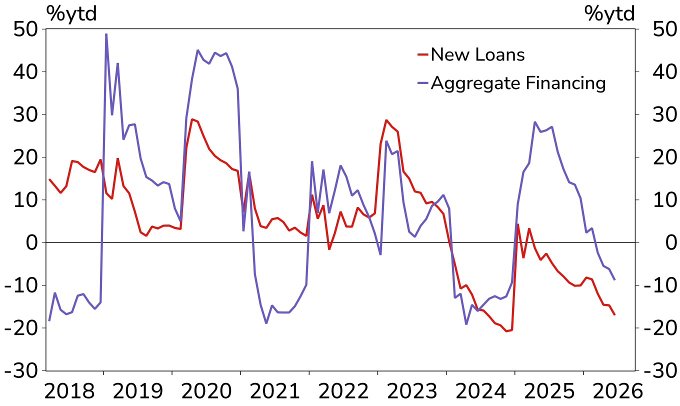
All told, Q2 GDP and the June partial data highlight China's economic resilience and offer a degree of hope that domestic demand will strengthen over the coming year(s), as authorities intend.

That said, there remains a clear disconnect between the income generated by China's major exporters and the financial prospects of the average Chinese household. Until the returns of trade are distributed more equitably to households, through wages, taxes and wealth gains, Chinese authorities need to fill the gap.

Following such significant declines across essential local infrastructure and with confidence impaired, today there is little risk of wide-spread capital misallocation or speculative excess. Pro-active support in scale via the local governments and state-owned entities is therefore the best means of accelerating the recovery.

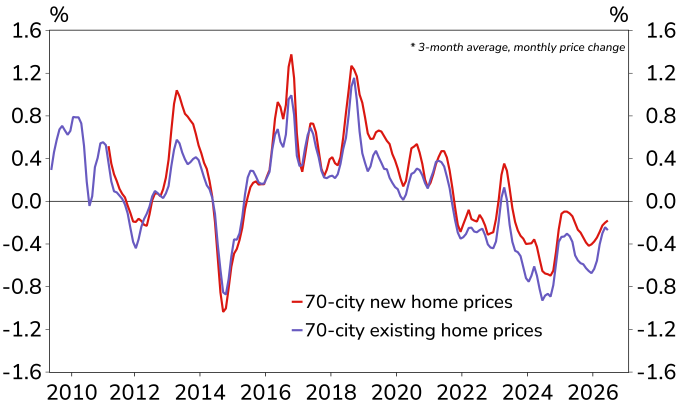
As the property sector stabilises and businesses recognise a broadening uptrend across the domestic economy, the private sector will start contributing towards growth. Our 4.7%ytd expectation for 2026 remains in place but, in the absence of immediate stimulus, it is likely to become a stretch target.

Credit impulse negative



Source: Bloomberg, Macrobond, Westpac Economics

Wealth needs support



Source: Bloomberg, Macrobond, Westpac Economics

	2025					2026						
Monthly data %yr	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul
Headline CPI %yr	–0.4	–0.3	0.2	0.7	0.8	0.2	1.3	1.0	1.2	1.2	1.0	0.5
M2 money supply %yr	8.8	8.4	8.2	8.0	8.5	9.0	9.0	8.5	8.6	8.6	8.0	–
Manufacturing PMI (official)	49.4	49.8	49.0	49.2	50.1	49.3	49.0	50.4	50.3	50.0	50.3	49.2
Fixed asset investment ytd %yr	0.5	–0.5	–1.7	–2.6	–3.8	–3.8	1.8	1.7	–1.6	–4.1	–5.7	–
Industrial production %yr	5.2	6.5	4.9	4.8	5.2	5.2	6.3	5.7	4.1	4.5	5.3	–
Exports %yr	4.2	8.2	–1.3	5.8	6.4	10.0	39.6	2.5	14.0	19.3	27.0	23.9
Imports %yr	1.7	8.0	1.8	2.6	6.4	26.6	14.3	28.3	25.2	27.4	36.0	27.5
Trade balance USDbn	101.0	88.7	88.0	109.9	111.9	120.6	89.9	50.0	84.6	105.2	125.6	112.5

Quarterly data	Mar–25	Jun–25	Sep–25	Dec–25	Mar–26	Jun–26
Real GDP %yr	5.4	5.2	4.8	4.5	5.0	4.3
Nominal GDP %yr	4.6	3.9	3.7	3.9	4.9	5.9

Sources: Government agencies, Bloomberg, Macrobond, Westpac Economics. Some data omitted from certain series due to Lunar New Year distortions. *4qma

Market uncertainty ...

Elliot Clarke
Head of International Economics

Market participants continue to believe inflation is the bigger threat for the US despite a clear turn in the labour market and term interest rates that are restrictive for all but the tech sector. In our view, the greater risk comes from already-tight financial conditions whose effects are likely to compound.

The July payrolls read was a material disappointment: 23k jobs were lost in the month, against the market's expectation for an 80k gain. More telling for the underlying health of the labour market were the back revisions to May and June, which delivered a cumulative 103k downgrade after June's –74k revision. These are not one-off outcomes: over the past 18 months, revisions have been negative.

There is also a growing divergence between the establishment and household surveys. Over the past six months, the establishment survey has reported average job gains of 44k per month, while the household survey implies an average increase of 153k unemployed workers

Although the published unemployment rate has essentially remained unchanged since the beginning of 2025, this stability owes to a 1.2ppt fall in the participation rate. Had participation remained at its early 2025 level, the unemployment rate would be above 5.0%.

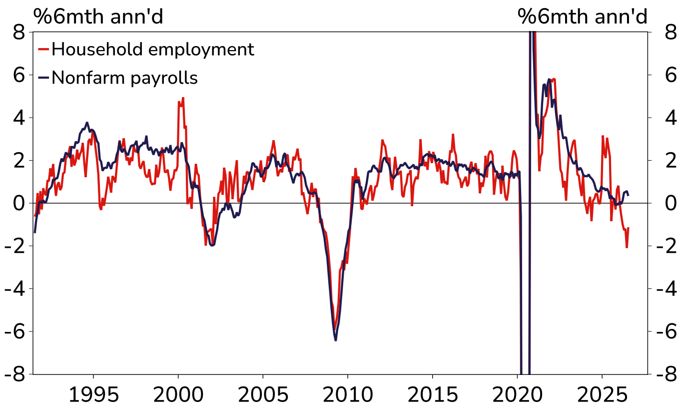
Household demand and sentiment look to be responding to underlying labour market weakness, despite historically high wealth and low debt burdens. Consumption growth has been choppy and below trend year-to-date, at around 1.9% annualised. Residential investment gained modestly in Q2, but only partly offset Q1's decline, let alone a cumulative loss of around 4% in 2025.

Businesses are also increasingly feeling households' financial constraints as reports of margin compression indicate upstream price increases can't be fully passed on. Core goods inflation has averaged 0%mth since December 2025 while core services prices have gained 0.3%mth on average, though the shelter component has contributed to half of that growth.

In the short term, policy cannot do anything about housing supply. In the medium-to-long run, investment to build more capacity will soften housing inflation, not higher interest rates. Six-month annualised inflation excluding food, energy and shelter decelerated to just 1.6% in July. Paired with a labour market that is softening, underlying inflation signals downside risks for policy in late 2026 or 2027, not justification for near-term hike(s), as participants have priced.

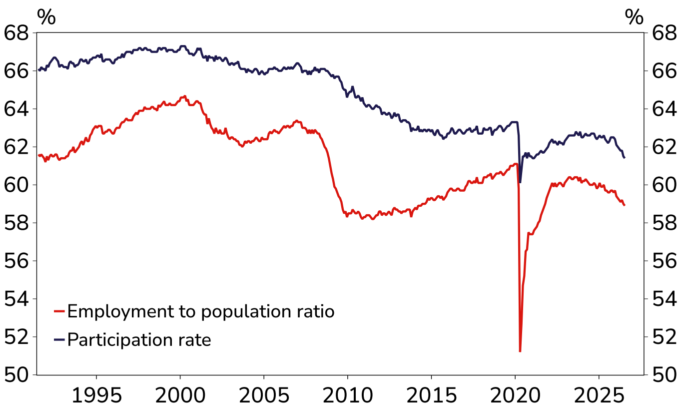
In our view, real yields give additional reason for the FOMC to take a cautious approach with policy. Since the lows of 2022,

Jobs measures differ markedly



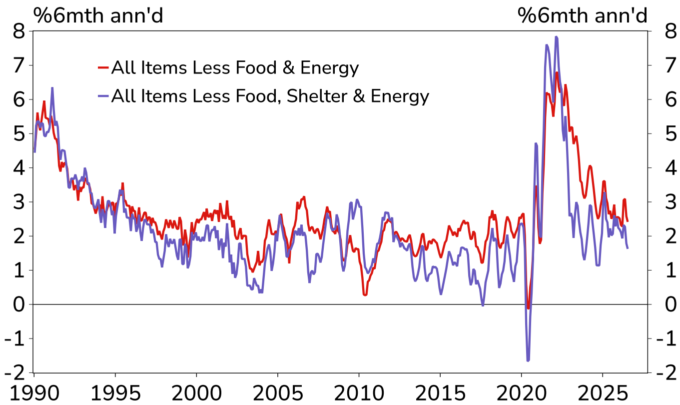
Source: BLS, Macrobond, Westpac Economics

Participation masking emerging slack



Source: BLS, Macrobond, Westpac Economics

Ex shelter, core inflation below target



Source: BLS, Macrobond, Westpac Economics

... to continue testing the FOMC

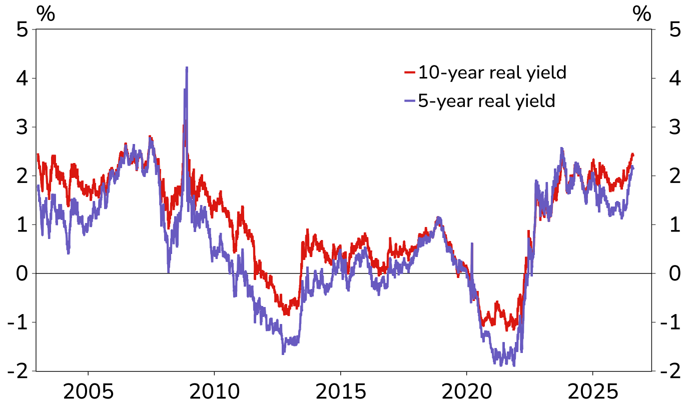
5-year and 10-year real yields have risen by more than 400bps and 300bps respectively, to levels not seen consistently since 2006 and 2007. By end-2028, we expect nominal yields to edge higher on US fiscal concerns and inflation to slip near 2.0%yr. This could lift the 10-year real yield another 50bps to near 3.0%, a rate not seen on a sustained basis since the early 2000s. The hyperscalers' investment plans are unlikely to be impacted by these developments given the sector's growth and available profit margins; but for non-tech businesses and households, term interest rates are now a material constraint.

A key area of uncertainty is whether nominal yields will fall as inflation moves towards 2.0%yr, or if inflation must undershoot the policy target for yields to correct sufficiently. If inflation risks linger alongside fiscal concerns, nominal and real yields could rise further still, creating an even larger barrier to investment into building capacity outside the AI expansion over the medium-to-long run.

For the FOMC, a definitive answer on inflation and capacity is likely to take time. In the interim, there is a need for confidence and stability.

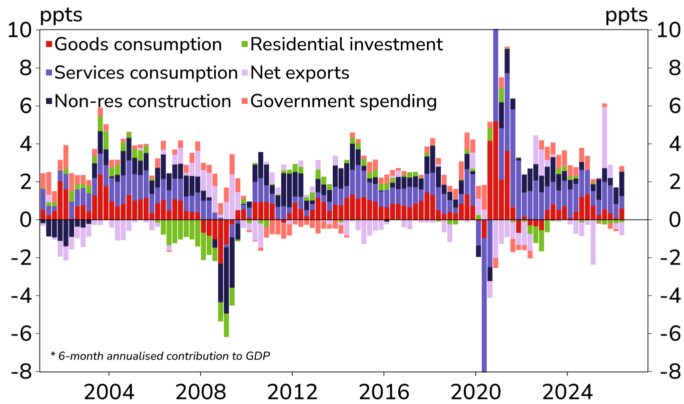
If they instead continue to eschew guidance and leave the market to find its own level, there is a non-material risk of a hike becoming necessary in late-2026 and/or early-2027, even with underlying inflation at or below target and growth sub-trend, to calm market anxiety and restore confidence. The instability and uncertainty caused by such a chain of events could compound, and both monetary and fiscal authorities have limited capacity to respond. The best course of action for the FOMC is to provide the market with the guidance it is used to on both the economy and policy decision making, at least until uncertainty abates.

Real cost of borrowing a material constraint



Source: , Macrobond, Westpac Economics

Consumer demand brittle



Source: BEA, Macrobond, Westpac Economics

	2025				2026							
Monthly data	**Sep**	**Oct**	**Nov**	**Dec**	**Jan**	**Feb**	**Mar**	**Apr**	**May**	**Jun**	**Jul**	**Aug**
PCE deflator %yr	2.7	2.8	2.7	2.8	2.9	2.9	2.9	3.5	3.8	4.1	3.7	–
Unemployment rate %	4.3	4.4	4.5	4.5	4.4	4.3	4.4	4.3	4.3	4.3	4.2	4.1
Nonfarm payrolls chg '000	–70	76	–140	41	–17	160	–156	214	148	63	20	–23
House prices* %yr	1.6	1.4	1.4	1.5	1.5	1.3	1.0	0.9	1.2	1.6	–	–
Durables orders core 3mth %saar	4.0	10.9	9.8	9.8	8.9	5.5	8.5	22.0	20.6	22.2	10.5	–
ISM manufacturing composite	48.9	48.9	48.8	48.0	47.9	52.6	52.4	52.7	52.7	54.0	53.3	55.6
ISM non–manufacturing composite	51.9	50.4	52.0	52.4	53.8	53.8	56.1	54.0	53.6	54.5	54.0	54.1
Personal spending 3mth %saar	7.3	6.6	5.5	4.5	4.7	3.6	4.9	7.1	8.7	9.7	6.9	–
UoM Consumer Sentiment	58.2	55.1	53.6	51.0	52.9	56.4	56.6	53.3	49.8	44.8	49.5	55.2
Trade balance USDbn	–59.6	–59.4	–37.4	–63.9	–76.1	–54.2	–55.0	–56.6	–54.6	–77.6	–73.3	–

Quarterly data	Jun–25	Sep–25	Dec–25	Mar–26	Jun–26	Sep–26(f)
Real GDP % saar	3.8	4.4	0.5	2.1	1.5	2.2
Current account USDbn	–254.9	–262.9	–221.1	–226.8	–	–

Sources: Government agencies, Bloomberg, *S&P Case–Shiller 20–city measure.

Asia refocuses from AI demand …

Illiana Jain
Economist

A defining feature of Asia's growth story over the past two years has been the global build-out of AI infrastructure. Firms and governments across the region are seeking to rapidly scale their supply to meet global demand, taking advantage of decades of experience as developers and suppliers of semiconductors, electronics and capital equipment. The key question for markets is whether this wave of investment will be narrow and transitory, or can it be sustained and broaden across the economy, generating productivity and aggregate growth in the medium and long term as well as today.

South Korea provides the clearest example of this transition. Korea's technology sector is no longer a passive beneficiary of rising global demand. Corporates and the government are actively committing capital to accelerate growth. Announced investment plans from Samsung, SK Hynix and other firms total around US$500bn, while the Government's KRW105trn (US$74bn) National Growth Fund provides an additional source of support for AI-related industries. The scale of planned investment suggests the current cycle remains in its early stages rather than approaching an end.

Output already reflects success to date and the burgeoning strength of global demand. Semiconductor exports have surged nearly 200% over the past year. Capital goods imports have also risen sharply, pointing to a strong pipeline.

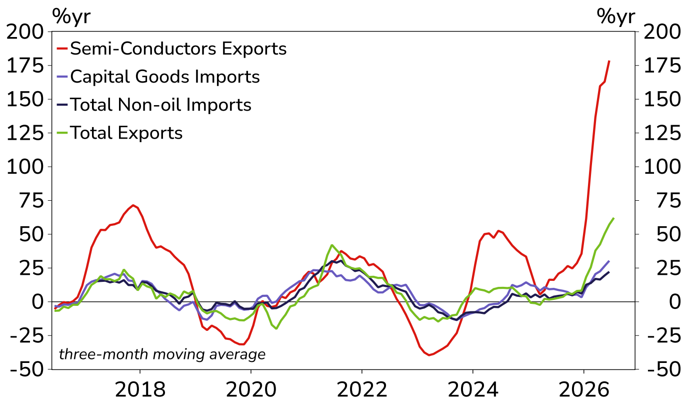
Policymakers increasingly appear to view this as a structural growth opportunity. The Bank of Korea recently revised up its 2026 growth forecast from 2.0% to 2.6%, reflecting confidence that investment in AI infrastructure will spill out to the wider economy. If sustained, the current cycle could foster an enduring increase in Korea's productive capacity and trend growth. Progress-to-date and the opportunity ahead help explain why policymakers have shown a greater willingness to maintain tighter monetary settings despite softness elsewhere in the economy.

The Japanese experience differs in construction but offers a similar conclusion.

Japan's investment cycle is increasingly being driven by necessity. Structural labour shortages remain widespread despite rising participation among women and older workers, forcing firms to invest more heavily in labour-saving and productivity-enhancing technologies. While the Tankan survey showed some moderation in manufacturing R&D spending in Q2, investment intentions among service firms continued to strengthen.

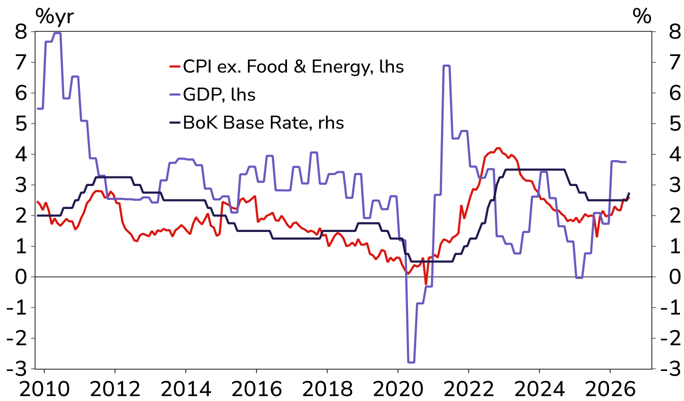
The return of inflation adds another dimension. For much of the past three decades, firms operated in an environment

South Korea is just getting started



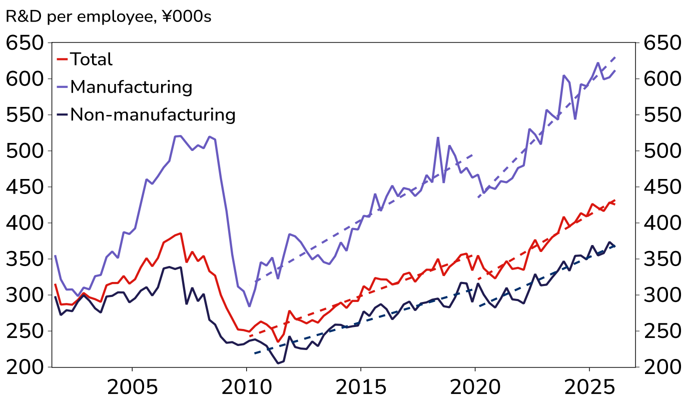
Source: KCS, Macrobond, Westpac Economics

Tech is turbocharging Korean growth



Source: MODS, BOK, Macrobond, Westpac Economics

Labour saving investment is accelerating



Source: MOF, Macrobond, Westpac Economics

... to AI investment

where raising prices was difficult, limiting the incentive to invest. Today, businesses can be more confident that productivity-enhancing investment will generate future returns through both higher sales volumes and prices. This is particularly important for an economy that is unlikely to compete on labour costs and must increasingly rely on productivity gains to sustain growth as the population shrinks.

Corporate profitability is currently strong, providing firms with significant capacity to invest and raise wages. The missing piece for households has been real income growth which, until recently, lagged nominal wage gains. Encouragingly, this is beginning to change, with real wages rising 1.4%yr in June.

For the Bank of Japan, this is an important distinction. Inflation driven by temporary cost pressures is unlikely to justify a sustained normalisation cycle. Inflation underpinned by productivity growth, stronger wages and consumption is fundamentally different. The combination of profits, investment and labour market tightness therefore provides greater confidence that Japan's economic transformation still has further to run, and that the policy rate can edge up over time. We anticipate 1.50% by the end of 2027.

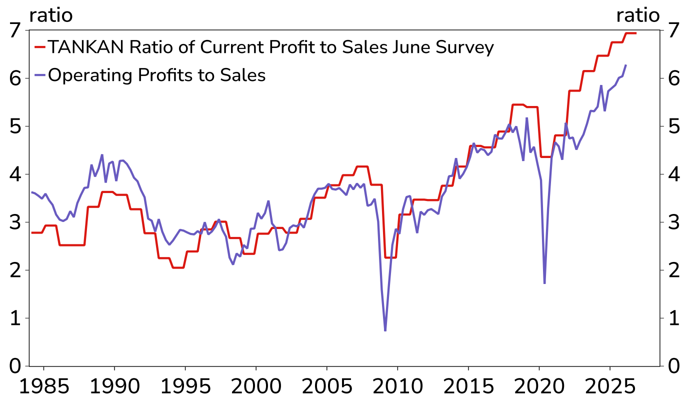
China, in contrast, highlights the trap inherent with successful investment-led growth.

Industrial activity remains strong, and production is increasingly concentrated in technologically-advanced, industries with growing margins such as integrated circuits, industrial robots and new energy vehicles. These sectors continue to drive output growth and export performance, helping maintain China's position in global manufacturing.

But these industries are far more capital intensive and automated than the sectors which powered previous industrial expansions. Stronger production therefore generates fewer opportunities for employment and household income today than in the past. This helps explain the divergence between China's industrial sector and household demand. China still has plenty of scope to profit from technological innovation and trade, but the rest of the economy must benefit as well if production's windfall is to endure.

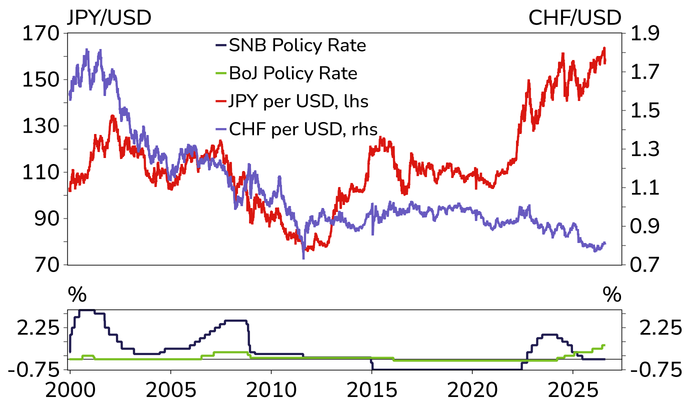
The primary implication then is that Asia is becoming increasingly differentiated. Some economies are successfully translating investment into broader productivity gains and household incomes, while others remain reliant on simply expanding production and exports. Those able to translate industrial investment into economy-wide productivity gains and stronger incomes will see markedly improved standards of living in the long run. Those who continue to rely on a narrow growth base risk a fleeting boom.

Stronger profit to support wage growth



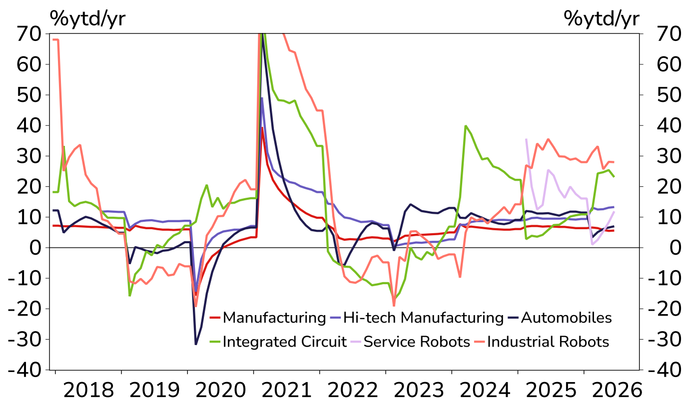
Source: BOJ, MOF, Macrobond, Westpac Economics

Lower policy rates aren't the whole story



Source: Macrobond, SNB, BOJ, Macrobond, Westpac Economics

Chinese manufacturers are going dark



Source: NBS, Macrobond, Westpac Economics

Markets expect further tightening …

Mantas Vanagas
Senior Economist

The US-Iran conflict continues to disrupt energy supplies from the Middle East, posing upside risks to the inflation outlook across most major advanced economies. Against this backdrop, the latest policy announcements from the European Central Bank (ECB) and the Bank of England (BoE) maintained a hawkish tone, emphasising both their readiness to act and vigilance around second-round inflation effects. Financial markets also appear convinced that modest further tightening of monetary policy will be required before year-end across the major advanced economies.

Interestingly, market expectations have converged around one additional rate hike not only in the euro area and the UK, but also in the US, Canada, Japan and Australia. This degree of uniformity is striking given the very different policy positions before the conflict began in February. For example, prior to the conflict, the BoE was expected to cut twice more in 2026 following a cumulative 150bps of easing through 2024-25.

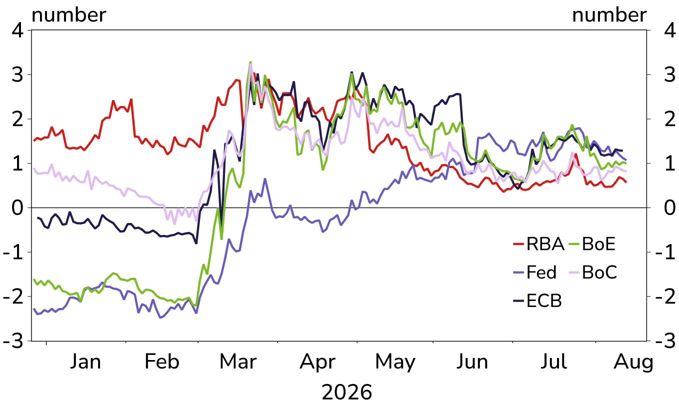
The ECB, however, appeared comfortable leaving policy unchanged this year having eased rates to its estimate of neutral in the first half of 2025. President Lagarde famously stated that the ECB was in a "good place", with inflation expected to remain at or very close to the 2% target over the medium term.

That assessment changed in June, when the Governing Council raised policy rates by 25bps, taking the Deposit Rate to 2.25%. The accompanying communication made it clear that the decision was a response to the energy price shock and its potential second-round impacts. Following the latest policy meeting in July, the ECB maintained that stance, emphasising that "the full inflationary impact of the energy shock has yet to play out" and that risks to the inflation outlook remain skewed to the upside.

With no end to the Middle East conflict in sight, we think those risks are likely to remain too elevated for the Governing Council to tolerate. As a result, we anticipate another rate hike at the September meeting, pushing monetary policy more decisively into restrictive territory to offset any lingering inflation risks stemming from the conflict. While it is not our base case, additional tightening beyond September cannot be ruled out to maintain inflation at 2% over the medium term.

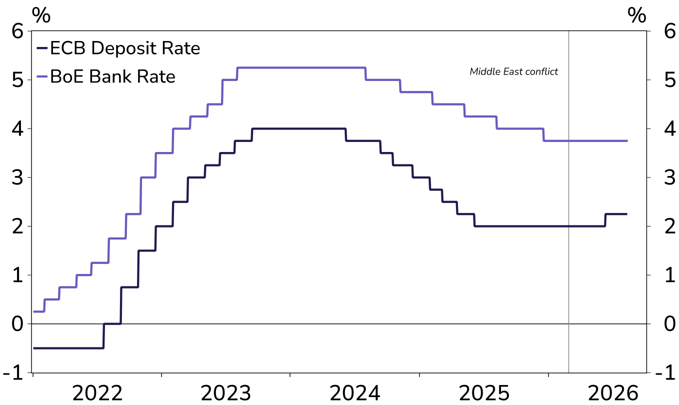
The BoE, however, finds itself in a very different position. The latest meeting at the end of July concluded with three of the nine Monetary Policy Committee members voting for a rate hike. The communication remained hawkish, continuing to focus on developments in the Middle East and emphasising that the future policy stance will depend on the scale, duration and

Number of rate hikes expected by end-2026



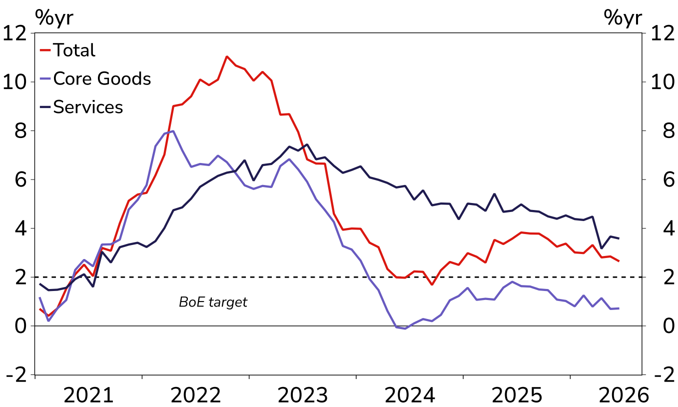
Source: RBA, ECB, Macrobond, Westpac Economics

Central bank policy rates



Source: RBA, ECB, BoE, Macrobond, Westpac Economics

UK CPI Components



Source: ONS, Macrobond, Westpac Economics

... but will the BoE walk the talk?

economic impact of the conflict. The concluding line of the statement – “the Committee stands ready to act as necessary to meet the 2% target” – again underscored that further tightening remains a live option.

However, the underlying economic picture is becoming increasingly inconsistent with a higher Bank Rate. Most notably, the latest UK CPI data surprised significantly to the downside, with annual inflation slowing from 2.8%yr to 2.6%yr, well below the 3%yr pace seen at the start of the year. Food and energy prices were the main contributors, but services inflation also eased by 0.1ppt to 3.6%yr, leaving it 0.9ppts below its March peak. Higher energy prices are still expected to push headline inflation back above 3% in Q4. However, according to the BoE’s latest projections, inflation should then fall to 1.7% in H1 2028 and, crucially for monetary policy, remain below the 2% target over the medium term.

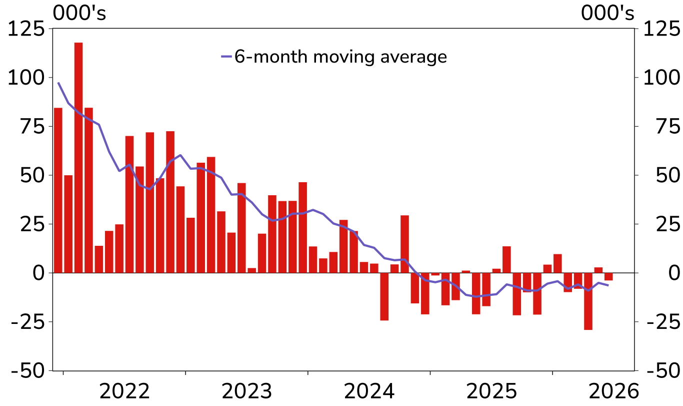
A significant part of the disinflationary trend reflects weakness in the labour market, where the BoE sees “a degree of spare capacity”. While headline three-month average weekly earnings growth has generally held above 4.0%yr this year, much of the momentum is being driven by the public sector, partly due to pay rises in healthcare. Growth in private-sector regular wages has meanwhile slowed to just 2.9%yr in May, down 2ppts from a year earlier and well below the BoE’s estimate of the target-consistent pace of 3¼%.

The latest UK GDP reading – a 0.4%qtr increase in Q2 following a 0.6%qtr rise in Q1 – gives the impression of a notable acceleration from the 0.1%qtr average growth seen in the second half of 2025. However, the BoE believes underlying momentum in the economy is much softer, and well below the 0.3-0.4%qtr potential growth rate.

With regards to the implications for policy, Governor Bailey previously characterised the current stance as an “active hold”, with the shift in market expectations helping dampen inflationary pressures. We expect the BoE will use hawkish communication in the near term to keep financial conditions restrictive.

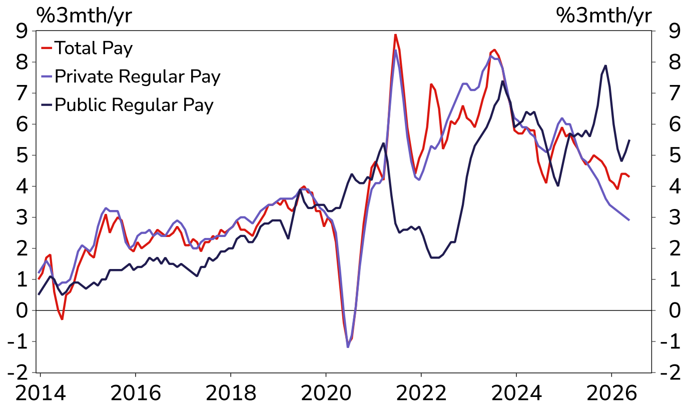
That said, absent a further inflationary impulse from higher energy prices, the domestic disinflation is likely to become harder to reconcile with this stance. With the Bank Rate at 3.75%, policy remains well above neutral and should be sufficient to offset the risk of second-round effects. Once that becomes evident, we may see the MPC favour a cut over markets’ expectation of a hike.

UK Payroll employees - monthly change



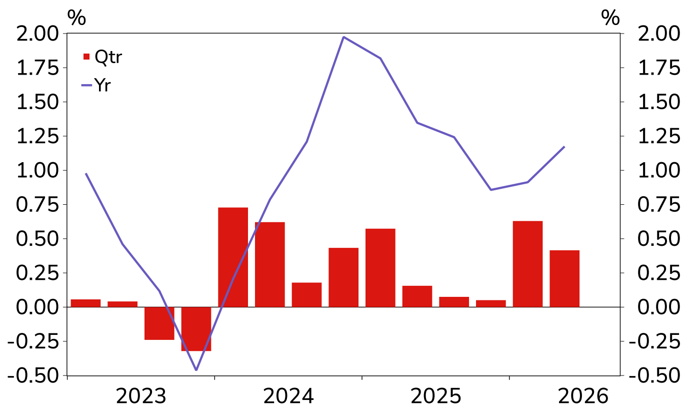
Source: ONS, Macrobond, Westpac Economics

UK Average Weekly Earnings



Source: ONS, Macrobond, Westpac Economics

UK GDP



Source: ONS, Macrobond, Westpac Economics

Australia

Interest rate forecasts

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60
90 Day BBSW	4.51	4.46	4.46	4.46	4.26	4.01	3.76	3.61	3.71	3.70	3.70
3 Year Swap	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
3 Year Bond	4.49	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90
10 Year Bond	4.98	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65
10 Year Spread to US (bps)	34	30	25	20	10	5	0	–5	–10	–15	–20

Currency forecasts

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
AUD vs											
USD	0.7062	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
JPY	112.63	115	115	115	115	114	112	110	109	107	106
EUR	0.6124	0.61	0.61	0.61	0.61	0.61	0.60	0.60	0.60	0.60	0.60
NZD	1.2069	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10
CAD	0.9836	0.99	0.99	0.99	0.99	0.99	0.98	0.97	0.96	0.96	0.96
GBP	0.5236	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52	0.52
CHF	0.5749	0.57	0.57	0.56	0.56	0.55	0.55	0.54	0.54	0.54	0.54
DKK	4.5778	4.57	4.57	4.56	4.59	4.55	4.51	4.47	4.45	4.46	4.48
SEK	6.7539	6.77	6.80	6.81	6.87	6.84	6.82	6.76	6.75	6.77	6.80
NOK	6.7138	6.73	6.76	6.77	6.83	6.80	6.77	6.72	6.71	6.73	6.76
ZAR	11.43	11.5	11.5	11.5	11.6	11.6	11.6	11.7	11.7	11.7	11.7
SGD	0.9043	0.91	0.91	0.91	0.92	0.92	0.92	0.91	0.91	0.91	0.91
HKD	5.5421	5.56	5.60	5.62	5.69	5.69	5.68	5.64	5.62	5.61	5.61
PHP	43.25	43.1	43.0	42.5	42.3	41.6	40.9	39.9	39.1	39.1	39.1
THB	23.43	23.1	22.9	22.7	22.6	22.4	22.2	21.9	21.7	21.7	21.7
MYR	2.8840	2.84	2.83	2.81	2.85	2.81	2.81	2.80	2.75	2.75	2.75
CNY	4.7597	4.79	4.80	4.75	4.75	4.71	4.67	4.61	4.60	4.56	4.56
IDR	12625	12496	12387	12240	12191	11972	11899	11761	11656	11636	11636
TWD	22.71	22.4	22.2	22.0	21.9	21.5	21.2	20.7	20.4	20.4	20.4
KRW	1002	1008	1010	1008	1015	1007	1000	987	970	967	967
INR	67.36	67.5	67.7	67.7	67.9	67.2	66.4	65.3	64.4	63.7	63.0

Australia

Activity forecasts

	2026				2027				Calendar years			
%qtr / %yr end	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Household consumption	0.6	0.2	0.4	0.4	0.4	0.5	0.5	0.6	2.4	1.6	2.0	3.3
Dwelling investment	0.5	1.3	1.0	0.9	0.8	0.8	0.9	0.7	5.5	3.8	3.2	5.5
Business investment *	5.9	0.3	3.8	1.5	3.7	1.1	1.3	1.1	4.4	11.9	7.3	4.5
Private demand *	1.4	0.2	0.7	0.6	1.1	0.6	0.7	0.7	3.2	3.0	3.1	3.7
Public demand *	0.1	0.8	0.6	0.6	0.6	0.6	0.6	0.6	2.1	2.1	2.4	2.6
Domestic demand	1.0	0.4	0.7	0.6	0.9	0.6	0.7	0.6	2.9	2.8	2.9	3.4
Stock contribution	0.0	–0.1	–0.1	0.0	0.0	–0.1	0.0	0.0	0.1	–0.2	–0.1	0.1
GNE	1.0	0.3	0.6	0.6	0.9	0.6	0.6	0.7	3.0	2.6	2.8	3.4
Exports	–1.1	0.7	0.4	0.4	0.6	0.7	0.6	0.6	5.2	0.4	2.5	2.4
Imports	1.8	1.2	2.2	1.9	2.6	1.7	1.6	1.5	6.7	7.2	7.6	5.8
Net exports contribution	–0.7	–0.1	–0.4	–0.4	–0.5	–0.3	–0.3	–0.2	–0.3	–1.6	–1.3	–0.9
Real GDP %qtr / %yr avg	**0.3**	**0.2**	**0.2**	**0.3**	**0.4**	**0.4**	**0.4**	**0.4**	**2.0**	**1.7**	**1.3**	**2.2**
%yr end	**2.4**	**1.7**	**1.5**	**1.0**	**1.1**	**1.3**	**1.4**	**1.5**	**2.6**	**1.0**	**1.5**	**2.5**
Nominal GDP %qtr / %yr avg	0.6	0.1	1.2	1.1	0.5	0.8	0.7	0.8	4.7	4.2	3.1	4.3
%yr end	5.3	4.6	3.9	3.0	2.9	3.6	3.2	2.9	6.1	3.0	2.9	5.1
Real household disp. income	–0.2	–0.1	1.8	–1.5	0.7	0.6	1.5	0.0	3.8	0.0	2.8	2.8

Other macroeconomic variables

	2026				2027				Calendar years			
% change	Q1	Q2(f)	Q3(f)	Q4(f)	Q1(f)	Q2(f)	Q3(f)	Q4(f)	2025	2026(f)	2027(f)	2028(f)
Employment %qtr **	0.6	0.3	0.6	0.3	0.4	0.5	0.6	0.5	–	–	–	–
%yr end **	1.5	1.1	1.7	1.8	1.6	1.9	1.8	2.0	1.1	1.8	2.0	2.6
Unemployment rate % **	4.2	4.4	4.6	4.8	4.9	4.9	4.8	4.8	4.3	4.8	4.8	4.5
Wages (WPI) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8	–	–	–	–
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2	3.4	3.4	3.2	3.4
Headline CPI %qtr	1.4	0.6	1.1	0.8	0.6	0.6	0.8	0.5	–	–	–	–
%yr end	4.1	3.9	3.7	3.9	3.1	3.2	2.9	2.6	3.6	3.9	2.6	2.4
Trimmed Mean CPI %qtr	0.8	0.8	0.8	0.8	0.8	0.7	0.6	0.6	–	–	–	–
%yr end	3.5	3.6	3.5	3.3	3.2	3.1	2.9	2.7	3.3	3.3	2.7	2.4
Current account $bn, qtr	–27.1	–33.5	–30.8	–33.3	–37.6	–39.0	–42.4	–42.6	–	–	–	–
% of GDP	–3.7	–4.5	–4.1	–4.4	–5.0	–5.1	–5.5	–5.5	–3.1	–4.4	–5.5	–5.1
Terms of trade %yr avg	–1.2	–0.7	–0.8	–0.7	–1.8	–2.1	–3.0	–4.1	–2.5	–0.7	–4.1	–1.8
Population growth %yr end	1.5	1.5	1.5	1.5	1.4	1.4	1.4	1.4	1.5	1.5	1.4	1.4

Calendar year changes are annual through–the–year percentage changes unless otherwise specified.
* Business investment, private and public demand are adjusted to exclude the effect of private sector purchases of public sector assets. ** Quarter–averages.

Macroeconomic variables – recent history

	2025					2026						
Monthly data	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul
CPI %yr	3.2	3.6	3.8	3.4	3.8	3.8	3.7	4.6	4.2	4.0	3.8	–
Employment '000 chg	–13.1	9.9	33.6	–38.1	57.7	36.4	22.9	20.3	–38.6	44.0	76.3	–
Unemployment rate %	4.2	4.5	4.3	4.3	4.1	4.1	4.3	4.3	4.5	4.4	4.4	–
Westpac–MI Consumer Sentiment	98.5	95.4	92.1	103.8	94.5	92.9	90.5	91.6	80.2	83.0	80.6	83.9
Household spending %mth	–0.1	0.3	1.4	0.9	–0.4	0.2	0.3	1.7	–1.0	1.2	0.8	–
Dwelling approvals %mth	–4.3	18.4	–10.2	15.9	–15.8	–13.3	44.2	–13.1	0.5	–1.6	7.2	–
Private sector credit %mth	0.6	0.6	0.7	0.7	0.8	0.5	0.7	0.7	0.7	0.7	0.8	–
Trade in goods balance AUDbn	0.9	3.4	4.4	2.3	3.5	2.4	5.1	–1.7	1.6	–2.4	1.9	–

New Zealand

Interest rate forecasts

	Latest	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Cash	2.50	2.75	3.00	3.50	3.75	4.00	4.00	4.00	4.00	3.75	3.75
90 Day Bill	2.95	3.00	3.40	3.75	4.00	4.20	4.20	4.20	4.15	3.95	3.95
2 Year Swap	3.60	3.70	3.95	4.10	4.25	4.20	4.20	4.15	4.15	4.10	4.10
10 Year Bond	4.65	4.65	4.65	4.80	5.00	5.05	5.05	5.05	5.05	5.05	5.05
10 Year Spread to US	1	0	5	25	45	45	40	35	30	25	20
10 Year Spread to Aust	–33	–30	–20	5	35	40	40	40	40	40	40

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
NZD vs											
USD	0.5852	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
JPY	93.32	96	96	99	101	101	102	100	99	98	96
EUR	0.5074	0.51	0.51	0.53	0.54	0.54	0.55	0.54	0.54	0.54	0.55
AUD	0.8286	0.83	0.84	0.86	0.88	0.89	0.90	0.91	0.91	0.91	0.91
CAD	0.8150	0.82	0.83	0.85	0.87	0.88	0.88	0.88	0.87	0.87	0.87
GBP	0.4338	0.44	0.44	0.46	0.47	0.47	0.47	0.47	0.47	0.47	0.47
CNY	3.9464	3.98	4.02	4.09	4.16	4.19	4.22	4.19	4.19	4.16	4.16

Sources: Bloomberg, Westpac Economics.

Activity forecasts

	2026				2027				Calendar years			
% change	**Q1**	**Q2f**	**Q3f**	**Q4f**	**Q1f**	**Q2f**	**Q3f**	**Q4f**	**2025**	**2026f**	**2027f**	**2028f**
Private consumption	0.5	0.0	0.6	0.8	0.9	1.0	1.0	1.0	1.4	1.0	3.3	4.0
Government consumption	1.5	0.2	0.3	0.3	0.3	0.3	0.6	0.5	2.5	4.3	1.4	2.2
Residential investment	–3.1	3.0	3.0	1.0	1.3	1.8	2.3	2.5	–5.4	1.5	7.5	9.2
Business investment	3.7	1.0	0.8	1.5	1.6	1.4	1.1	0.9	0.5	4.5	5.3	4.0
Stocks (ppt contribution)	0.0	0.0	0.0	–0.1	0.2	0.0	0.1	–0.1	–0.1	0.5	0.1	–0.1
GNE	0.9	0.3	0.7	0.7	1.1	0.9	1.0	0.9	0.9	2.9	3.6	3.8
Exports	3.1	–0.5	–0.4	0.5	1.0	1.1	0.9	0.8	2.8	4.0	2.5	3.1
Imports	4.2	–0.4	0.2	0.7	1.3	2.3	2.1	1.4	3.3	5.2	4.8	4.9
GDP (production)	0.8	–0.1	0.6	0.7	1.0	0.5	0.6	0.7	0.3	1.9	2.6	3.2
Employment annual %	0.5	1.2	1.7	1.8	2.3	2.5	2.6	2.6	0.2	1.8	2.6	2.3
Unemployment rate % s.a.	5.4	5.6	5.5	5.4	5.3	5.2	5.1	4.9	5.4	5.4	4.9	4.4
LCI, all sect incl o/t, ann %	2.0	2.0	2.2	2.4	2.5	2.4	2.4	2.4	2.0	2.4	2.4	2.3
CPI annual %	3.1	4.1	3.7	3.5	3.1	1.8	1.9	1.9	3.1	3.5	1.9	2.0
Current account % of GDP	–3.6	–3.7	–3.9	–3.9	–3.8	–3.9	–3.9	–3.9	–3.6	–3.9	–3.9	–3.6
Terms of trade annual %	2.0	–0.5	1.1	0.6	3.3	2.4	2.6	3.9	3.4	0.6	3.9	2.5

Sources: Statistics NZ, Westpac Economics.

Commodity prices

Quarter average	Latest (7 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Australian commodities index#	386	395	389	375	364	359	351	348	346	344	344
Bulk commodities index#	**372**	**377**	**364**	**344**	**329**	**329**	**331**	**333**	**335**	**337**	**339**
iron ore finesTSI @ 62% US$/t	96	100	97	89	83	83	83	84	84	85	86
Premium low vol met coal (US$/t)	214	205	197	188	184	186	187	189	190	191	192
Newcastle spot thermal coal (US$/t)	130	130	126	124	122	122	122	123	124	124	125
crude oil (US$/bbl) Brent	81	83	81	80	77	74	69	65	62	60	59
LNG in Japan US$mmbtu	21.1	18.5	17.9	16.8	15.7	15.0	13.0	12.4	11.6	10.8	10.5
gold (US$/oz)	4,193	4,350	4,510	4,460	4,440	4,420	4,390	4,420	4,450	4,480	4,510
Base metals index#	**271**	**265**	**259**	**248**	**244**	**241**	**237**	**233**	**229**	**227**	**226**
copper (US$/t)	14,148	13,800	13,110	12,060	11,820	11,700	11,640	11,580	11,520	11,490	11,470
aluminium (US$/t)	3,245	3,310	3,380	3,400	3,360	3,290	3,200	3,080	3,000	2,940	2,910
nickel (US$/t)	16,863	17,070	16,980	17,150	17,280	17,370	17,450	17,540	17,630	17,720	17,800
zinc (US$/t)	3,765	3,590	3,540	3,470	3,360	3,240	3,110	2,940	2,810	2,730	2,680
lead (US$/t)	1,847	1,900	1,900	1,910	1,930	1,940	1,960	1,910	1,880	1,850	1,840
Rural commodities index#	**149**	**142**	**145**	**144**	**140**	**134**	**128**	**122**	**117**	**114**	**112**
NZ commodities index ##	**390**	**395**	**401**	**404**	**407**	**410**	**414**	**415**	**416**	**416**	**417**
dairy price index ##	312	317	320	325	331	337	344	347	349	351	352
whole milk powder USD/t	3,425	3,480	3,500	3,530	3,580	3,640	3,720	3,770	3,810	3,850	3,890
skim milk powder USD/t	3,135	3,220	3,140	3,110	3,140	3,180	3,230	3,270	3,300	3,330	3,370
lamb price index ##	677	681	683	681	677	673	669	662	654	646	638
beef price index ##	394	389	408	407	408	408	408	407	405	402	400
forestry price index ##	164	161	159	160	160	160	161	161	162	163	164

	levels				% change			
Annual averages	**2025**	**2026(f)**	**2027(f)**	**2028(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Australian commodities index#	**324**	**397**	**362**	**346**	**4.1**	**22.9**	**–8.9**	**–4.6**
Bulk commodities index#	**378**	**386**	**333**	**336**	**–12.7**	**2.3**	**–13.8**	**0.8**
iron ore finesTSI @ 62% US$/t	102	102	85	85	-6.8	0.5	–17.1	0.0
Premium low vol met coal (US$/t)	189	218	186	190	–22.5	15.6	–14.5	2.3
Newcastle spot thermal coal (US$/t)	106	128	123	124	–21.6	20.5	-4.1	0.8
crude oil (US$/bbl) Brent	68	84	75	62	–14.6	22.8	–10.7	–18.0
LNG in Japan US$mmbtu	12.3	16.8	15.1	11.3	3.1	37.2	–10.0	–25.2
gold (US$/oz)	3,440	4,560	4,430	4,470	43.9	32.6	–2.9	0.9
Base metals index#	**208**	**260**	**243**	**229**	**3.0**	**25.1**	**–6.8**	**–5.8**
copper (US$/t)	9,960	13,280	11,810	11,510	8.6	33.3	–11.1	–2.5
aluminium (US$/t)	2,630	3,360	3,310	2,980	8.2	27.8	–1.5	–10.0
nickel (US$/t)	15,200	17,390	17,310	17,670	–9.9	14.4	–0.5	2.1
zinc (US$/t)	2,860	3,460	3,300	2,790	2.5	21.0	–4.6	–15.5
lead (US$/t)	1,970	1,920	1,930	1,870	–5.3	–2.5	0.5	–3.1
Rural commodities index#	**120**	**141**	**136**	**116**	**-4.9**	**17.4**	**-3.2**	**-14.6**
NZ commodities index ##	**390**	**400**	**409**	**416**	**9.2**	**2.4**	**2.3**	**1.8**
dairy price index ##	348	326	334	350	9.7	–6.4	2.5	4.6
whole milk powder USD/t	3902	3572	3617	3829	13.5	–8.4	1.3	5.9
skim milk powder USD/t	2702	3192	3165	3319	0.6	18.1	–0.8	4.8
lamb price index ##	587	669	675	650	27.0	13.9	0.9	–3.6
beef price index ##	337	396	408	403	19.1	17.3	3.1	–1.1
forestry price index ##	152	159	160	162	–4.9	4.7	0.9	1.4

Chain weighted index: weights are Australian export shares. * Australian export prices fob – ABS 5432.0 Merchandise Trade Exports. ** WCFI – Westpac commodities futures index. *** Latest figures are weekly averages. ^ AWEX market prices. Sources for all tables: Westpac Economics, Bloomberg ##ANZ NZ commodity price index ^^ GlobalDairyTrade

United States

Interest rate forecasts

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Fed Funds*	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
10 Year Bond	4.64	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85

Sources: Bloomberg, Westpac Economics. * +12.5bps from the Fed Funds lower bound (overnight reverse repo rate).

Currency forecasts

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
USD vs											
DXY index	99.96	99.8	98.9	98.2	97.3	96.5	95.6	95.0	94.7	94.7	94.7
JPY	159.46	162	160	160	158	156	154	152	150	148	146
EUR	1.1533	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
AUD	0.7062	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72
NZD	0.5852	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66
CAD	1.3928	1.39	1.38	1.37	1.36	1.35	1.34	1.33	1.32	1.32	1.32
GBP	1.3489	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
CHF	0.8141	0.80	0.79	0.78	0.77	0.76	0.75	0.75	0.75	0.75	0.75
ZAR	16.19	16.1	16.1	16.0	15.9	15.9	15.9	16.1	16.1	16.1	16.1
SGD	1.2804	1.28	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8474	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75	7.75
PHP	61.35	60.7	60.0	59.0	58.0	57.0	56.0	55.0	54.0	54.0	54.0
THB	33.18	32.6	32.0	31.5	31.0	30.7	30.4	30.2	30.0	30.0	30.0
MYR	4.0866	4.00	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80	3.80
CNY	6.7449	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	17877	17600	17300	17000	16700	16400	16300	16200	16100	16072	16072
TWD	32.16	31.5	31.0	30.5	30.0	29.5	29.0	28.5	28.2	28.2	28.2
KRW	1418	1420	1410	1400	1390	1380	1370	1360	1340	1336	1336
INR	95.45	95.0	94.5	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Activity forecasts

	2026				2027				Calendar years			
% annualised, s/adj	**Q1**	**Q2**	**Q3(f)**	**Q4(f)**	**Q1(f)**	**Q2(f)**	**Q3(f)**	**Q4(f)**	**2025**	**2026(f)**	**2027(f)**	**2028(f)**
Private consumption	0.5	3.2	1.2	1.3	1.9	2.0	2.1	2.1	2.6	1.9	1.8	2.1
Dwelling investment	–7.8	1.5	0.0	0.8	0.8	1.2	1.6	2.0	–2.2	–3.2	1.0	2.0
Business investment	10.6	8.4	6.6	5.7	5.3	4.8	4.7	4.7	4.1	6.7	5.5	4.7
Public demand	4.4	–0.8	0.4	0.4	0.4	0.4	0.4	0.4	1.1	0.2	0.3	0.4
Domestic final demand	2.3	3.3	1.8	1.8	2.2	2.2	2.2	2.2	2.4	2.2	2.1	2.2
Inventories contribution ppt	–0.8	–0.1	0.1	0.1	0.1	0.2	0.0	0.0	–0.1	0.1	0.0	0.1
Net exports contribution ppt	1.6	–0.1	–0.6	–0.7	–0.7	–0.5	–0.4	–0.5	0.4	–0.7	–0.5	–0.5
GDP	2.1	1.5	2.2	1.5	1.9	1.9	1.8	1.8	2.1	2.0	1.8	1.9
%yr annual chg	2.7	2.1	1.6	1.8	1.8	1.9	1.8	1.8	–	–	–	–

Other macroeconomic variables

Non–farm payrolls mth avg	43	96	90	80	90	100	105	110	26	98	108	120
Unemployment rate %	4.3	4.3	4.4	4.4	4.5	4.5	4.6	4.6	4.3	4.4	4.6	4.5
CPI headline %yr	2.7	3.9	3.5	3.2	2.9	2.3	2.3	2.2	2.7	3.4	2.4	2.2
PCE deflator, core %yr	3.1	3.3	3.1	3.0	2.7	2.4	2.3	2.2	2.8	3.1	2.4	2.2

Sources: Official agencies, Factset, Westpac Economics.

Europe & the United Kingdom

Interest rate forecasts

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Euro Area											
ECB Deposit Rate	2.25	2.50	2.50	2.50	2.50	2.25	2.00	2.00	2.00	2.00	2.00
10 Year Bund	3.13	3.15	3.10	3.00	2.95	2.95	2.95	2.95	2.95	2.95	2.95
10 Year Spread to US	–151	–150	–150	–155	–160	–165	–170	–175	–180	–185	–190
United Kingdom											
BoE Bank Rate	3.75	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.50	3.50	3.50
10 Year Gilt	4.95	5.00	4.95	4.85	4.80	4.80	4.80	4.80	4.80	4.80	4.80
10 Year Spread to US	31	35	35	30	25	20	15	10	5	0	–5

Sources: Bloomberg, Westpac Economics.

Currency forecasts

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
euro vs											
USD	1.1533	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21
JPY	183.92	188	187	189	188	187	186	185	182	179	177
GBP	0.8550	0.86	0.87	0.87	0.87	0.87	0.87	0.87	0.86	0.86	0.86
CHF	0.9388	0.92	0.92	0.92	0.92	0.91	0.91	0.91	0.91	0.91	0.91
DKK	7.4755	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47	7.47
SEK	11.03	11.1	11.1	11.2	11.2	11.3	11.3	11.3	11.3	11.3	11.3
NOK	10.96	11.0	11.0	11.1	11.1	11.2	11.2	11.3	11.3	11.3	11.3
sterling vs											
USD	1.3489	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40
JPY	215.11	218	216	218	216	215	214	213	211	208	204
CHF	1.0981	1.07	1.07	1.06	1.05	1.05	1.04	1.04	1.05	1.05	1.05
AUD	0.5236	0.53	0.53	0.53	0.53	0.53	0.53	0.52	0.52	0.52	0.52

Sources: Bloomberg, Westpac Economics.

Activity forecasts

Annual average % chg	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Euro area GDP	3.7	0.6	1.0	1.3	0.8	1.2	1.5
private consumption	5.3	0.6	1.3	1.4	1.1	1.1	1.4
fixed investment	2.3	2.8	–2.3	3.0	1.1	1.9	2.3
government consumption	1.3	1.5	2.3	1.4	2.3	2.1	2.0
net exports contribution ppt	–0.1	0.3	0.3	–0.6	–0.3	0.0	–0.3
Germany GDP	2.0	–0.8	0.0	0.3	0.9	1.1	1.7
France GDP	2.8	1.8	1.4	0.9	0.6	0.9	1.2
Italy GDP	5.0	1.0	0.6	0.7	0.9	0.7	1.0
Spain GDP	6.4	2.5	3.5	2.8	2.5	2.0	2.1
Netherlands GDP	5.0	–0.6	1.1	1.6	1.3	1.2	1.6
United Kingdom GDP	5.1	0.3	1.0	1.3	1.2	1.1	1.5

Asia

China activity forecasts

Calendar years	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
Real GDP	8.6	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Consumer prices %yr	1.5	1.8	–0.3	0.1	0.1	1.2	1.3	1.6
Producer prices %yr	10.3	–0.7	–2.7	–2.3	–2.6	2.0	1.2	1.5
Industrial production (IVA)	9.6	3.6	4.6	5.8	5.9	5.5	5.0	4.8
Retail sales	12.5	–0.2	7.2	3.5	3.7	2.3	4.2	4.4
Money supply M2 %yr	9.0	11.8	9.7	7.3	8.0	7.8	7.6	7.4
Fixed asset investment	4.9	5.1	3.0	3.2	–1.4	1.5	4.0	4.5
Exports %yr	20.9	–9.9	–2.3	10.7	5.2	9.5	4.5	3.5
Imports %yr	19.5	–7.5	0.2	0.9	–0.1	10.0	4.0	3.0

Source: Macrobond, Bloomberg. Year–to–date growth unless otherwise noted.

Chinese interest rates & monetary policy

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Required reserve ratio %*	9.00	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50	8.50
Loan Prime Rate, 1–year	3.00	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80	2.80

* For major banks.

Japanese interest rates & monetary policy

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
Policy Rate	1.00	1.00	1.25	1.25	1.50	1.50	1.50	1.50	1.50	1.50	1.50
10 Year Bond Yield	2.89	2.85	2.90	2.95	2.70	2.60	2.50	2.45	2.40	2.35	2.30

Currency forecasts

	Latest (14 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28
JPY	159.46	162	160	160	158	156	154	152	150	148	146
SGD	1.2804	1.28	1.27	1.27	1.26	1.26	1.25	1.25	1.25	1.25	1.25
HKD	7.8474	7.83	7.82	7.81	7.80	7.79	7.78	7.77	7.76	7.75	7.75
PHP	61.35	60.7	60.0	59.0	58.0	57.0	56.00	55.00	54.00	53.95	53.95
THB	33.18	32.6	32.0	31.5	31.0	30.7	30.4	30.2	30.0	30.0	30.0
MYR	4.0866	4.00	3.95	3.90	3.90	3.85	3.85	3.85	3.80	3.80	3.80
CNY	6.7449	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30
IDR	17877	17600	17300	17000	16700	16400	16300	16200	16100	16072	16072
TWD	32.16	31.5	31.0	30.5	30.0	29.5	29.0	28.5	28.2	28.2	28.2
KRW	1418	1420	1410	1400	1390	1380	1370	1360	1340	1336	1336
INR	95.45	95.0	94.5	94.0	93.0	92.0	91.0	90.0	89.0	88.0	87.0

Source: Bloomberg, Westpac Economics.

Worldwide

Economic growth forecasts (year average)

Real GDP %ann	2021	2022	2023	2024	2025	2026(f)	2027(f)	2028(f)
World	**6.7**	**3.8**	**3.3**	**3.4**	**3.4**	**3.3**	**3.3**	**3.3**
United States	6.2	2.5	2.9	2.8	2.1	2.0	1.8	1.9
Japan	3.6	1.3	0.7	–0.2	1.1	0.6	0.8	0.9
Euro zone	6.4	3.7	0.5	0.9	1.3	0.8	1.2	1.5
Group of 3	**5.9**	**2.8**	**1.8**	**1.7**	**1.7**	**1.4**	**1.5**	**1.6**
United Kingdom	8.5	5.1	0.3	1.0	1.3	1.2	1.1	1.5
Canada	6.0	4.7	2.0	2.0	1.9	0.9	1.6	1.8
Australia	5.4	4.2	2.1	1.0	2.0	1.7	1.3	2.2
New Zealand	5.5	2.6	2.2	–0.3	0.3	1.9	2.6	3.2
OECD total	**6.2**	**3.2**	**1.9**	**1.8**	**1.7**	**1.5**	**1.5**	**1.7**
China	8.4	3.1	5.4	5.0	5.0	4.7	4.6	4.4
Korea	4.6	2.7	1.6	2.0	1.0	3.1	2.5	2.4
Taiwan	6.7	2.7	1.1	5.3	8.8	10.0	5.0	4.0
Hong Kong	6.5	–3.7	3.2	2.6	3.6	3.8	3.0	2.6
Singapore	10.1	4.0	1.5	5.3	5.0	4.7	3.0	2.5
Indonesia	3.7	5.3	5.0	5.0	5.1	5.0	5.1	5.2
Thailand	1.6	2.7	2.2	2.9	2.4	1.8	2.0	2.4
Malaysia	3.3	9.0	3.5	5.1	5.2	4.4	4.5	4.5
Philippines	5.7	7.6	5.5	5.7	4.4	4.0	4.8	5.5
Vietnam	2.6	8.5	5.1	7.0	8.0	8.0	7.5	7.2
East Asia	**7.1**	**3.6**	**4.7**	**4.8**	**4.9**	**4.8**	**4.5**	**4.4**
East Asia ex China	4.4	4.6	3.4	4.5	4.7	5.1	4.4	4.3
NIEs*	**6.1**	**2.3**	**1.6**	**3.4**	**4.1**	**5.5**	**3.4**	**2.9**
India	9.7	7.6	7.2	7.1	7.6	6.7	6.7	6.6
Russia	5.9	–1.4	4.1	4.9	1.0	0.6	0.9	1.1
Brazil	4.8	3.0	3.2	3.4	2.3	1.9	1.9	2.1
South Africa	4.9	2.1	0.8	0.5	1.1	1.0	1.3	1.5
Mexico	6.0	3.7	3.1	1.4	0.6	1.6	2.2	2.1
Argentina	10.4	6.0	–1.9	–1.3	4.4	3.5	4.0	3.8
Chile	11.3	2.2	0.5	2.6	2.3	2.4	2.6	2.3
Middle East	2.8	2.8	2.8	2.9	2.9	2.9	2.9	2.9
C & E Europe	9.1	4.3	3.0	3.2	3.0	3.1	3.5	3.7
Africa	3.9	4.4	3.8	4.2	4.5	4.3	4.4	4.5
Emerging ex–East Asia	**6.8**	3.7	**3.7**	**4.7**	**4.4**	**4.1**	**4.3**	**4.3**
Other countries	**6.7**	**5.2**	**4.9**	**2.0**	**2.3**	**2.8**	**3.0**	**3.1**
World	**6.7**	**3.8**	**3.3**	**3.4**	**3.4**	**3.3**	**3.3**	**3.3**

#Regional and global groupings are weighted using PPP exchange rates updated to reflect ICP 2011 benchmark revisions.* "NIEs" signifies "Newly Industrialised Economies" as defined by the IMF, viz; Republic of Korea, Hong Kong SAR, Taiwan Province of China, and Singapore.

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WESTPAC COMMODITY FORECASTS

This information is current as at 17 August 2026

Quarter average forecasts	Latest*	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28
Iron ore finesTSI @ 62% US$/t	97	100	97	89	83	83	83	84
Iron ore fines contracts (Usc dltu)	149	150	150	140	130	130	130	130
Premium low vol met coal (US$/t)	221	205	197	188	184	186	187	189
Newcastle spot thermal coal (US$/t)	129	130	126	124	122	122	122	123
Crude oil (USD/bbl) WTI	72	81	79	78	75	72	67	63
Crude oil (USD/bbl) Brent	88	83	81	80	77	74	69	65
LNG in Japan US$mmbtu	21.2	18.5	17.9	16.8	15.7	15.0	13.0	12.4
Gold (USD/oz)	4,379	4,350	4,510	4,460	4,440	4,420	4,390	4,420
Aluminium (US$/t)	3,295	3,310	3,380	3,400	3,360	3,290	3,200	3,080
Copper (US$/t)	14,389	13,800	13,110	12,060	11,820	11,700	11,640	11,580
Nickel (US$/t)	16,666	17,070	16,980	17,150	17,280	17,370	17,450	17,540
Zinc (US$/t)	3,829	3,590	3,540	3,470	3,360	3,240	3,110	2,940
Lead (US$/t)	1,862	1,900	1,900	1,910	1,930	1,940	1,960	1,910
AUD/USD	0.69	0.72	0.73	0.73	0.74	0.74	0.74	0.73

Quarter average forecasts	Jun–28	Sep–28	Dec–28	Mar–29	Jun–29	Sep–29	Dec–29	Mar–30	Jun–30
Iron ore finesTSI @ 62% US$/t	84	85	86	86	87	87	88	89	89
Iron ore fines contracts (Usc dltu)	130	130	130	130	130	130	140	140	140
Premium low vol met coal (US$/t)	190	191	192	194	195	196	198	199	200
Newcastle spot thermal coal (US$/t)	124	124	125	125	126	126	127	127	128
Crude oil (USD/bbl) WTI	60	58	57	58	58	58	59	59	60
Crude oil (USD/bbl) Brent	62	60	59	59	60	60	61	61	61
LNG in Japan US$mmbtu	11.6	10.8	10.5	10.4	10.5	10.6	10.7	10.8	10.9
Gold (USD/oz)	4,450	4,480	4,510	4,540	4,580	4,610	4,640	4,670	4,700
Aluminium (US$/t)	3,000	2,940	2,910	2,950	2,980	3,020	3,060	3,090	3,130
Copper (US$/t)	11,520	11,490	11,470	11,620	11,970	12,420	12,750	13,010	13,280
Nickel (US$/t)	17,630	17,720	17,800	17,920	18,040	18,160	18,270	18,390	18,510
Zinc (US$/t)	2,810	2,730	2,680	2,700	2,710	2,720	2,730	2,740	2,760
Lead (US$/t)	1,880	1,850	1,840	1,840	1,840	1,850	1,850	1,850	1,850
AUD/USD	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73

*Weekly averages. Sources for all tables: Westpac Economics, Bloomberg, Macrobond ABS.

WESTPAC COMMODITY FORECASTS

Quarter end forecasts	Latest*	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28
Iron ore finesTSI @ 62% US$/t	97	101	94	87	83	83	83	84
Iron ore fines contracts (Usc dltu)	149	150	150	130	130	130	130	130
Premium low vol met coal (US$/t)	221	177	207	185	185	186	188	189
Newcastle spot thermal coal (US$/t)	129	131	125	123	122	122	123	123
Crude oil (USD/bbl) WTI	72	84	78	77	74	70	65	62
Crude oil (USD/bbl) Brent	88	83	80	80	75	74	67	64
LNG in Japan US$mmbtu	21.2	18.1	17.8	16.2	15.6	14.6	12.6	12.3
Gold (USD/oz)	4,379	4,630	4,450	4,480	4,430	4,410	4,380	4,450
Aluminium (US$/t)	3,295	3,470	3,380	3,390	3,340	3,260	3,160	3,040
Copper (US$/t)	14,389	14,040	12,760	11,980	11,780	11,680	11,620	11,560
Nickel (US$/t)	16,666	17,430	17,040	17,190	17,320	17,390	17,480	17,570
Zinc (US$/t)	3,829	3,580	3,510	3,440	3,320	3,200	3,060	2,900
Lead (US$/t)	1,862	1,950	1,880	1,920	1,930	1,950	1,940	1,900
AUD/USD	0.69	0.72	0.73	0.74	0.74	0.74	0.74	0.73

Quarter end forecasts	Jun–28	Sep–28	Dec–28	Mar–29	Jun–29	Sep–29	Dec–29	Mar–30	Jun–30
Iron ore finesTSI @ 62% US$/t	85	85	86	86	87	88	88	89	89
Iron ore fines contracts (Usc dltu)	130	130	130	130	130	130	140	140	140
Premium low vol met coal (US$/t)	190	192	193	194	195	197	198	199	201
Newcastle spot thermal coal (US$/t)	124	124	125	125	126	126	127	128	128
Crude oil (USD/bbl) WTI	59	58	57	58	58	59	59	59	60
Crude oil (USD/bbl) Brent	61	60	59	60	60	60	61	61	62
LNG in Japan US$mmbtu	11.2	10.7	10.4	10.4	10.5	10.6	10.7	10.8	10.9
Gold (USD/oz)	4,440	4,490	4,520	4,550	4,590	4,620	4,650	4,680	4,710
Aluminium (US$/t)	2,980	2,920	2,910	2,970	2,990	3,030	3,070	3,110	3,140
Copper (US$/t)	11,510	11,480	11,520	11,730	12,120	12,530	12,840	13,100	13,340
Nickel (US$/t)	17,660	17,740	17,840	17,960	18,080	18,190	18,310	18,430	18,550
Zinc (US$/t)	2,780	2,700	2,690	2,700	2,710	2,720	2,740	2,750	2,760
Lead (US$/t)	1,870	1,850	1,840	1,840	1,850	1,850	1,850	1,850	1,860
AUD/USD	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73	0.73

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August 2026

THE RED BOOK

Quarterly update on the Australian consumer

CONTENTS

westpaciq.com.au

The **Westpac Red Book** report is produced by Westpac Economics.

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Another winter of discontent

The Australian consumer remains out of sorts. Sentiment is stuck near historical lows, with finances under pressure and inflation and interest rate rise fears still dominating the outlook. While some of the situation has improved slightly since May, it looks like a long road back to 'normal'.

As discussed on p7, sentiment reads have been much weaker than actual spending in recent years. The apparent disconnect is likely due to a mix of legacy effects from COVID and the specific challenges posed by high inflation.

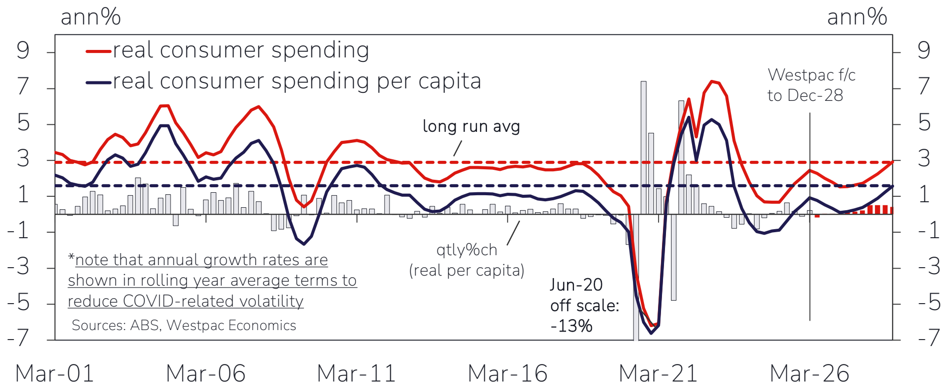
However, it may also simply be a case of fatigue. Consumers have had to contend with a series of major shocks since the turn of the decade, including: COVID; the post-COVID inflation; Russia's invasion of Ukraine, last year's 'liberation day' tariff turmoil and this year's conflict in the Middle East. The most recent shocks have come with the added stress of daily twists and turns and conflicting signals from the US President at their epicentre. Throw in an AI revolution, a possible bubble in tech stocks, and now a housing downturn locally and it has been… 'a lot'.

Our August **Red Book** surveys the consumer psychological scene more closely. Of particular note is the widening divergence in sentiment across sub-groups and how this appears to be factoring in shifting political support between the major and minor parties.

The main takeaway however is that we need to be very careful with mapping sentiment levels and changes to spending at the moment. This is something we have been well aware of for some time and have allowed for in our forecasts.

Our working hypothesis is that much of the current disconnect relates to high inflation. As such, it should become less of an issue as we see a sustained moderation in inflation over the next 12-18 months. That said, the narrowing in the gap is likely to come through sentiment recovering significantly before we see much of a lift in spending growth. This reinforces our general view that a sluggish rather than outright weak demand environment now will be followed by an equally sluggish recovery. The sense of fatigue may fade but the going is likely to remain slow.

1. Consumer spending: renewed squeeze



"… a long road back to 'normal"

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Quick run-down

The **Westpac–Melbourne Institute Consumer Sentiment Index** lifted 4.7% over the 3mths to July but remained at very weak levels overall, the July monthly read of 83.9 is in the lowest 10% of reads in the 50yr history of the survey.

Survey responses over the course of the survey week highlight the ongoing influence of developments in the Middle East with sentiment deteriorating markedly after renewed conflict was reported.

The component detail shows choppy moves over the last three months with a bigger improvement in the outlook for finances but a weakening in 5yr expectations for the economy and only milder gains for other components. The sub-group detail shows a widening dispersion of sentiment with extremely weak reads a factor in recent shifts in political support.

Risk aversion has spiked back to near historical highs. The **Westpac Risk Aversion Index** was 60 in June, up from 47 in March and the second highest level since the survey began in the mid 1970s. 'Safe options' remain heavily favoured with the share of consumers nominating 'real estate' as the wisest place for savings dropping to just 4.5%, an all time low.

The sentiment mix suggests spending momentum has continued to weaken. **CSI±,** a modified indicator that shows a better correlation with per capita spending, points to a shift back to outright contraction.

Sentiment-based indicators have shown a disconnect with actual spending in recent years. This likely relates to high inflation and suggests: 1) that spending is likely to be sluggish rather than weak near term; and 2) easing inflation may see a recovery in sentiment but a slower improvement in spending.

Consumers are a little less fearful of further interest rate rises. The **Westpac-Melbourne Institute Mortgage Rate Expectations Index** declined 8.3% over the 3mths to July but, at 162.6, remained well above historical averages.

The **'time to buy a major item'** index posted a muted 4.2% rally over the 3mths to July but at 86.8 remains a long way below the historical average of 123.5. Actual spending on durables and major items has slowed but been relatively resilient compared to buyer sentiment.

Homebuyer sentiment has been unsettled. The **'time to buy a dwelling'** index was choppy through May-July, declining 0.5% overall to still very weak levels. The state detail shows buyers are less downbeat in NSW and Vic while the sub-group detail shows sentiment has been improving amongst renters and consumers that do not own investment properties.

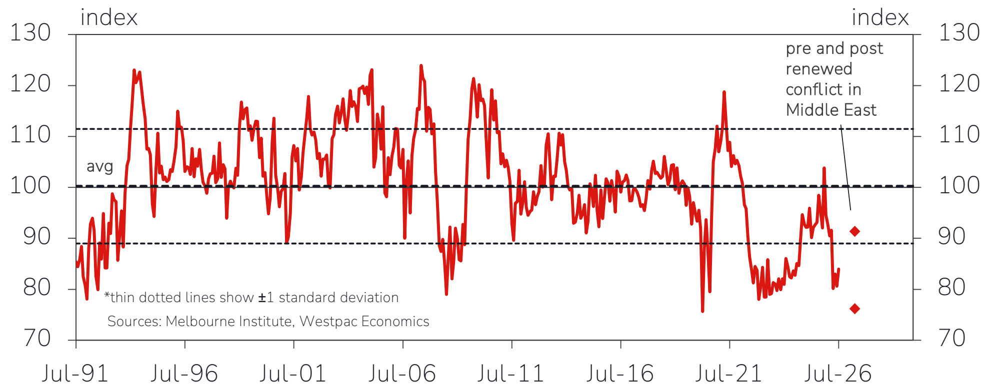
The rapidly cooling in housing markets is seeing an equally rapid shift in consumer house price expectations. The **Westpac–Melbourne Institute Consumer House Price Expectations Index** posted a steep 23% drop over the 3mths to July to just 118. While the Index is still above 100, implying more consumers expect prices to rise than fall, this is the first below average read since March 2023.

A moderate lift in job-loss fears following the spike in energy costs has unwound. The **Westpac–Melbourne Institute Unemployment Expectations Index** fell 12.1% over the three months to July, reversing most of the 14% lift over the previous three months (recalling that lower reads are an improvement meaning more consumers expect unemployment to fall over the year ahead). At 129.9 the Index is now in line with long run averages.

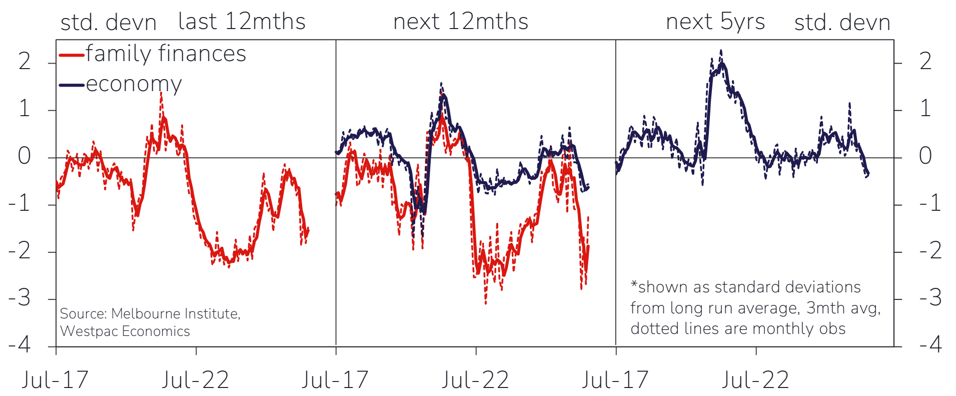
Fatigued

- Consumers remain deeply pessimistic, weighed down by continued uncertainty about the path for inflation and interest rates and disruptions emanating from conflict in the Middle East. The **Westpac Melbourne Institute Index of Consumer Sentiment** lifted 4.7% over the 3mths to July but remained at very weak levels overall, the July monthly read of 83.9 is in the lowest 10% of reads in the 50yr history of the survey.
- Survey responses over the course of the survey week highlight the ongoing influence of developments in the Middle East. The US-Iran ceasefire established in April was solidified with a formal Memorandum of Understanding in mid-June that allowed for a brief reopening of the Strait of Hormuz. The agreement collapsed with renewed conflict emerging during the July survey week. Daily responses show sentiment swinging from 91 amongst those surveyed prior (a strong rally vs June) to just 76 amongst those surveyed after the collapse. While daily responses are not weighted to be statistically representative and other factors may have been at play, the pattern suggests the renewed conflict had a significant hand in the weak July result.
- Local pump prices tracked back from an initial peak of around $2.40/litre in the first week of April to average just over $1.80 in May and $1.65 in June as a temporary halving in fuel excise tax combined with some easing in oil prices. A renewed rise in oil and unwinding tax cuts saw prices start to lift again, particularly through late July/ early August, with average pump prices currently sitting at $2.05/litre. That said, sentiment-wise, survey-to-survey moves were positive in May, June and July.
- The interest rate backdrop has also been slightly less negative since April with the RBA leaving the cash rate unchanged at its mid-June meeting but noting that this was a pause to assess the situation and warning that it was prepared to hike again if needed.
- The next survey update (due August 18) will again see a complex mix of developments: the situation in the Middle East still fluid; local pump prices up sharply but the RBA leaving rates unchanged and sounding slightly less threatening on hikes. How the mix plays out for sentiment will give a better sense of how significant each of these factors has been.

2. Consumer sentiment: deeply pessimistic



3. Consumer sentiment: finances, economic conditions



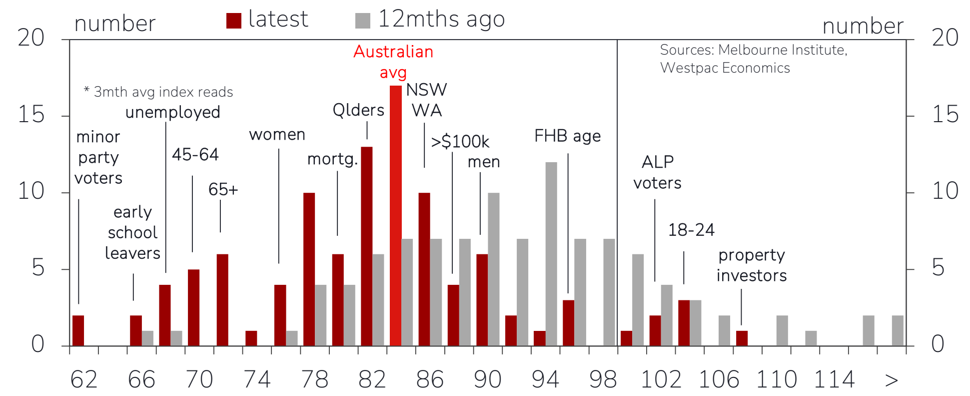
- The component detail shows choppy moves over the last 3mths. The 'finances next 12mths' sub-index posted a particularly strong 14.8% gain and at 96.5 in July its level is now consistent with marginal rather than widespread pessimism. The 'finances vs a year ago' sub-index posted a milder 6% gain and at 71.1 remains extremely weak. It is a similar story for the 'economy next 12mths' and 'time to buy a major item' sub-indexes (both posting net gains of around 4% but remaining in firmly pessimistic territory) The 'economy, next 5 years' sub-index has bucked the trend, deteriorating 4.7% over the last 3mths to a firmly pessimistic 87.1.

- The sub-group detail shows sentiment improved across over 70 of the 100-odd sub-groups we track. As Chart 4 shows, pessimism is widespread, with only five sub-groups reporting net optimistic reads (>100) and over a third reporting very pessimistic sub-80 reads. More generally, the dispersion of sentiment reads has been widening steadily since 2024 with the average spread over the last year the largest since most sub-group measures began in 1996 (nearly 50% wider than 30yr average).

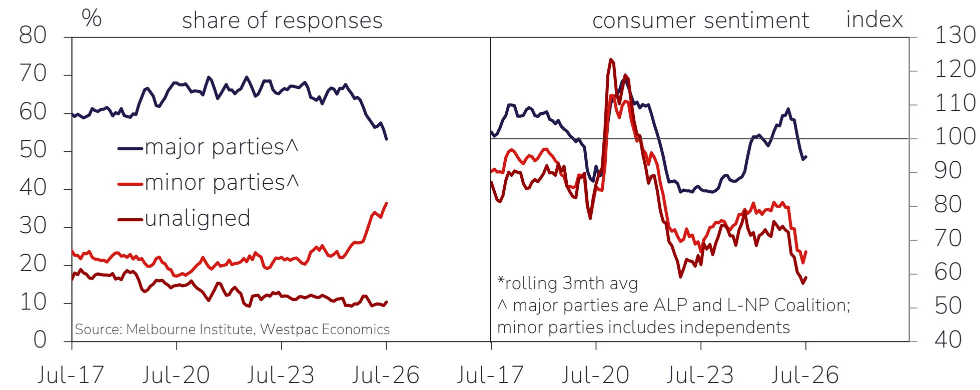
- This widening divergence appears to be a factor in recent shifts in political support. The survey asks respondents which party they would vote for if a Federal election was held today.

- Chart 5 shows how the share of responses and sentiment reads have evolved for three groups: those supporting the major parties; those supporting minor parties or independents; and the 'unaligned'. The 'major party' share has fallen from what had been a consistent 60-65% up to a year ago to just 53% now, easily a record low on history back to 1995. That has seen a corresponding lift in 'minor party' support to 36% from consistent prints in the 20-25% range. The right panel shows the sentiment gap across these groups is stark with pessimism relatively mild across 'major party' voters (95) but extreme amongst both 'minor party' voters (67) and the unaligned (59). The typical negative spread of 10-15pts has blown out to 30-35pts. While the root causes may be debatable the shift in support towards minor parties appears to relate to a starkly different sentiment view, a gap that is even wider for those that still see themselves as unaligned, or 'swing' voters.

4. Consumer sentiment: distribution across sub-groups



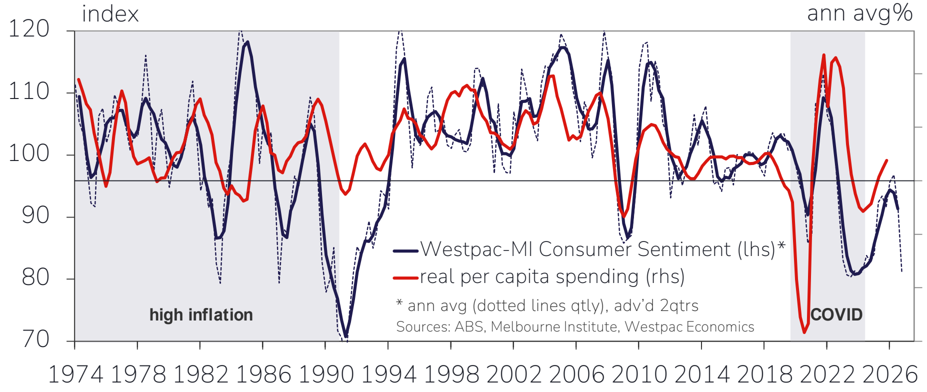
5. Consumers: broad voter groups and sentiment



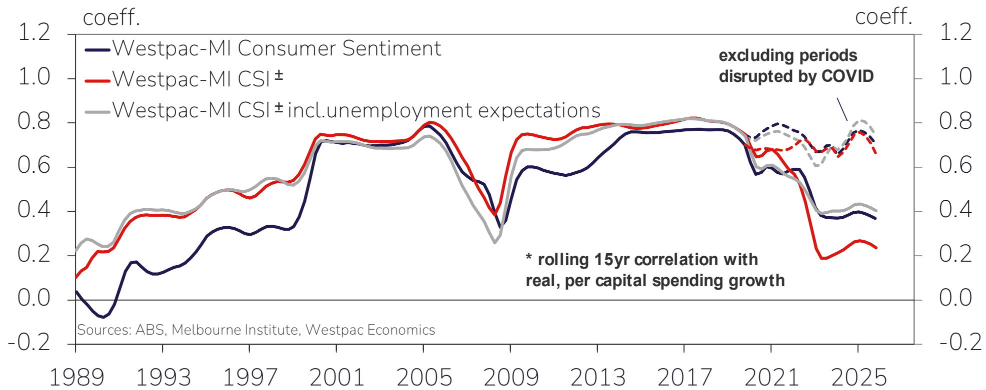
Spending-sentiment disconnect?

- Consumer sentiment has fallen back towards historical lows in 2026, latest Index reads in the bottom 10% of responses over the 50yr history of the survey. Despite this, spending appears to be holding up reasonably well, at least for now. Annual growth is still tracking positively in per capita terms, well above the 1-1.5% contraction when sentiment plumbed these levels back in 2023-24. Indeed, even that earlier period seemed to see somewhat milder declines than the extremely weak sentiment reads appeared to be pointing to at the time. What should we make of this apparent spending-sentiment disconnect? And how should we interpret reads going forward?
- For such a simple measure, consumer sentiment has been a surprisingly good predictor of spending trends historically. Chart 6 shows sentiment reads – in annual average and quarterly terms – going back to 1974 alongside annual average growth in real per capita consumer spending. While far from perfect, 'low frequency' sentiment shifts (i.e. ones sustained over multiple months) have more often than not foreshadowed turning points in actual spending growth.
- That said, there are some notable exceptions. Sentiment is typically more volatile than spending, often reacting to developments that end up having little or no consequence. This is not a criticism but more a reflection of how difficult it can be to assess the real world impacts of events, e.g. last year's 'liberation day' tariff turmoil dented confidence but ultimately had only a minimal impact on consumers. Even shocks or cycles that have longer-lasting effects can be over-estimated.
- The chart highlights two periods when sentiment and spending were particularly out of whack: 1) the high inflation of the 1970s and 1980s; and 2) during and immediately after COVID. For the latter, spending swings were much larger than sentiment moves due to the over-riding effect of health restrictions. The disconnect during the high inflation period is perhaps more interesting as it may account for some of the patterns we are seeing now. Back when high inflation was systemic, consumers likely had a harder time assessing prospects as inflation was often volatile and incomes heavily influenced by tax realignments and other measures that were difficult to accurately anticipate.

6. Consumer sentiment and spending: full history

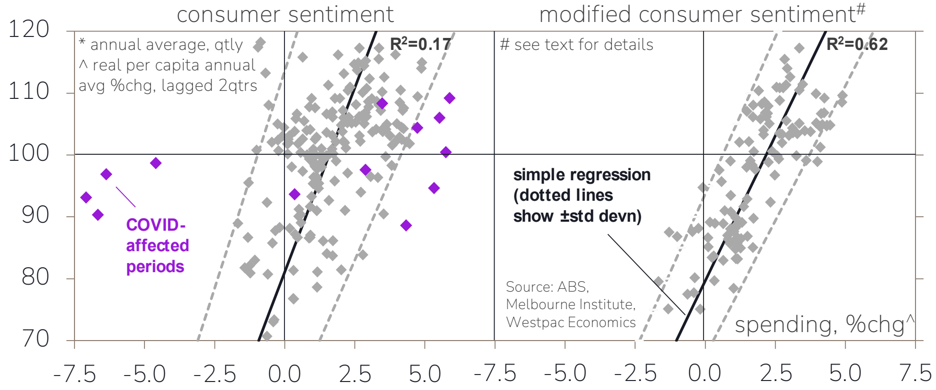


7. Consumer sentiment and spending: rolling correlations

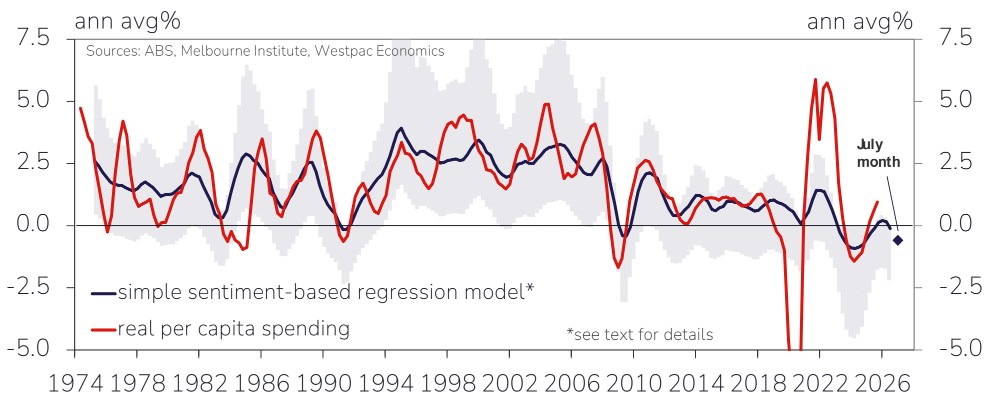


- The current period of high inflation is (hopefully) not systemic in nature. As such, the sentiment-spend disconnect may relate more to: the shock of experiencing high inflation in 2022 (after 30yrs of much more benign outcomes); the difficult monetary policy decisions this has forced; and, more recently, some over-reaction to the much milder lift in inflation since mid-2025.
- The limitations of headline sentiment as a predictor have long been known. Responses to more specific questions on family finances and 'time to buy a major item' appear to provide more information (as discussed in this RBA bulletin). Our preferred gauge, the **CSI±** measure used in this report (see p11), combines these sub-indexes with the **Westpac Consumer Risk Aversion Index**. Chart 7 shows this has a higher correlation with per capita spend historically but has underperformed markedly, due mainly to much weaker reads on 'time to buy'. Expanding this measure to also include the **Westpac-Melbourne Institute Index of Unemployment Expectations** significantly improves both the most recent correlation and slightly improves historical performance as well.
- Chart 8 illustrates the improved fit once COVID and high inflation periods are excluded and the more refined consumer sentiment measure is used. The left panel shows a scatter plot of headline index reads vs real per capita spending growth over the full history - a simple regression is upwardly sloped but has a poor fit with a standard error in the 2.5-3ppt range. The right panel, which excludes high inflation and COVID periods and uses the refined measure has a much higher fit and a smaller standard error in the 1.3-1.7ppt range. Chart 9 shows how this simple model looks compared to historical spending growth.
- What does this mean going forward? Current readings suggest annual average growth in per capita spending should stall about flat as we head into the second half of the year. Whether that emerges will go some way towards resolving whether there is an 'inflation disconnect' at play. If so, any gap is likely to close as inflation subsides, most likely through a rally in sentiment associated with a relatively muted lift in spending. So either spending slows near term or lags behind a presumed sentiment recovery in 2027.

8. Consumer sentiment and spending: simple regressions



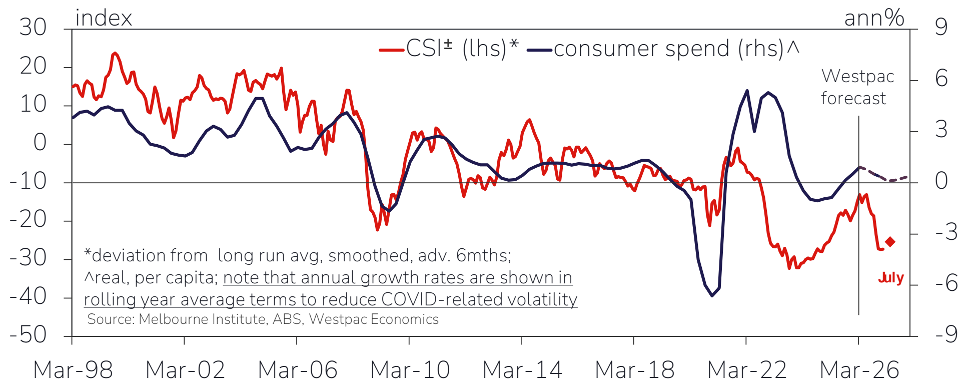
9. Modified consumer sentiment vs spending



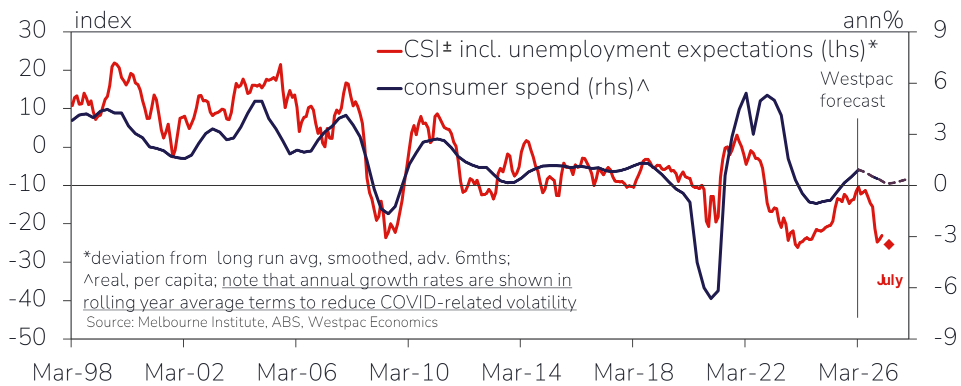
Spending: drowning or just waving?

- As discussed, our CSI± composite combines sub-indexes tracking views on 'family finances' and 'time to buy a major item' with the Westpac Consumer Risk Aversion Index and usually provides a good guide to trends in spending over the next 3–6mths. The composite has been of more limited use in recent years due to both the volatile spending around COVID lock-downs and the nature of the post-COVID cost-of-living shock to sentiment. As such, the CSI± indicator should be viewed as a directional guide to where per capita spending growth momentum is heading rather than a point estimate.
- The CSI± indicator weakened dramatically in April, dropping from 81.7 to 70.6, improving slightly to 74.2 in July. The weakening since March has centred on current assessments of finances, 'time to buy' and a sharp rise in risk aversion.
- Chart 10 shows the current read is consistent with a large contraction in real per capita consumer spending, even allowing for the wedge that has opened up between observed spending growth and the CSI± indicator over the last few years.
- Following the analysis on p7-8 we are now also including a slightly modified version of the indicator that includes the Westpac-Melbourne Institute Index of Unemployment Expectations (chart 11). This has also fallen dramatically since March and is pointing to a contraction in per capita spend albeit with a marginally narrower gap vs actual spending growth over the last few years.
- The Q1 national accounts, which largely pre-dated the impact from interest rate rises and global energy disruptions, showed spending up 0.5%qtr, 2.5%yr. While the quarter was a slight step-up on the 0.4% gain in Q4, this was entirely due to changes in electricity rebates with spend excluding electricity up just 0.3% in Q1 vs 0.6% in Q4.
- The detail showed spending gains concentrated in essentials (up 0.4%qtr excl. electricity) with discretionary barely up 0.1%qtr. The biggest positive contributions came from the large 'basic food' category (+0.8%qtr) with a notable rise in fuel despite the price spike in the March month (+0.6%qtr) that likely captured some 'stockpiling' purchases.

10. CSI± vs consumer spending

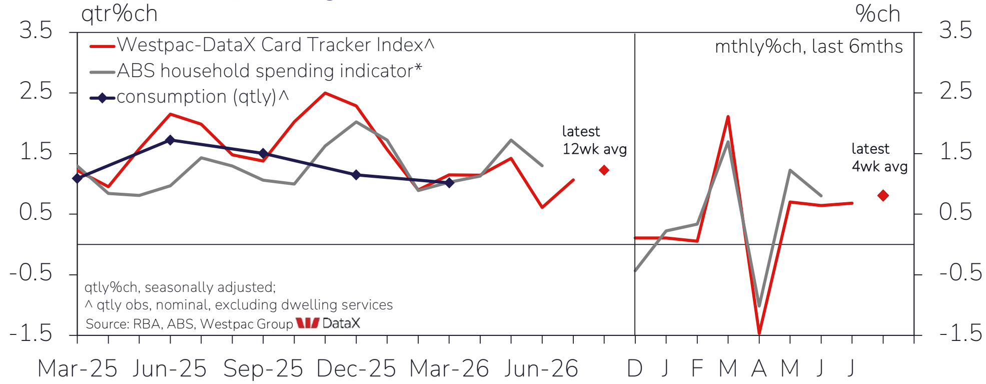


11. CSI± incl. unemployment expectations vs consumer spending

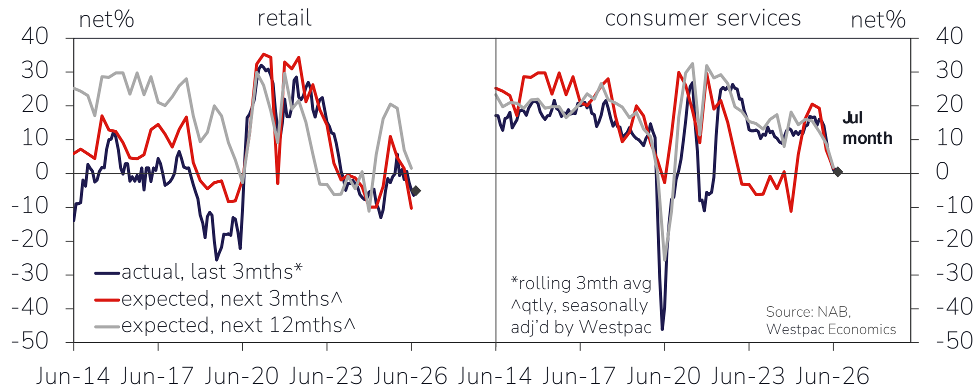


- The Q1 detail on incomes was on the soft side, real (inflation-adjusted) disposable incomes up just 0.2%qtr, annual growth slowing from 3.8%yr to 1.9%yr, partly reflecting higher interest and tax payments. The gap between incomes and spending was 'funded' by a decline in the share of income being put towards saving, the household savings ratio dropping back from 7% in Q4 to 6.2% in Q1, in line with the rates seen through Q2 and Q3 last year. Overall, the mix suggests households absorbed most of the initial income squeeze through reduced savings.
- Partial data for Q2 has been somewhat mixed but better than expected. Our **Westpac-DataX Card Tracker Index** shows nominal activity moving along a subdued trend through much of the June quarter but firming again through July, quarterly growth back around 1%qtr. The ABS household spending indicator has been firmer, nominal spend rising 1.3%qtr in Q2 and real spend up 0.7%qtr. The stronger signal partly relates to coverage – the ABS indicator includes vehicle sales, which rose strongly in Q2 (see p13) and excludes Australian spending abroad which likely declined due to travel disruptions.
- Our estimates suggest the scope differences vs our card tracker index are worth about +0.4ppts for vehicles and +0.3ppts for spending abroad. Industry figures suggest vehicle sales surged 6.5%qtr in Q2 led by a 30% rise in EV and hybrid vehicles.
- Private sector business surveys suggest conditions have softened across both the retail and consumer services sectors. Near term expectations are weak for retailers and about flat for service sectors with year-ahead expectations flat across both.
- The ABS will publish full spending estimates with the Q2 national accounts update on September 2. Based on the available partials, we have marked up our forecast from flat to +0.2%qtr, noting that the national accounts estimates will include likely weak reads on spending abroad. There may also be some softness around electricity consumption due to the mild winter and increased supply from rooftop solar and batteries.
- With the RBA set to leave interest rates on hold, consumer spending is now expected to be slightly firmer through the H2 2026 with annual growth of 1.5%yr vs 1.1%yr previously.

12. Consumer spending: selected indicators



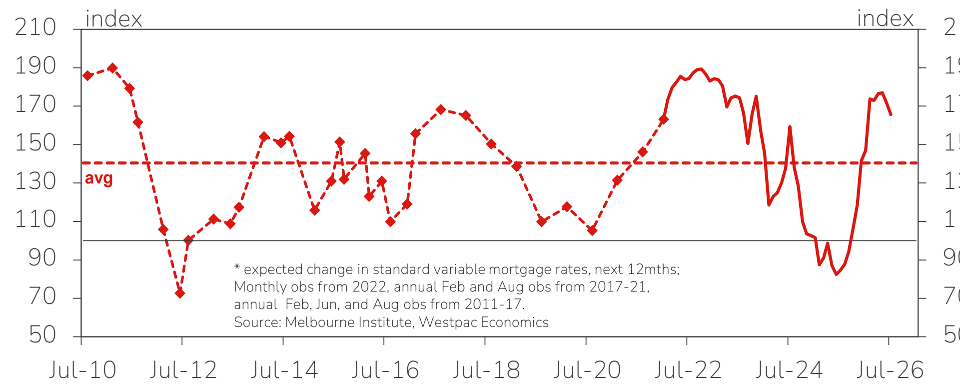
13. Business conditions: retail and consumer services



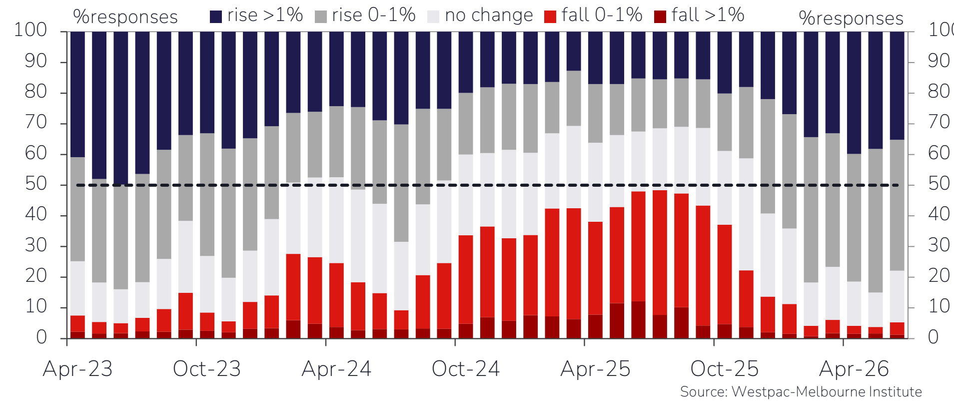
Interest rates: a little less troubling

- Back-to-back rate rises rattled consumers in the first half of the year but the outlook has become a little less troubling since May. The **Westpac–Melbourne Institute Mortgage Rate Expectations Index**, which tracks consumer expectations for variable mortgage rates over the next 12mths, declined 8.3% over the 3mths to July. That said, at 162.6, the Index is still at a high level well above historical averages.
- The detailed responses in July show 60% of those surveyed expect mortgage rates to increase further over the next 12 months. This compares to 66% in June and 74% in May. Notably, most of the easing has come from a decline in the proportion expecting rates to rise by more than 1ppt, from a third in May to a quarter in July.
- The RBA's decision to leave the cash rate on hold at its June meeting may have calmed fears that there would be a continued rapid sequence of hikes. That said, the conviction on the interest rate outlook is not high with 17% of consumers in the July survey simply reporting that they "don't know" where rates are going, the highest share since March 2022.
- Overall, July responses suggest consumers were broadly expecting another two 25bp rate hikes from the RBA. That expectation has very likely evolved since then with subsequent inflation updates proving to be less threatening than feared and more recently with the RBA choosing to leave the cash rate unchanged again at its August meeting, albeit continuing to warn that it was prepared to hike again if upside risks to inflation materialise (see here).
- Westpac now expects RBA to leave rates on hold through the remainder of 2026, with an eventual relaxation in tight policy settings coming through from mid-2027. That shift is likely to evolve gradually however with the RBA maintaining a vigilant stance towards inflation risks through the second half of this year in particular.
- Our August survey, currently in the field, will provide an important update on interest rate expectations following both the latest inflation data and RBA decision. Notably, as at July, the mortgage belt was a little more anxious about rates with 65% of this sub-group still expecting a rise.

14. Mortgage interest rate expectations



15. Consumer expectations for mortgage rates



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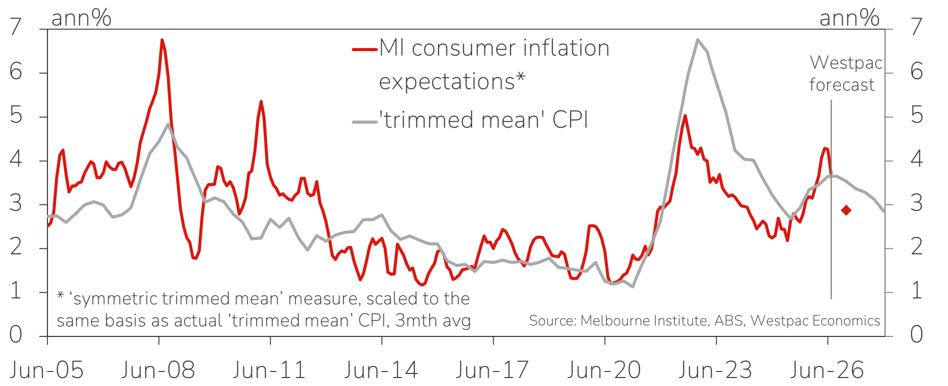
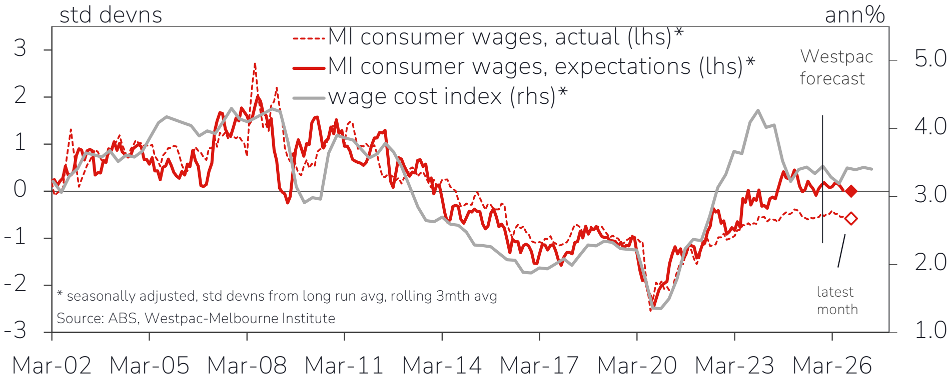
Inflation: better than feared

- The last three months have seen some positive, or at least, less negative than expected, developments around inflation. Oil prices have tracked back from their March-April highs with global inflation also remaining well-contained. Domestically, local inflation updates have also been slightly less threatening while near term consumer inflation expectations have tracked back nicely from their recent peaks.
- The June CPI showed a 0.6%qtr gain for headline inflation, the annual pace easing slightly to 3.9%yr (see here). The 'trimmed mean' measure, which excludes the largest price variations each period (such as fuel in the latest quarter) posted a 0.8%qtr, annual growth coming in at 3.6%yr but the last two quarters tracking a more moderate 3.2% annualised pace.
- Adding to this more benign picture, consumer inflation expectations have moved sharply lower as well. After peaking at 5.9% in April, the Melbourne Institute's 'symmetric mean' measure of consumers' year-ahead inflation expectations dropped back to 4.7% in July, on a par with the levels seen around the turn of the year.
- Scaling according to historical inflation outcomes suggests current expectations are consistent with actual inflation back in the 2.5-3% range. It should be noted that expectations are heavily influenced by fuel price moves. As such, the fall may be a delayed reaction to the temporary halving in fuel excise tax (and the state governments waiving GST on fuel). With those measures rolling off through July-August, we may see some renewed lift in expectations. More broadly, from the RBA's perspective, it will be important for inflation expectations to track right back towards historical levels and hold there for it to be comfortable that expectations more generally remain firmly anchored at low inflation rates.
- Consumer wage expectations have been broadly unchanged, tracking in the same range seen since mid-2024. While that is a touch above average, the readings on both actual and expected wages are still broadly consistent with a slight moderation in wages growth into the 3-3.5% range. The Q1 update showed wage price growth running at 3.3%yr (see here). The Q2 update is due August 19.

16. CPI Inflation: actual vs expected



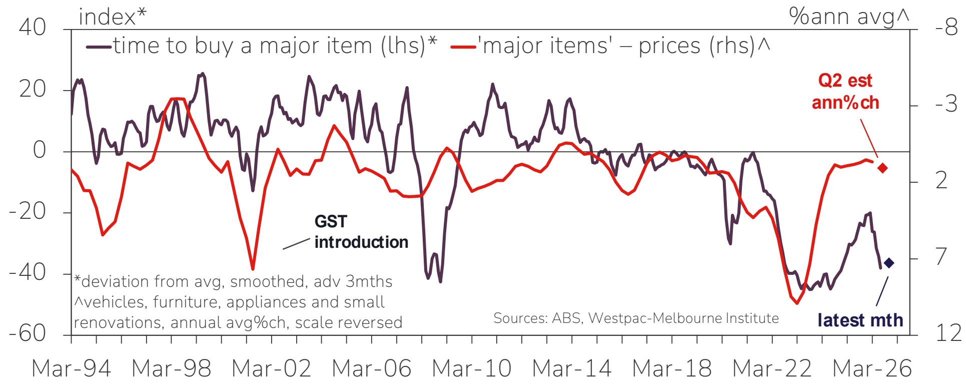
17. Wages growth: actual vs expected



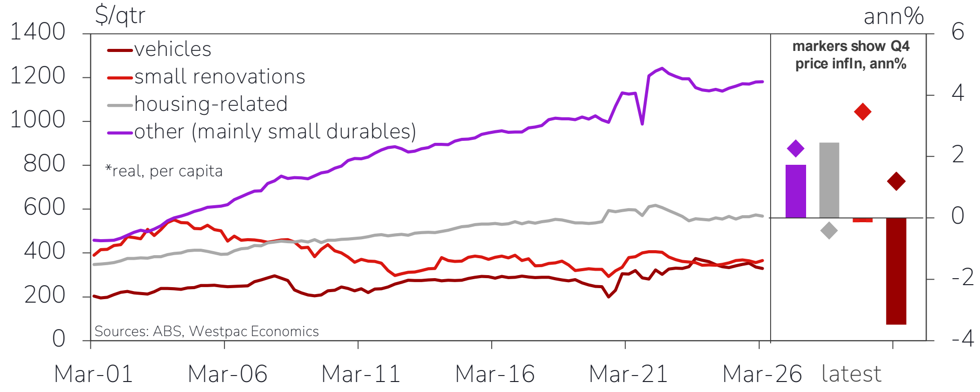
Durables: holding the line

- Durables spend has continued to tick over, growth slowing but remaining positive despite continued weak reads on 'time to buy a major item' and a material deterioration in buyer sentiment since the start of the year. The 'time to buy a major item' sub-index posted a muted 4.2% rally over the three months to July but at 86.8 remains a long way below the historical average of 123.5, the latest sub-index read still in the bottom 7% of observations since the survey began in the mid-1970s.
- As discussed regularly over the last four years, the extreme weakness appears to relate to the significant deterioration in purchasing power that has occurred since the post-COVID inflation surge in 2022. The more recent turn however may be more related to the high level of prices rather than actual inflation. As Chart 18 shows, durable goods prices have been much more stable since 2024, inflation averaging about 1%yr since then, broadly in line with pre-COVID trends. As discussed elsewhere in this report, the sentiment reads may also speak to fears and some misperceptions about the future path of inflation as well.
- Certainly, actual spend as been relatively resilient. Growth in real per capita spend on the 'major item' segments we track has slowed, from a relatively firm 3.2%yr in Q3 last year to a more subdued 0.9%yr in Q1 2026. However, this is much improved on the 3% pace of contraction seen through 2023 and 2024.
- Moreover, some of this softening looks to have reversed in Q2. Chart 23 shows a mixed performance across segments, with continued growth in spend on small durables and housing-related items, a flattening in small renovation activity and weakness in vehicle spend. The latter appears to have reversed significantly with a rebound in new vehicle sales (including a 30%qtr surge in purchases of EVs and hybrid vehicles). This points to a solid rise in Q2 that is likely to see annual growth in real per capita spend lift back to slight positive. The ABS household spending indicator detail also showed a solid gain in furnishings and household equipment, real spend up 1.7%qtr in Q2 to be up 5.7%yr (–0.7%qtr), pointing to a further lift in spend on housing-related items in per capita terms. Price falls also look to be assisting here.

18. 'Time to buy a major item' vs prices



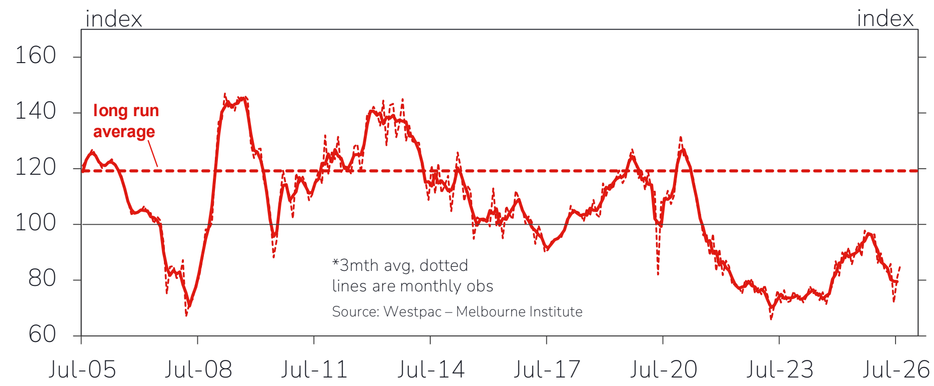
19. Consumer spending: 'big ticket' items



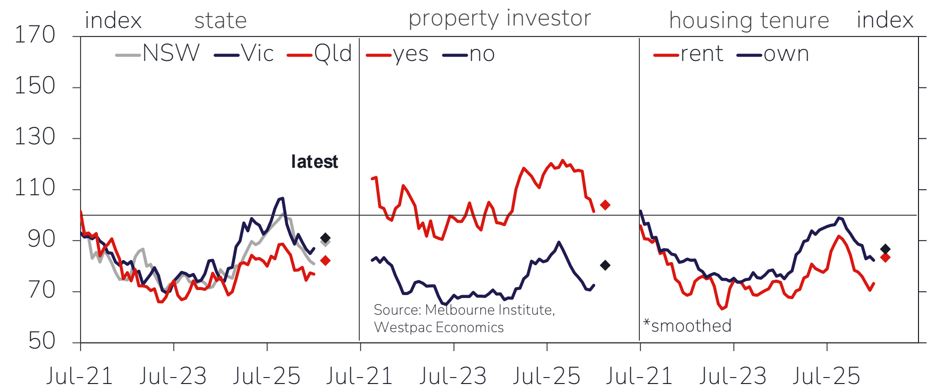
Dwellings: at a crossroads?

- Housing-related sentiment has been understandably unsettled in recent months, reflecting the heightened uncertainty around interest rate and tax policy changes amid evidence of a broadening downturn in established markets. Assessments of 'time to buy' – generally seen as being from the perspective of owner occupiers rather than investors – have been choppy month to month but still in a very weak range.
- The **'time to buy a dwelling'** index dropped sharply in May (–16%) but regained almost all of that through June-July to be down just 0.5% over the three months. At 85.4, the latest index read is still far from positive, over 33pts below its long run average of 119.
- By state, buyer sentiment is notably less downbeat in NSW (90) and Vic (91), where dwelling prices have seen material declines for several months, but more pessimistic in SA (83), Qld (82) and WA (70) where price growth has been strong in recent years. The mix shows a clear 'affordability divide'. The question is whether improving affordability will be sufficient to offset unease about the pace of price declines.
- The sub-group detail shines a little more light on this question. As Chart 21 highlights, buyer sentiment has rallied more strongly amongst the third of consumers that rent (+10% vs April vs –5% for home-owners). There is a similar wedge between the 75% of consumers that do not own investment properties and the 25% that do (+7.4% vs –12%). The picture is not quite as simple as this 'insiders vs outsiders' split suggests – homeowners in particular will include some that have mixed views on the affordability vs price decline picture and are more sensitive to interest rate developments. However, these wedges likely capture key differences in how the impacts of tax policy changes are being assessed.
- The sub-group detail also shows buyer sentiment has improved for those in younger age groups, on lower incomes, tradies and those in some regional areas but has deteriorated amongst high income earners, managers/ professionals and 45-64 year olds. Note that some of this may reflect the complexion of price declines which have been more pronounced in Sydney and Melbourne and 'top tier' price segments.

20. 'Time to buy a dwelling'



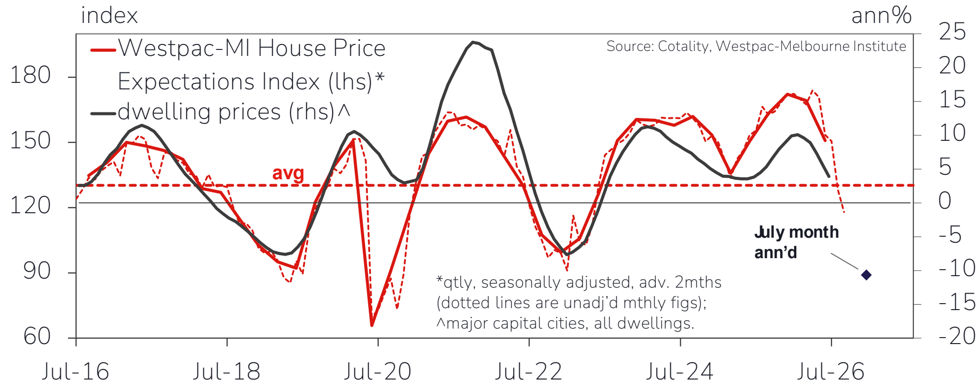
21. 'Time to buy a dwelling': selected sub-groups



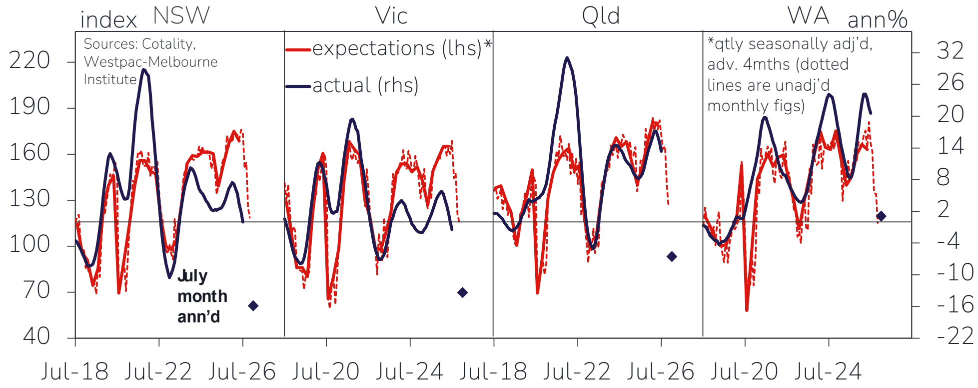
House prices: turning down fast

- The rapidly cooling in housing markets is seeing an equally rapid shift in consumer house price expectations. The **Westpac Melbourne Institute House Price Expectations Index** posted a steep 23% drop over the three months to July moving from what was a 15yr high of 174 at the start of the year to just 118. While the Index is still above 100, implying more consumers expect prices to rise than fall, this is the first below average read since March 2023.
- The detailed responses point to heightened uncertainty, 47% of those surveyed expecting prices to rise over the next 12 months, 19% expecting no change, 29% expecting prices to decline and 6% reporting "don't know". This compares to April when a clear majority (65%) expected prices to continue rising.
- The latest pull-back has been much more broadly based with all states recording double digit falls (NSW –21% to 119; Vic –20% to 116; Qld –23% to 126; SA –32% to 112; and WA –29% to 115). Note that the question specifically asks consumers about expectations for house prices in their state rather than a national view.
- The shift coincided with a clear change in conditions 'on the ground'. The Cotality home value index fell 0.7% in July, following downwardly-revised 0.7% and 0.5% declines in June and May respectively and a 0.1% dip in April. Annual growth slowed to 5.3%yr. The 1.5%qtr quarterly decline is the most significant since the 2022 price correction. Price declines are also becoming more widespread with five of the eight capital cities recording falls in July and a pronounced slowing in Brisbane and Perth (see here for more).
- Compared to consumer price expectations, actual price growth has been materially undershooting expectations for some time now in NSW and Vic, has been broadly in line in Qld and outperformed slightly in WA.
- The survey detail shows a particularly big 33% decline in price expectations across older age groups, where those expecting price declines now outnumber those expecting gains. If that becomes the more general consensus in coming months, this will tend to reinforce the current negative momentum in prices.

22. Westpac-MI House Price Expectations Index



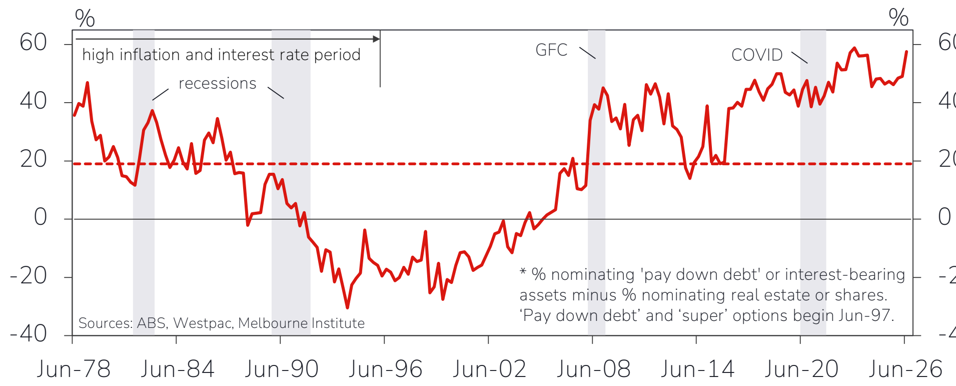
23. Dwelling prices: actual vs expected by state



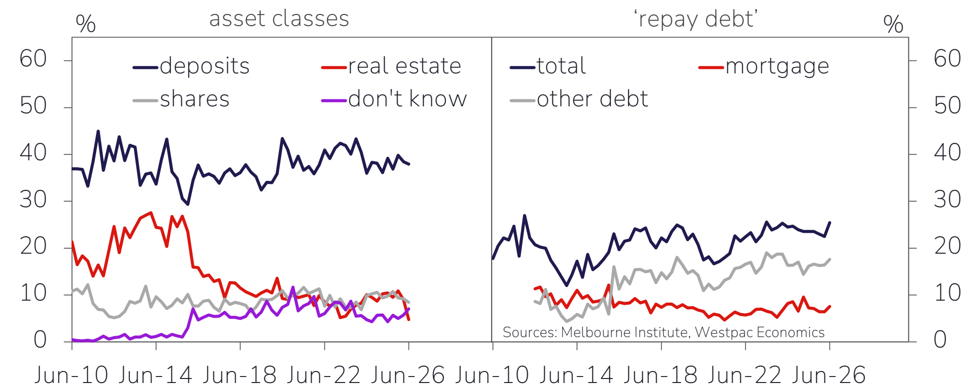
Risk aversion: rattled again

- After two years of marginally less troubled reads, consumer risk aversion spiked back to historical highs in June. The **Westpac Consumer Risk Aversion Index** jumped 12.7pts from 47.4 in March to 60.1 in June, just a touch behind the 52 year high of 60.8 in June 2023.
- Recall that the index is based on responses to questions on the 'wisest place for savings'. These ask consumers to nominate from a range of options, the risk index being the difference between the share nominating 'safe' options such as 'deposits' and 'repay debt' and the share nominating 'risky' options such as 'shares' and 'real estate'.
- 'Safe options' were all the rage in June, 27% of consumers nominating 'pay down debt' (up 5ppts), 31% nominating 'bank deposits' (up 3ppts), and 8% nominating 'super' (up 2ppts). Amongst the 'riskier' options, just 4.5% of consumers opted for 'real estate' (down 5ppts to an all-time record low), while 8.6% nominated 'shares' (down 1ppt). Other options were favoured by 14% (down 7ppts) while 7% simply shrugged and pencilled in 'don't know' (up 1ppt).
- Interest rate rises, tax policy changes, a housing downturn, and numerous other factors – including conflict in the Middle East, tariffs, and a range of disruptions from AI – are clearly creating an extremely uncertain environment for consumers when it comes to financial decisions.
- This 'safety first' mode is typically associated with more elevated savings rates, increased voluntary debt repayments and an aversion to new borrowing that drives debt to income ratios lower over time. However, this can often materialise as a slow burn rather than sudden shift. Certainly the last decade has seen elevated risk aversion act more as a dampening force rather than a driver of sudden shifts like it did during the global financial crisis in 2008.
- Speaking to specific housing-related influences, the survey detail showed a particularly sharp 25pt rise in risk aversion amongst consumers with investment properties. There was also a notably bigger rise amongst Qlders but more muted increases in NSW and Vic. In level terms, the mortgage belt remains significantly more averse with an index rad of 66.7

24. Westpac Consumer Risk Aversion Index



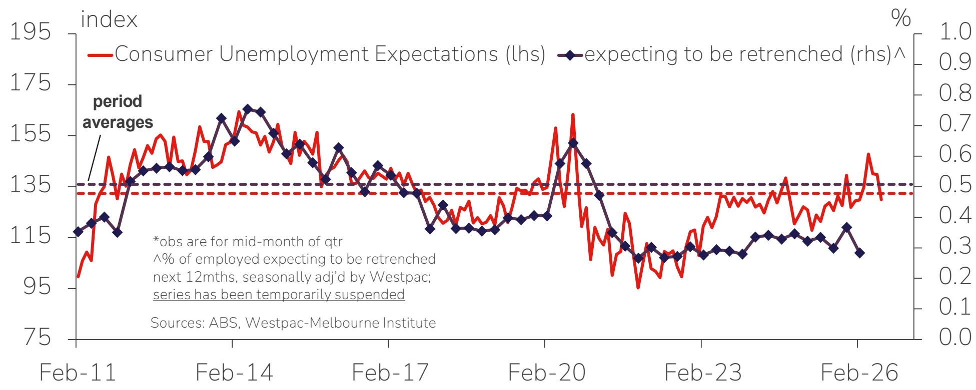
25. Consumer: 'wisest place for savings'



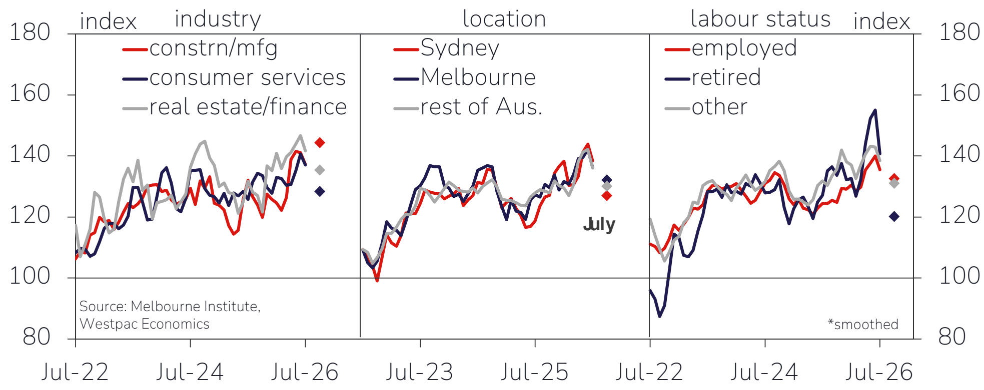
Job security: steadier

- A moderate lift in job-loss fears following the spike in energy costs has unwound over the last three months with consumer expectations for the labour market settling back around long run averages.
- The **Westpac-Melbourne Institute Index of Unemployment Expectations** fell 12.1% over the three months to July, reversing most of the 14% lift over the previous three months (recall that lower reads mean more consumers expect unemployment to fall over the year ahead). At 129.9, the July index a touch above the long run average of 129.
- The latest ABS labour force figures show employment gains remained steady at +27k/mth in Q2 in line with the pace seen in Q1. This was despite significant month-to-month noise, an apparent stalling in April-May followed by a solid bounce in June. That said, the unemployment rate has drifted higher, averaging 4.4% in Q2 vs 4.2% in Q1. The underemployment rate – measuring those working but seeking and available to work additional hours – has also risen, from 6.2% in Q1 to 6.3% in Q2 but clocking in at 6.8% in the June month (see here for more).
- While there is evidence of a little more slack emerging in labour markets this appears to be mainly coming from a combination of increased supply and more moderate growth in hiring rather than retrenchments. Unfortunately changes to the ABS survey mean official estimates of both retrenchments and expected retrenchment (as shown in Chart 26). These are expected to resume towards the end of 2026.
- The timing of the suspension is a little unfortunate as there may be some increase in retrenchments in some specific sectors – the sharp slowdown in turnover across Australia's housing markets in particular is likely to see reduced demand for related real estate and financial services.
- That said, the sub-group detail shows few signs of this specific sectoral pattern emerging. Job loss concerns have been a little higher amongst those employed in the real estate and financial services sectors but this may have more to do with interest rate rises rather than housing market developments with a notable drop in unemployment expectations in these sub-groups in July.

26. Unemployment expectations



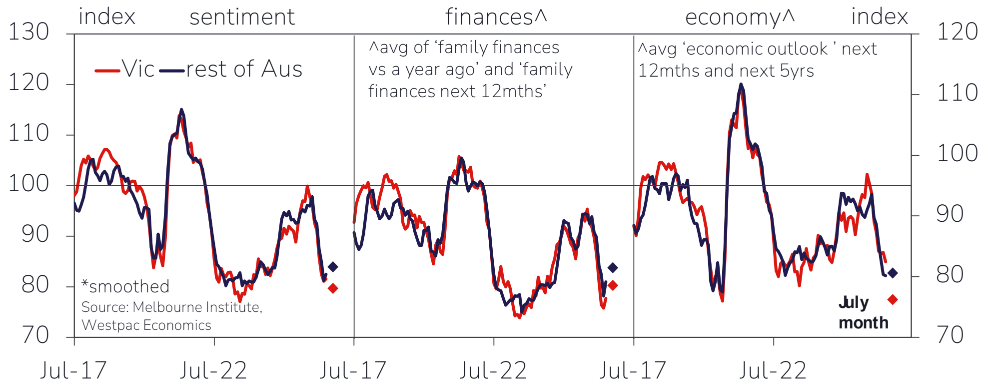
27. Unemployment expectations: selected sub-groups



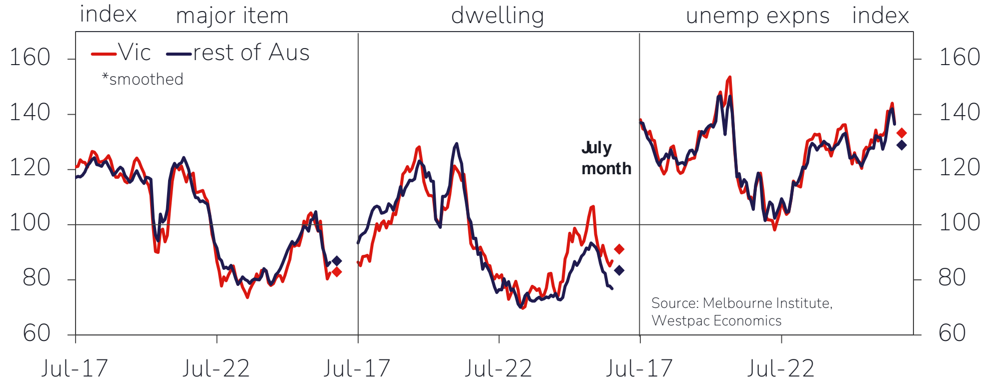
Victoria

- Last time we covered Vic in our snapshot – this time last year – the state's consumers were sounding surprisingly buoyant after having recovered from a more lacklustre run in 2024. A year on, the mood has tracked sharply lower and is now more deeply negative than in other states. The relative weakness likely reflects the state's mix of more subdued growth, higher unemployment (currently at 5% compared to the 4.4% nationally) and a housing markets that has been persistently weaker than others over the last few years.
- There may be an element of noise as play as well. While the sub-80 read on Vic sentiment in July is significantly weaker than the 84 read across the rest of Aus, the gap is minimal, around 1ppt, when we compare based on the rolling three months average basis as shown in Chart 28.
- That said, the component detail shows a clear negative wedge on assessments of family finances and 'time to buy a major item' but a slightly less pessimistic view on the economic outlook (albeit one that inverted sharply in the July month).
- We will need more reads to confirm whether Vic consumer sentiment is significantly weaker. However, even the three months average measures suggest the components that have been more closely linked to actual spending in the past – assessments of family finances, 'time to buy a major item', risk aversion and unemployment expectations – are all in a marginally weaker state in Vic than across the rest of Aus.
- Where story remains a little brighter is around housing. Vic consumer assessments of 'time to buy a dwelling' remain noticeably less downbeat than across the rest of Aus. The gap is continues to sustain at around 5-10pts. While that is not enough to mark the difference between positive and negative it could mean owner occupier demand recovers more readily in Vic if and when the cycle turns up.
- On other topics, Vic consumers remain understandably more downbeat on the outlook for house prices (although the gap vs the rest of Aus has narrowed here) and a little less hawkish on the outlook for mortgage interest rates, no doubt reflecting their more subdued world view.

28. Consumer sentiment, finances, economy: Vic vs rest of Aus



29. Consumer sentiment: 'time to buy', unemp expns: Vic vs rest of Aus



Economic and financial forecasts

Interest rate forecasts

Australia	Latest (7 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28	Dec–28
Cash	4.35	4.35	4.35	4.35	4.35	4.10	3.85	3.60	3.60	3.60	3.60	4.35
90 Day BBSW	4.51	4.45	4.45	4.45	4.25	4.00	3.75	3.60	3.70	3.70	3.70	4.30
3 Year Bond	4.54	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90	4.20
3 Year Swap	4.54	4.50	4.45	4.40	4.30	4.20	4.10	4.05	4.00	3.95	3.90	4.20
10 Year Bond	5.02	4.95	4.85	4.75	4.65	4.65	4.65	4.65	4.65	4.65	4.65	4.90
10 Year Spread to US (bps)	34	30	25	20	10	5	0	–5	–10	–15	–20	15
US												
Fed Funds	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625	3.625
US 10 Year Bond	4.68	4.65	4.60	4.55	4.55	4.60	4.65	4.70	4.75	4.80	4.85	4.75

Exchange rate forecasts

	Latest (7 Aug)	Sep–26	Dec–26	Mar–27	Jun–27	Sep–27	Dec–27	Mar–28	Jun–28	Sep–28	Dec–28	Dec–28
AUD/USD	0.7026	0.71	0.72	0.72	0.73	0.73	0.73	0.73	0.72	0.72	0.72	0.73
NZD/USD	0.5864	0.59	0.60	0.62	0.64	0.65	0.66	0.66	0.66	0.66	0.66	0.67
USD/JPY	158.38	162	160	159	158	156	154	152	150	148	146	142
EUR/USD	1.1524	1.16	1.17	1.18	1.19	1.20	1.21	1.22	1.22	1.21	1.21	1.22
GBP/USD	1.3454	1.35	1.35	1.36	1.37	1.38	1.39	1.40	1.41	1.41	1.40	1.41
USD/CNY	6.7471	6.75	6.70	6.60	6.50	6.45	6.40	6.35	6.35	6.30	6.30	6.35
AUD/NZD	1.1982	1.20	1.19	1.16	1.14	1.12	1.11	1.10	1.10	1.10	1.10	1.10

Sources: Bloomberg, Westpac Economics.

Economic and financial forecasts

Australian economic growth forecasts

	2026				2027			
	Q1	Q2f	Q3f	Q4f	Q1f	Q2f	Q3f	Q4f
GDP %qtr	0.3	0.0	0.1	0.3	0.4	0.4	0.4	0.4
%yr end	2.5	1.6	1.3	0.7	0.9	1.2	1.4	1.5
Unemployment rate % *	4.2	4.4	4.6	4.9	5.0	4.9	4.9	4.9
Wages (WPI) (sa) %qtr	0.8	0.8	1.0	0.8	0.8	0.8	0.8	0.8
%yr end	3.3	3.2	3.4	3.4	3.4	3.4	3.2	3.2
Headline CPI %qtr	1.4	0.6	1.3	1.0	0.7	0.6	0.9	0.5
%yr end	4.1	3.9	3.9	4.3	3.7	3.7	3.3	2.8
Trimmed Mean CPI %qtr	0.8	0.8	1.0	0.8	0.8	0.7	0.7	0.7
%yr end	3.5	3.6	3.6	3.5	3.4	3.3	3.0	2.8

	Calendar years			
	2025	2026f	2027f	2028f
GDP %qtr	–	–	–	–
%yr end	2.5	0.7	1.5	2.6
Unemployment rate % *	4.3	4.9	4.9	4.5
Wages (WPI) (sa) %qtr	–	–	–	–
%yr end	3.4	3.4	3.2	3.4
Headline CPI %qtr	–	–	–	–
%yr end	3.6	4.3	2.8	2.6
Trimmed Mean CPI %qtr	–	–	–	–
%yr end	3.4	3.5	2.8	2.4

* Quarter–average.

Consumer demand

	2026				2027			
% change	Q1	Q2f	Q3f	Q4f	Q1f	Q2f	Q3f	Q4f
Total private consumption*	0.6	0.2	0.4	0.4	0.4	0.5	0.5	0.6
annual chg	2.5	1.6	1.5	1.6	1.4	1.7	1.8	2.0
Real labour income, ann chg	2.9	2.6	2.4	1.7	1.9	2.0	2.1	2.9
Real disposable income, ann chg**	1.9	1.7	2.8	0.0	0.8	1.6	1.2	2.8
Household savings ratio, %	6.2	7.2	8.6	6.2	7.0	7.1	8.1	7.1
Motor vehicle sales ('000s)***	852	907	898	888	897	906	915	924
annual chg	–1.8	7.7	5.6	6.0	5.4	–0.1	1.9	4.0

	Calendar years			
	2025	2026f	2027f	2028f
Total private consumption, ann chg*	2.1	1.8	1.7	2.9
Real labour income, ann chg	3.4	2.4	2.2	3.2
Real disposable income, ann chg**	4.3	1.6	1.6	2.8
Household savings ratio, %	6.4	7.1	7.3	7.3
Motor vehicle sales ('000s)	849	886	910	958
annual chg	–3.9	4.3	2.7	5.3

Notes to pages 23 and 24:
* National accounts definition.
** Labour and non–labour income after tax and interest payments.
*** Passenger vehicles and SUVs, annualised (includes EVs).
^ Average over entire history of survey.
^^Seasonally adjusted. # Net % expected rise next 12 months minus % expecting fall (wage expectations is net of % expecting wages to rise and % expecting flat/decline).
Note that questions on mortgage rate and house price expectations have only been surveyed since May 2009.

Consumer sentiment

		2025			2026						
% change	avg^	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul
Westpac–MI Consumer Sentiment Index	100.2	92.1	103.8	94.5	92.9	90.5	91.6	80.1	83.0	80.6	83.9
family finances vs a year ago	87.8	82.1	85.2	80.9	82.7	78.8	80.2	66.8	72.8	67.3	71.1
family finances next 12 months	106.5	97.1	109.1	102.4	97.8	97.7	97.6	84.0	93.0	85.1	96.5
economic conditions next 12 months	90.6	89.9	104.8	94.6	88.4	88.5	85.9	75.3	74.2	77.8	78.3
economic conditions next 5 years	92.1	94.0	108.4	95.7	96.5	94.1	96.3	91.4	89.3	86.5	87.1
time to buy major household item	123.1	97.2	111.6	98.9	99.1	93.5	98.0	83.3	85.6	86.4	86.8
time to buy a dwelling	119.2	96.5	96.4	86.2	89.6	84.0	82.9	85.8	72.0	81.1	85.4
Westpac–MI Consumer Risk Aversion Index^^	19.1	–	–	48.4	–	–	49.0	–	–	57.6	–
CSI±	99.6	82.4	89.5	83.4	82.7	80.3	81.7	70.6	74.2	70.3	74.2
Westpac–MI House Price Expectations Index#	126.5	171.9	172.4	169.9	167.5	0.0	0.0	0.0	0.0	0.0	0.0
consumer mortgage rate expectations#	40.5	1.7	19.1	45.5	52.8	77.5	70.5	77.2	81.2	72.6	62.6
Westpac–MI Unemployment Expectations	129.2	127.6	139.5	126.8	129.4	129.8	134.7	147.8	140.0	139.8	129.9
MI inflation expectations (trimmed mean)	4.4	4.8	4.5	4.7	4.6	5.0	5.2	5.9	5.6	5.5	4.7
MI wage expectations (trimmed mean)	1.3	1.4	1.5	1.3	1.3	1.3	1.3	1.3	1.3	1.3	1.3

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